

In the opinion of Stradling Yocca Carlson & Rauth, a Professional Corporation, Newport Beach, California, Bond Counsel, under existing statutes, regulations, rulings and judicial decisions, and assuming the accuracy of certain representations and compliance with certain covenants and requirements described herein, interest (and original issue discount) on the 2016A Bonds is excluded from gross income for federal income tax purposes and is not an item of tax preference for purposes of calculating the federal alternative minimum tax imposed on individuals and corporations. In the further opinion of Bond Counsel, interest (and original issue discount) on the Bonds is exempt from State of California personal income tax. See the caption “TAX MATTERS.”

**\$22,035,000**

**WEST VALLEY WATER DISTRICT
WATER REVENUE REFUNDING BONDS, SERIES 2016A**

Dated: Date of Issuance**Due: October 1, as set forth on the inside front cover page**

The 2016A Bonds are being issued in fully registered form and when issued will be registered in the name of Cede & Co., as nominee of The Depository Trust Company, New York, New York. Purchasers of the 2016A Bonds will not receive securities representing their beneficial ownership in the 2016A Bonds purchased. Interest on the 2016A Bonds is payable on April 1 and October 1 of each year, commencing April 1, 2017, until the maturity thereof. The principal of and interest on the 2016A Bonds are payable by the Trustee to Cede & Co. and such interest and principal payments are to be disbursed to the Beneficial Owners of the 2016A Bonds through their nominees.

The 2016A Bonds are subject to optional, mandatory sinking fund and extraordinary redemption as more fully described herein.

The 2016A Bonds are being issued to provide funds, together with certain other moneys: (i) to prepay all amounts payable under an installment purchase agreement, dated as of October 1, 2006, by and between the District and the California Statewide Communities Development Authority; and (ii) to pay costs of issuance of the 2016A Bonds, all as more fully described herein.

The 2016A Bonds are being issued pursuant to the Indenture of Trust, dated as of December 1, 2016, by and between the West Valley Water District and U.S. Bank National Association, as trustee. The 2016A Bonds are limited obligations of the District payable solely from System Net Revenues, which consist of System Revenues of the District's municipal water system remaining after payment of Operation and Maintenance Costs, and from amounts on deposit in certain funds and accounts created under the Indenture. No reserve fund will be established for the 2016A Bonds.

The District may incur additional obligations payable from System Net Revenues on a parity with the obligation to pay principal of and interest on the 2016A Bonds, subject to the terms and conditions of the Indenture, as more fully described herein.

THE OBLIGATION OF THE DISTRICT TO PAY PRINCIPAL OF AND INTEREST ON THE 2016A BONDS PURSUANT TO THE INDENTURE DOES NOT CONSTITUTE AN OBLIGATION FOR WHICH THE DISTRICT IS OBLIGATED TO LEVY OR PLEDGE ANY FORM OF TAXATION OR FOR WHICH THE DISTRICT HAS LEVIED OR PLEDGED ANY FORM OF TAXATION. THE OBLIGATION OF THE DISTRICT TO PAY PRINCIPAL OF AND INTEREST ON THE 2016A BONDS IS A SPECIAL OBLIGATION OF THE DISTRICT PAYABLE SOLELY FROM SYSTEM NET REVENUES, AND DOES NOT CONSTITUTE A DEBT OF THE DISTRICT OR OF THE STATE OF CALIFORNIA OR OF ANY POLITICAL SUBDIVISION THEREOF IN CONTRAVENTION OF ANY CONSTITUTIONAL OR STATUTORY DEBT LIMITATION OR RESTRICTION.

THIS COVER PAGE CONTAINS CERTAIN INFORMATION FOR REFERENCE ONLY. IT IS NOT A SUMMARY OF THIS ISSUE. INVESTORS ARE ADVISED TO READ THE ENTIRE OFFICIAL STATEMENT TO OBTAIN INFORMATION ESSENTIAL TO THE MAKING OF AN INFORMED INVESTMENT DECISION.

MATURITY SCHEDULE – See Inside Front Cover Page

The 2016A Bonds are offered when, as and if issued and received by the Underwriter, subject to the approval of the valid, legal and binding nature of the 2016A Bonds by Stradling Yocca Carlson & Rauth, a Professional Corporation, Bond Counsel, and certain other conditions. Certain legal matters will be passed upon for the District by Stradling Yocca Carlson & Rauth, a Professional Corporation, as Disclosure Counsel, and by Tafoya & Garcia, LLP, General Counsel to the District, for the Underwriter by its counsel, Norton Rose Fulbright US LLP, and for the Trustee by its counsel. It is anticipated that the 2016A Bonds will be available for delivery through the facilities of The Depository Trust Company on or about December 22, 2016.

STIFEL

MATURITY SCHEDULE

BASE CUSIP®* 956409

\$22,035,000

WEST VALLEY WATER DISTRICT WATER REVENUE REFUNDING BONDS, SERIES 2016A

<i><u>Maturity Date</u></i> <i><u>(October 1)</u></i>	<i><u>Principal</u></i> <i><u>Amount</u></i>	<i><u>Interest</u></i> <i><u>Rate</u></i>	<i><u>Yield</u></i>	<i><u>Price</u></i>	<i><u>CUSIP®*</u></i> <i><u>Suffix</u></i>
2017	\$595,000	2.000%	1.010%	100.761%	AA4
2018	400,000	2.000	1.310	101.205	AB2
2019	410,000	2.000	1.620	101.026	AC0
2020	415,000	3.000	1.850	104.172	AD8
2021	430,000	3.000	2.090	104.113	AE6
2022	440,000	3.000	2.270	103.928	AF3
2023	455,000	4.000	2.470	109.488	AG1
2024	475,000	4.000	2.640	109.499	AH9
2025	490,000	5.000	2.750	117.432	AJ5
2026	515,000	5.000	2.860	118.132	AK2
2027	540,000	5.000	2.990	116.923 ^(c)	AL0
2028	570,000	5.000	3.060	116.278 ^(c)	AM8
2029	600,000	5.000	3.140	115.547 ^(c)	AN6
2030	380,000	4.000	3.500	104.104 ^(c)	AP1
2030	245,000	5.000	3.210	114.911 ^(c)	AZ9
2031	655,000	5.000	3.280	114.279 ^(c)	AQ9
2032	690,000	5.000	3.350	113.652 ^(c)	AR7
2033	720,000	5.000	3.410	113.118 ^(c)	AS5
2034	760,000	5.000	3.470	112.586 ^(c)	AT3
2035	795,000	5.000	3.520	112.145 ^(c)	AU0
2036	835,000	5.000	3.560	111.794 ^(c)	AV8
2037	875,000	5.000	3.600	111.445 ^(c)	AY2

\$3,910,000 4.000% Term 2016A Bond due October 1, 2041, Yield 4.060%, Price 99.063%, CUSIP®* Suffix AW6

\$5,835,000 4.000% Term 2016A Bond due October 1, 2046, Yield 4.080%, Price 98.623%, CUSIP®* Suffix AX4

* CUSIP® is a registered trademark of the American Bankers Association. CUSIP Global Services (CGS) is managed on behalf of the American Bankers Association by S&P Capital IQ. Copyright© 2016 CUSIP Global Services. All rights reserved. CUSIP® data herein is provided by CUSIP Global Services. This data is not intended to create a database and does not serve in any way as a substitute for the CGS database. CUSIP® numbers are provided for convenience of reference only. Neither the District nor the Underwriter takes any responsibility for the accuracy of such numbers.

^(c) Priced to first optional redemption date of October 1, 2026 at par.

No dealer, broker, salesperson or other person has been authorized by the District or the Underwriter to give any information or to make any representations other than those contained in this Official Statement in connection with the offering made hereby and, if given or made, such other information or representations must not be relied upon as having been authorized by the District or the Underwriter. This Official Statement does not constitute an offer to sell or the solicitation of an offer to buy, nor shall there be any sale of the 2016A Bonds by a person in any jurisdiction in which it is unlawful for such person to make such an offer, solicitation or sale.

This Official Statement is not to be construed as a contract with the purchasers of the 2016A Bonds. Statements contained in this Official Statement which involve estimates, forecasts or matters of opinion, whether or not expressly so described herein, are intended solely as such and are not to be construed as a representation of facts.

The Underwriter has provided the following sentence for inclusion in this Official Statement:

The Underwriter has reviewed the information in this Official Statement in accordance with, and as a part of, its responsibilities to investors under the federal securities laws as applied to the facts and circumstances of this transaction, but the Underwriter does not guarantee the accuracy or completeness of such information.

The information set forth herein has been obtained from official sources which are believed to be reliable but it is not guaranteed as to accuracy or completeness, and is not to be construed as a representation by the Underwriter. The information and expression of opinions herein are subject to change without notice and neither delivery of this Official Statement nor any sale made hereunder shall, under any circumstances, create any implication that there has been no change in the affairs of the District since the date hereof.

IN CONNECTION WITH THIS OFFERING, THE UNDERWRITER MAY OVERALLOT OR EFFECT TRANSACTIONS WHICH STABILIZE OR MAINTAIN THE MARKET PRICE OF THE 2016A BONDS AT A LEVEL ABOVE THAT WHICH MIGHT OTHERWISE PREVAIL IN THE OPEN MARKET. SUCH STABILIZING, IF COMMENCED, MAY BE DISCONTINUED AT ANY TIME. THE UNDERWRITER MAY OFFER AND SELL THE 2016A BONDS TO CERTAIN DEALERS AND DEALER BANKS AND BANKS ACTING AS AGENT AND OTHERS AT PRICES LOWER THAN THE PUBLIC OFFERING PRICES STATED ON THE COVER PAGE HEREOF AND SAID PUBLIC OFFERING PRICES MAY BE CHANGED FROM TIME TO TIME BY THE UNDERWRITER.

CERTAIN STATEMENTS CONTAINED IN THIS OFFICIAL STATEMENT REFLECT NOT HISTORICAL FACTS BUT FORECASTS AND "FORWARD-LOOKING STATEMENTS." NO ASSURANCE CAN BE GIVEN THAT THE FUTURE RESULTS DISCUSSED HEREIN WILL BE ACHIEVED, AND ACTUAL RESULTS MAY DIFFER MATERIALLY FROM THE FORECASTS DESCRIBED HEREIN. IN THIS RESPECT, THE WORDS "ESTIMATE," "PROJECT," "ANTICIPATE," "EXPECT," "INTEND," "BELIEVE" AND SIMILAR EXPRESSIONS ARE INTENDED TO IDENTIFY FORWARD-LOOKING STATEMENTS WITHIN THE MEANING OF THE PRIVATE SECURITIES LITIGATION REFORM ACT OF 1995, SECTION 21E OF THE UNITED STATES SECURITIES EXCHANGE ACT OF 1934, AS AMENDED, AND SECTION 27A OF THE UNITED STATES SECURITIES ACT OF 1933, AS AMENDED. ALL PROJECTIONS, FORECASTS, ASSUMPTIONS, EXPRESSIONS OF OPINIONS, ESTIMATES AND OTHER FORWARD-LOOKING STATEMENTS ARE EXPRESSLY QUALIFIED IN THEIR ENTIRETY BY THE CAUTIONARY STATEMENTS SET FORTH IN THIS OFFICIAL STATEMENT.

The 2016A Bonds have not been registered under the Securities Act of 1933, as amended, in reliance upon an exemption contained in such act. The 2016A Bonds have not been registered or qualified under the securities laws of any state. The Indenture has not been qualified under the Trust Indenture Act of 1939, as amended, in reliance upon an exemption contained in such act.

The District maintains a website. However, the information presented there is not part of this Official Statement and should not be relied upon in making an investment decision with respect to the 2016A Bonds.

**WEST VALLEY WATER DISTRICT
COUNTY OF SAN BERNARDINO
STATE OF CALIFORNIA**

PRESIDENT AND MEMBERS OF THE BOARD OF DIRECTORS

Dr. Clifford O. Young, Sr., President
Linda Gonzalez, Vice-President
Don Olinger, Director
Greg Young, Director
Vacant⁽¹⁾

STAFF

Matthew Litchfield, General Manager
Robert Christman, Interim Chief Financial Officer
Shanae Smith, Board Secretary

SPECIAL SERVICES

General Counsel to the District

Tafoya & Garcia, LLP
Los Angeles, California

Bond Counsel and Disclosure Counsel

Stradling Yocca Carlson & Rauth, a Professional Corporation
Newport Beach, California

Trustee

U.S. Bank National Association
Los Angeles, California

Escrow Agent

MUFG Union Bank, N.A.
San Francisco, California

Verification Agent

Causey Demgen & Moore P.C.
Denver, Colorado

⁽¹⁾ Former Board Member Rafael Trujillo was elected to the City Council of the City of Rialto in November 2016 and resigned from the District's Board of Directors in December 2016.

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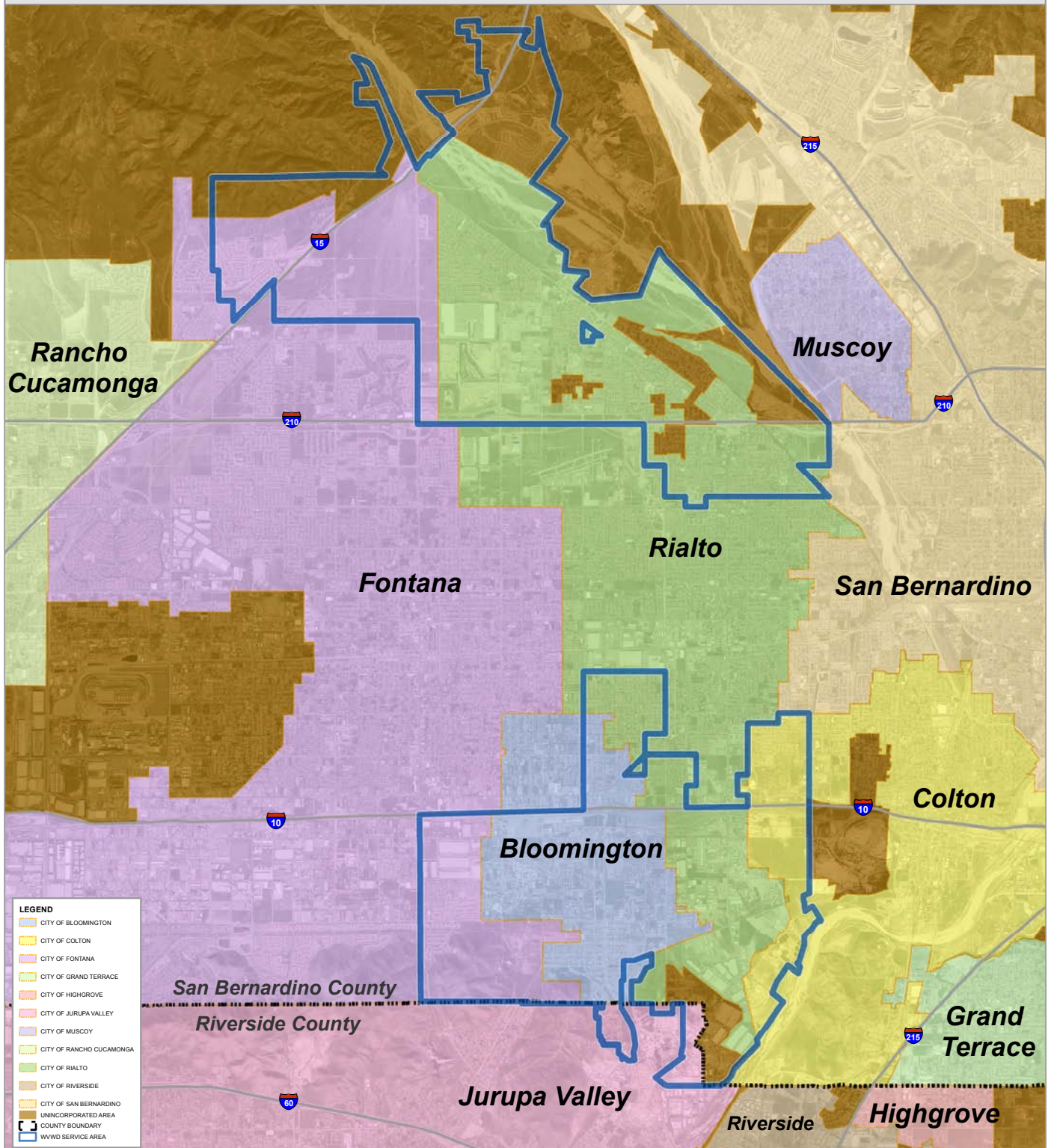
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West Valley Water District Service Area and Surrounding Cities



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SUMMARY STATEMENT

This Summary Statement is subject in all respects to the more complete information contained in this Official Statement, and the offering of the 2016A Bonds to potential investors is made only by means of the entire Official Statement. Capitalized terms used and not otherwise defined in this Summary Statement have the meanings ascribed to them in this Official Statement.

Purpose. The 2016A Bonds are being issued to provide funds, together with certain other moneys: (i) to prepay all amounts payable under an installment purchase agreement, dated as of October 1, 2006, by and between the District and the California Statewide Communities Development Authority; and (ii) to pay costs of issuance of the 2016A Bonds, all as more fully described herein. See the captions “REFUNDING PLAN” and “ESTIMATED SOURCES AND USES OF FUNDS.”

Security for the 2016A Bonds. The 2016A Bonds are limited obligations of the District payable solely from System Net Revenues, which consist of System Revenues of the District’s municipal water system remaining after payment of Operation and Maintenance Costs, and from amounts on deposit in certain funds and accounts created under the Indenture.

THE OBLIGATION OF THE DISTRICT TO PAY PRINCIPAL OF AND INTEREST ON THE 2016A BONDS PURSUANT TO THE INDENTURE DOES NOT CONSTITUTE AN OBLIGATION FOR WHICH THE DISTRICT IS OBLIGATED TO LEVY OR PLEDGE ANY FORM OF TAXATION OR FOR WHICH THE DISTRICT HAS LEVIED OR PLEDGED ANY FORM OF TAXATION. THE OBLIGATION OF THE DISTRICT TO PAY PRINCIPAL OF AND INTEREST ON THE 2016A BONDS IS A SPECIAL OBLIGATION OF THE DISTRICT PAYABLE SOLELY FROM SYSTEM NET REVENUES, AND DOES NOT CONSTITUTE A DEBT OF THE DISTRICT OR OF THE STATE OF CALIFORNIA OR ANY POLITICAL SUBDIVISION THEREOF IN CONTRAVENTION OF ANY CONSTITUTIONAL OR STATUTORY DEBT LIMITATION OR RESTRICTION.

See the caption “SECURITY FOR THE 2016A BONDS.”

The Refunding Plan. A portion of the proceeds of the 2016A Bonds, together with moneys held in certain funds and accounts established in connection with the 2006D-2 Installment Purchase Agreement, will be transferred to MUFG Union Bank, N.A., as trustee, on the date of issuance of the 2016A Bonds. The amount transferred to MUFG Union Bank, N.A. will be applied on or about December 27, 2016 to prepay the \$22,750,000 principal amount outstanding under the 2006D-2 Installment Purchase Agreement, plus accrued interest with respect thereto. See the caption “REFUNDING PLAN.”

Rate Covenant. The Indenture requires the District, at all times while any of the 2016A Bonds remain unpaid, to the maximum extent permitted by law, to fix, prescribe and collect rates, fees and charges and manage the operation of the System for each Fiscal Year so as to yield System Net Revenues during such Fiscal Year equal to at least 120% of the Annual Debt Service in such Fiscal Year. See the caption “SECURITY FOR THE 2016A BONDS—Rate Covenant.”

Additional Contracts and Bonds. The Indenture permits the District to execute any Contracts or issue any Bonds on a parity with the obligation to pay principal of and interest on the 2016A Bonds, provided that certain conditions are satisfied as described herein. See the caption “SECURITY FOR THE 2016A BONDS—Additional Indebtedness.” The Indenture also permits the District to execute or issue obligations payable on a subordinate basis to the 2016A Bonds.

No Reserve Fund. No reserve fund has been established in connection with the issuance of the 2016A Bonds.

Redemption. The 2016A Bonds are subject to optional, mandatory sinking fund and extraordinary redemption prior to maturity as described herein. See the caption “THE 2016A BONDS—Redemption of the 2016A Bonds.”

The District and the System. The District provides water service to approximately 20,740 customers within its approximately 31 square mile service area, located in southwestern San Bernardino County and also serving a small portion of northwestern Riverside County. The District encompasses approximately one half of the City of Rialto, portions of Bloomington, Colton, Fontana, Jurupa Valley, and some of the unincorporated areas of San Bernardino and Riverside counties. The District is governed by a five-member Board of Directors, elected at large from within the service area of the District. The General Manager administers the day-to-day operations of the District in accordance with policies and procedures established by the Board of Directors. The District was formed in 1952 and is a County Water District which operates under the authority of Division 12 of the California Water Code.

In Fiscal Year 2015-16, the System supplied approximately 14,122 acre-feet of potable water through approximately 19,174 single family residential, 159 multi-family residential and 1,407 commercial (including industrial, governmental, landscape and other) connections. The System includes 17 active wells with a combined capacity of approximately 34.99 million gallons per day.

The District’s primary source of water is groundwater, which is extracted from 17 active District-owned wells. The wells are located within four groundwater basins. In addition, the District utilizes water purchased from the State Water Project, water from free flows from Lytle Creek, and groundwater purchased from Valley District through the Baseline Feeder pipeline.

For information concerning the System, see the caption “THE WATER SYSTEM OF THE DISTRICT.” For general information regarding the District, see the caption “THE WEST VALLEY WATER DISTRICT” and Appendix A.

\$22,035,000
WEST VALLEY WATER DISTRICT
WATER REVENUE REFUNDING BONDS, SERIES 2016A

INTRODUCTION

This Official Statement, including the front cover page, the inside front cover page and all appendices hereto, provides certain information concerning the sale and delivery of the West Valley Water District Water Revenue Refunding Bonds, Series 2016A (the “2016A Bonds”). The 2016A Bonds are being issued pursuant to an Indenture of Trust, dated as of December 1, 2016 (the “Indenture”), by and between the West Valley Water District (the “District”) and U.S. Bank National Association, Los Angeles, California, as trustee (the “Trustee”). Descriptions and summaries of various documents set forth in this Official Statement do not purport to be comprehensive or definitive, and reference is made to each document for complete details of all terms and conditions. All statements herein are qualified in their entirety by reference to each document. Capitalized terms used and not otherwise defined herein have the meanings ascribed to them in Appendix B.

The 2016A Bonds are being issued to provide funds, together with certain other moneys: (i) to prepay all amounts payable under an installment purchase agreement, dated as of October 1, 2006 (the “2006D-2 Installment Purchase Agreement”), by and between the District and the California Statewide Communities Development Authority (“CSCDA”), which is currently outstanding in the principal amount of \$22,750,000; and (ii) to pay costs of issuance of the 2016A Bonds. See the captions “REFUNDING PLAN” and “ESTIMATED SOURCES AND USES OF FUNDS.”

The 2016A Bonds are limited obligations of the District payable solely from System Net Revenues, which consist of System Revenues of the District’s municipal water system (the “System”) remaining after payment of Operation and Maintenance Costs of the System, as such terms are defined in Appendix B, and from amounts on deposit in certain funds and accounts created under the Indenture.

The District may incur additional obligations payable on a parity with the obligation to pay principal of and interest on the 2016A Bonds in the future as described under the caption “SECURITY FOR THE 2016A BONDS—Additional Indebtedness.”

The 2016A Bonds are subject to optional, mandatory sinking fund and extraordinary redemption prior to maturity as described herein. See the caption “THE 2016A BONDS—Redemption of the 2016A Bonds.”

The summaries and references to the Indenture and all documents, statutes, reports and other instruments that are referred to herein do not purport to be complete, comprehensive or definitive, and each such summary or reference is qualified in its entirety by reference to the full Indenture or the respective document, statute, report or instrument, copies of which are available for inspection at the offices of the District in Rialto, California and will be available from the Trustee upon request and payment of duplication cost. The capitalization of any word that is not conventionally capitalized or otherwise defined herein indicates that such word is defined in the Indenture and, as used herein, has the meaning given to it in the Indenture. Unless otherwise indicated, all financial and statistical information herein has been provided by the District.

The District regularly prepares a variety of reports, including audits, budgets and related documents. Any registered owner of the 2016A Bonds may obtain a copy of such reports, as available, from the Trustee or the District. Additional information regarding the Official Statement may be obtained by contacting the Trustee or the West Valley Water District, 855 W. Base Line Road, Rialto, CA 92376, Attn: Interim Chief Financial Officer.

Changes have been made to this Official Statement since the Preliminary Official Statement dated December 8, 2016: (i) on the front cover page and under the caption “RATING” to reflect the receipt of a

rating on the 2016A Bonds; and (ii) under the caption “WEST VALLEY WATER DISTRICT—Board of Directors” to reflect the resignation of a member of the District’s Board of Directors in December 2016.

REFUNDING PLAN

General

The District entered into the 2006D-2 Installment Purchase Agreement, which is currently outstanding in the principal amount of \$22,750,000, to prepay certain prior obligations of the District and to finance certain capital improvements to the System. The District plans to apply a portion of the proceeds of the 2016A Bonds, together with moneys held in certain funds and accounts established in connection with the 2006D-2 Installment Purchase Agreement, to pay all outstanding amounts due under the 2006D-2 Installment Purchase Agreement which are due on and after October 1, 2017 on or about December 27, 2016 (the “Prepayment Date”) at a prepayment price equal to the outstanding principal amount thereof, plus accrued interest with respect thereto, without premium (the “Prepayment Price”).

Under an Escrow Agreement (2006D-2 Installment Purchase Agreement), dated as of December 1, 2016 (the “Escrow Agreement”), by and between the District and MUFG Union Bank, N.A., as escrow agent (the “Escrow Agent”), the District will deliver a portion of the proceeds of the 2016A Bonds to the Escrow Agent for deposit in an escrow fund (the “Escrow Fund”) established under the Escrow Agreement on or about the date of issuance of the 2016A Bonds. In addition, the Escrow Agent will deposit certain moneys held in connection with the 2006D-2 Installment Purchase Agreement in the Escrow Fund on or about the date of issuance of the 2016A Bonds.

From the moneys on deposit in the Escrow Fund, the Escrow Agent will pay the Prepayment Price of the 2006D-2 Installment Purchase Agreement on the Prepayment Date.

Sufficiency of the deposits in the Escrow Fund for such purposes will be verified by Causey Demgen & Moore P.C. (the “Verification Agent”). Assuming the accuracy of such computations, as a result of the deposit and application of funds as provided in the Escrow Agreement, the 2006D-2 Installment Purchase Agreement will be defeased pursuant to the provisions thereof as of the date of issuance of the 2016A Bonds.

The portion of the proceeds of the 2016A Bonds and the moneys held in connection with the 2006D-2 Installment Purchase Agreement that are deposited with the Escrow Agent is pledged solely to the payment of the Prepayment Price of the 2006D-2 Installment Purchase Agreement, and will not be available for the payments of principal of and interest on the 2016A Bonds.

Verification of Mathematical Computations

Upon the issuance of the 2016A Bonds, the Verification Agent will deliver a report on the mathematical accuracy of certain computations based upon certain information and assertions provided to it by the Underwriter relating to: (a) the adequacy of the moneys deposited in the Escrow Fund to pay the Prepayment Price of the 2006D-2 Installment Purchase Agreement; and (b) the computations of yield of the 2016A Bonds which support Bond Counsel’s opinion that the interest on the 2016A Bonds is excluded from gross income for federal income tax purposes.

THE 2016A BONDS

General Provisions

The 2016A Bonds will be issued in the aggregate principal amount of \$22,035,000. The 2016A Bonds will be dated as of the date of initial issuance thereof (the “Issuance Date”), will bear interest from such date at the rates per annum set forth on the inside cover page hereof, payable on April 1 and October 1 of each

year, commencing April 1, 2017 (each, an “Interest Payment Date”), and will mature on the dates set forth on the inside front cover page hereof. Interest on the 2016A Bonds will be computed on the basis of a 360 day year composed of twelve 30 day months.

The 2016A Bonds will be issued only in fully registered form and, when issued, will be registered in the name of Cede & Co., as nominee of The Depository Trust Company, New York, New York (“DTC”). DTC will act as securities depository for the 2016A Bonds. Ownership interests in the 2016A Bonds may be purchased in book entry form, in denominations of \$5,000 or any integral multiple thereof. See the caption “—Book Entry Only System” below and Appendix D.

In the event that the book entry only system described below is discontinued, the principal of and redemption premium (if any) on the 2016A Bonds are payable by check or draft of the Trustee upon presentation and surrender thereof at maturity or upon prior redemption at the office of the Trustee in Los Angeles, California (the “Office of the Trustee”). Interest on the 2016A Bonds is payable on each Interest Payment Date to the person whose name appears on the registration books maintained by the Trustee (the “Registration Books”) as the Owner thereof as of the close of business on the fifteenth day of the calendar month preceding the Interest Payment Date (the “Record Date”), such interest to be paid by check of the Trustee, sent by first class mail on the applicable Interest Payment Date to the Owner at such Owner’s address as it appears on the Registration Books. An Owner of \$1,000,000 or more in principal amount of 2016A Bonds may, at such Owner’s option, be paid by wire transfer of immediately available funds to an account in the United States in accordance with written instructions provided to the Trustee by such Owner prior to the applicable Record Date. The principal of and interest and premium, if any, on the 2016A Bonds will be payable in lawful money of the United States.

Each 2016A Bond will bear interest from the Interest Payment Date next preceding the date of authentication thereof unless: (a) it is authenticated after a Record Date and on or before the following Interest Payment Date, in which event it will bear interest from such Interest Payment Date; or (b) unless it is authenticated on or before March 15, 2017, in which event it will bear interest from the Issuance Date; provided, however, that if, as of the date of authentication of any 2016A Bond, interest thereon is in default, such 2016A Bond will bear interest from the Interest Payment Date to which interest has previously been paid or made available for payment thereon.

Transfers and Exchanges Upon Termination of Book Entry Only System

In the event that the book entry system that is described above is abandoned, the 2016A Bonds will be printed and delivered as provided in the Indenture. Thereafter, any 2016A Bond may, in accordance with its terms, be transferred on the Registration Books by the person in whose name it is registered, in person or by his or her duly authorized attorney, upon surrender of such 2016A Bond at the Office of the Trustee for cancellation, accompanied by delivery of a written instrument of transfer, duly executed in a form acceptable to the Trustee. The Trustee is not required to register the transfer of any 2016A Bond during the period in which the Trustee is selecting 2016A Bonds for redemption and any 2016A Bond that has been selected for redemption.

Whenever any 2016A Bond or 2016A Bonds are surrendered for transfer, the District will execute and the Trustee will authenticate and deliver a new 2016A Bond or 2016A Bonds of authorized denomination or denominations for a like series and aggregate principal amount of the same maturity. The Trustee will require the 2016A Bond Owner requesting such transfer to pay any tax or other governmental charge required to be paid with respect to such transfer. Following any transfer of 2016A Bonds, the Trustee will cancel and destroy the 2016A Bonds that it has received.

2016A Bonds may be exchanged at the Office of the Trustee for a like aggregate principal amount of other authorized denominations of the same series and maturity. The Trustee is not required to exchange any 2016A Bond during the period in which the Trustee is selecting 2016A Bonds for redemption and any 2016A

Bond that has been selected for redemption. The Trustee will require the 2016A Bond Owner requesting such exchange to pay any tax or other governmental charge required to be paid with respect to such exchange. Following any exchange of 2016A Bonds, the Trustee will cancel and destroy the 2016A Bonds that it has received.

Redemption of the 2016A Bonds

Optional Redemption. The 2016A Bonds with stated maturities on or after October 1, 2027, are subject to redemption prior to their respective stated maturities, as a whole or in part on October 1, 2026, or any date thereafter, as directed by the District and by lot within each maturity in integral multiples of \$5,000, at a Redemption Price equal to the principal amount thereof plus accrued interest thereon to the Redemption Date, without premium.

Mandatory Sinking Fund Redemption. The 2016A Bonds with stated maturities on October 1, 2041 are subject to mandatory sinking fund redemption in part (by lot) on October 1, 2038 and each October 1 thereafter, in integral multiples of \$5,000 at a Redemption Price of the principal amount thereof plus accrued interest thereon to the date fixed for redemption, without premium, in accordance with the following schedule:

<i>Redemption Date (October 1)</i>	<i>Principal Amount</i>
2038	\$ 920,000
2039	960,000
2040	995,000
2041 [†]	1,035,000

[†] Maturity.

The 2016A Bonds with stated maturities on October 1, 2046 are subject to mandatory sinking fund redemption in part (by lot) on October 1, 2042 and each October 1 thereafter, in integral multiples of \$5,000 at a Redemption Price of the principal amount thereof plus accrued interest thereon to the date fixed for redemption, without premium, in accordance with the following schedule:

<i>Redemption Date (October 1)</i>	<i>Principal Amount</i>
2042	\$1,080,000
2043	1,120,000
2044	1,165,000
2045	1,210,000
2046 [†]	1,260,000

[†] Final Maturity.

Extraordinary Redemption. The 2016A Bonds are subject to extraordinary redemption prior to their respective stated maturities, as a whole or in part on any date in the order of maturity and within maturities as directed by the District prior to such date and by lot within each maturity in integral multiples of \$5,000 from Net Proceeds of insurance or condemnation, upon the terms and conditions of, and as provided for in, the Indenture, at a Redemption Price equal to the principal amount thereof plus accrued interest thereon to the date fixed for redemption, without premium.

Notice of Redemption

Notice of redemption will be mailed by first class mail at least 20 days but not more than 60 days before any Redemption Date, to the respective Owners of any 2016A Bonds designated for redemption at their

addresses appearing on the Registration Books, to the Securities Depositories and the Information Services; provided that, in the case of notice of optional redemption not related to an advance or current refunding, such notice may be given only if sufficient funds have been deposited with the Trustee to pay the applicable Redemption Price of the 2016A Bonds to be redeemed; and provided further that such notice may be cancelled by the District upon Written Request delivered to the Trustee not less than five days prior to such Redemption Date. Each notice of redemption will state the date of notice, the Redemption Date, the place or places of redemption, the Redemption Price, will designate the maturities, CUSIP numbers, if any, and, if less than all 2016A Bonds of any such maturity are to be redeemed, the serial numbers of the 2016A Bonds of such maturity to be redeemed by giving the individual number of each 2016A Bond or by stating that all 2016A Bonds between two stated numbers, both inclusive, have been called for redemption and, in the case of 2016A Bonds to be redeemed in part only, the respective portions of the principal amount thereof to be redeemed. Each such notice will also state that on the Redemption Date there will become due and payable on each of said 2016A Bonds or parts thereof designated for redemption the Redemption Price thereof or of said specified portion of the principal thereof in the case of a 2016A Bond to be redeemed in part only, together with interest accrued thereon to the Redemption Date, and that (provided that moneys for redemption have been deposited with the Trustee) from and after such Redemption Date interest thereon will cease to accrue, and will require that such 2016A Bonds be then surrendered to the Trustee. Neither the failure to receive such notice nor any defect in the notice or the mailing thereof will affect the validity of the redemption of any 2016A Bond. Notice of redemption of 2016A Bonds will be given by the Trustee, at the expense of the District, for and on behalf of the District.

With respect to any notice of optional redemption of 2016A Bonds, such notice may state that such redemption will be conditional upon the receipt by the Trustee on or prior to the date fixed for such redemption of moneys sufficient to pay the principal of, premium, if any, and interest on such 2016A Bonds to be redeemed and that, if such moneys have not been so received, said notice will be of no force and effect and the Trustee will not be required to redeem such 2016A Bonds. In the event that such notice of redemption contains such a condition and such moneys are not so received, the redemption will not be made, and the Trustee will within a reasonable time thereafter give notice, in the manner in which the notice of redemption was given, that such moneys were not so received.

Book Entry Only System

One fully-registered 2016A Bond of each maturity will be issued in the principal amount of the 2016A Bonds of such maturity. Such 2016A Bond will be registered in the name of Cede & Co. and will be deposited with DTC.

The District may decide to discontinue use of the system of book entry transfers through DTC (or a successor securities depository). In that event, the 2016A Bonds will be printed and delivered and will be governed by the provisions of the Indenture with respect to payment of principal and interest and rights of exchange and transfer. See the caption “—Transfers and Exchanges Upon Termination of Book Entry Only System.”

The District cannot and does not give any assurances that DTC Participants or others will distribute payments of principal of and interest on the 2016A Bonds received by DTC or its Nominee as the registered Owner, or any redemption or other notices, to the Beneficial Owners (as such term is defined in Appendix D), or that they will do so on a timely basis, or that DTC will service and act in the manner described in this Official Statement. See Appendix D for additional information concerning DTC.

DEBT SERVICE PAYMENT SCHEDULE

Set forth below is an annualized schedule of principal of and interest on the 2016A Bonds for the period ending October 1 in each of the years indicated.

<i>Period Ending October 1</i>	<i>2016A Bonds Principal</i>	<i>2016A Bonds Interest</i>	<i>2016A Bonds Total</i>
2017 ⁽¹⁾	\$ 595,000.00	\$ 715,596.25	\$ 1,310,596.25
2018	400,000.00	911,450.00	1,311,450.00
2019	410,000.00	903,450.00	1,313,450.00
2020	415,000.00	895,250.00	1,310,250.00
2021	430,000.00	882,800.00	1,312,800.00
2022	440,000.00	869,900.00	1,309,900.00
2023	455,000.00	856,700.00	1,311,700.00
2024	475,000.00	838,500.00	1,313,500.00
2025	490,000.00	819,500.00	1,309,500.00
2026	515,000.00	795,000.00	1,310,000.00
2027	540,000.00	769,250.00	1,309,250.00
2028	570,000.00	742,250.00	1,312,250.00
2029	600,000.00	713,750.00	1,313,750.00
2030	625,000.00	683,750.00	1,308,750.00
2031	655,000.00	656,300.00	1,311,300.00
2032	690,000.00	623,550.00	1,313,550.00
2033	720,000.00	589,050.00	1,309,050.00
2034	760,000.00	553,050.00	1,313,050.00
2035	795,000.00	515,050.00	1,310,050.00
2036	835,000.00	475,300.00	1,310,300.00
2037	875,000.00	433,550.00	1,308,550.00
2038	920,000.00	389,800.00	1,309,800.00
2039	960,000.00	353,000.00	1,313,000.00
2040	995,000.00	314,600.00	1,309,600.00
2041	1,035,000.00	274,800.00	1,309,800.00
2042	1,080,000.00	233,400.00	1,313,400.00
2043	1,120,000.00	190,200.00	1,310,200.00
2044	1,165,000.00	145,400.00	1,310,400.00
2045	1,210,000.00	98,800.00	1,308,800.00
2046	<u>1,260,000.00</u>	<u>50,400.00</u>	<u>1,310,400.00</u>
TOTAL	\$22,035,000.00	\$17,293,396.25	\$39,328,396.25

⁽¹⁾ Period ending October 1, 2017 *excludes* debt service on the 2006D-2 Installment Purchase Agreement, which is being refunded from proceeds of the 2016A Bonds as described under the caption "REFUNDING PLAN."

Source: Stifel, Nicolaus & Company, Incorporated.

SECURITY FOR THE 2016A BONDS

Limited Obligations Payable From System Net Revenues

The District is obligated to make payments of principal of and interest on the 2016A Bonds solely from System Net Revenues. The term "System Net Revenues" means, for any period, the System Revenues for such period less the Operation and Maintenance Costs for such period. When held by the Trustee in any funds or accounts established under the Indenture, System Net Revenues will include all interest or gain derived from the investment of amounts in any of such funds or accounts. See Appendix B for a detailed discussion of the terms of the Indenture.

THE OBLIGATION OF THE DISTRICT TO PAY PRINCIPAL OF AND INTEREST ON THE 2016A BONDS PURSUANT TO THE INDENTURE DOES NOT CONSTITUTE AN OBLIGATION FOR WHICH THE DISTRICT IS OBLIGATED TO LEVY OR PLEDGE ANY FORM OF TAXATION OR FOR WHICH THE DISTRICT HAS LEVIED OR PLEDGED ANY FORM OF TAXATION. THE OBLIGATION

OF THE DISTRICT TO PAY PRINCIPAL OF AND INTEREST ON THE 2016A BONDS IS A SPECIAL OBLIGATION OF THE DISTRICT PAYABLE SOLELY FROM SYSTEM NET REVENUES, AND DOES NOT CONSTITUTE A DEBT OF THE DISTRICT OR OF THE STATE OF CALIFORNIA OR OF ANY POLITICAL SUBDIVISION THEREOF IN CONTRAVENTION OF ANY CONSTITUTIONAL OR STATUTORY DEBT LIMITATION OR RESTRICTION.

Rate Covenant

The District has covenanted that it will, to the fullest extent permitted by law, fix and prescribe, at the commencement of each Fiscal Year, rates and charges for the Water Service provided by the System which are reasonably expected, at the commencement of such Fiscal Year, to be at least sufficient to yield during each Fiscal Year System Net Revenues equal to 120% of Debt Service for such Fiscal Year.

The District may make or permit to be made adjustments from time to time in such rates, fees and charges and may make or permit to be made such classification thereof as it deems necessary, but will not reduce or permit to be reduced such rates, fees and charges below those then in effect unless the System Revenues from such reduced rates, fees and charges will at all times be sufficient to meet the foregoing requirements.

Additional Indebtedness

Pursuant to the Indenture, the District may at any time execute any Contracts or issue any Bonds payable from System Net Revenues on a parity with the obligation to pay principal of and interest on the 2016A Bonds provided that the following conditions are satisfied:

(i) The System Net Revenues for the most recent audited Fiscal Year preceding the date of adoption by the Board of Directors of the resolution authorizing the issuance of such Bonds or the date of the execution of such Contract, as the case may be, as evidenced by both a calculation prepared by the District and a special report prepared by an Independent Certified Public Accountant or an Independent Financial Consultant on such calculation on file with the District, produce a sum equal to at least 120% of the Debt Service for such Fiscal Year; and

(ii) The System Net Revenues for the most recent audited Fiscal Year preceding the date of adoption by the Board of Directors of the resolution authorizing the issuance of such Bonds or the date of the execution of such Contract, as the case may be, including adjustments to give effect as of the first day of such Fiscal Year to increases or decreases in rates and charges for the Water Service approved and in effect as of the date of calculation, as evidenced by a calculation prepared by the District, produce a sum equal to at least 120% of the Debt Service for such Fiscal Year, plus the Debt Service which would have accrued on any Contracts executed or Bonds issued since the end of such Fiscal Year, assuming that such Contracts had been executed or Bonds had been issued at the beginning of such Fiscal Year, plus the Debt Service which would have accrued had such proposed additional Contract been executed or proposed additional Bonds been issued at the beginning of such Fiscal Year.

(iii) Notwithstanding the foregoing, Bonds or Contracts may be issued or incurred to refund outstanding Bonds or Contracts if, after giving effect to the application of the proceeds thereof, total Debt Service will not be increased in any Fiscal Year in which Bonds or Contracts (outstanding on the date of issuance or incurrence of such refunding Bonds or Contracts, but excluding such refunding Bonds or Contracts) not being refunded are outstanding.

Nothing contained in the Indenture limits the issuance of any revenue bonds of the District payable from the System Net Revenues and secured by a lien and charge on the System Net Revenues if, after the issuance and delivery of such revenue bonds, none of the 2016A Bonds will be unpaid. Furthermore, nothing

contained in the Indenture limits the issuance of any obligations payable from System Net Revenues on a subordinate basis to the Contracts and Bonds.

No Reserve Fund

No reserve fund has been established in connection with the issuance of the 2016A Bonds.

Insurance; Reconstruction, Repair and Replacement

The District has covenanted to maintain insurance on the System with responsible insurers in amounts and against such risks (including accident to or destruction of the System) as are usually covered in connection with facilities similar to the System so long as such insurance is available from reputable insurance companies at reasonable rates. The District maintains insurance coverages as described under the caption “THE WEST VALLEY WATER DISTRICT—District Insurance.” See Appendix B under the caption “PARTICULAR COVENANTS—Insurance” for a description of the insurance coverages required by the Indenture.

In the event of any damage to or destruction of the System caused by the perils covered by such insurance, the Net Proceeds thereof will be applied to the reconstruction, repair or replacement of the damaged or destroyed portion of the System. The District will begin such reconstruction, repair or replacement promptly after such damage or destruction occurs, and will continue and properly complete such reconstruction, repair or replacement as expeditiously as possible, and will pay out of such Net Proceeds all costs and expenses in connection with such reconstruction, repair or replacement so that the same are completed and the System is free and clear of all claims and liens.

If such Net Proceeds exceed the costs of such reconstruction, repair or replacement portion of the System, and/or the cost of the construction of additions, betterments, extensions or improvements to the System, then the excess Net Proceeds will be applied in part to the redemption of 2016A Bonds as provided in the Indenture (see the caption “THE 2016A BONDS—Redemption of the 2016A Bonds—Extraordinary Redemption”) and in part to such other fund or account as may be appropriate and used for the retirement of Bonds and Contracts in the same proportion which the aggregate unpaid principal balance of 2016A Bonds then bears to the aggregate unpaid principal amount of such Bonds and Contracts. If such Net Proceeds are sufficient to enable the District to retire the entire obligation evidenced by the Indenture prior to the final due date of the 2016A Bonds as well as the entire obligations evidenced by Bonds and Contracts then remaining unpaid prior to their final respective due dates, the District may elect not to reconstruct, repair or replace the damaged or destroyed portion of the System, and/or not to construct other additions, betterments, extensions or improvements to the System; and thereupon such Net Proceeds will be applied to the redemption of 2016A Bonds as provided in the Indenture and to the retirement of such Bonds and Contracts. See the captions “CERTAIN RISKS TO BONDHOLDERS—System Expenses” and “CERTAIN RISKS TO BONDHOLDERS—Natural Disasters.”

If all or any part of the System is taken by eminent domain proceedings, the Net Proceeds thereof will be applied as follows:

(a) If: (1) the District files with the Trustee a certificate showing: (i) the estimated loss of annual System Net Revenues, if any, suffered or to be suffered by the District by reason of such eminent domain proceedings; (ii) a general description of the additions, betterments, extensions or improvements to the System proposed to be acquired and constructed by the District from such Net Proceeds; and (iii) an estimate of the additional annual System Net Revenues to be derived from such additions, betterments, extensions or improvements; and (2) the District, on the basis of such certificate filed with the Trustee, determines that the estimated additional annual System Net Revenues will sufficiently offset the estimated loss of annual System Net Revenues resulting from such eminent domain proceedings so that the ability of the District to meet its obligations under the Indenture will not be substantially impaired (which determination will be final and conclusive), then the District will promptly proceed with the acquisition and construction of such additions,

betterments, extensions or improvements substantially in accordance with such certificate and such Net Proceeds will be applied for the payment of the costs of such acquisition and construction, and any balance of such Net Proceeds not required by the District for such purpose will be deposited in the System Revenue Fund.

(b) If the foregoing conditions are not met, then such Net Proceeds will be applied by the District in part to the redemption of 2016A Bonds as provided in the Indenture (see the caption “THE 2016A BONDS—Redemption of the 2016A Bonds—Extraordinary Redemption”) and in part to such other fund or account as may be appropriate and used for the retirement of Bonds and Contracts in the same proportion which the aggregate unpaid principal balance of 2016A Bonds then bears to the aggregate unpaid principal amount of such Bonds and Contracts.

ESTIMATED SOURCES AND USES OF FUNDS

The following table sets forth the estimated sources and uses of funds:

Sources⁽¹⁾:

Principal Amount	\$ 22,035,000
Plus Net Original Issue Premium	1,218,524
Additional Moneys ⁽²⁾	<u>82</u>
Total Sources	<u>\$ 23,253,606</u>

Uses⁽¹⁾:

Deposit to Escrow Fund	\$ 22,984,691
Costs of Issuance ⁽³⁾	<u>268,915</u>
Total Uses	<u>\$ 23,253,606</u>

⁽¹⁾ All amounts rounded to the nearest dollar. Totals may not add due to rounding.

⁽²⁾ Reflects moneys held in funds and accounts established in connection with the 2006D-2 Installment Purchase Agreement.

⁽³⁾ Includes Underwriter’s discount, certain legal, rating agency, printing, verification and other financing-related costs.

WEST VALLEY WATER DISTRICT

General

The District provides water service to approximately 20,740 customers within its approximately 31 square mile service area, which is located in southwestern San Bernardino County and a small portion of northwestern Riverside County approximately 50 miles east of downtown Los Angeles. The District’s service area encompasses approximately one half of the City of Rialto, portions of the Cities of Colton, Fontana and Jurupa Valley and certain unincorporated areas in San Bernardino and Riverside Counties. The service area consists of two non-contiguous sections that are located to the north and south of the central portion of the City of Rialto. The District is located in the greater San Bernardino-Riverside-Ontario Metropolitan area.

The District is situated in an interior valley of Southern California known as the San Bernardino Valley and within the Santa Ana River Basin Watershed. Lands within the District have a gentle upward slope to the north with the foothills of the San Gabriel Mountains providing its northern boundary. The majority of the District’s service area lies within the boundaries of the San Bernardino Valley Municipal Water District (“Valley District”), a groundwater management agency.

The District is governed by a five-member Board of Directors (the “Board”), which is elected at large from within the service area of the District. The General Manager administers the day-to-day operations of the District in accordance with policies and procedures established by the Board of Directors. The District was formed in 1952 and is a County Water District that operates under the authority of Division 12 of the California Water Code.

In Fiscal Year 2015-16, the System supplied approximately 14,122 acre-feet of potable water through approximately 19,174 single family residential, 159 multi-family residential and 1,407 other (including commercial, industrial, governmental and landscape) connections. The System includes 17 active wells with a combined capacity of approximately 34.99 million gallons per day (“mgd”).

The District’s primary source of water is groundwater, which is extracted from 17 active District-owned wells. In addition, the District utilizes water purchased from the State Water Project (the “SWP”) and stored in Silverwood Lake, surface water from Lytle Creek to which the District has rights, and groundwater purchased from Valley District through the Baseline Feeder pipeline.

Two of the District’s wells are located within the Bunker Hill groundwater basin, five of the District’s wells are located within the Lytle Creek groundwater basin, three of the District’s wells are located within the North Riverside groundwater basin, and seven of the District’s wells are located within the Rialto-Colton groundwater basin.

Between 2011 and 2015, approximately 60% of the water delivered by the District has been supplied by District-owned wells, approximately 17% of the water delivered by the District has been supplied by surface water from Lytle Creek in the San Bernardino Mountains, approximately 5% of the water delivered by the District has been supplied from the SWP and approximately 17% of the water delivered by the District has been supplied by Valley District. The District does not expect significant changes in the foregoing water supply mix, although the District notes that its policy is to purchase water from the SWP and Valley District when such water is available in order to preserve groundwater resources.

The District operates the 14.4 mgd capacity Oliver P. Roemer Water Filtration Facility (the “WFF”) to treat local surface water from Lytle Creek and purchased water from Silverwood Lake.

See the caption “THE WATER SYSTEM OF THE DISTRICT.”

Land Use

Land use within the District is primarily residential with some commercial/industrial and park/landscape uses. Currently, approximately 93% of the District’s customers are single family residential users and 7% of the District’s customers are multi-family residential, commercial, industrial, governmental, landscape and other users. All connections are metered.

The service area of the District includes a large amount of undeveloped land and is subject to future development, the extent of which could be substantial. The District projects future water demand based upon projected additional connections and a water use rate of 750 gallons per day per Equivalent Dwelling Unit (“EDU”). The water demand for ultimate build-out of the District is based on projected land uses which are based on the latest General Plan Land Use maps for the Cities of Rialto, Fontana, Colton and the Counties of San Bernardino and Riverside as applicable to the areas served by the District. Based upon the existing number of EDUs within the District and the projected number at build-out, the District is approximately 40% developed. The projected new development within the area served by the District will require a large investment in new infrastructure.

Board of Directors

The District is governed by a five member Board of Directors, the Board Members are elected at large from voters within the District’s service area and serve staggered four-year terms. The current Board Members, their occupations and the expiration dates of their terms are set forth below.

<i>Board Member</i>	<i>Expiration of Term</i>	<i>Occupation</i>
Dr. Clifford O. Young, Sr., <i>President</i>	March 2017	University Professor
Linda Gonzalez, <i>Vice-President</i>	March 2017	Small Business Owner
Don Olinger, <i>Director</i>	March 2019	Retired School Principal
Greg Young, <i>Director</i>	March 2019	Municipal Government
Vacant ⁽¹⁾		

⁽¹⁾ Former Board Member Rafael Trujillo was elected to the City Council of the City of Rialto in November 2016 and resigned from the District's Board of Directors in December 2016.

Employees and Management

As of June 30, 2016, the District had approximately 66 full-time equivalent employees, including 11 in the Finance Department, 17 in the Customer Service Department, 32 in the Engineering and Operations Department and 6 in executive management. No District employees are currently represented by a union.

The System is overseen by the General Manager and the Interim Chief Financial Officer. Legal services are provided to the District by Tafoya & Garcia, LLP, General Counsel to the District.

Day-to-day management of the District is delegated to the General Manager, Matthew Litchfield. In his role as General Manager, Mr. Litchfield serves as the administrative head of the District and is responsible for the operation of all District departments. Under the policy direction of the Board, Mr. Litchfield is also responsible for the preparation of the annual budget. Mr. Litchfield has been with the District since 2015 and served as Interim General Manager from September 2016 to November 2016 and as General Manager since November 2016. Prior to coming to the District, Mr. Litchfield worked at the City of San Bernardino Municipal Water Department from 2003 to 2015. Mr. Litchfield has a Bachelor of Science degree in Civil Engineering from Arizona State University.

Robert Christman serves as the District's Interim Chief Financial Officer. Mr. Christman has been with the District since August 2016 and has served as Interim Chief Financial Officer since September 2016. Prior to coming to the District, Mr. Christman worked at Morgan Stanley from 1999 to 2012 and served as a member of the City Council of the City of Loma Linda from 1988 to 2008. Mr. Christman has a Masters in Business Administration from Northwestern State University in Louisiana.

David Olivas, a partner in the firm of Tafoya & Garcia, LLP, has served as General Counsel to the District since February 2016. Mr. Olivas has represented municipalities in California since 1989. Mr. Olivas has a bachelor's degree from Harvard University and a juris doctorate from the University of California, Los Angeles.

Defined Benefit Pension Plan

In June 2012, the Governmental Accounting Standards Board ("GASB") adopted new standards (GASB Statement No. 68, or "GASB 68") with respect to accounting and financial reporting by state and local government employers for defined benefit pension plans. The new standards revise the accounting treatment of defined benefit pension plans, changing the way expenses and liabilities are calculated and how state and local government employers report those expenses and liabilities in their financial statements. Major changes include: (i) the inclusion of unfunded pension liabilities on the government's balance sheet (previously, such unfunded liabilities were typically included as notes to the government's financial statements); (ii) pension expense incorporates more rapid recognition of actuarial experience and investment returns and is no longer based on the employer's actual contribution amounts; (iii) lower actuarial discount rates that are required to be used for underfunded plans in certain cases for purposes of the financial statements; (iv) closed amortization periods for unfunded liabilities that are required to be used for certain purposes of the financial statements; and

(v) the difference between expected and actual investment returns will be recognized over a closed five-year smoothing period. The reporting requirements took effect in Fiscal Year 2014-15. Based on the adoption of the new accounting standards, beginning with the Fiscal Year 2014-15 actuarial valuation, the annual required contribution and the annual pension expense will be different. GASB 68 is a change in accounting reporting and disclosure requirements, but it does not change the District's pension plan funding obligations.

The District participates in two plans to fund pension benefits for its employees, each of which is administered by the California Public Employees Retirement System ("CalPERS"). CalPERS administers agent multiple-employer public employee defined benefit pension plans for all of the District's full-time employees. CalPERS provides retirement, disability and death benefits to plan members and beneficiaries and acts as a common investment and administrative agent for participating public entities within the State, including the District. CalPERS plan benefit provisions and all other requirements are established by State statute and the District's Board of Directors.

The District participates in one CalPERS plan for employees who were hired before January 1, 2013 and one CalPERS plan for employees who were hired on or after January 1, 2013 and who were not previously CalPERS members. The District's plans are part of CalPERS risk pools. Benefit provisions for each plan are set forth below.

WEST VALLEY WATER DISTRICT CalPERS Plan Summary

	<i>Employees Hired Before January 1, 2013</i>	<i>Employees Hired On or After January 1, 2013</i>
Benefit Formula	2% @55	2% @ 62
Benefit Vesting	5 years of service	5 years of service
Benefit Payments	Monthly for life	Monthly for life
Retirement Age	50-67 and up	52-67
Monthly Benefits as % of Salary	1.426% - 2.418%	1.000% - 2.500%
Employee Contribution Rate	7.000% ⁽¹⁾	6.250% ⁽²⁾

⁽¹⁾ Employees who were hired before January 1, 2013 are required to make the full employee contribution.

⁽²⁾ Employees who were hired on or after January 1, 2013 are required to make the full employee contribution.

Source: The District.

District employees who were hired on and after January 1, 2013 and who were not previously CalPERS members participate in the District's 2% at 62 plan; such employees are required to make the full amount of required contributions themselves under the California Public Employees' Pension Reform Act of 2013 ("AB 340"), which was signed by the State Governor on September 12, 2012. AB 340 established a new pension tier (2% at 62 formula) with a maximum benefit formula of 2.5% at age 67. Benefits for such participants are calculated on the highest average annual compensation over a consecutive 36 month period. Employees are required to pay at least 50% of the total normal cost rate. AB 340 also caps pensionable income for 2015 at \$117,020 (\$140,424 for employees who are not enrolled in Social Security), subject to Consumer Price Index increases, and prohibits retroactive benefits increases, generally prohibiting contribution holidays and purchases of additional non-qualified service credit. CalPERS estimates savings for local agency plans as a result of AB 340 of approximately \$1.653 billion to \$2.355 billion over the next 30 years, primarily due to increased employee contributions and, as the workforce turns over, lower benefit formulas that will gradually reduce normal costs. Savings specific to the District have not been quantified.

Provisions in AB 340 will not likely have a material effect on District contributions in the short term. However, additional employee contributions, limits on pensionable compensation and higher retirement ages for new members will reduce the District's unfunded pension liability and potentially reduce District contribution levels in the long term.

The District is also required to contribute the actuarially determined remaining amounts necessary to fund the benefits for its members. The required employer contribution rates for Fiscal Year 2015-16 were 15.118% for the 2% at 55 plan and 6.500% for the 2% at 62 AB 340 plan. The required employer contribution rates for Fiscal Year 2016-17 are 8.88% for the 2% at 55 plan and 6.555% for the 2% at 62 AB 340 plan. Employer contribution rates for all public employers are determined on an annual basis by the CalPERS actuary and are effective on the July 1 following notice of a change in the rate. The total plan contributions are determined through the CalPERS annual actuarial valuation process. The actuarially determined rate is the estimated amount, expressed as a percentage of payroll, that is necessary to finance the costs of benefits that are earned by employees during the year, with an additional amount to finance any unfunded accrued liability. The employer is required to contribute the difference between the actuarially determined rate and the contribution rate of employees.

Under GASB 68, which was implemented beginning in Fiscal Year 2014-15, the District's pension plans had a total net pension asset of approximately \$1,162,684 as of June 30, 2015 and a total net pension asset of approximately \$1,193,331 as of June 30, 2016. The net pension asset is the difference between the fair market value of pension assets and the total pension liability. The District's total pension assets include funds that are held by CalPERS, and its net pension asset or liability is based on such amounts.

For Fiscal Year 2015-16, the District made a lump sum CalPERS plan contribution of \$302,288 in payment of its annual Fiscal Year 2015-16 required contribution, plus an additional \$614,280 to pay down a portion of its unfunded liability. The District currently expects its annual required contribution in Fiscal Year 2016-17 to be approximately \$162,821 (assuming that the District elects the lump sum payment option).

A summary of principal assumptions and methods used to determine the total pension liability for Fiscal Year 2015-16 is shown below.

Actuarial Cost Method	Entry Age Normal in accordance with the requirements of GASB 68
Asset Valuation Method	Market Value of Assets
Actuarial Assumptions:	
Discount Rate	7.65%
Inflation	2.75%
Salary Increases	Varies by entry age and service
Investment Rate of Return	7.50% net of pension plan investment and administrative expenses; includes projected inflation rate of 2.75%
Mortality Rate Table ⁽¹⁾	Derived using CalPERS' membership data for all funds

⁽¹⁾ The mortality table used was developed based on CalPERS-specific data. The table includes 20 years of mortality improvements using Society of Actuaries Scale BB.

Source: The District.

The above information is primarily derived from information produced by CalPERS, its independent accountants and its actuaries. The District has not independently verified the information that is provided and makes no representations nor expresses any opinion as to the accuracy of the information provided by CalPERS.

The comprehensive annual financial reports of CalPERS are available on its Internet website at www.calpers.ca.gov. The CalPERS website also contains CalPERS' most recent actuarial valuation reports and other information concerning benefits and other matters. The textual reference to such Internet website is provided for convenience only. None of the information on such Internet website is incorporated by reference herein. The District cannot guarantee the accuracy of such information. Actuarial assessments are "forward-looking" statements that reflect the judgment of the fiduciaries of the pension plans, and are based upon a variety of assumptions, one or more of which may not materialize or be changed in the future.

The total changes in the net pension liability for the District's CalPERS plans were as follows:

WEST VALLEY WATER DISTRICT
Changes in Net Pension Asset/Liability

	<i>Increase / (Decrease)</i>		
	<i>Total Pension Liability</i>	<i>Plan Fiduciary Net Position</i>	<i>Net Pension Liability / (Asset)</i>
Balance at June 30, 2015	\$1,162,273	\$2,324,957	\$(1,162,684)
Balance at June 30, 2016	<u>937,775</u>	<u>907,128</u>	<u>30,647</u>
Net Changes during Fiscal Year 2015-16 ⁽¹⁾	\$ 224,498	\$1,417,829	\$ 1,193,331

⁽¹⁾ Unaudited.

Source: The District.

The June 30, 2016 balances are based on CalPERS actuarial valuation data of June 30, 2014 with assumptions and market values updated through June 30, 2015.

The following table presents the net pension liability of the District's CalPERS plans, calculated using the discount rate of 7.65%, as well as what the net pension liability would be if it were calculated using a discount rate that is 1 percentage point lower (6.65%) or 1 percentage point higher (8.65%) than the current rate:

WEST VALLEY WATER DISTRICT
Sensitivity of the Net Pension Liability to Changes in the Discount Rate

	<i>Discount Rate – 1% (6.65%)</i>	<i>Current Discount Rate (7.65%)</i>	<i>Discount Rate + 1% (8.65%)</i>
Plan's Net Pension Liability/(Asset)	\$7,357,830	\$4,411,991	\$1,979,859

Source: The District.

CalPERS earnings reports for Fiscal Years 2009-10 through 2014-15 report an investment gain in excess of 13.0%, 21.7%, 1%, 12.5%, 18.4% and 2.4%, respectively, with a preliminary return of 0.61% reported for Fiscal Year 2015-16. Future earnings performance may increase or decrease future contribution rates for plan participants, including the District.

The District's projections of Operation and Maintenance Costs under the caption "THE WATER SYSTEM OF THE DISTRICT—Projected System Operating Results and Debt Service Coverage" do not assume further unusual increases in CalPERS contributions or other labor costs. However, no assurance can be provided that such expenses will not increase significantly in the future.

For additional information relating to the District's CalPERS plans, see Note 8 to the District's audited financial statements set forth in Appendix A.

Postretirement Benefits

The District provides postretirement health benefits to eligible retired employees and spouses. Benefits range between \$226.45 per month and \$1,487.55 per month of supplemental medical payments (including prescription drug costs), with no age limit, depending upon a retiree's years of service and position with the District.

Defined Benefit Plan Description. The District's retiree healthcare plan (the "OPEB Plan") is a single-employer other post-employment defined benefit healthcare plan administered by the District. The OPEB Plan provides healthcare benefits to eligible retirees and their spouses. Benefit provisions are established and may be amended by the Board. As of June 30, 2016, OPEB Plan membership consisted of 63 active plan members, plus 19 retirees currently receiving benefits.

Funding Policy. There is no statutory requirement for the District to prefund its OPEB Plan obligation. The District has currently chosen to pay OPEB Plan benefits on a pay-as-you-go basis. Contributions are not required by OPEB Plan members. Total contributions of \$187,468 and \$216,939 were made during Fiscal Years 2014-15 and 2015-16 to cover current OPEB Plan premiums. The District's contributions were in an amount that is actuarially determined in accordance with GASB Statement No. 68. The annual required contribution (the "ARC") represents a level of funding that, if paid on an ongoing basis, is projected to cover the normal cost each year and amortize any unfunded actuarial liabilities over a period not to exceed 30 years.

Annual OPEB Cost and Net OPEB Obligation. The following table shows the components of the District's annual OPEB Plan cost, the amount actually contributed to the OPEB Plan, and changes in the District's net OPEB Plan obligation for Fiscal Year 2015-16:

WEST VALLEY WATER DISTRICT
Annual OPEB Cost and Net OPEB Obligation

Annual OPEB cost:	
Annual required contribution (ARC)	\$ 1,145,459
Interest on beginning net OPEB obligation	220,000
Adjustment to annual required contribution	<u>(246,404)</u>
Total annual OPEB cost	1,119,055
Contributions made	<u>(223,218)</u>
Total change in net OPEB obligation	895,837
Net OPEB obligation:	
Beginning of year	<u>5,500,000</u>
End of year	<u>\$ 6,395,837</u>

Source: District.

The District's annual OPEB cost, the percentage of the annual OPEB cost contributed to the OPEB Plan, and the net OPEB obligation for Fiscal Year 2015-16 and the two preceding years were as follows:

WEST VALLEY WATER DISTRICT
Three-Year History of Net OPEB Obligation

<i>Fiscal Year Ended June 30</i>	<i>Annual OPEB Cost</i>	<i>Contributions Made</i>	<i>Percentage of Annual OPEB Cost Contributed</i>	<i>Net OPEB Obligation</i>
2016	\$1,119,055	\$223,218	19.95%	\$6,395,837
2015	1,049,976	187,468	17.85	5,500,000
2014	990,743	183,750	18.55	4,637,492

Source: District for June 30, 2016 information. Audited Financial Statements for Fiscal Year 2014-15, Note 7.

The most recent valuation (June 30, 2013) includes an Actuarial Accrued Liability and Unfunded Actuarial Accrued Liability of \$10,121,028. The covered payroll (annual payroll of active employees covered

by the OPEB Plan) for the year ended June 30, 2013, was estimated at \$4,147,630. The ratio of the unfunded actuarial accrued liability to annual covered payroll is 244%.

Funded Status and Funding Progress. Actuarial valuations of an ongoing plan involve estimates of the value of reported amounts and assumptions about the possibility of occurrence of events far into the future. Examples include assumptions about future employment, mortality, and healthcare cost trends. Amounts determined regarding the funded status of the OPEB Plan and the annual required contributions of the District are subject to continual revision as actual results are compared with past expectations and new estimates are made about the future.

The schedule of funding progress below presents multiyear trend information about whether the actuarial value of plan assets is increasing or decreasing over time relative to the actuarial accrued liabilities for benefits. An actuarial valuation is received every three years.

WEST VALLEY WATER DISTRICT
Schedule of Funding Progress – OPEB Plan

<i>Date</i>	<i>Accrued Liability</i>	<i>Actuarial Accrued Liability</i>	<i>Unfunded Actuarial Accrued Liability</i>	<i>Funded Ratio</i>	<i>Covered Payroll</i>	<i>UAAL as a % of Covered Payroll</i>
July 1, 2013	\$-	\$10,121,028	\$10,121,028	-%	\$4,147,630	244.02%
July 1, 2011	-	10,360,723	10,360,723	-	4,136,087	250.50
July 1, 2008	-	7,369,854	7,369,854	-	3,334,696	221.01

Source: Audited Financial Statements for Fiscal Year 2014-15, Note 7.

Actuarial Methods and Assumptions. Projections of benefits for financial reporting purposes are based on the substantive plan (the OPEB Plan as understood by the employer and the OPEB Plan members) and include the types of benefits provided at the time of each valuation and the historical pattern of sharing of benefit costs between the employer and plan members to that point. The actuarial methods and assumptions used include techniques that are designed to reduce the effects of short-term volatility in the actuarial accrued liabilities and the actuarial value of assets, consistent with the long-term perspective of the calculations.

In the June 30, 2013 actuarial valuation, the Entry Age Normal Actuarial Cost method was used. The actuarial assumptions include an investment rate of return of 2.50% per year, which is based on assumed long-term return on plan assets or employer assets, as appropriate. The assessment of long-term returns for employer assets is based on long-term historical returns for surplus funds invested pursuant to California Government Code Sections 53601 *et seq.* The annual healthcare cost trend rate of 8% is assumed. The actuarial value of assets is set equal to the reported market value of assets. The unfunded actuarial accrued liability is being amortized as a level percentage of payroll, but the District has not made an election to do this on an open or closed basis. The remaining amortization period at June 30, 2013, was 25 years.

For additional information relating to the District's postretirement benefit plan, see Note 7 to the District's audited financial statements set forth in Appendix A.

Budget Process

The District prepares and adopts a budget for each Fiscal Year. The budgeting process generally spans a five-month timeframe beginning in January of each year, and involves extensive coordination with all District departments. Prior to June 30 of each year, the General Manager submits to the Board of Directors a proposed budget for the Fiscal Year commencing the following July 1. The budget includes proposed expenditures and the means of financing them. Prior to June 30, public hearings and budgetary review

sessions are conducted to obtain public comments and the budget is legally enacted through the passage of a resolution.

The Board of Directors approves total budgeted appropriations and any amendments to appropriations throughout the year. This “appropriated budget” (as defined by Governmental Accounting Standards Board Code Section 2400.109) covers District expenditures in all governmental funds. The General Manager is authorized to transfer budgeted appropriations within the control accounts, provided that no change is made to the total amount provided for any one fund. Actual expenditures may not exceed budgeted appropriations at the fund level.

The Board of Directors adopted the budget for Fiscal Year 2016-17 on June 2, 2016.

Investment of District Funds

The District invests its funds in accordance with the District’s investment policy (the “District Investment Policy”), which was adopted by the Board of Directors on June 16, 2016. The District Investment Policy sets forth the policies and procedures applicable to the investment of District funds and designates eligible investments. The District Investment Policy also sets forth stated objectives, including the assurance of the safety of invested funds, the maintenance of sufficient liquidity and the attainment of the best yield or returns on investments. Funds are invested in the following order of priority:

- Safety of Principal;
- Liquidity; and
- Return on Investment.

The Board has delegated the authority for investing the funds of the District to the General Manager and the Treasurer.

The District Investment Policy provides a number of permitted investment categories authorized under State law. The permitted investment categories include the following: (i) United States Treasury notes or bills; (ii) debt of local agencies in the State of California; (iii) negotiable certificates of deposit issued by federally or state chartered banks or associations (not more than 30% of the District’s portfolio); (iv) United States government-sponsored enterprise obligations, participations or other instruments; and (v) shares in the Investment Trust of California.

As of August 31, 2016, the District had funds invested in the amount of \$34,006,269 in authorized investments under the District Investment Policy, summarized as follows: CalTrust pooled investment funds (\$18,594,374); the State of California Local Agency Investment Fund (\$7,125,221); and various checking and savings accounts (\$8,286,674).

For additional information relating to the District Investment Policy, see Note 2 to the District’s audited financial statements set forth in Appendix A.

Reserve Policies

As of August 31, 2016 the District held the following reserves:

(1) a Capital Project Account, to be used to finance, rehabilitate, enhance or replace capital assets, maintained at a target level of 100% of the current Fiscal Year and 80% of the succeeding Fiscal Year capital improvement budget: (\$5,621,500);

(2) an Administrative and General Account, to be used to fund general, administration and overhead costs, maintained at a target level of 5% of estimated Operation and Maintenance Costs: (\$1,056,114);

(3) an Emergency Account, to be used to purchase water or to repair the System after a catastrophic event while interim or long-term financing or insurance coverage is pursued, maintained at a target level of between 1% and 3% of the net asset value of the System: (\$1,094,758);

(4) a Water Banking Account, to be used to fund the purchase of replenishment water for future use, maintained at a target level of \$125,000 to \$1,250,000, adjusted for water price increases: (\$125,000);

(5) an Operating Reserve Account, to be used to cover temporary cash flow deficiencies and extraordinary revenue decreases or operating cost increases, to be maintained at a target level of between 60 and 180 days of Operation and Maintenance Costs: (\$3,520,382); and

(6) a Rate Stabilization Account, to be used to smooth rate increases that are approved by the Board, maintained at a target level of between 5% and 25% of budgeted water sales revenue: (\$4,052,394).

District Insurance

The District is exposed to various risks of losses related to torts, theft of, damage to and destruction of assets, errors and omissions, injuries to employees and natural disasters.

The District is a member of ACWA/JPIA, a risk-pooling, self-insurance authority for qualified State water agencies created under the provisions of California Government Code § 6500 et seq. ACWA/JPIA commenced operations on October 1, 1979. Members of ACWA/JPIA have pooled funds for liability and property insurance coverage, including both self-insured coverage and excess coverage purchased from commercial insurers. As of July 1, 2016, the District maintained the following coverage:

Property Loss. The District is insured for property damage through commercial insurers up to replacement value for properties on file if replaced within two years of loss, or otherwise at actual cash value, for a combined total of \$100 million per occurrence, subject to a \$2,500 deductible. The District also maintains coverage for earthquake damage up to \$2.5 million.

The District's property loss insurance does not cover pipelines away from the WFF.

General/Automobile/Public Officials/Errors & Omissions Liability. The District is insured through ACWA/JPIA up to \$2,000,000 per occurrence, and ACWA/JPIA has purchased additional coverage in the amount of \$60 million per occurrence from commercial insurers.

Boiler/Machinery Coverage. The District is insured up to \$50 million per occurrence, subject to various deductibles depending upon the type of equipment.

Workers Compensation. The District is insured to statutory requirements.

Fidelity Coverage. The District has purchased fidelity coverage from commercial insurers in the amount of \$100,000, which provides coverage for public employee dishonesty, forgery or alteration, and computer fraud.

Settled claims have not exceeded any of the coverage amounts in any of the last three Fiscal Years and there were no reductions in the District's insurance coverage during the years ending June 30, 2015, 2014 and 2013.

There can be no assurance that incurred losses of the District will be covered up to the amount of loss, if at all. See the caption “CERTAIN RISKS TO BONDHOLDERS—Natural Disasters.”

For additional information relating to the District’s insurance coverages, see Note 11 to the District’s audited financial statements set forth in Appendix A.

Seismic Considerations

The District is located in a seismically active region in Southern California. Significant faults are located near the District. There is significant potential for destructive ground shaking during the occurrence of a major seismic event. In addition, land along fault lines may be subject to liquefaction during the occurrence of such an event. In the event of a severe earthquake, there may be significant damage to both property and infrastructure within the District.

Newer System facilities are designed to withstand earthquakes with minimal damage, as earthquake loads are taken into consideration in the design of project structures. The impact of lesser magnitude events is expected by the District to be temporary, localized and repairable. To date, no District facilities have suffered any significant earthquake damage.

The District maintains limited earthquake insurance on System facilities. See the captions “—District Insurance” and “CERTAIN RISKS TO BONDHOLDERS—Natural Disasters.” The Indenture does not require the District to maintain earthquake insurance and there can be no assurance that the District’s current earthquake insurance will be maintained in the future.

No Outstanding Obligations

Upon the prepayment of the 2006D-2 Installment Purchase Agreement as described under the caption “REFUNDING PLAN,” the District will have no obligations that are secured by a pledge of System Revenues or payable from System Net Revenues on a parity with or senior to payment of the 2016A Bonds.

Financial Statements

Copies of the most recent audited financial statements of the District for Fiscal Year 2014-15, which were prepared by The Pun Group, LLP, Accountants and Advisors, Santa Ana, California (the “Auditor”), are attached as Appendix A hereto (the “Financial Statements”). The Auditor’s letter dated December 31, 2015 is set forth therein. The Financial Statements should be read in their entirety.

The Financial Statements are public documents and the District has not sought the approval of the Auditor to append the Financial Statements to this Official Statement. The Auditor has neither performed any post-audit review of the financial condition of the District nor reviewed or audited this Official Statement.

THE WATER SYSTEM OF THE DISTRICT

General

In Fiscal Year 2015-16, the System supplied approximately 14,122 acre-feet of potable water through approximately 19,174 single family residential, 159 multi-family residential and 1,407 other (including commercial, industrial, governmental and landscape) connections.

The District’s primary source of water is groundwater, which is extracted from 17 active District-owned wells. In addition, the District utilizes water purchased from the SWP and stored in Silverwood Lake, surface water from Lytle Creek to which the District has rights and groundwater purchased from Valley District through the Baseline Feeder pipeline.

The System includes 17 active wells with a combined capacity of approximately 34.99 mgd, 9 pump stations, 25 reservoirs with a combined storage capacity of approximately 72 million gallons, eight pressure zones and approximately 360 miles of pipelines, including transmission lines ranging in size from 4 inches to 30 inches in diameter. The System's average daily demand is approximately 15 mgd, while the peak daily demand is approximately 26 mgd. The System serves an area of approximately 31 square miles.

The water delivered by the System meets all applicable State and federal drinking water and health standards. Groundwater from District-owned wells and Valley District is generally of high quality and is disinfected with chlorine prior to delivery to customers. Water taken from Lytle Creek or purchased from the SWP's Silverwood Lake reservoir is treated at the 14.4 mgd capacity WFF prior to delivery to customers. The WFF, which was constructed jointly by the District and the City of Rialto in 1993, consists of a direct filtration system that utilizes ultraviolet disinfection (to achieve Giardia inaction), pre-treatment (coagulation, flocculation and sedimentation), an influent open air blending pond, a granular activated carbon removal system for removal of total organic carbon and three sludge drying basins. The District has rights to approximately 23% of the WFF's capacity.

Water Supply

The District's primary source of water is groundwater, which is extracted from 17 active District-owned wells. The District also purchases water from Valley District, utilizes water purchased from the SWP and stored in Silverwood Lake and takes surface water from Lytle Creek to which the District has rights.

Between 2011 and 2015, approximately 60% of the water delivered by the District has been supplied by District-owned wells, approximately 17% of the water delivered by the District has been supplied by surface water from Lytle Creek in the San Bernardino Mountains, approximately 5% of the water delivered by the District has been supplied from the SWP and approximately 17% of the water delivered by the District has been supplied by Valley District. The District does not expect significant changes in the foregoing water supply mix, although the District notes that its policy is to purchase water from the SWP and Valley District when such water is available in order to preserve groundwater resources.

A summary of the District's entitlements and calendar year 2015 water production in acre-feet per year is set forth below.

WEST VALLEY WATER DISTRICT WATER SYSTEM
Water Entitlements and 2015 Water Production in Acre-Feet Per Year

	<i>Groundwater Production</i>	<i>Lytle Creek Surface Water</i>	<i>Purchases from San Bernardino Valley Municipal Water District</i>	<i>Purchases from State Water Project</i>	<i>Total</i>
Entitlement	34,708 ⁽¹⁾⁽²⁾	5,861 ⁽³⁾	5,000 ⁽⁴⁾	As available ⁽⁵⁾	45,569
Calendar Year	8,249	2,271	4,367	2,244	17,131
2015 Production ⁽⁶⁾					

- ⁽¹⁾ Reflects a safe yield of 13,623 acre-feet per year from the Rialto-Colton groundwater basin and a safe yield of 21,085 acre-feet per year from the portion of the Riverside North groundwater basin to which the District, along with other agencies, has production rights. The District's right to extract groundwater from such basins is shared with other agencies and the amount that may be extracted under such right varies from year to year. See the caption "—Groundwater."
- ⁽²⁾ Excludes entitlement from the Lytle Creek groundwater basin and the Bunker Hill groundwater basin, which are part of the San Bernardino Basin Area. Under the 1969 Stipulations that are described below, the District and other water agencies are entitled to extract up to 167,238 acre-feet per year from the San Bernardino Basin Area. The District's extraction rights vary from year to year. See the caption "—Groundwater."
- ⁽³⁾ The District's entitlement is 8.09 cubic feet per second. Such figure has been converted to acre-feet per year in the table. See the caption "—Surface Water."
- ⁽⁴⁾ See the caption "—Water Purchased from Valley District."
- ⁽⁵⁾ The District purchases untreated water from this source. See the caption "—Water Purchased from the SWP."
- ⁽⁶⁾ Production figures are shown by calendar year and are not directly comparable to water sales figures set forth under the caption "—The System—Historic Water Sales," which are shown by Fiscal Year.

Source: District.

Each of the District's water sources are described in detail below.

Groundwater. The District's groundwater supply is obtained from 17 active groundwater wells with an average depth of 475 feet. Of the District's wells, five are located in the Lytle Creek groundwater basin, seven are located in the Rialto-Colton groundwater basin, two are located in the Bunker Hill groundwater basin, and three are located in the North Riverside groundwater basin. The District also has two wells in the Chino groundwater basin that are not presently being utilized. The District's wells provide a combined capacity of approximately 36 mgd if operated 24 hours a day.

Some of the District's wells, particularly in the Rialto-Colton groundwater basin, have been affected by perchlorate, arsenic and volatile organic compound contamination, which was first discovered in 2000. It is believed that the contamination arose from the activities of defense contractors in the District's service area in the years after the Second World War and prior use of agricultural soil fumigants. The District, together with the City of Rialto, has constructed a "bioremediation" wellhead treatment system to stabilize water supplies in the Rialto-Colton groundwater basin. The District operates this treatment plant, which was constructed through grants from the State of California Department of Public Health, the Santa Ana Regional Water Quality Control Board, the United States Department of Defense and DWR.

Bioremediation allows natural processes to clean up harmful chemicals in the water. Microscopic organisms, which are already present in the groundwater, consume certain harmful chemicals such as perchlorate. After allowing this natural process to occur, during which period the water is subject to continuous monitoring, the water is sent through a traditional water treatment process before it enters the drinking water system.

The bioremediation process has ensured that District water meets all applicable State and federal standards. However, the District cannot predict whether its water supply will face additional contamination in

the future or, if so affected, the cost or impact on water rates or Revenues of required District or regional efforts to address such contamination.

Each groundwater basin from which the District extracts groundwater is subject to management by Valley District, with the exception of the Chino Basin, which is managed by the Chino Basin Watermaster. See the caption “—Groundwater Management.”

The District is currently exploring the possibility of purchasing up to four wells that are located in the Bunker Hill groundwater basin and currently operated by the City of San Bernardino. If the District were to purchase such wells, they would need to be rehabilitated and re-equipped, and a water wheeling agreement (including a fee payable to the San Bernardino Municipal Water Department) would need to be negotiated, in order for the District to deliver groundwater from such wells to customers. The District’s investigation of the purchase is in a preliminary stage and there can be no assurance as to whether the District will elect to purchase such wells, or as to the terms or timing of any purchase.

Groundwater Management. Water used for agricultural and domestic use within the present boundaries of the System historically originated exclusively in the Santa Ana River watershed, an area embracing approximately 2,000 square miles in the Counties of Orange, Riverside and San Bernardino. The Santa Ana River originates in the San Bernardino Mountains near the District and flows to the southwest through the County to the County of Riverside. Near the northern County of Riverside border, the Santa Ana River flows through a geologic formation known as the Riverside Narrows, which acts to confine the river and the groundwater flow beneath the river to a narrow flow. The Santa Ana River then flows from the Riverside Narrows through the County of Riverside in a southwesterly direction, passing into the County of Orange in the Corona area, flowing through the Santa Ana Canyon and then onto the coastal plain that constitutes most of the northwestern portion of the County of Orange. Except during periods of storm flows, the Santa Ana River flows underground for most of its length.

Early settlers along the Santa Ana River constructed facilities in the Santa Ana Canyon area and the Anaheim area to divert the surface and flood flows of the Santa Ana River, primarily for irrigation purposes. As agricultural and domestic water use along the Santa Ana River increased, farmers, ranchers and municipal and private corporations began pumping water from the groundwater basin underlying the coastal plain of the County of Orange, which was recharged by the sub-surface flow of the Santa Ana River.

In 1941, the United States Army Corps of Engineers (the “Corps”) constructed a flood control dam on the Santa Ana River just north of the river’s entrance into Santa Ana Canyon (“Prado Dam”). Since Prado Dam was completed, the Corps has operated it primarily as a flood control facility, with certain incidental water conservation activities.

In the years leading up to 1969, Santa Ana River water users above Prado Dam in the Counties of Riverside and San Bernardino (the “Upper Basin”) and in the Orange County groundwater basin came increasingly into conflict over water flows in the Santa Ana River. These conflicts led to a series of lawsuits between various Upper Basin and Orange County groundwater basin water users. Valley District, on behalf of many Upper Basin water users, became involved in these lawsuits.

Litigation between Upper Basin and Orange County groundwater basin water users culminated in two stipulated judgments, one entered by the Superior Court for the County of Orange (“Orange County Superior Court”) and the other entered by the Superior Court for Riverside County in 1969 (the “1969 Stipulations”), affirming a negotiated settlement of Santa Ana River water rights disputes between the Upper Basin and the Orange County groundwater basin, involving over 4,000 parties, of which the principal parties included Valley District, the Chino Basin Municipal Water District (“Chino Basin MWD”), the Orange County Water District (“OCWD”) and the Western Municipal Water District of Riverside County (“Western MWD”). Under the 1969 Stipulations, Valley District is obligated to deliver an average annual supply of 15,250 acre feet of Santa Ana River base flow to the Riverside Narrows (subject to certain adjustments which could reduce such

obligated amount but in no event below 12,420 acre feet annually). Valley District's obligation can increase under certain circumstances, if necessary to maintain water quality at Riverside Narrows. In addition, Valley District is responsible for providing replenishment water to offset excess extractions by non-plaintiffs in order to maintain safe yield in the San Bernardino Basin Area and for maintaining certain specified key wells in the Colton-Rialto groundwater basin at an average of 822 feet above sea level. If the conditions of the 1969 Stipulations are not met by the natural water supply, Valley District is required to deliver supplemental water to offset the deficiency.

The 1969 Stipulations by their terms superseded a number of previous water rights determinations relating to the Santa Ana River and created a watermaster for the Santa Ana River (the "Watermaster"). The Watermaster is a committee of five court-appointed members, one each nominated by Valley District, Chino Basin MWD and Western MWD and two members nominated by OCWD. The Watermaster is charged with administration and reporting with respect to the 1969 Stipulations. If the Watermaster, which can act only upon the unanimous vote of its five members, fails to or is unable to make necessary findings or determinations, such questions must be certified by the Watermaster to the Orange County Superior Court for determination.

The 1969 Stipulations established an entitlement of 167,238 acre-feet per year from the San Bernardino Basin Area, which includes the Lytle Creek and Bunker Hill groundwater basins, but did not adjudicate the water rights of individual water users within such basins. Valley District and other parties to the 1969 Stipulations, however, have been operating in accordance with the 1969 Stipulations since they were approved and entered as court judgments. The District is not currently involved in, and is unaware of, any material litigation between Santa Ana River water users in the Upper Basin, or between Upper Basin and Orange County groundwater basin water users.

Groundwater extractions from the Rialto-Colton groundwater basin are governed by the 1969 Stipulations and a separate Rialto Basin Decree dating to 1961. Under these authorities, groundwater extractions from the Rialto-Colton groundwater basin are affected by groundwater levels between March and May of each year in three specified index wells. If the groundwater level in such wells falls below 822.04 feet above mean sea level, Valley District is required to recharge the Rialto-Colton groundwater basin, and extractions can be limited. Under Valley District determinations, the safe yield for the Rialto-Colton groundwater basin is approximately 13,623 acre-feet per year.

Groundwater extractions from the Riverside North groundwater basin are subject to the 1969 Stipulations and are limited to 21,085 acre-feet per year in the County of Riverside portion of such basin. Extractions from the County of San Bernardino portion of such basin are not limited provided that water levels at three index wells do not fall below 822.04 feet above mean sea level.

The Chino groundwater basin was also adjudicated in 1975 and is governed by the Chino Basin Watermaster. The 1975 adjudication established that the safe yield of the Chino groundwater basin is approximately 145,000 acre-feet per year. The District is entitled to extract approximately 900 acre-feet per year; extractions in excess of this amount must be replenished by SWP water through a program that is administered by the Chino Basin Watermaster. The District does not currently extract water from its wells in the Chino groundwater basin.

Under Watermaster and Chino Basin Watermaster determinations, the total current safe yield within the System service area is approximately 140,000 acre-feet per year, although such amount varies each year depending upon precipitation. Groundwater production in excess of the annual safe yield is permitted by determination of the Watermaster and the Chino Basin Watermaster, with recharges made from imported water purchases rather than from precipitation.

As adjudicated groundwater basins, the Lytle Creek, Rialto-Colton, Bunker Hill, North Riverside and Chino groundwater basins are not subject to the provisions of Assembly Bill No. 1739 and Senate Bill Nos.

1168 and 1319 (collectively, the Sustainable Groundwater Management Act, or “SGMA”), which was enacted on September 16, 2014. The SGMA constitutes a legislative effort to regulate groundwater on a Statewide basis.

Water Purchased from Valley District. The District has entered into a contract with Valley District to purchase 5,000 acre-feet of water per year from Valley District’s Baseline Feeder project at a price that is equal to the District’s share of actual operating costs of the Baseline Feeder project. Such amount, which is currently equal to \$125 per acre-foot of water delivered, is subject to quarterly adjustment upon review by a committee of Baseline Feeder stakeholders (including the District). In addition, the District pays \$26,794 per month for this entitlement, whether it takes any water or not. In Fiscal Year 2015-16, the District purchased 4,112 acre-feet from this source.

Water Purchased from the SWP. The District purchases untreated SWP water that is stored in Silverwood Lake at a price of \$125.80 per acre-foot. In Fiscal Year 2015-16, the District purchased approximately 3,936 acre-feet of untreated water from the SWP. Water from Silverwood Lake is treated at the WFF prior to delivery to customers.

The State of California Department of Water Resources (“DWR”), which operates the SWP, faces various challenges in the continued supply of imported water to southern California, including Silverwood Lake. A description of these challenges as well as a variety of other operating information with respect to DWR and the SWP is included in certain disclosure documents prepared by DWR. DWR periodically prepares official statements and other disclosure documents in connection with its bonds and other obligations. DWR has also entered into certain continuing disclosure agreements pursuant to which DWR is contractually obligated for the benefit of owners of certain of its outstanding obligations to file certain annual reports, including audited financial statements and notice of certain events, pursuant to Rule 15c2-12 promulgated under the Securities Exchange Act of 1934, as amended (“**Rule 15c2-12**”). Such official statements, other disclosure documents, annual reports and notices (collectively, the “**DWR Information**”) are filed with the Municipal Securities Rulemaking Board’s Electronic Municipal Market Access system at <http://emma.msrb.org>. The DWR Information is not incorporated herein by reference thereto, and the District makes no representation as to the accuracy or completeness of such information. DWR HAS NOT ENTERED INTO ANY CONTRACTUAL COMMITMENT WITH THE DISTRICT, THE TRUSTEE OR THE OWNERS OF THE 2016A BONDS TO PROVIDE DWR INFORMATION TO THE DISTRICT OR THE OWNERS OF THE 2016A BONDS.

DWR HAS NOT REVIEWED THIS OFFICIAL STATEMENT AND HAS NOT MADE REPRESENTATIONS OR WARRANTIES WITH RESPECT TO THE ACCURACY OR COMPLETENESS OF THE INFORMATION CONTAINED OR INCORPORATED HEREIN, INCLUDING INFORMATION WITH REGARD TO DWR. DWR IS NOT CONTRACTUALLY OBLIGATED, AND HAS NOT UNDERTAKEN, TO UPDATE SUCH INFORMATION FOR THE BENEFIT OF THE DISTRICT OR THE OWNERS OF THE 2016A BONDS UNDER RULE 15c2-12.

Surface Water. Approximately 17% of the water that is delivered to District customers consists of surface water from Lytle Creek. The District’s rights to extract surface water from Lytle Creek arise from the rights of certain predecessor mutual water companies dating to the late 1800s, and from the District’s ownership of shares in Fontana Union Water Company (“Fontana Union”). Water from Lytle Creek is treated at the WFF.

The District has a 5.09 cubic feet per second (“cfs”) (2,290 gallons per minute (“gpm”)) water right in Lytle Creek surface water and has entered into an agreement with the City of San Bernardino to purchase the City of San Bernardino’s 3.00 cfs (1,350 gpm) water rights, for a total of 8.09 cfs (3,640 gpm) of Lytle Creek surface water.

Fontana Union, Cucamonga Valley Water District (“CVWD”), Kaiser Resources, Inc. (now Kaiser Ventures Inc.) and San Gabriel Valley Water Company (“San Gabriel”) entered into a Settlement Agreement, dated February 7, 1992, whereby the parties settled certain court proceedings and other claims, including disputes with respect to the allocation of water rights resulting from ownership of Fontana stock. The District owns approximately 7.05% of the outstanding shares of the common stock of Fontana Union, with the remaining shares owned by private individuals, the Cities of Rialto and Fontana and San Gabriel. In the Settlement Agreement, the parties agreed to annual allocations of Fontana Union’s available water supply. Under the Settlement Agreement, the District is entitled to approximately 1% (200 gpm) of Fontana Union’s annual water production to be taken at the District’s WFF.

On September 12, 2013, the District, Valley District and the Cities of Colton and Rialto (collectively, the “Plaintiffs”) filed a complaint (as amended, the “Complaint”) against San Gabriel and Fontana Union in the Superior Court of California, County of San Bernardino (the “Court”). The Complaint alleges that San Gabriel and Fontana Union are extracting more groundwater from the Rialto-Colton groundwater basin (including from areas that the Plaintiffs believe are hydrologically part of the Rialto-Colton groundwater basin but which are not subject to the herein-defined Decree) than is permitted under a 1961 decree (the “Decree”) entered by the Court. Fontana Union is a party to the Decree and the Plaintiffs assert that San Gabriel is Fontana Union’s agent for purposes of the Decree. In 2014, CVWD intervened in the lawsuit.

Discovery is proceeding in the matter. A trial date has not been set. On February 13, 2015, the Court granted a preliminary injunction that limits the extraction of groundwater by Fontana Union and San Gabriel to levels specified in the Decree while the lawsuit is pending. The California Court of Appeal affirmed that order in August 2016.

The District contends that San Gabriel’s and Fontana Union’s extraction of water in excess of the amounts that are permitted under the Decree has diminished the groundwater levels in the Rialto-Colton groundwater basin and has therefore: (1) reduced the amount of groundwater that the District is entitled to extract under the Decree; and (2) caused the District to acquire replacement water from more costly sources. If the District prevails in curtailing San Gabriel’s and Fontana Union’s extractions and groundwater levels rise, the District would be permitted to pump higher quantities of groundwater. Groundwater extraction is generally less expensive than other District water sources. In addition, the District may experience lower Operation and Maintenance Costs, including lower expenses associated with the acquisition of replacement water, in the future. Although there can be no assurance as to the outcome of the litigation or the long-term effect on District operations, the District does not believe that an unsuccessful resolution of the District’s claims in the Complaint will materially affect its ability to pay the 2016A Bonds from Net Revenues of the System when due.

Lytle Creek surface water flows fluctuate seasonally and the District’s water right could be prorated whenever the Lytle Creek water flow is below 800 miner’s inches (16 cfs). In addition to the flow fluctuation, the turbidity of Lytle Creek surface water flow also varies seasonally. Southern California Edison, which operates certain power generation facilities on Lytle Creek, will shut down its operations when the water’s turbidity exceeds operational limits due to high runoff, which in turn will cause the WFF to be shut down.

Drought Measures

State Orders. On January 17, 2014, the California Governor declared a drought state of emergency (the “Declaration”) with immediate effect. The Declaration included the following orders, among others: (a) local urban water suppliers, including the District, were encouraged to implement their local water shortage contingency plans; the District’s plan is discussed under the caption “—District Response to Drought;” (b) local urban water suppliers, including the District, were encouraged to update their urban water management plans to prepare for extended drought conditions; (c) DWR and the State Water Resources Control Board (the “SWRCB”) were directed to expedite the processing of water transfers; (d) the SWRCB was directed to put water rights holders on notice that they may be required to cease or reduce water diversions in the future; (e)

the SWRCB was directed to consider modifying requirements for reservoir releases or diversion limitations; and (f) DWR was directed to take necessary actions to protect water quality and supply in the Sacramento-San Joaquin River Delta/San Francisco Bay Estuary (the “Bay-Delta”), including the installation of temporary barriers or temporary water supply connections, while minimizing impacts to aquatic species. In addition, on July 15, 2014, the SWRCB adopted emergency measures that required water suppliers to implement mandatory Statewide water conservation actions.

On March 17, 2015, the SWRCB adopted additional emergency regulations limiting outdoor irrigation to two days per week, extending certain measures set forth in the July 15, 2014 action for an additional 270 days, prohibiting outdoor potable water irrigation for 48 hours following rain and prohibiting restaurants from serving water to customers unless requested. The District complied with the new regulations through its Water Shortage Contingency Plan (the “Drought Plan”), as discussed under the caption “—District Response to Drought.”

On April 1, 2015, the Governor issued an executive order extending the measures set forth in the Declaration and adopting the following additional orders, among others: (i) the SWRCB was directed to impose restrictions to reduce potable urban water usage, including usage by commercial, industrial and institutional properties and golf courses, by 25% from 2013 amounts through February 28, 2016; portions of a water supplier’s service area with higher per capita use had to achieve proportionally greater reductions than areas with lower per capita use; (ii) DWR was directed to lead a statewide initiative to replace 50 million square feet of lawns with drought tolerant landscaping; (iii) the California Energy Commission was directed to implement a rebate program for replacement of inefficient appliances; (iv) urban water suppliers were required to provide monthly water usage, conservation and enforcement information; (v) service providers were required to monitor groundwater basin levels in accordance with California Water Code § 10933; (vi) permitting agencies were required to prioritize approval of water infrastructure and supply projects; and (vii) DWR was required to plan salinity barriers in the Bay-Delta.

On May 6, 2015, the SWRCB adopted regulations in response to the Governor’s executive order that require the District to effect a 26% reduction from 2013 water usage. On November 13, 2015, the Governor issued Executive Order B-36-15, which called for an extension of urban water use restrictions until October 31, 2016 should drought conditions persist through January 2016.

On May 9, 2016, the Governor issued Executive Order B-37-16, which required the SWRCB to adjust its emergency regulation and extend it through the end of January 2017. On May 18, 2016 the SWRCB adopted a revised regulation that recognized improved and differing water supply conditions across the State. The revised regulation gives water agencies the ability to establish their own conservation standards based on a “stress test” of supply reliability. By June 22, 2016, water agencies were required to submit self-certifications to the SWRCB demonstrating that they have sufficient supplies to withstand three additional years of severe drought. Any identified percentage gap between supplies and demands would become the water agency’s updated mandatory conservation target.

As a result of the District’s investment in groundwater resources, the District demonstrated to the SWRCB that it has more than sufficient supplies to meet its projected demands, even if the State endures three more years of drought. See the caption “—Water Supply.” Consequently, the District’s mandatory conservation target was eliminated, retroactive to June 1, 2016. The District intends to continue to encourage its customers to conserve and meet a voluntary reduction target of up to 15% for the duration of the term of the emergency regulation.

District Response to Drought. Under the District’s Drought Plan, the District will undertake significant public outreach, including targeted contact with high water users and offering customers a water use efficiency audit to identify indoor and outdoor conservation measures that are tailored for individual situations. The District also offers rebates for high efficiency toilets and other appliances, as well as for turf removal, high efficiency nozzles and weather-based irrigation controls.

The District responds to a drought in stages under its Drought Plan. Stage 1 (Normal Condition) is implemented when there is no water supply threat. Under Stage 1, the use of irrigation sprinklers during times of high wind is prohibited, landscape irrigation is limited to nighttime hours, irrigation runoff and watering of paved areas is prohibited, water leaks must be promptly repaired, automatic hose shutoffs are required and the operation of decorative water features is prohibited. Stage 2 (Water Alert) can be implemented when there is a threat to water supply of up to 20%. Under Stage 2, landscape irrigation is limited to four days per week and 10 minutes per day, potable water may not be used for non-essential construction purposes, irrigation within 48 hours of rainfall is prohibited and swimming pools may not be filled. Stage 3 (Water Warning), which has three sub-stages, can be implemented when there is a threat to water supply of up to 25%. Under Stage 3, vehicle washing at residences is prohibited, landscape irrigation is limited to District-approved times and water leaks must be repaired within 48 hours. Stage 4 (Water Emergency) can be implemented when there is a threat to water supply of between 30% and 50%. Under Stage 4, outdoor irrigation is prohibited and potable water may not be used for construction purposes. The Drought Plan also includes enforcement measures, including the imposition of progressively larger surcharges and service cutoff.

As noted above, in response to the Declaration and related State orders, the District is currently encouraging voluntary conservation, with the goal of reducing water usage by up to 15%.

In some cases, actions taken pursuant to the Declaration could result in additional water being made available to the District, while in other cases, actions taken pursuant to the Declaration could reduce water supplies. While implementation of the Drought Plan resulted in lower water sales revenues in Fiscal Year 2015-16, it also resulted in lower operating costs, in particular groundwater pumping costs and energy costs for water deliveries. The District does not believe that the implementation of the Drought Plan in future years would have a material adverse effect on its ability to generate sufficient System Net Revenues to pay the principal of and interest on the 2016A Bonds when due. See the caption “SECURITY FOR THE 2016A BONDS—Limited Obligations Payable from System Net Revenues.”

If a water shortage should arise, legal issues exist as to whether different California Water Code provisions should be invoked to require reasonable regulations for the allocation of water in time of shortage. Any curtailment that is accompanied by an increase in groundwater pumping charges (such as those imposed on groundwater pumping from the Basin discussed under the caption “—Water Supply—Groundwater”) could necessitate an increase in the District’s water rates to District customers. See the caption “CONSTITUTIONAL LIMITATIONS ON APPROPRIATIONS AND CHARGES—Proposition 218.”

The System

Historic Water Production. The following table shows historic water production of the System for the five most recent calendar years:

WEST VALLEY WATER DISTRICT WATER SYSTEM Historic Water Production in Acre-Feet⁽¹⁾

<i>Calendar Year</i>	<i>Groundwater Production</i>	<i>Lytle Creek Surface Water</i>	<i>Purchases from San Bernardino Valley Municipal Water District</i>	<i>Purchases from State Water Project</i>	<i>Total</i>	<i>% Increase/ (Decrease)</i>
2011	12,345	4,203	3,020	400	19,968	N/A%
2012	13,709	4,700	1,990	849	21,248	6.41
2013	13,055	3,110	3,350	1,194	20,709	(2.54)
2014 ⁽²⁾	11,648	2,363	4,819	1,643	20,473	(1.14)
2015 ⁽²⁾	8,249	2,271	4,367	2,244	17,131	(16.32)

⁽¹⁾ Production figures are shown by calendar year and are not directly comparable to water sales figures set forth under the caption “—Historic Water Sales,” which are shown by Fiscal Year.

⁽²⁾ Decrease in water production reflects mandatory water conservation orders as described under the caption “—Drought Measures.” See the caption “—Historic Water Sales Revenues” for historic water sales revenues in such years.

Source: District.

The District’s policy is to purchase water from Valley District and the SWP when such water is available in order to preserve groundwater resources.

Historic Water Sales. The following table shows historic water sales of the System for the five most recent Fiscal Years:

WEST VALLEY WATER DISTRICT WATER SYSTEM Historic Water Sales in Acre-Feet⁽¹⁾

<i>Fiscal Year</i>	<i>Residential Water Sales</i>	<i>Commercial/Other Water Sales</i>	<i>Total Water Sales⁽¹⁾</i>	<i>% Increase/ (Decrease)</i>
2011-12	13,106	5,058	18,164	N/A%
2012-13	13,174	5,767	18,941	4.28
2013-14	13,167	5,940	19,107	0.88
2014-15	11,532	5,500	17,032	(10.86) ⁽²⁾
2015-16	9,674	4,448	14,122	(17.09) ⁽²⁾

⁽¹⁾ Differences between water sales and water production set forth under the caption “—Historic Water Production” reflect differing measurement periods. Production figures are shown by calendar year and are not directly comparable to water sales figures, which are shown by Fiscal Year.

⁽²⁾ Increases reflect reduced water use as a result of mandatory conservation orders in light of Statewide drought. See the caption “—Drought Measures.” See the caption “—Historic Water Sales Revenues” for System Revenue information for such Fiscal Years.

Source: District.

The District estimates that unaccounted-for water (water loss) represents an average of less than 10% of water sales.

Historic System Connections. The following table shows historic billed connections to the System for the five most recent Fiscal Years:

WEST VALLEY WATER DISTRICT WATER SYSTEM
Historic System Connections⁽¹⁾

<i>Fiscal Year</i>	<i>System Connections</i>
2011-12	19,187
2012-13	19,391
2013-14	19,921
2014-15	20,301
2015-16	20,740

⁽¹⁾ Approximately 93% of the District's customers have single family or multi-family residential connections as of Fiscal Year 2015-16.

Source: District.

Historic Water Sales Revenues. The following table shows historic water sales revenues of the System for the five most recent Fiscal Years:

WEST VALLEY WATER DISTRICT WATER SYSTEM
Historic Water Sales Revenues

<i>Fiscal Year</i>	<i>Residential Water Sales Revenues</i>	<i>Commercial/Other Water Sales Revenues</i>	<i>Total Water Sales Revenues</i>	<i>% Increase/ (Decrease)</i>
2011-12	\$11,263,731	\$3,881,170	\$15,144,901	N/A%
2012-13	12,690,108	4,837,327	17,527,435	15.73
2013-14	14,843,805	6,033,435	20,877,240	19.11
2014-15	15,731,102	6,469,368	22,200,470 ⁽¹⁾	6.34
2015-16	15,223,429	5,732,185	20,955,614 ⁽²⁾	(5.61)

⁽¹⁾ Increase reflects rate increases implemented by the District.

⁽²⁾ Decrease reflects reduced water use as a result of mandatory conservation orders in light of Statewide drought. See the caption "—Drought Measures." Does *not* reflect rebates to District customers as discussed under the caption "—System Rates and Charges—General."

Source: District.

Projected Water Production. The following table shows projected water production of the System for the current and next four Fiscal Years. As shown below, the District projects that groundwater production will decrease slightly from prior years in Fiscal Year 2016-17 while purchases from Valley District and the SWP will increase slightly. The District's policy is to purchase water from the SWP and Valley District when such water is available in order to preserve groundwater resources.

WEST VALLEY WATER DISTRICT WATER SYSTEM
Projected Water Production in Acre-Feet

<i>Fiscal Year</i>	<i>Groundwater Production</i>	<i>Lytle Creek Surface Water</i>	<i>Purchases from San Bernardino Valley Municipal Water District</i>	<i>Purchases from State Water Project</i>	<i>Total</i>	<i>% Increase/ (Decrease)</i>
2016-17	7,449	2,500	5,000	3,000	17,949	4.78%
2017-18	8,123	2,500	5,000	3,000	18,623	3.75
2018-19	8,821	2,500	5,000	3,000	19,321	3.75
2019-20	9,546	2,500	5,000	3,000	20,046	3.75
2020-21	10,299	2,500	5,000	3,000	20,799	3.75

Source: District.

Projected Water Sales. The following table shows projected water sales of the System for the current and next four Fiscal Years:

WEST VALLEY WATER DISTRICT WATER SYSTEM
Projected Water Sales in Acre-Feet⁽¹⁾

<i>Fiscal Year</i>	<i>Residential Water Sales⁽¹⁾</i>	<i>Commercial/Other Water Sales</i>	<i>Total Water Sales⁽¹⁾</i>	<i>% Increase/ (Decrease)</i>
2016-17	12,352	5,679	18,031	27.68% ⁽²⁾
2017-18	12,595	5,791	18,386	1.97
2018-19	12,842	5,905	18,747	1.96
2019-20	13,094	6,021	19,115	1.96
2020-21	13,351	6,138	19,489	1.96

⁽¹⁾ Differences between water sales and water production set forth under the caption "—Projected Water Production" reflect System losses, evaporation, internal water use for District purposes, fire hydrant testing and fire hydrant use in emergencies.

⁽²⁾ The projected increase in water usage in Fiscal Year 2016-17 reflects the end of mandatory conservation restrictions as discussed under the caption "—Drought Measures." The District projects that water sales revenues will decrease slightly in Fiscal Year 2016-17, as shown under the caption "—Projected Water Sales Revenues" below, because the Board of Directors has provided rate relief and rebates to District customers. See the caption "—System Rates and Charges—General."

Source: District.

Projected System Connections. The following table shows projected billed connections to the System for the current and next four Fiscal Years. Increases in connections include certain infill multi-family housing projects that are currently under construction.

**WEST VALLEY WATER DISTRICT WATER SYSTEM
Projected System Connections**

<i>Fiscal Year</i>	<i>System Connections</i>
2016-17	21,257
2017-18	21,783
2018-19	22,318
2019-20	22,863
2020-21	23,417

Source: District.

Projected Water Sales Revenues. The following table shows projected water sales revenues of the System for the current and next four Fiscal Years:

**WEST VALLEY WATER DISTRICT WATER SYSTEM
Projected Water Sales Revenues**

<i>Fiscal Year</i>	<i>Residential Water Sales Revenues</i>	<i>Commercial/Other Water Sales Revenues</i>	<i>Total Water Sales Revenues</i>	<i>% Increase/ (Decrease)</i>
2016-17	\$14,773,231	\$5,562,668	\$20,335,899	(2.95)% ⁽¹⁾
2017-18	15,063,856	5,672,099	20,735,955	1.97
2018-19	15,360,239	5,783,698	21,143,937	1.97
2019-20	15,661,184	5,897,016	21,558,200	1.96
2020-21	15,968,086	6,012,576	21,980,662	1.96

⁽¹⁾ The projected increase in water usage in Fiscal Year 2016-17 (as shown under the caption “—Projected Water Sales” above) reflects the end of mandatory conservation restrictions as discussed under the caption “—Drought Measures.” The District projects that water sales revenues will nevertheless decrease slightly in Fiscal Year 2016-17 because the Board of Directors has provided rate relief and rebates to District customers. See the caption “—System Rates and Charges—General.”

Source: District.

Projected water sales revenues assume projected System connections set forth under the caption “—Projected System Connections.” See the caption “CERTAIN RISKS TO BONDHOLDERS—Accuracy of Assumptions.”

Largest System Customers

The following table sets forth the ten largest customers of the System of the District as of June 30, 2016, as determined by the volume of water purchases. These ten customers accounted for approximately 9.91% of total System Revenues of \$25,278,997 (prior to rebates provided to District customers as discussed under the caption “—System Rates and Charges—General”) for Fiscal Year 2015-16.

WEST VALLEY WATER DISTRICT WATER SYSTEM
Largest System Customers—Fiscal Year 2015-16

<i>Customer</i>	<i>Revenues</i>	<i>Hundred Cubic Feet</i>	<i>% of Total⁽¹⁾</i>
Rialto Unified School District	\$ 471,496	168,818	1.87%
Robertson's Ready Mix	409,452	161,020	1.62
City of Rialto	359,598	121,093	1.42
Colton Joint Unified School District	272,028	98,657	1.08
Marygold Mutual Water Company ⁽²⁾	36,780	96,789	0.15
Aramark Uniform Services	243,782	92,844	0.96
Target	183,829	69,590	0.73
City of Fontana	186,558	62,924	0.74
MY Montecito III	166,203	59,645	0.66
Lennar Homes	<u>175,254</u>	<u>48,550</u>	<u>0.69</u>
TOTAL	\$2,504,980	979,930	9.91%

⁽¹⁾ Percentage of total System Revenues of \$25,278,997 (prior to rebates provided to District customers as discussed under the caption "—System Rates and Charges—General"). Reflects unaudited Fiscal Year 2015-16 numbers.

⁽²⁾ This customer purchases treated water at a wholesale rate that has been established under a long-term contract with the District.

Source: District.

System Rates and Charges

General. System Revenues are derived from water sales (consumption charges) and fixed charges. Consumption charges are dependent on water usage and the associated costs of service of the District. Customers are assigned a baseline allocation based on a water budget that determines the amount of water that will be charged at Tier 1 rates; for most residential customers, Tier 1 covers water usage up to 10 hundred cubic feet ("ccf"). Water consumed within the billing period above the baseline allocation up to 50 ccf is billed at Tier 2 rates. Water consumption in excess of Tier 2 rates is billed at Tier 3 rates. The District believes that its current tiered water rates comply with the requirements of Proposition 218. See the caption "CONSTITUTIONAL LIMITATIONS ON APPROPRIATIONS AND CHARGES—Proposition 218—Article XIID." The District's fixed charges are dependent on a customer's meter size.

The Board of Directors has rate setting authority and the District's rates are not subject to review or approval by the California Public Utilities Commission or any other agency. See the caption "CONSTITUTIONAL LIMITATIONS ON APPROPRIATIONS AND CHARGES—Proposition 218" for a discussion of certain limitations of the rate setting authority of the Board of Directors.

On September 13, 2011, the District adopted five-year rate increases for the System in compliance with the notice, hearing and protest provisions of Proposition 218. After an analysis of the District's finances, the Board of Directors reversed the implementation of the final year of the adopted rate increases in 2016 in order to provide rate relief to District customers, and provided rebates to customers for the majority of a 15% rate increase that went into effect on January 1, 2015. The rebated amount covers the period from February 2015 to December 2015 and does not exceed \$3,000,000.

Water rates effective January 1, 2016, which were unchanged from the prior year, are set forth below.

WEST VALLEY WATER DISTRICT WATER SYSTEM
Water Consumption Rate Per Hundred Cubic Feet

Service Type

Fire	\$ N/A
Tier 1	106.50
Tier 2	115.00
Tier 3	126.50
Golf Course	By contract
Hydrant	2.76
Irrigation:	
Demand	By contract
Gravity Flow	By contract
Pressure	By contract
Water	n/a
Tier 1	2.13
Tier 2	2.30
Tier 3	2.53

System customers also pay a fixed bimonthly charge that varies depending upon meter size, as set forth below. Most residential customers have a 1" or smaller diameter meter.

WEST VALLEY WATER DISTRICT WATER SYSTEM
Fixed Water Charges and Charges by Tier

<i>Meter Size</i>	<i>Monthly Fixed Rate</i>	<i>Tier 1 Charge⁽¹⁾⁽²⁾</i>	<i>Tier 2 Charge⁽¹⁾⁽³⁾</i>	<i>Tier 3 Charge⁽¹⁾⁽⁴⁾</i>
5/8" and 3/4"	\$22.21	\$2.13	\$2.30	\$2.53
1"	33.07	2.13	2.30	2.53
1½"	48.77	2.13	2.30	2.53
2"	67.18	2.13	2.30	2.53
3"	97.52	2.13	2.30	2.53
4"	128.56	2.13	2.30	2.53
6"	195.02	2.13	2.30	2.53
8"	261.48	2.13	2.30	2.53
Golf Course	By Contract	2.13	2.30	2.53
Hydrant	73.17	2.13	2.30	2.53
Irrigation	By Contract	2.13	2.30	2.53

⁽¹⁾ Charge per ccf.

⁽²⁾ Tier 1 charges apply to usage between 0 and 10 ccf per month.

⁽³⁾ Tier 2 charges apply to usage between 11 and 50 ccf per month.

⁽⁴⁾ Tier 3 charges apply to usage in excess of 51 ccf per month.

Source: District.

The projected water sales revenues set forth under the caption "—The System—Projected Water Sales Revenues" do not reflect additional water rate above current rates. All water rate increases are subject to the notice, hearing and protest provisions of Proposition 218 described under the caption "CONSTITUTIONAL LIMITATIONS ON APPROPRIATIONS AND CHARGES—Proposition 218." There can be no assurance that the Board of Directors will adopt additional rate increases in the future. However, the District has covenanted to set rates and charges in amounts that are expected to be sufficient to pay debt service while the 2016A Bonds are outstanding. See the caption "SECURITY FOR THE 2016A BONDS—Rate Covenant."

Collection Procedures. All charges for water service are billed every month. If payment is not received 24 days after billing, a late charge of \$20 will be assessed and a delinquent bill will be sent allowing five more days for payment. A 48-hour shut-off notice is hand-delivered the next working day after the due date of the delinquency notice. If payment is not received, service is shut off. Service is not restored until all charges, including a restoration charge, have been paid in full.

Currently, approximately 5.61% of customer accounts are delinquent in the total amount of approximately \$253,990. The District reports that nearly all customers pay delinquent bills prior to shut-off.

Future System Improvements

The District projects capital improvements to the System of approximately \$4,000,000 per year over the current and next four Fiscal Years, including: (i) the replacement and rehabilitation of wells, pumping equipment, booster pumps, meters, system, plant valves, interior and exterior reservoir recoating, water mains and service laterals; (ii) the construction of a new 30-inch transmission pipeline, the drilling and equipping of a new groundwater well, the construction of a booster pump station and the erection of a 1.0 million gallon steel reservoir; and (iii) the purchase of a portable generator for emergency response, a skip loader, a backhoe and a water truck. The District currently projects funding such capital improvements through a combination of grants, System Net Revenues remaining after payment of the 2016A Bonds and System reserves. The District does not currently anticipate issuing additional bonds or entering into additional contracts to finance such improvements in the next five Fiscal Years.

Historic System Operating Results and Debt Service Coverage

The following table is a summary of operating results of the System for the last five Fiscal Years. These results have been derived from the Financial Statements and audited financial statements of the District for prior Fiscal Years but exclude certain non-cash items and certain capital contributions for the bioremediation wellhead treatment system that is described under the caption “—Water Supply—Groundwater” and include certain other adjustments. The table has not been reviewed or audited by the Auditor.

WEST VALLEY WATER DISTRICT WATER SYSTEM
Historic System Operating Results and Debt Service Coverage
Fiscal Year Ended June 30

	2012	2013	2014	2015	2016⁽¹⁾
System Revenues					
Water Consumption Sales ⁽²⁾	\$11,019,032	\$13,442,407	\$15,715,734	\$16,246,445	\$11,872,587
Water Service Charges	3,855,757	4,398,803	5,214,461	6,061,174	6,702,841
Other Operating Revenue ⁽³⁾	726,649	1,423,498	1,977,716	2,704,540	2,240,801
Property Taxes	1,422,629	1,760,434	1,459,571	1,658,936	1,758,220
Interest and Investment Earnings	60,255	48,171	64,380	65,371	127,090
Rental and Other Revenue ⁽⁴⁾	<u>27,714</u>	<u>2,035,663</u>	<u>26,746</u>	<u>32,207</u>	<u>29,966</u>
Total System Revenues	\$17,112,036	\$23,108,976	\$24,458,608	\$26,768,673	\$22,731,505
Operation and Maintenance Costs					
Source of Supply	\$ 759,898	\$ 698,507	\$ 951,189	\$ 960,369	\$ 1,404,819
Pumping	3,624,258	4,288,300	4,831,597	4,524,032	2,910,119
Water Treatment	1,388,672	1,338,521	1,668,548	1,680,613	1,524,622
Transmission and Distribution	1,500,136	1,451,836	1,687,965	1,907,194	1,825,012
Customer Accounts	2,032,390	1,977,941	2,035,498	2,104,526	1,885,567
Conservation	183,840	199,973	229,295	383,739	656,120
Bioremediation ⁽⁵⁾	-	738,099	342,780	308,193	317,601
General and Administrative	<u>4,657,316</u>	<u>5,088,431</u>	<u>5,248,520</u>	<u>5,165,955</u>	<u>6,212,618</u>
Total Operation and Maintenance Costs	\$14,146,510	\$15,781,608	\$16,995,392	\$17,034,621	\$16,736,478
System Net Revenues	\$ 2,965,526	\$ 7,327,368	\$ 7,463,216	\$ 9,734,052	\$ 5,995,027
Debt Service					
2006D-2 Installment Purchase Agreement ⁽⁶⁾	<u>\$ 2,174,828</u>	<u>\$ 2,162,028</u>	<u>\$ 2,158,228</u>	<u>\$ 2,158,028</u>	<u>\$ 2,161,228</u>
Total Debt Service	\$ 2,174,828	\$ 2,162,028	\$ 2,158,228	\$ 2,158,028	\$ 2,161,228
Debt Service Coverage⁽⁷⁾	1.36	3.39	3.46	4.51	2.77
Remaining System Revenues⁽⁸⁾	\$ 790,698	\$ 5,165,340	\$ 5,304,988	\$ 7,576,024	\$ 3,833,799

⁽¹⁾ Reflects unaudited actual Fiscal Year 2015-16 results. Decrease in water sales and service charge revenues reflects effect of reduced water sales resulting from the Statewide drought and related State orders. See the caption “—Drought Measures.”

⁽²⁾ Fiscal Year 2015-16 amount reflects water consumption revenues of \$14,420,079 less \$2,547,492 in rebates provided to District customers. See the caption “—System Rates and Charges—General” for a discussion of such rebates.

⁽³⁾ Includes late charges and reconnection fees, meter installation charges, inspection fees, reimbursements from the City of Rialto for WFF expenses and other miscellaneous revenues.

⁽⁴⁾ Fiscal Year 2012-13 amount includes \$2,000,000 in reimbursements from the City of Rialto for capital contributions for the bioremediation wellhead treatment system that is described under the caption “—Water Supply—Groundwater.”

⁽⁵⁾ See the caption “—Water Supply—Groundwater.”

⁽⁶⁾ This obligation will be prepaid from proceeds of the 2016A Bonds.

⁽⁷⁾ System Net Revenues divided by Total Debt Service.

⁽⁸⁾ System Net Revenues less Total Debt Service.

Source: District.

Projected System Operating Results and Debt Service Coverage

The estimated projected operating results for the System of the District for the current and next four Fiscal Years are set forth below, reflecting certain significant assumptions concerning future events and circumstances. The financial forecast represents the estimate of projected financial results of the District based upon its judgment of the most probable occurrence of certain important future events. The projections of Gross Water Revenues reflect District estimates of water use set forth under the caption “—The System—Projected Water Sales” and the projected increases in connections described under the caption “—The System—Projected System Connections.”

The assumptions set forth herein and in the footnotes to the chart below are material in the development of the financial projections of the District, and variations in the assumptions may produce substantially different financial results. Actual operating results achieved during the projection period may vary from those presented in the forecast and such variations may be material. See the caption “BONDOWNERS’ RISKS—Accuracy of Assumptions.”

WEST VALLEY WATER DISTRICT WATER SYSTEM
Projected System Operating Results and Debt Service Coverage
Fiscal Year Ending June 30

	2017 ⁽¹⁾	2018	2019	2020	2021
System Revenues					
Water Consumption Sales ⁽²⁾	\$13,526,513	\$13,792,130	\$14,063,011	\$14,339,260	\$14,620,983
Water Service Charges ⁽²⁾	6,809,386	6,943,825	7,080,926	7,218,940	7,359,679
Other Operating Revenue ⁽³⁾	2,843,350	3,343,350	3,343,350	3,343,350	3,343,350
Property Taxes ⁽⁴⁾	1,148,500	1,157,085	1,165,756	1,174,513	1,183,359
Interest and Investment Earnings ⁽⁵⁾	65,000	60,000	55,000	50,000	45,000
Rental Revenue ⁽⁶⁾	-	-	-	-	-
Total System Revenues	\$24,392,749	\$25,296,390	\$25,708,043	\$26,126,063	\$26,552,371
Operation and Maintenance Costs					
Source of Supply ⁽⁷⁾	\$ 1,465,359	\$ 1,471,247	\$ 1,480,194	\$ 1,486,201	\$ 1,492,268
Pumping ⁽⁸⁾	4,683,991	5,017,020	5,381,396	5,780,200	6,216,815
Water Treatment ⁽⁹⁾	1,153,867	1,170,528	1,187,764	1,205,599	1,224,059
Transmission and Distribution ⁽⁹⁾	1,856,903	1,886,225	1,916,366	1,947,358	1,979,240
Customer Accounts ⁽⁹⁾	2,441,791	2,485,817	2,531,442	2,578,743	2,627,799
Conservation ⁽⁹⁾	486,777	493,358	500,181	507,257	514,599
Bioremediation ⁽¹⁰⁾	1,200,000	1,200,000	1,200,000	1,200,000	1,200,000
General and Administrative ⁽⁵⁾	<u>5,870,556</u>	<u>6,100,870</u>	<u>6,134,322</u>	<u>6,271,079</u>	<u>6,311,322</u>
Total Operation and Maintenance Costs	\$19,159,244	\$19,825,065	\$20,331,665	\$20,976,437	\$21,566,102
System Net Revenues	\$ 5,233,505	\$ 5,471,325	\$ 5,376,378	\$ 5,149,626	\$ 4,986,269
Debt Service					
2006D-2 Installment Purchase Agreement ⁽¹¹⁾	\$ 1,643,814	\$ -	\$ -	\$ -	\$ -
2016A Bonds	<u>253,921</u>	<u>1,512,400</u>	<u>1,307,450</u>	<u>1,309,350</u>	<u>1,304,025</u>
Total Debt Service	\$ 1,897,735	\$ 1,512,400	\$ 1,307,450	\$ 1,309,350	\$ 1,304,025
Debt Service Coverage⁽¹²⁾	2.76	3.62	4.11	3.93	3.82
Remaining System Revenues⁽¹³⁾	\$ 3,335,770	\$ 3,958,925	\$ 4,068,928	\$ 3,840,276	\$ 3,682,244

⁽¹⁾ Reflects budgeted Fiscal Year 2016-17 numbers with certain adjustments.

⁽²⁾ Reflects projected System connections set forth under the caption “—The System—Projected System Connections” and projected water sales set forth under the caption “—The System—Projected Water Sales.” Projected to increase approximately 1.96% per annum from Fiscal Year 2016-17 amount.

⁽³⁾ Includes late charges and reconnection fees, meter installation charges, inspection fees, reimbursements from the City of Rialto for WFF expenses and other miscellaneous revenues. Reflects District projections. Projected to increase by \$500,000 in Fiscal Year 2017-18 and to remain constant thereafter.

⁽⁴⁾ Projected to increase approximately 0.75% per annum from Fiscal Year 2016-17 amount.

⁽⁵⁾ Reflects District projections.

⁽⁶⁾ Projected at \$0 for the projection period.

⁽⁷⁾ Projected to increase approximately 0.5% per annum from Fiscal Year 2016-17 amount.

⁽⁸⁾ Projected to increase between approximately 7.0% and 7.5% per annum from Fiscal Year 2016-17 amount.

⁽⁹⁾ Projected to increase between approximately 1.5% and 1.6% per annum from Fiscal Year 2016-17 amount.

⁽¹⁰⁾ Projected to remain constant at Fiscal Year 2016-17 amount.

⁽¹¹⁾ This obligation will be defeased from proceeds of the 2016A Bonds. See the caption “REFUNDING PLAN.”

⁽¹²⁾ System Net Revenues divided by Total Debt Service.

⁽¹³⁾ System Net Revenues less Total Debt Service.

Source: District.

CONSTITUTIONAL LIMITATIONS ON APPROPRIATIONS AND CHARGES

Article XIII B

Article XIII B of the California Constitution limits the annual appropriations of the State and of any city, county, school district, authority or other political subdivision of the State to the level of appropriations of the particular governmental entity for the prior fiscal year, as adjusted for changes in the cost of living and population. The “base year” for establishing such appropriation limit is the 1978-79 State fiscal year and the limit is to be adjusted annually to reflect changes in population and consumer prices. Adjustments in the appropriations limit of an entity may also be made if: (i) the financial responsibility for a service is transferred to another public entity or to a private entity; (ii) the financial source for the provision of services is transferred from taxes to other revenues; or (iii) the voters of the entity approve a change in the limit for a period of time not to exceed four years.

Appropriations subject to Article XIII B generally include the proceeds of taxes levied by or for the State or other entity of local government, exclusive of certain State subventions, refunds of taxes and benefit payments from retirement, unemployment, insurance and disability insurance funds. “Proceeds of taxes” include, but are not limited to, all tax revenues and the proceeds to an entity of government from: (a) regulatory licenses, user charges, and user fees (but only to the extent such proceeds exceed the cost reasonably borne by the entity in providing the service or regulation); and (b) the investment of tax revenues. Article XIII B includes a requirement that if an entity’s revenues in any year exceed the amounts permitted to be spent, the excess would have to be returned by revising tax rates or fee schedules over the subsequent two years.

Certain expenditures are excluded from the appropriations limit, including payments of indebtedness existing or legally authorized as of January 1, 1979, or of bonded indebtedness thereafter approved by a vote of electors of the issuing entity and payments required to comply with court or federal mandates which without discretion require an expenditure for additional services or which unavoidably make the provision of existing services more costly.

The District is of the opinion that its charges for Water Service do not exceed the costs that it reasonably bears in providing such services and therefore are not subject to the limits of Article XIII B. The District has covenanted in the Indenture that it will, at all times while any of the 2016A Bonds remain unpaid, to the maximum extent permitted by law, fix, prescribe and collect rates, fees and charges and manage the operation of the System for each Fiscal Year so as to yield System Net Revenues during such Fiscal Year equal to at least 120% of the Annual Debt Service in such Fiscal Year. See the caption “SECURITY FOR THE 2016A BONDS—Rate Covenant.”

Proposition 218

General. An initiative measure entitled the “Right to Vote on Taxes Act” (the “Initiative”) was approved by the voters of the State at the November 5, 1996 general election. The Initiative added Article XIII C and Article XIII D to the California Constitution. According to the “Title and Summary” of the Initiative prepared by the California Attorney General, the Initiative limits “the authority of local governments to impose taxes and property-related assessments, fees and charges.”

Article XIII D. Article XIII D defines the terms “fee” and “charge” to mean “any levy other than an *ad valorem* tax, a special tax or an assessment, imposed by an agency upon a parcel or upon a person as an incident of property ownership, including user fees or charges for a property-related service.” A “property-related service” is defined as “a public service having a direct relationship to property ownership.” Article XIII D further provides that reliance by an agency on any parcel map (including an assessor’s parcel map) may be considered a significant factor in determining whether a fee or charge is imposed as an incident of property ownership.

Article XIID requires that any agency imposing or increasing any property-related fee or charge must provide written notice thereof to the record owner of each identified parcel upon which such fee or charge is to be imposed and must conduct a public hearing with respect thereto. The proposed fee or charge may not be imposed or increased if a majority of owners of the identified parcels file written protests against it. As a result, if and to the extent that a fee or charge imposed by a local government for water service is ultimately determined to be a “fee” or “charge” as defined in Article XIID, the local government’s ability to increase such fee or charge may be limited by a majority protest.

In addition, Article XIID includes a number of limitations applicable to existing fees and charges, including provisions to the effect that: (i) revenues derived from the fee or charge may not exceed the funds required to provide the property-related service; (ii) such revenues may not be used for any purpose other than that for which the fee or charge was imposed; (iii) the amount of a fee or charge imposed upon any parcel or person as an incident of property ownership may not exceed the proportional cost of the service attributable to the parcel; and (iv) no such fee or charge may be imposed for a service unless that service is actually used by, or immediately available to, the owner of the property in question. Property-related fees or charges based on potential or future use of a service are not permitted.

Based upon the California Court of Appeal decision in *Howard Jarvis Taxpayers Association v. City of Los Angeles*, 85 Cal. App. 4th 79 (2000), which was denied review by the State Supreme Court, it was generally believed that Article XIID did not apply to charges for water services that are “primarily based on the amount consumed” (i.e., metered water rates), which had been held to be commodity charges related to consumption of the service, not property ownership. The Supreme Court stated in *Bighorn-Desert View Water Agency v. Verjil*, 39 Cal. 4th 205 (2006) (the “*Bighorn Case*”), however, that fees for ongoing water service through an existing connection were property-related fees and charges. The Supreme Court specifically disapproved the holding in *Howard Jarvis Taxpayers Association v. City of Los Angeles* that metered water rates are not subject to Proposition 218. The District complies with the notice and public hearing requirements of Article XIID in determining whether to change System rates and charges.

On April 20, 2015, the California Court of Appeal, Fourth District, issued an opinion in *Capistrano Taxpayers Association, Inc. v. City of San Juan Capistrano*, 235 Cal. App. 4th 1493 (2015) (the “*SJC Case*”) upholding tiered water rates under Proposition 218 provided that the tiers correspond to the actual cost of furnishing service at a given level of usage. The opinion was specific to the facts of the case, including a finding that the City of San Juan Capistrano did not attempt to calculate the actual costs of providing water at various tier levels. The District does not currently expect the decision in the *SJC Case* to affect its water rate structure. The District believes that its current tiered water rates comply with the requirements of Proposition 218 because they are cost-based and expects that any future water rate increases will comply with Proposition 218’s procedural and substantive requirements to the extent applicable thereto.

Article XIIC. Article XIIC provides that the initiative power may not be prohibited or otherwise limited in matters of reducing or repealing any local tax, assessment, fee or charge and that the power of initiative to affect local taxes, assessments, fees and charges is applicable to all local governments. Article XIIC does not define the terms “local tax,” “assessment,” “fee” or “charge,” so it was unclear whether the definitions set forth in Article XIID referred to above were applicable to Article XIIC. Moreover, the provisions of Article XIIC are not expressly limited to local taxes, assessments, fees and charges imposed after November 6, 1996. On July 24, 2006, the State Supreme Court held in the *Bighorn Case* that the provisions of Article XIIC included rates and fees charged for domestic water use. In the decision, the Court noted that the decision did not address whether an initiative to reduce fees and charges could override statutory rate setting obligations. In any event, the District does not believe that Article XIIC grants to the voters within the District the power to repeal or reduce rates and charges for the Water Service in a manner which would be inconsistent with the contractual obligations of the District. However, there can be no assurance of the availability of particular remedies adequate to protect the Beneficial Owners of the 2016A Bonds. Remedies available to Beneficial Owners of the 2016A Bonds in the event of a default by the District are dependent upon judicial actions which are often subject to discretion and delay and could prove both expensive

and time consuming to obtain. So long as the 2016A Bonds are held in book-entry form, DTC (or its nominee) will be the sole registered owner of the 2016A Bonds and the rights and remedies of the 2016A Bond Owners will be exercised through the procedures of DTC.

In addition to the specific limitations on remedies contained in the applicable documents themselves, the rights and obligations with respect to the 2016A Bonds and the Indenture are subject to bankruptcy, insolvency, reorganization, moratorium, fraudulent conveyance and other similar laws affecting creditors' rights, to the application of equitable principles if equitable remedies are sought, and to the exercise of judicial discretion in appropriate cases and to limitations on legal remedies against public agencies in the State. The various opinions of counsel to be delivered with respect to such documents, including the opinion of Bond Counsel (the form of which is attached as Appendix C), will be similarly qualified.

Proposition 26

On November 2, 2010, voters in the State approved Proposition 26. Proposition 26 amends Article XIII C of the State Constitution to expand the definition of "tax" to include "any levy, charge, or exaction of any kind imposed by a local government" except the following: (a) a charge imposed for a specific benefit conferred or privilege granted directly to the payor that is not provided to those not charged, and which does not exceed the reasonable costs to the local government of conferring the benefit or granting the privilege; (b) a charge imposed for a specific government service or product provided directly to the payor that is not provided to those not charged, and which does not exceed the reasonable costs to the local government of providing the service or product; (c) a charge imposed for the reasonable regulatory costs to a local government for issuing licenses and permits, performing investigations, inspections, and audits, enforcing agricultural marketing orders, and the administrative enforcement and adjudication thereof; (d) a charge imposed for entrance to or use of local government property, or the purchase, rental or lease of local government property; (e) a fine, penalty or other monetary charge imposed by the judicial branch of government or a local government as a result of a violation of law; (f) a charge imposed as a condition of property development; and (g) assessments and property-related fees imposed in accordance with the provisions of Article XIII D. Proposition 26 applies to charges imposed or increased after November 2, 2010 and provides that the local government bears the burden of proving by a preponderance of the evidence that a levy, charge, or other exaction is not a tax, that the amount is no more than necessary to cover the reasonable costs of the governmental activity, and that the manner in which those costs are allocated to a payor bear a fair or reasonable relationship to the payor's burdens on, or benefits received from, the governmental activity. The District believes that its water rates and charges are not taxes under Proposition 26.

Future Initiatives

Articles XIII B, XIII C and XIII D and Proposition 26 were adopted as measures that qualified for the ballot pursuant to the State's initiative process. From time to time other initiatives could be proposed and adopted affecting the District's revenues or ability to increase revenues.

CERTAIN RISKS TO BONDHOLDERS

The following information should be considered by prospective investors in evaluating the 2016A Bonds. However, the following does not purport to be an exhaustive listing of risks and other considerations may be relevant to making an investment decisions with respect to the 2016A Bonds. In addition, the order in which the following information is presented is not intended to reflect the relative importance of any such risks.

Limited Obligations

The obligation of the District to pay the 2016A Bonds is a limited obligation of the District and is not secured by a legal or equitable pledge or charge or lien upon any property of the District or any of its income

or receipts, except the System Net Revenues. The obligation of the District to pay the 2016A Bonds does not constitute an obligation of the District to levy or pledge any form of taxation or for which the District has levied or pledged any form of taxation.

Accuracy of Assumptions

To estimate the revenues that are available to pay debt service on the 2016A Bonds, the District has made certain assumptions with regard to the rates and charges to be imposed in future years, the expenses associated with operating the System and the interest rate at which funds will be invested. The District believes these assumptions to be reasonable, but to the extent that any of these assumptions fail to materialize, the System Net Revenues available to pay debt service on the 2016A Bonds will, in all likelihood, be less than those projected herein. See the caption “THE WATER SYSTEM OF THE DISTRICT—Projected System Operating Results and Debt Service Coverage.” The District may choose, however, to maintain compliance with the rate covenant set forth in the Indenture in part by means of contributions from available reserves or resources. In such event, System Net Revenues may generate amounts which are less than 1.20 times Annual Debt Service in any given Fiscal Year. See the caption “SECURITY FOR THE 2016A BONDS—Rate Covenant.”

System Demand

There can be no assurance that the demand for Water Service will occur as described in this Official Statement. Reduction in levels of demand could require an increase in rates or charges in order to comply with the rate covenant. Demand for water services could be reduced as a result of hydrological conditions, conservation efforts (including in response to the drought that is described under the caption “THE WATER SYSTEM OF THE DISTRICT—Drought Measures” or future droughts) and other factors.

System Expenses

There can be no assurance that the District’s expenses will be consistent with the descriptions in this Official Statement. Operation and Maintenance Costs may vary with labor costs (including costs related to pension liabilities), treatment costs, regulatory compliance costs and other factors. Increases in expenses could require an increase in rates or charges in order to comply with the rate covenant. See the caption “SECURITY FOR THE 2016A BONDS—Rate Covenant.”

Limited Recourse on Default

If the District defaults on its obligation to pay the principal of and interest on the 2016A Bonds, the Trustee has the right to declare the total unpaid principal of the 2016A Bonds, together with the accrued interest thereon to be immediately due and payable. However, in the event of a default and such acceleration there can be no assurance that the District will have sufficient funds to pay the accelerated amounts due on the 2016A Bonds from System Net Revenues.

Rate-Setting Process under Proposition 218

Proposition 218, which added Articles XIII C and XIII D to the State Constitution, affects the District’s ability to maintain existing rates and impose rate increases, and no assurance can be given that future rate increases will not encounter majority protest opposition or be challenged by initiative action authorized under Proposition 218. In the event that future proposed rate increases cannot be imposed as a result of majority protest or initiative, the District might thereafter be unable to generate System Net Revenues in the amounts required by the Indenture to pay the 2016A Bonds. The District believes that the current water rates approved by the Board of Directors were effected under the public hearing and majority protest provisions of Proposition 218. See the caption “CONSTITUTIONAL LIMITATIONS ON APPROPRIATIONS AND CHARGES—Proposition 218.”

Statutory and Regulatory Compliance

Laws and regulations governing the treatment and delivery of water are enacted and promulgated by federal, State and local government agencies. Compliance with these laws and regulations is and will continue to be costly, and, as more stringent standards are developed, such costs will likely increase.

Claims against the System for failure to comply with applicable laws and regulations could be significant. Such claims may be payable from assets of the System or from other legally available sources. In addition to claims by private parties, changes in the scope and standards for public agency water systems such as that operated by the District may also lead to administrative orders issued by federal or State regulators. Future compliance with such orders can also impose substantial additional costs on the District. No assurance can be given that the cost of compliance with such laws, regulations and orders would not adversely affect the ability of the District to generate System Net Revenues sufficient to pay the 2016A Bonds.

Natural Disasters

The occurrence of any natural disaster in the District, including, without limitation, fire, earthquake, landslide, high winds, drought or flood, could have an adverse material impact on the economy within the District, its System and the revenues available for the payment of the 2016A Bonds. Portions of the System may be at risk of damage or destruction from wildfires or subject to unpredictable seismic activity. The District maintains earthquake insurance coverage up to \$2.5 million for parts of the System. See the caption “THE WEST VALLEY WATER DISTRICT—District Insurance.” However, the Indenture does not require the District to maintain earthquake insurance and there can be no assurance that the District’s current earthquake insurance will be maintained in the future.

The occurrence of natural disasters in the area of the System could result in substantial damage to the System which, in turn, could substantially reduce revenue generated by the System and affect the ability of the District to pay the 2016A Bonds. The District maintains liability insurance for the System and property casualty insurance for certain portions of the System. However, there can be no assurance that specific losses will be covered by insurance or, if covered, that claims will be paid in full by the applicable insurers.

Furthermore, as described under the caption “THE WEST VALLEY WATER DISTRICT—District Insurance,” significant portions of the System, including pipelines that are not near the WFF, are not covered by property casualty insurance. Damage to such portions of the System as a result of natural disasters would result in uninsured losses to the District.

Limitations on Remedies

The ability of the District to comply with its covenants under the Indenture and to generate System Net Revenues sufficient to pay principal of and interest on the 2016A Bonds may be adversely affected by actions and events outside of the control of the District or actions taken (or not taken) by voters, property owners, taxpayers or persons obligated to pay assessments, fees and charges. See the caption “CONSTITUTIONAL LIMITATIONS ON APPROPRIATIONS AND CHARGES—Proposition 218.” Furthermore, the remedies available to the owners of the 2016A Bonds upon the occurrence of an event of default under the Indenture are in many respects dependent upon judicial actions which are often subject to discretion and delay and could prove both expensive and time consuming to obtain.

In addition, usual equity principles may limit the specific enforcement under State law of certain remedies, as may the exercise by the United States of America of the powers delegated to it by the federal Constitution, and the reasonable and necessary exercise, in certain exceptional situations, of the police power inherent in the sovereignty of the State and its governmental bodies in the interest of serving a significant and legitimate public purpose. Bankruptcy proceedings, or the exercise of powers by the federal or state government, if initiated, could subject the owners of the 2016A Bonds to judicial discretion and interpretation

of their rights in bankruptcy or otherwise, and consequently may entail risks of delay, limitations, or modification of their rights. Remedies may be limited because the System serves an essential public purpose.

In addition to the limitations on remedies contained in the Indenture, the rights and obligations under the Indenture may be subject to bankruptcy, insolvency, reorganization, arrangement, fraudulent conveyance, moratorium and other laws relating to or affecting creditors' rights, to the application of equitable principles, to the exercise of judicial discretion in appropriate cases and to limitations on legal remedies against cities in the State. The opinion to be delivered by Bond Counsel concurrently with the issuance of the 2016A Bonds will be subject to such limitations and the various other legal opinions to be delivered concurrently with the issuance of the 2016A Bonds will be similarly qualified. See Appendix C. In the event that the District fails to comply with its covenants under the Indenture or fails to pay principal of and interest on the 2016A Bonds, there can be no assurance of the availability of remedies adequate to protect the interest of the holders of the 2016A Bonds.

Loss of Tax Exemption

In order to maintain the exclusion from gross income for federal income tax purposes of interest on the 2016A Bonds, the District has covenanted in the Indenture to comply with the applicable requirements of the Internal Revenue Code of 1986, as amended (the "Code"), and not to take any action or fail to take any action if such action or failure to take such action would adversely affect the exclusion from gross income of interest on the 2016A Bonds under Section 103 of the Code. Interest on the 2016A Bonds could become includable in gross income for purposes of federal income taxation retroactive to the date of issuance of such 2016A Bonds as a result of acts or omissions of the District in violation of this or other covenants in the Indenture applicable to the 2016A Bonds. The 2016A Bonds are not subject to redemption or any increase in interest rates should an event of taxability occur and will remain outstanding until maturity or prior redemption in accordance with the provisions contained in the Indenture. See the caption "TAX MATTERS."

Secondary Market

There can be no guarantee that there will be a secondary market for the 2016A Bonds or, if a secondary market exists, that the 2016A Bonds can be sold for any particular price. Occasionally, because of general market conditions or because of adverse history or economic prospects connected with a particular issue, secondary marketing practices are suspended or terminated. Additionally, prices of issues for which a market is being made will depend upon then prevailing circumstances. Such prices could be substantially different from the original purchase price.

Parity Obligations

The Indenture permits the District to enter into additional Contracts or issue Bonds payable from System Net Revenues on a parity with the 2016A Bonds, subject to the terms and conditions set forth therein. The entry into of additional Contracts or the issuance of Bonds could result in reduced System Net Revenues available to pay the 2016A Bonds. The District has covenanted to maintain Debt Service coverage of 120%, as further described under the caption "SECURITY FOR THE 2016A BONDS—Additional Indebtedness."

APPROVAL OF LEGAL PROCEEDINGS

The valid, legal and binding nature of the 2016A Bonds is subject to the approval of Stradling Yocca Carlson & Rauth, a Professional Corporation, acting as Bond Counsel. The form of such legal opinion is attached hereto as Appendix C, and such legal opinion will be attached to each 2016A Bond. Certain legal matters will be passed upon for the District by Stradling Yocca Carlson & Rauth, a Professional Corporation, as Disclosure Counsel, and by Tafoya & Garcia LLP, General Counsel to the District, for the Underwriter by its counsel, Norton Rose Fulbright US LLP, and for the Trustee and the Escrow Agent by its counsel.

From time to time Bond Counsel represents the Underwriter on matters unrelated to the issuance of the 2016A Bonds or other District obligations.

LITIGATION

At the time of delivery of and payment for the 2016A Bonds, the District will certify that there is no action, suit, proceeding, inquiry or investigation, at law or in equity, before or by any court, regulatory agency, public board or body, pending or, to the knowledge of the District, threatened against the District affecting the existence of the District or the titles of its directors or officers to their respective offices or seeking to restrain or to enjoin the sale or delivery of the 2016A Bonds, the application of the proceeds thereof in accordance with the Indenture, or in any way contesting or affecting the validity or enforceability of the 2016A Bonds, the Indenture, or any action of the District contemplated by any of said documents, or in any way contesting the completeness or accuracy of this Official Statement or any amendment or supplement thereto, or contesting the powers of the District or its authority with respect to the 2016A Bonds or any action of the District contemplated by any of said documents, nor to the knowledge of the District, is there any basis therefor.

TAX MATTERS

In the opinion of Stradling Yocca Carlson & Rauth, a Professional Corporation, Newport Beach, California, Bond Counsel, under existing statutes, regulations, rulings and judicial decisions, and assuming the accuracy of certain representations and compliance with certain covenants and requirements described herein, interest (and original issue discount) on the 2016A Bonds is excluded from gross income for federal income tax purposes and is not an item of tax preference for purposes of calculating the federal alternative minimum tax imposed on individuals and corporations. In the further opinion of Bond Counsel, interest (and original issue discount) on the 2016A Bonds is exempt from State of California personal income tax. Bond Counsel notes that, with respect to corporations, interest on the 2016A Bonds may be included as an adjustment in the calculation of alternative minimum taxable income, which may affect the alternative minimum tax liability of such corporations.

Bond Counsel's opinion as to the exclusion from gross income for federal income tax purposes of interest (and original issue discount) on the 2016A Bonds is based upon certain representations of fact and certifications made by the District and others and is subject to the condition that the District complies with all requirements of the Code that must be satisfied subsequent to the issuance of the 2016A Bonds to assure that interest (and original issue discount) on the 2016A Bonds will not become includable in gross income for federal income tax purposes. Failure to comply with such requirements of the Code might cause interest (and original issue discount) on the 2016A Bonds to be included in gross income for federal income tax purposes retroactive to the date of issuance of the 2016A Bonds. The District has covenanted to comply with all such requirements.

In the opinion of Bond Counsel, the difference between the issue price of a 2016A Bond (the first price at which a substantial amount of the 2016A Bonds of a maturity is to be sold to the public) and the stated redemption price at maturity of such 2016A Bond constitutes original issue discount. Original issue discount accrues under a constant yield method, and original issue discount will accrue to a Beneficial Owner before receipt of cash attributable to such excludable income. The amount of original issue discount deemed received by a Beneficial Owner will increase the Beneficial Owner basis in the applicable 2016A Bond. The amount of original issue discount that accrues to the Beneficial Owner of a 2016A Bond is excluded from the gross income of such Beneficial Owner for federal income tax purposes, is not an item of tax preference for purposes of the federal alternative minimum tax imposed on individuals and corporations, and is exempt from State of California personal income tax.

The amount by which a 2016A Bond Owner's original basis for determining loss on sale or exchange in the applicable 2016A Bond (generally, the purchase price) exceeds the amount payable on maturity (or on an earlier call date) constitutes amortizable bond premium, which must be amortized under Section 171 of the

Code; such amortizable bond premium reduces the 2016A Bond Owner's basis in the applicable 2016A Bond (and the amount of tax-exempt interest received with respect to the 2016A Bonds), and is not deductible for federal income tax purposes. The basis reduction as a result of the amortization of bond premium may result in a 2016A Bond Owner realizing a taxable gain when a 2016A Bond is sold by the Owner for an amount equal to or less (under certain circumstances) than the original cost of the 2016A Bond to the Owner. Purchasers of the 2016A Bonds should consult their own tax advisors as to the treatment, computation and collateral consequences of amortizable bond premium.

The Internal Revenue Service (the "IRS") has initiated an expanded program for the auditing of tax-exempt bond issues, including both random and targeted audits. It is possible that the 2016A Bonds will be selected for audit by the IRS. It is also possible that the market value of the 2016A Bonds might be affected as a result of such an audit of the 2016A Bonds (or by an audit of similar municipal obligations). No assurance can be given that in the course of an audit, as a result of an audit, or otherwise, Congress or the IRS might not change the Code (or interpretation thereof) subsequent to the issuance of the 2016A Bonds to the extent that it adversely affects the exclusion from gross income of interest (and original issue discount) on the 2016A Bonds or their market value.

SUBSEQUENT TO THE ISSUANCE OF THE 2016A BONDS, THERE MIGHT BE FEDERAL, STATE OR LOCAL STATUTORY CHANGES (OR JUDICIAL OR REGULATORY INTERPRETATIONS OF FEDERAL, STATE OR LOCAL LAW) THAT AFFECT THE FEDERAL, STATE OR LOCAL TAX TREATMENT OF THE 2016A BONDS OR THE MARKET VALUE OF THE 2016A BONDS. LEGISLATIVE CHANGES HAVE BEEN PROPOSED IN CONGRESS, WHICH, IF ENACTED, WOULD RESULT IN ADDITIONAL FEDERAL INCOME TAX BEING IMPOSED ON CERTAIN OWNERS OF TAX-EXEMPT STATE OR LOCAL OBLIGATIONS, SUCH AS THE 2016A BONDS. THE INTRODUCTION OR ENACTMENT OF ANY OF SUCH CHANGES COULD ADVERSELY AFFECT THE MARKET VALUE OR LIQUIDITY OF THE 2016A BONDS. NO ASSURANCE CAN BE GIVEN THAT, SUBSEQUENT TO THE ISSUANCE OF THE 2016A BONDS, SUCH CHANGES (OR OTHER CHANGES) WILL NOT BE INTRODUCED OR ENACTED OR INTERPRETATIONS WILL NOT OCCUR. BEFORE PURCHASING ANY OF THE 2016A BONDS, ALL POTENTIAL PURCHASERS SHOULD CONSULT THEIR TAX ADVISORS REGARDING POSSIBLE STATUTORY CHANGES OR JUDICIAL OR REGULATORY CHANGES OR INTERPRETATIONS, AND THEIR COLLATERAL TAX CONSEQUENCES RELATING TO THE 2016A BONDS.

Bond Counsel's opinions may be affected by actions taken (or not taken) or events occurring (or not occurring) after the date hereof. Bond Counsel has not undertaken to determine, or to inform any person, whether any such actions or events are taken or do occur. The Indenture and the Tax Certificate relating to the 2016A Bonds permit certain actions to be taken or to be omitted if a favorable opinion of Bond Counsel is provided with respect thereto. Bond Counsel expresses no opinion as to the effect on the exclusion from gross income of interest (and original issue discount) for federal income tax purposes with respect to any 2016A Bond if any such action is taken or omitted based upon the advice of counsel other than Stradling Yocca Carlson & Rauth, a Professional Corporation.

Although Bond Counsel has rendered an opinion that interest (and original issue discount) on the 2016A Bonds is excluded from gross income for federal income tax purposes provided that the District continues to comply with certain requirements of the Code, the ownership of the 2016A Bonds and the accrual or receipt of interest (and original issue discount) on the 2016A Bonds may otherwise affect the tax liability of certain persons. Bond Counsel expresses no opinion regarding any such tax consequences. Accordingly, before purchasing any of the 2016A Bonds, all potential purchasers should consult their tax advisors with respect to collateral tax consequences relating to the 2016A Bonds.

Should interest on the 2016A Bonds become includable in gross income for federal income tax purposes, the 2016A Bonds are not subject to early redemption and will remain outstanding until maturity or until redeemed in accordance with the Indenture.

A complete copy of the proposed opinion of Bond Counsel is set forth in Appendix C.

RATING

S&P Global Ratings, a Standard & Poor's Financial Services LLC business ("S&P"), has assigned the 2016A Bonds a rating of AA-. There is no assurance that any credit rating given to the 2016A Bonds will be maintained for any period of time or that a rating may not be lowered or withdrawn entirely by S&P if, in the judgment of S&P, circumstances so warrant. Any downward revision or withdrawal of such rating may have an adverse effect on the market price of the 2016A Bonds. Such rating reflects only the views of S&P, and an explanation of the significance of such rating may be obtained from S&P. Generally, rating agencies base their ratings on information and materials furnished to them (which may include information and material from the District that is not included in this Official Statement) and on investigations, studies and assumptions by the rating agencies.

UNDERWRITING

The 2016A Bonds will be purchased by Stifel, Nicolaus & Company, Incorporated (the "Underwriter") pursuant to a Purchase Contract, the date hereof, by and between the District and the Underwriter (the "Purchase Contract"). Under the Purchase Contract, the Underwriter has agreed to purchase all, but not less than all, of the 2016A Bonds for an aggregate purchase price of \$23,121,313.85 (representing the principal amount of the 2016A Bonds, less Underwriter's discount of \$132,210.00, plus net original issue premium of \$1,218,523.85). The Purchase Contract provides that the Underwriter will purchase all of the 2016A Bonds if any are purchased, the obligation to make such a purchase being subject to certain terms and conditions set forth in the Purchase Contract, the approval of certain legal matters by counsel and certain other conditions.

The initial public offering prices stated on the inside cover page of this Official Statement may be changed from time to time by the Underwriter. The Underwriter may offer and sell the 2016A Bonds to certain dealers (including dealers depositing 2016A Bonds into investment trusts), dealer banks, banks acting as agents and others at prices lower than said public offering prices.

CONTINUING DISCLOSURE UNDERTAKING

The District has covenanted in a Continuing Disclosure Certificate for the benefit of the holders and Beneficial Owners of the 2016A Bonds to provide certain financial information and operating data relating to the District by not later than April 1 following the end of the District's Fiscal Year (currently its Fiscal Year ends on June 30) (the "Annual Report"), commencing with the report for Fiscal Year ending June 30, 2016, and to provide notices of the occurrence of certain enumerated events. The Annual Report and the notices of enumerated events will be filed by the District with the Municipal Securities Rulemaking Board's Electronic Municipal Market Access System for municipal securities disclosures, maintained on the Internet at <http://emma.msrb.org/> ("EMMA"). The specific nature of the information to be contained in the Annual Report and the notice of material events is set forth in Appendix E. These covenants have been made in order to assist the Underwriter in complying with subsection (b)(5) of Rule 15c2-12 adopted by the Securities and Exchange Commission.

A review of the District's compliance with its previous continuing disclosure undertakings was conducted and it was found that the District did have instances of failure to comply with such undertakings during the preceding five years. In particular, the District's audited financial statements and annual reports were filed after the date required by the undertaking for the 2006D-2 Installment Purchase Agreement for each of the past five years. The District did not file unaudited financial statements or notices that the annual financial information would be filed late for any of such years. In addition, such annual reports did not include one table ("Revenues By Class of User") required by the undertaking for such obligation. The District filed a

makeup filing on EMMA prior to the date of this Official Statement that included the required table for each of the past five years.

Except as disclosed in the prior paragraph, the District has not in the past five years failed to comply with any previous continuing disclosure undertaking in any material respect. The District has retained Digital Assurance Certification as dissemination agent to ensure compliance with its continuing disclosure filings going forward.

FINANCIAL INTERESTS

The fees being paid to the Underwriter, Bond Counsel, Disclosure Counsel and counsel to the Underwriter, the Trustee and the Escrow Agent are contingent upon the issuance and delivery of the Bonds. From time to time, Bond Counsel represents the Underwriter on matters unrelated to the Bonds.

MISCELLANEOUS

Insofar as any statements made in this Official Statement involve matters of opinion or of estimates, whether or not expressly stated, they are set forth as such and not as representations of fact. No representation is made that any of such statements made will be realized. Neither this Official Statement nor any statement which may have been made verbally or in writing is to be construed as a contract with the Owners of the 2016A Bonds.

The execution and delivery of this Official Statement have been duly authorized by the District.

WEST VALLEY WATER DISTRICT

By: _____ /s/Matthew Litchfield
General Manager

APPENDIX A
FINANCIAL STATEMENTS

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West Valley Water District
Comprehensive Annual Financial Report
For the Year Ended June 30, 2015



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Comprehensive Annual Financial Report

For the Year Ended June 30, 2015

WEST VALLEY WATER DISTRICT

855 W. Baseline Road
Rialto, California 92376

Prepared by:

Suzanne Cook, Interim Chief Financial Officer
West Valley Water District Accounting Department

Our Mission Statement

“To provide a reliable, safe drinking water supply to meet our customers’ present and future needs at a reasonable cost and to promote water-use efficiency and conservation”

Board of Directors as of June 30, 2015

Name	Title	Elected / Appointed	Current Term
Betty Gosney	President	Elected	12/11 - 11/15
Earl Tillman, Jr.	Vice President	Elected	12/11 - 11/15
Alan G. Dyer	Director	Elected	12/11 - 11/15
Linda Gonzalez	Director	Elected	11/13 - 11/17
Dr. Clifford O. Young, Sr.	Director	Elected	11/13 - 11/17

**West Valley Water District
Thomas J. Crowley, P.E., General Manager
855 W. Baseline Road
Rialto, California 92376
(909) 875-1804 – www.wvwd.org**

**West Valley Water District
Comprehensive Annual Financial Report
For the Year Ended June 30, 2015**

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INTRODUCTORY SECTION

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December 31, 2015

Board of Directors
West Valley Water District

Introduction

It is our pleasure to submit the Comprehensive Annual Financial Report for the West Valley Water District for the fiscal year ended June 30, 2015, following guidelines set forth by the Governmental Accounting Standards Board. District staff prepared this financial report. The District is ultimately responsible for both the accuracy of the data and the completeness and the fairness of presentation, including all disclosures in this financial report. We believe that the data presented is accurate in all material respects. This report is designed in a manner that we believe necessary to enhance your understanding of the District's financial position and activities.

Generally Accepted Accounting Principles (GAAP) requires that management provide a narrative introduction, overview and analysis to accompany the financial statements in the form of the Management's Discussion and Analysis (MD&A) section. This letter of transmittal is designed to complement the MD&A and should be read in conjunction with it. The District's MD&A can be found immediately after the Independent Auditor's Report.

District Structure and Leadership

The West Valley Water District is an independent special district, which operates under the authority of Division 12 of the California Water Code. The District was formed in 1952 and is governed by a five-member Board of Directors, elected at-large from within the District's service area. The General Manager administers the day-to-day operations of the District in accordance with policies and procedures established by the Board of Directors. The District employs approximately 60 regular employees organized in 25 departments. The District's Board of Directors meets on the first and third Thursdays of each month. Meetings are publicly noticed and citizens are encouraged to attend.

The District provides water service to approximately 20,000 customers within its thirty-one (31) square-mile service area, located in Southwestern San Bernardino County with a small area of Northwestern Riverside County. The District encompasses one half of the City of Rialto, portions of Bloomington, Colton, Fontana, Jurupa Valley, and some of the unincorporated areas of San Bernardino and Riverside counties.

District Services

Residential customers represent approximately 93% of the District's customer base and consume approximately 68% of the water produced annually by the District. The District currently has a total of 17 groundwater wells with a maximum production capacity of 24,305 gallons per minute.

Economic Condition and Outlook

The District's office is located in the City of Rialto in San Bernardino County. San Bernardino and Riverside counties (Inland Empire) have witnessed an increase in economic activity as development is continuing to recover from the recent recession. Service connections have increased approximately 2%.

Economic Condition and Outlook, continued

The District's source of water production comes from various sources which include: 1) local water from several groundwater basins, 2) surface water from Lytle Creek in the San Bernardino Mountains, and 3) the California State Water Project – Silverwood Lake. The District teamed up with the City of Rialto to construct a state-approved biological treatment process “bio-remediation” that employs naturally occurring micro-organisms to remove perchlorate and other contaminants in the basins drinking water supplies as well as reduce the need for waste handling and disposal in a cost effective manner. West Valley Water District considers this to be the first major step in a regional undertaking that will ultimately restore the region's groundwater resources.

California's water supply continues to be a concern due to projected population increases, continuance of a drought of past years, the State's aging water infrastructure, and various protected endangered species near our water supplies. On April 1, 2015, Governor Brown issued Executive Order B-28-14, which included the State Water Resources Control Board (SWRCB) to impose restrictions to achieve a 25 percent reduction in potable urban water usage. The District's reduction requirement from SWRCB is 32 percent. The District is continuing to improve its water conservation program through public education and conservation incentives.

Major Initiatives

The activities of the Board and staff of the District are driven by its Mission Statement: “To provide a reliable, safe drinking water supply to meet our customers' present and future needs at a reasonable cost and to promote water-use efficiency and conservation”. The strategic goals adopted by the Board of Directors are:

1. We know that we exist to serve the water needs of our customers. We are committed to treating every customer with dignity, respect and courtesy. We take the initiative to develop customer services, systems and programs that are designed for the benefit, education and convenience of our customers and their families.
2. To preserve district water rights, explore new sources and optimize ground and surface water production.
3. To provide the financial conditions necessary to secure the components needed for ongoing effectiveness and industry excellence. We will facilitate the vision by superior financial planning and resourcefulness in a manner consistent with managing the public's funds to ensure financial stability and to demonstrate responsible stewardship.
4. Designing and implementing an effective human resource strategy for developing staff that reflects the reality that strong and growing individuals are essential to achieving our vision. Broader than training, this strategy is designed to meet each staff wherever they are in their development and to assist them in achieving their next growth steps.
5. To continually keep our technology, our business processes and our management systems at optimum levels of effectiveness.
6. To nurture strategic alliances with local and regional partners in the water industry community of the Inland Empire as well as several State and Federal organizations.
7. To promote efficient use of water and to implement a conservation program of educational information and other incentives that encourage wise use of water.

All programs and operations of the District are developed and performed to provide the highest level of services to its customers.

Accomplishments

To assist the board of directors in meeting their strategic mission for our District, staff achieved the following initiatives in fiscal year 2015:

1. In 2010, California public health officials awarded \$10 million in grant funds to West Valley Water District for the construction of the unique and innovative Bioremediation groundwater treatment project. Construction of the facility was completed and the plant is currently in its testing and permitting phase during 2014-2015.
2. For the fourth consecutive year, West Valley Water District received the Certificate of Achievement for Excellence in Financial Reporting from the Government Finance Officers Association for our 2014 Comprehensive Annual Financial Report; one of the best practices for local governments seeking to provide greater transparency and ease of understanding in financial reporting.
3. Implemented a conservation department to provide classes and educational outreach on conservation strategies and techniques, as well as the rebate programs available by the District, to help conserve water production and meet the State's requirement.
4. Launched a Geotechnical Information Services (GIS) program to provide water line and parcel data in the District's service area. Informational uses of the GIS program can include the ability to assess site environmental conditions, slope stability, groundwater monitoring or dewatering, and so on. A consultant and employee will be hired in the next fiscal year to implement this program.
5. Adopted an updated prudent reserve policy that is designed to ensure adequate reserves to provide a reliable and safe drinking water supply while maintaining District operations.
6. Received \$50,000 in grant funding for construction costs associated with the Bioremediation groundwater treatment plant.

Internal Control Structure

District management is responsible for the establishment and maintenance of the internal control structure that ensures the assets of the District are protected from loss, theft or misuse. The internal control structure also ensures adequate accounting data is compiled to allow for the preparation of financial statements in conformity with generally accepted accounting principles. The District's internal control structure is designed to provide reasonable assurance that these objectives are met. The concept of reasonable assurance recognizes that (1) the cost of a control should not exceed the benefits likely to be derived, and (2) the valuation of costs and benefits requires estimates and judgments by management.

Budgetary Control

The District Board of Directors annually adopts an operating and capital budget prior to the new fiscal year. The budget authorizes and provides the basis for reporting and control of financial operations and accountability for the District's enterprise operations and capital projects. The budget and reporting treatment applied to the District is consistent with the accrual basis of accounting and the financial statement basis.

Investment Policy

The Board of Directors has adopted an investment policy that conforms to state law, District ordinance and resolutions, prudent money management, and the "prudent person" standards. The objective of the Investment Policy is safety, liquidity and yield. District funds are invested in the State Treasurer's Local Agency Investment Fund and institutional savings and checking accounts.

Other Post Employment Benefits Pre-funding

In the fiscal year 2014, the District began participating in a program to pre-fund the cost of its post-employment benefits plan through the California Public Employees Retirement System (CalPERS) Trust. The District established an account, however, is not currently funding the program.

Water Rates and District Revenues

In January, 2015, the third of five annual 15% rate increases became effective. This applied to both consumption and monthly service charges. In 2013, the District changed its rate structure from uniform rates to tiered rates. Water rates are composed of a commodity (usage) charge and a fixed meter (readiness-to-serve) charge. The District determined that the rates effective January 1, 2015 are sufficient to maintain safe operations and rescinded the 2016 and 2017 increases.

Water Conservation Programs

West Valley Water District has always been committed to conservation; however, due to the Executive Order issued on April 1, 2015, the District adopted new regulations in conformity with the state and instituted new rebate and educational programs that can help everyone become more efficient in their water usage, and assist in reaching the 25 percent statewide potable water use reduction. The District also offers Water Audits to assist customers with water efficiency.

Independent Audit and Financial Reporting

State Law and Bond covenants require the District to obtain an annual audit of its financial statements by an independent certified public accountant. The accounting firm of the Pun Group, LLP has conducted the audit of the District's financial statements. Their unmodified Independent Auditor's Report appears in the Financial Section.

Risk Management

The District is a member of the Association of California Water Agencies Joint Power Insurance Authority (Authority). The purpose of the Authority is to arrange and administer programs of insurance for the pooling of self-insured losses and to purchase excess insurance coverage. The District's Risk Management department provides staff with regular safety training each month as part of the District's safety program.

Technological Advance in Customer Service

The District continues to make significant improvements to its Customer Service Department, which has improved customer convenience. Customers now have the option to pay their bills using their touchtone phone (the Interactive Voice Response System), at the District office, at two satellite locations, with a major credit card or on the District's website, by automatic checking or savings account debit by enrollment in the auto-pay program, or at the drop boxes at the District office. All of these features are available in English and Spanish.

Other References

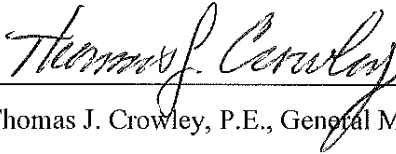
More information is contained in the Management's Discussion and Analysis and in the Notes to the Basic Financial Statements found in the Financial Section of the report.

Awards and Acknowledgements

The Government Finance Officers Association of the United States and Canada's (GFOA) awarded the *Certificate of Achievement for Excellence in Financial Reporting* to the District for its Comprehensive Annual Financial Report (CAFR) for the fiscal year ended June 30, 2014. This was the District's fourth year for submission for the award. To be awarded a Certificate of Achievement, a governmental unit must publish an easily readable and efficiently organized CAFR. The report must satisfy both generally accepted accounting principles and applicable legal requirements.

Preparation of this report was accomplished by the combined efforts of District staff. We appreciate the dedicated efforts and professionalism that these staff members contribute to the District. We would also like to thank the members of the Board of Directors for their continued support in planning and implementation of the West Valley Water District's fiscal policies.

Respectfully submitted,

A handwritten signature in cursive script, reading "Thomas J. Crowley". The signature is written in black ink and is positioned above a horizontal line.

Thomas J. Crowley, P.E., General Manager

Board of Directors

A five member Board of Directors are elected by the Rialto area to set policy and govern the District.
Currently the Board of Directors are:



**Betty Gosney
(President)**



**Alan Dyer
(Director)**



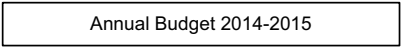
**Linda Gonzalez
(Director)**



**Earl Tillman Jr.
(Vice-President)**



**Dr. Clifford O. Young, Sr.
(Director)**





Government Finance Officers Association

**Certificate of
Achievement
for Excellence
in Financial
Reporting**

Presented to

**West Valley Water District
California**

For its Comprehensive Annual
Financial Report
for the Fiscal Year Ended

June 30, 2014

Executive Director/CEO

FINANCIAL SECTION

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INDEPENDENT AUDITORS' REPORT

To the Board of Directors
of the West Valley Water District
Rialto, California

Report on the Financial Statements

We have audited the accompanying financial statements of the West Valley Water District (District), which comprise of the balance sheet as of June 30, 2015, and the related statements of revenues, expenses and change in net position, and cash flows, for the year then ended and the related notes to the financial statements, which collectively comprise the District's basic financial statements.

Management's Responsibility for the Financial Statements

Management is responsible for the preparation and fair presentation of these financial statements in accordance with accounting principles generally accepted in the United States of America; this includes the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

Auditor's Responsibility

Our responsibility is to express an opinion on these financial statements based on our audit. We conducted our audit in accordance with auditing standards generally accepted in the United States of America and the standards applicable to financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on the auditor's judgment, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the entity's preparation and fair presentation of the financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control. Accordingly, we express no such opinion. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Opinion

In our opinion, the financial statements referred to above present fairly, in all material respects, the respective financial position of the District, as of June 30, 2015, and the respective changes in financial position, and, cash flows for the year then ended in accordance with accounting principles generally accepted in the United States of America.

Emphasis of Matter

Implementation of GASB Statements No. 68 and 71

As discussed in Note 1 to the basic financial statements, the District implemented GASB Statement No. 68, *Accounting and Financial Reporting for Pension Plans-an amendment of GASB Statement No. 27*, and GASB Statement No. 71, *Pension Transition for Contributions Made Subsequent to the Measurement Date-an amendment of GASB Statement No. 68*. The adoption of these statements requires retrospective application of previously reported net position at July 1, 2014 as described in Note 9 to the basic financial statements. In addition, Net Pension Liability is reported in the Balance Sheet in the amount of \$4,381,344 as of June 30, 2014, the measurement date as fully disclosed in Note 8 to the basic financial statements. This Net Pension Liability is calculated by actuaries using estimates and actuarial techniques from an actuarial valuation as of June 30, 2013 which was then rolled-forward by the actuaries to June 30, 2014, the measurement date. Our opinion is not modified with respect to this matter.

Other Matters

Required Supplementary Information

Accounting principles generally accepted in the United States of America require that the Management's Discussion and Analysis on pages 17 through 21 and the Schedule of Proportionate Share of the Net Pension Liability, Schedule of Contributions, and Schedule of Funding Progress on Other Post-Employment Benefit Plan, are on pages 59 to 61 respectfully, be presented to supplement the basic financial statements. Such information, although not a part of the basic financial statements, is required by Government Accounting Standards Board, who considers it to be an essential part of financial reporting for placing the basic financial statements in an appropriate operational, economic, or historical context. We have applied certain limited procedures to the required supplementary information in accordance with auditing standards generally accepted in the United States of America, which consisted of inquiries of management about the methods of preparing the information and comparing the information for consistency with management's responses to our inquiries, the basic financial statements, and other knowledge we obtained during our audit of the basic financial statements. We do not express an opinion or provide any assurance on the information because the limited procedures do not provide us with sufficient evidence to express an opinion or provide any assurance.

Supplementary Information

Our audit was conducted for the purpose of forming an opinion on the financial statements that collectively comprise the District's basic financial statements as a whole. The supplementary information on pages 65 through 67 is presented for purposes of additional analysis and is not a required part of the basic financial statements. The supplementary information is the responsibility of management and was derived from and relates directly to the underlying accounting and other records used to prepare the basic financial statements. The information has been subjected to the auditing procedures applied in the audit of the basic financial statements and certain additional procedures, including comparing and reconciling such information directly to the underlying accounting and other records used to prepare the basic financial statements or to the basic financial statements themselves, and other additional procedures in accordance with auditing standards generally accepted in the United States of America. In our opinion, the information is fairly stated in all material respects in relation to the basic financial statements taken as a whole.

Other Information

Our audit was conducted for the purpose of forming opinions on the financial statements that collectively comprise the District's basic financial statements as a whole. The introductory and the statistical sections are presented for purposes of additional analysis and are not required parts of the basic financial statements. The introductory and statistical sections have not been subjected to the auditing procedures applied in the audit of the basic financial statements and, accordingly, we do not express an opinion or provide any assurance on them.

Other Reporting Required by *Government Auditing Standards*

In accordance with *Government Auditing Standards*, we have also issued our report dated December 31, 2015, on our consideration of the District's internal control over financial reporting and on our tests of its compliance with certain provisions of laws, regulations, contracts, and grant agreements and other matters. The purpose of that report is to describe the scope of our testing of internal control over financial reporting and compliance and the results of that testing, and not to provide an opinion on internal control over financial reporting or on compliance. That report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering the District's internal control over financial reporting and compliance.

The Pw Group, LLP

Santa Ana, California
December 31, 2015

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**REPORT ON INTERNAL CONTROL OVER FINANCIAL REPORTING
AND ON COMPLIANCE AND OTHER MATTERS BASED ON AN AUDIT OF FINANCIAL
STATEMENTS PERFORMED IN ACCORDANCE WITH *GOVERNMENT AUDITING STANDARDS***

Independent Auditors' Report

To the Board of Directors
of the West Valley Water District
Rialto, California

We have audited, in accordance with the auditing standards generally accepted in the United States of America and the standards applicable to financial audits contained in *Government Auditing Standards* issued by the Comptroller General of the United States, the balance sheet as of June 30, 2015, and the related statements of revenues, expenses and changes in net position, and cash flows, for the year then ended and the related notes to the financial statements, which collectively comprises the District's basic financial statements, and have issued our report thereon dated December 31, 2015.

Internal Control Over Financial Reporting

In planning and performing our audit of the financial statements, we considered District's internal control over financial reporting (internal control) to determine the audit procedures that are appropriate in the circumstances for the purpose of expressing our opinions on the financial statements, but not for the purpose of expressing an opinion on the effectiveness of District's internal control. Accordingly, we do not express an opinion on the effectiveness of District's internal control.

A deficiency in internal control exists when the design or operation of a control does not allow management or employees, in the normal course of performing their assigned functions, to prevent, or detect and correct, misstatements on a timely basis. A *material weakness* is a deficiency, or a combination of deficiencies, in internal control, such that there is a reasonable possibility that a material misstatement of the entity's financial statements will not be prevented, or detected and corrected on a timely basis. A *significant deficiency* is a deficiency, or a combination of deficiencies, in internal control that is less severe than a material weakness, yet important enough to merit attention by those charged with governance.

Our consideration of internal control was for the limited purpose described in the first paragraph of this section and was not designed to identify all deficiencies in internal control that might be material weaknesses or, significant deficiencies. Given these limitations, during our audit we did not identify any deficiencies in internal control that we consider to be material weaknesses. However, material weaknesses may exist that have not been identified.

Compliance and Other Matters

As part of obtaining reasonable assurance about whether the District's financial statements are free from material misstatement, we performed tests of its compliance with certain provisions of laws, regulations, contracts, and grant agreements, noncompliance with which could have a direct and material effect on the determination of financial statement amounts. However, providing an opinion on compliance with those provisions was not an objective of our audit, and accordingly, we do not express such an opinion. The results of our tests disclosed no instances of noncompliance or other matters that are required to be reported under *Government Auditing Standards*.

To the Board of Directors
of the West Valley Water District
Rialto, California
Page 2

Purpose of this Report

The purpose of this report is solely to describe the scope of our testing of internal control and compliance and the results of that testing, and not to provide an opinion on the effectiveness of the entity's internal control or on compliance. This report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering the entity's internal control and compliance. Accordingly, this communication is not suitable for any other purpose.

A handwritten signature in black ink that reads "The PwC Group, LLP". The signature is written in a cursive, flowing style.

Santa Ana, California
December 31, 2015

West Valley Water District
Management's Discussion and Analysis
For the Year Ended June 30, 2015

The management of the West Valley Water District (District) presents the District's financial statements with a narrative overview and analysis of the financial activities for the fiscal year ended June 30, 2015. We encourage readers to consider the information presented here in conjunction with the audited financial statements which follow this section.

Financial Highlights

- The District's net position increased approximately \$1.1 million, from \$106.9 million to \$108.1 million or 1.09% after the restatement of \$(4,980,634) due to the implementation of GASB 68 and 71.
- The District's operating revenues increased 9.19%, or \$2,104,248, due primarily to increases in water consumption sales and services. The increases in water consumption sales and service charges were primarily driven by the effect of the prior year's rate increase.
- The District's operating expenses before depreciation increased 0.23%, or \$39,229, primarily due to the net effect of an increase of \$9,180 in source of supply expenses, decrease of \$(307,565) in water treatment expenses, a \$12,065 increase in water treatment expense, an increase of \$219,229 in transmission and distribution expense, an increase of \$69,028 in customer account expenses, an increase of \$154,444 in conservation expense, a decrease of \$(34,587) in bio-remediation expense and a \$(82,565) decrease in general and administrative expenses.
- The District's non-operating revenues increased 21.62%, or \$352,584, primarily due to an increase of \$199,365 in property tax revenue, and \$167,773 in other non-operating revenues.
- The District's non-operating expenses decreased 3.95%, or \$(48,040), primarily due to the decrease of interest expense related to long-term debt.
- The District had a net income before capital contributions of \$1,202,641.

Overview of the Financial Statements

This discussion and analysis serves as an introduction to the District's financial statements. The District's financial statements comprise two components: 1) fund financial statements and 2) notes to the financial statements. This report also contains other supplementary information in addition to the financial statements themselves.

The *balance sheet* presents information on all of the District's assets, deferred outflows of resources, liabilities, and deferred inflows of resources with the difference between the four reported as net position. Over time, increases or decreases in net position may serve as a useful indicator of whether the financial position of the District is improving or deteriorating.

The *statement of revenues, expenses and changes in net position* presents information showing how net position changed during the most recent fiscal year. All changes in net position are reported as soon as the underlying event giving rise to the change occurs, regardless of the timing of related cash flows. Thus, revenues and expenses are reported in this statement for some items that will only result in cash flows in future fiscal periods (e.g., earned but unused vacation leave).

The *statement of cash flows* presents information showing the sources and uses of cash related to operating activities, noncapital financing activities, capital and related financing activities and investing activities. In addition, the statement provides information about significant non-cash investing, capital and financing activities.

West Valley Water District
Management's Discussion and Analysis (Continued)
For the Year Ended June 30, 2015

Notes to the financial statements provide additional information that is essential to a full understanding of the data provided in the fund financial statements.

Combining Schedule of Net Position presents information on all of the District's assets, deferred outflows of resources, liabilities and deferred inflows of resources with the difference between the four reported as net position by activity and is presented immediately following the notes to the financial statements.

Combining Schedule of Revenues, Expenses, and Changes in Net Position presents how net position changed during the year by activity and is presented immediately following the notes to the financial statements.

Financial Analysis

As noted earlier, net position may serve over time as a useful indicator of a government's financial position. In the case of the District, assets exceeded liabilities by \$108.1 million and \$106.9 million as of June 30, 2015 and 2014, respectively.

The largest portion of the District's net position during June 30, 2015 and 2014 (81%) for both years, reflects its investment in capital assets (e.g., land, buildings, machinery, and equipment); less any related debt used to acquire those assets that is still outstanding. The District uses these capital assets to provide services to citizens; consequently, these assets are not available for future spending. Although the District's investment in its capital assets is reported net of related debt, it should be noted that the resources needed to repay this debt must be provided from other sources, since the capital assets themselves cannot be used to liquidate these liabilities.

At the end of the current fiscal year, the District is able to report positive balance in its unrestricted net position of \$9,219,049 after the implementation of GASB 68 and 71. See notes 8 and 9 for further information.

Condensed Balance Sheets

	<u>June 30, 2015</u>	<u>June 30, 2014</u>	<u>Change</u>
Assets:			
Current assets	\$ 29,512,825	\$ 19,605,687	\$ 9,907,138
Noncurrent assets	15,740,075	23,086,725	(7,346,650)
Capital assets, net	112,773,459	112,736,350	37,109
Total assets	<u>158,026,359</u>	<u>155,428,762</u>	<u>2,597,597</u>
Deferred outflows of resources	698,486	-	698,486
Total assets and deferred outflows of resources	<u>\$ 158,724,845</u>	<u>\$ 155,428,762</u>	<u>\$ 3,296,083</u>
Liabilities:			
Current liabilities	6,054,556	6,381,345	(326,789)
Noncurrent liabilities	43,352,343	42,062,895	1,289,448
Total liabilities	<u>49,406,899</u>	<u>48,444,240</u>	<u>962,659</u>
Deferred inflows of resources	1,171,242	-	1,171,242
Net position:			
Net investment in capital assets	87,693,459	86,581,350	1,112,109
Restricted	11,234,196	5,385,087	5,849,109
Unrestricted	9,219,049	15,018,085	(5,799,036)
Total net position	<u>108,146,704</u>	<u>106,984,522</u>	<u>1,162,182</u>
Total liabilities, deferred inflows of resources and net position	<u>\$ 158,724,845</u>	<u>\$ 155,428,762</u>	<u>\$ 3,296,083</u>

West Valley Water District
Management's Discussion and Analysis (Continued)
For the Year Ended June 30, 2015

Condensed Statements of Revenues, Expenses, and Changes in Net Position

	<u>June 30, 2015</u>	<u>June 30, 2014</u>	<u>Change</u>
Revenues:			
Operating revenues	\$ 25,012,159	\$ 22,907,911	\$ 2,104,248
Non-operating revenues	1,983,506	1,630,922	352,584
Total revenues	<u>26,995,665</u>	<u>24,538,833</u>	<u>2,456,832</u>
Expenses:			
Operating expenses	17,034,621	16,995,392	39,229
Depreciation	7,589,826	7,554,520	35,306
Non-operating expenses	1,168,577	1,216,617	(48,040)
Total expenses	<u>25,793,024</u>	<u>25,766,529</u>	<u>26,495</u>
Change in net position	1,202,641	(1,227,696)	2,430,337
Capital contributions	<u>4,940,175</u>	<u>4,283,248</u>	<u>656,927</u>
Change in net position	6,142,816	3,055,552	3,087,264
Net position:			
Beginning of year	106,984,522	103,928,970	3,055,552
Prior period adjustment	(4,980,634)	-	(4,980,634)
End of year	<u>\$ 108,146,704</u>	<u>\$ 106,984,522</u>	<u>\$ 1,162,182</u>

The statement of revenues, expenses, and changes of net position shows how the District's net position changed during the year. In the case of the District, the net position increased by \$6,142,816 in 2015.

In 2015, a closer examination of the sources of changes in net position reveals that:

- The District's net position increased approximately \$1.1 million, from \$106.9 million to \$108.1 million or 1.09%. This was primarily due to the net effect of an increase in revenues of \$2.4 million, an increase in expenses of \$26,495, increase in capital contributions of \$656,924 and the recognition of net pension expense of \$481,838 due to the implementation of Government Accounting Standards Board (GASB) 68 for the current period (Note 8) and \$(4,980,634) as a prior period adjustment (Note 9).
- The District had a net income before capital contributions of \$1,202,641.
- The District's operating revenues increased 9.19%, or \$2,104,248, due primarily to increases in water consumption sales and services. The increases in water consumption sales and service charges were primarily driven by the effect of the prior year's rate increase.
- The District's operating expenses before depreciation increased 0.23%, or \$39,229, primarily due to the net effect of an increase of \$9,180 in source of supply expenses, decrease of \$(307,565) in water treatment expenses, a \$12,065 increase in water treatment expense, an increase of \$219,229 in transmission and distribution expense, an increase of \$69,028 in customer account expenses, an increase of \$154,444 in conservation expense, a decrease of \$(34,587) in bio-remediation expense and a \$(82,565) decrease in general and administrative expenses.
- The District's non-operating revenues increased 21.62%, or \$352,584, primarily due to an increase of \$199,365 in property tax revenue, and \$167,773 in other non-operating revenues.
- The District's non-operating expenses decreased 3.95%, or \$(48,040), primarily due to decreases of interest expense related to long-term debt.

West Valley Water District
Management's Discussion and Analysis (Continued)
For the Year Ended June 30, 2015

Total District Revenues

	<u>June 30, 2015</u>	<u>June 30, 2014</u>	<u>Change</u>
Operating revenues:			
Water consumption sales	\$ 16,246,445	\$ 15,715,734	\$ 530,711
Water service charges	6,061,174	5,214,461	846,713
Other operating revenue	2,704,540	1,977,716	726,824
Total operating revenues	<u>25,012,159</u>	<u>22,907,911</u>	<u>2,104,248</u>
Non-operating revenues:			
Property taxes	1,658,936	1,459,571	199,365
Interest and investment earnings	65,371	64,380	991
Rental revenue	32,207	26,746	5,461
Gain(loss) on sale of capital asset	24,644	45,650	(21,006)
Other non-operating revenue, net	202,348	34,575	167,773
Total non-operating revenues	<u>1,983,506</u>	<u>1,630,922</u>	<u>352,584</u>
Capital contributions:			
Capital grant	50,000	-	-
Developer contributions	3,977,745	430,248	3,547,497
Facility charges	912,430	3,853,000	(2,940,570)
Total capital contributions	<u>4,940,175</u>	<u>4,283,248</u>	<u>606,927</u>
Total revenues	<u>\$ 31,935,840</u>	<u>\$ 28,822,081</u>	<u>\$ 3,063,759</u>

In 2015, total District revenues increased by \$3,063,759 primarily due to an increase of \$2,104,248 in operating revenues, an increase of \$352,584 in non-operating revenues and an increase of \$606,927 in capital contributions.

Total District Expenses

Operating expenses:			
Source of supply	\$ 960,369	\$ 951,189	\$ 9,180
Pumping	4,524,032	4,831,597	(307,565)
Water treatment	1,680,613	1,668,548	12,065
Transmission and distribution	1,907,194	1,687,965	219,229
Customer accounts	2,104,526	2,035,498	69,028
Conservation	383,739	229,295	154,444
Bio-remediation	308,193	342,780	(34,587)
General and administrative	5,165,955	5,248,520	(82,565)
Depreciation expense	7,268,297	7,232,991	35,306
Amortization of water participation rights	321,529	321,529	-
Total operating expenses	<u>24,624,447</u>	<u>24,549,912</u>	<u>74,535</u>
Non-operating expenses:			
Interest expense	1,148,837	1,196,877	(48,040)
Debt administration expense	19,740	19,740	-
Total non-operating expenses	<u>1,168,577</u>	<u>1,216,617</u>	<u>(48,040)</u>
Total expenses	<u>\$ 25,793,024</u>	<u>\$ 25,766,529</u>	<u>\$ 26,495</u>

In 2015, total District expenses increased by \$26,495, primarily due to increases of \$74,535 in operating expenses which were offset by decreases of \$(48,040) in non-operating expenses.

West Valley Water District
Management's Discussion and Analysis (Continued)
For the Year Ended June 30, 2015

Capital Asset Administration

The District's capital assets (net of accumulated depreciation) as of June 30, 2015 and 2014 were in the amounts of \$112,773,459 and \$112,736,350, respectively. This includes land and land rights, transmission and distribution systems, wells, tanks, reservoirs, pumps, building and structures, equipment, vehicles and construction-in-process. In 2015, various capital projects were finalized and added to capital assets. See note 3 for further information.

	<u>June 30, 2015</u>	<u>June 30, 2014</u>
Non-depreciable assets	\$ 9,694,787	\$ 8,342,202
Depreciable assets	169,861,717	163,965,312
Accumulated depreciation and amortization	<u>(66,783,045)</u>	<u>(59,571,164)</u>
Total capital assets, net	<u>\$ 112,773,459</u>	<u>\$ 112,736,350</u>

Long-term Debt Administration

At the end of June 30, 2015 and 2014, the District had total long-term debt of \$33,439,750 and \$34,889,866, respectively. In 2015, long-term debt decreased by \$1,450,117 due to principal payments made on the District's outstanding debt.

	<u>June 30, 2015</u>	<u>June 30, 2014</u>
Contract payable	\$ 8,359,750	\$ 8,734,866
Bonds payable	<u>25,080,000</u>	<u>26,155,000</u>
Total long-term debt	<u>\$ 33,439,750</u>	<u>\$ 34,889,866</u>

Additional information on the District's long-term debt can be found in note 6 of this report.

Economic Factors and Next Year's Budgets and Rates

Management is unaware of any conditions that would have a significant impact on the District's financial position, net position, or operating results in future periods.

Requests for Information

This financial report is designed to provide the District's funding sources, customers, stakeholders and other interested parties with an overview of the District's financial operations and financial condition. Should the reader have questions regarding the information included in this report or wish to request additional financial information, please contact the District's Chief Financial Officer at 855 W. Baseline Road, Rialto, CA 92376, by mail at P.O. Box 920, Rialto, CA 92377 by phone (909) 820-3706.

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BASIC FINANCIAL STATEMENTS

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West Valley Water District
Balance Sheet
June 30, 2015

ASSETS

Current assets:

Cash and cash equivalents (note 2)	\$ 11,559,343
Investments (note 2)	14,562,258
Accrued interest receivable	9,578
Accounts receivable – water sales and services, net	1,849,668
Accounts receivable – redevelopment pass-through	41,081
Accounts receivable – other	79,635
Property taxes receivable	16,021
Due from other governments	438,490
Materials and supplies inventory	277,193
Prepaid water	71,745
Prepaid items	607,813
Total current assets	29,512,825

Noncurrent assets:

Restricted – cash and cash equivalents (note 2)	6,722,105
Restricted – accrued interest receivable	1,469
Restricted – assessments receivable	80,302
Water stock – Fontana Union Water Company	1,307
Tax increment pass-through receivable	575,142
Capital assets, net (note 3)	112,773,459
Water participation rights, net (note 4)	8,359,750
Total noncurrent assets	128,513,534
Total assets	158,026,359

DEFERRED OUTFLOWS OF RESOURCES

Deferred outflows of resources:

Employer contributions to pension plan made after measurement date(note 8)	608,372
Changes in employer contributions and differences between proportionate share of pension expense (note 8)	90,114
Total deferred outflows of resources	698,486
Total assets and deferred outflows of resources	\$ 158,724,845

West Valley Water District
Balance Sheet (Continued)
June 30, 2015

LIABILITIES

Current liabilities:

Accounts payable and accrued expenses	\$ 1,656,219
Accrued salaries and related payables	160,733
Pass-through utility user taxes payable	61,395
Customer deposits	1,434,428
Construction advances and deposits	768,841
Accrued interest payable	269,684
Long-term liabilities– due within one year:	
Compensated absences (note 5)	256,727
Contract payable (note 6)	321,529
Bonds payable (note 6)	1,125,000
Total current liabilities	6,054,556

Noncurrent liabilities:

Deferred revenue – developers	587,587
Deferred revenue – tax increment pass-through	575,142
Long-term liabilities– due in more than one year:	
Compensated absences (note 5)	315,049
Contract payable (note 6)	8,038,221
Bonds payable (note 6)	23,955,000
Net other post-employment benefits payable (note 7)	5,500,000
Net pension liability (note 8)	4,381,344
Total noncurrent liabilities	43,352,343
Total liabilities	49,406,899

DEFERRED INFLOWS OF RESOURCES

Deferred inflows of resources:

Differences between projected and actual earnings on pension plan investments (note 8)	1,120,433
Recognized portion of adjustment due to differences in proportions (note 8)	50,809
Total deferred inflows of resources	1,171,242

NET POSITION

Net position:

Net investment in capital assets (note 10)	87,693,459
Restricted – capital projects	5,360,944
Restricted – debt service	5,873,252
Unrestricted	9,219,049
Total net position	108,146,704
Total liabilities, deferred inflows of resources and net position	\$ 158,724,845

West Valley Water District
Statement of Revenues, Expenses and Changes in Net Position
For the Year Ended June 30, 2015

Operating revenues:	
Water consumption sales	\$ 16,246,445
Water service charges	6,061,174
Other operating revenue	2,704,540
Total operating revenues	<u>25,012,159</u>
Operating expenses:	
Source of supply	960,369
Pumping	4,524,032
Water treatment	1,680,613
Transmission and distribution	1,907,194
Customer accounts	2,104,526
Conservation	383,739
Bio-remediation	308,193
General and administrative	5,165,955
Total operating expenses	<u>17,034,621</u>
Operating income before depreciation	7,977,538
Depreciation expense	(7,268,297)
Amortization of water participation rights	(321,529)
Operating income	<u>387,712</u>
Non-operating revenues(expenses):	
Property taxes	1,658,936
Interest and investment earnings	65,371
Rental revenue	32,207
Gain on sale of capital assets, net	24,644
Interest expense	(1,148,837)
Debt administration expense	(19,740)
Other non-operating revenue, net	202,348
Total non-operating revenues, net	<u>814,929</u>
Net income before capital contributions	1,202,641
Capital contributions:	
Capital grant	50,000
Developer contributions	3,977,745
Facility charges	912,430
Total capital contributions	<u>4,940,175</u>
Change in net position	6,142,816
Net position:	
Beginning of year	106,984,522
Prior period adjustment (note 9)	(4,980,634)
End of year	<u><u>\$ 108,146,704</u></u>

West Valley Water District
Statement of Cash Flows
For the Year Ended June 30, 2015

Cash flows from operating activities:

Cash receipts from customers for water sales and services	\$ 25,150,338
Cash paid to employees for salaries and benefits	(4,480,584)
Cash paid to vendors and suppliers for materials and services	(10,482,013)

Net cash provided operating activities	10,187,741
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Cash flows from non-capital financing activities:

Proceeds from property taxes	1,671,411
Rental revenue	32,207
Debt administration expense	(19,740)

Net cash provided by non-capital financing activities	1,683,878
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Cash flows from capital and related financing activities:

Acquisition and construction of capital assets	(7,315,362)
Proceeds from capital grant	50,000
Proceeds from capital contributions	327,140
Proceeds from facility charges	912,430
Proceeds from sale of capital assets	24,644
Principal paid	(1,450,117)
Interest paid	(1,159,800)

Net cash (used in) capital and related financing activities	(8,611,065)
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Cash flows from investing activities:

Proceeds from sales and maturities of investments	26,000,000
Purchases of investments	(26,980,782)
Proceeds from interest and investment earnings	61,291

Net cash (used in) investing activities	(919,491)
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Net increase in cash and cash equivalents	2,341,063
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Cash and cash equivalents:

Beginning of year	15,940,385
End of year	\$ 18,281,448

Reconciliation of cash and cash equivalents to balance sheet:

Cash and cash equivalents	11,559,343
Restricted – cash and cash equivalents	6,722,105
Total cash and cash equivalents	\$ 18,281,448

West Valley Water District
Statement of Cash Flows (Continued)
For the Year Ended June 30, 2015

Reconciliation of operating income to net cash provided by operating activities:	
Operating income	\$ 387,712
Adjustments to reconcile operating income to net cash provided by operating activities	
Depreciation expense	7,268,297
Amortization of water participation rights	321,529
Other non-operating revenue, net	202,348
Changes in assets – (increase)decrease:	
Accounts receivable – water sales and services, net	138,179
Accounts receivable – other	(28,885)
Prepaid water	12,475
Prepaid items	199,708
Change in deferred outflows of resources – (increase)decrease:	
Employer contributions to pension plan made after measurement date	(167,275)
Changes in employer contributions and differences between proportionate share of pension expense	32,183
Changes in liabilities – increase(decrease):	
Accounts payable and accrued expenses	(110,283)
Accrued salaries and related payables	21,453
Customer deposits	(17,205)
Construction advances and deposits	(109,238)
Compensated absences	2,993
Other post-employment obligation	862,508
Change in deferred inflows of resources – increase(decrease):	
Recognized net differences between projected and actual earnings on pension plan investments	1,120,433
Recognized portion of adjustment due to differences in proportions	50,809
Total adjustments	9,800,029
Net cash provided by operating activities	\$ 10,187,741
Non-cash investing, capital and financing transactions:	
Change in fair-value of investments	\$ 2,023

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NOTES TO THE BASIC FINANCIAL STATEMENTS

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West Valley Water District
Notes to the Basic Financial Statements
For the Year Ended June 30, 2015

Note 1 – Reporting Entity and Summary of Significant Accounting Policies

Organization and Operations of the Reporting Entity

Established on January 8, 1952, the West Valley Water District is located in Southwestern San Bernardino County with a small area of Northwestern Riverside County. The District's service area is approximately 31 square miles. The District uses 360 miles of water mains to provide water to approximately 20,000 customers. The District is governed by a five-member Board of Directors who serve overlapping four-year terms.

The West End Water Development, Treatment and Conservation Joint Powers Authority (Authority) was formed on April 7, 1989, pursuant to the provisions of Article I, Chapter S, Division 7, Title 1 of the California Government Code. The Authority is deemed to be a component unit of the West Valley Water District, City of Rialto and the Municipal Water Department of the City of San Bernardino. The District's portion of the Authority has been included in these financial statements using the blended method of reporting. The Authority has had no activity in the past 10 years and reports no assets or liabilities.

Assessment District No. 97-1 (Crestmore Heights Mutual Water Company) was established to provide financing for construction and improvement of the water system. The District provides administrative duties such as placing assessments on the County tax rolls and submitting payments to the trustee (Rural Development, U.S. Department of Agriculture, Farmers Home Administration) for the assessment bond holders. Accordingly, the accounts and transactions of Assessment District No. 97-1 have been combined with that of the District's financial statements.

The criteria used in determining the scope of the financial reporting entity is based on the provisions of Governmental Accounting Statements No. 61, *The Financial Reporting Entity*. The District is the primary governmental unit based on the foundation of a separately elected governing board that is elected by the citizens in a general popular election. Component units are legally separate organizations for which the elected officials of the primary government are financially accountable. The District is financially accountable if it appoints a voting majority of the organization's governing body and: 1) It is able to impose its will on that organization, or 2) There is a potential for the organization to provide specific financial benefits to, or impose specific financial burdens on, the primary government.

Basis of Accounting and Measurement Focus

The District reports its activities as an enterprise fund, which is used to account for operations that are financed and operated in a manner similar to a private business enterprise, where the intent of the District is that the costs of providing water to its service area on a continuing basis be financed or recovered primarily through user charges (water sales), capital grants and similar funding. Revenues and expenses are recognized on the full accrual basis of accounting. Revenues are recognized in the accounting period in which they are earned and expenses are recognized in the period incurred, regardless of when the related cash flows take place.

The financial statements are reported using the "*economic resources*" measurement focus and the accrual basis of accounting. Revenues are recorded when earned and expenses are recorded when a liability is incurred, regardless of the timing of related cash flows. Grants and similar items are recognized as revenue as all eligibility requirements have been met. Interest associated with the current fiscal period is considered to be susceptible to accrual and so has been recognized as revenue of the current fiscal period.

Operating revenues and expenses, such as water sales and water purchases, result from exchange transactions associated with the principal activity of the District. Exchange transactions are those in which each party receives and gives up essentially equal values. Management, administration, and depreciation expenses are also considered operating expenses. Other revenues and expenses, not included in the above categories, are reported as non-operating revenues and expenses.

West Valley Water District
Notes to the Basic Financial Statements (Continued)
For the Year Ended June 30, 2015

Note 1 – Reporting Entity and Summary of Significant Accounting Policies (Continued)

Basis of Accounting and Measurement Focus (Continued)

In accordance with GASB Statement No. 63, *Financial Reporting of Deferred Outflows of Resources, Deferred Inflow of Resources, and Net Position*, the Statement of Net Position reports separate sections for Deferred Outflows of Resources, and Deferred Inflows of Resources, when applicable.

Deferred Outflows of Resources represent outflows of resources (consumption of net position) that apply to future periods and that, therefore, will not be recognized as an expense until that time.

Deferred Inflows of Resources represent inflows of resources (acquisition of net position) that apply to future periods and that, therefore, will not be recognized as revenue until that time

Basis of Presentation

The District's financial statement presentation have been prepared in conformity with accounting principles generally accepted in the United States of America (GAAP), as applied to enterprise funds. The Governmental Accounting Standards Board (GASB) is the accepted standard-setting body for establishing governmental accounting and financial reporting standards.

Use of Estimates

The preparation of the basic financial statements in conformity with generally accepted accounting principles requires management to make estimates and assumptions that affect the reported amounts of assets and liabilities and disclosures of contingent assets and liabilities at the date of the financial statements and the reported changes in net position during the reporting period. Actual results most likely will differ from those estimates.

Cash and Investments

Cash and cash equivalents include all highly liquid investments with original maturities of 90 days or less and are carried at cost, which approximates fair value. Investments are reported at fair value. Changes in fair value that occur during a fiscal year are recognized as investment income reported for that fiscal year. Investment income includes interest earnings, changes in fair value, and any gains or losses realized upon the liquidation or sale of investments.

Restricted Assets

Certain assets of the District are restricted in use by ordinance or debt covenant and, accordingly, are shown as restricted assets on the accompanying balance sheet. Revenue bond reserve funds and construction funds set aside from bond proceeds are restricted for future debt service payments and construction projects. The District uses restricted resources, prior to using unrestricted resources, to pay expenditures meeting the criteria imposed on the use of restricted resources by a third party.

Accounts Receivable and Allowance for Uncollectible Accounts

The District extends credit to customers in the normal course of operations. When management deems customer accounts uncollectible, the District uses the allowance method for the reservation and write-off of those accounts.

West Valley Water District
Notes to the Basic Financial Statements (Continued)
For the Year Ended June 30, 2015

Note 1 – Reporting Entity and Summary of Significant Accounting Policies (Continued)

Materials and Supplies Inventory

Materials and supplies inventory consists primarily of water meters, pipe and pipe fittings for construction and repair to the District's water transmission and distribution system. Inventory is valued at cost using a weighted average method. Inventory items are charged to expense at the time that individual items are withdrawn from inventory or consumed.

Prepaid Items

Certain payments to vendors reflect costs or deposits applicable to future accounting periods and are recorded as prepaid items in the basic financial statements.

Water Stock – Fontana Union Water Company

Over the years, the District has acquired stock in the Fontana Union Water Company in order to obtain water rights within the Company's service area.

Tax Receivable and Unearned Revenue

The District has a tax pass-through agreement with the City of Rialto; whereby, the County of San Bernardino auditor-controller is to pay a portion of the City's incremental tax receipts directly to the District for water-related improvements within the Agua Mansa redevelopment area. Over the past several years, the District has received an annual payment of the revenue that it is entitled to and it is anticipated that the District will continue to collect annual payments through fiscal year 2029. As such, the revenue has been classified as unearned revenue.

Capital Assets

Capital assets acquired and/or constructed are capitalized at historical cost. District policy has set the capitalization threshold for reporting capital assets at \$5,000. Donated assets are recorded at estimated fair market value at the date of donation. Upon retirement or other disposition of capital assets, the cost and related accumulated depreciation are removed from the respective balances and any gains or losses are recognized.

Depreciation is recorded on a straight-line basis over the estimated useful lives of the assets as follows:

Source of supply plant	20 years
Pumping plant	10 – 20 years
Water treatment plant	10 years
Transmission and distribution plant	15 – 60 years
General plant	5 – 20 years

Compensated Absences

The District's personnel policies provide for accumulation of vacation and sick leave. Liabilities for vacation and sick leave are recorded when benefits are earned. Cash payment of unused vacation is available to those qualified employees when retired or terminated.

Construction Advances and Deposits

Construction advances represent deposits received in aid of construction, which are refundable if the applicable construction does not take place. Construction advances are transferred to contributed capital when the applicable construction project is completed.

West Valley Water District
Notes to the Basic Financial Statements (Continued)
For the Year Ended June 30, 2015

Note 1 – Reporting Entity and Summary of Significant Accounting Policies (Continued)

Net Other Post Employment Retirement Benefits Payable

The District provides certain health care benefits for all retired employees that meet eligibility requirements. The District's share of the estimated costs that will be paid after retirement is generally being accrued by charges to expense over the employee's active service periods to the date they are fully eligible for benefits.

Defined Benefit Pension Plans

For purposes of measuring the net pension liability and deferred outflows/inflows of resources related to pensions and pension expense, information about the fiduciary net pension of the District's pension plans and additions to/deductions from the Plan's fiduciary net position have been determined on the same basis as they are reported by CalPERS. For this purpose, benefit payments (including refunds of employee contributions) are recognized when due and payable in accordance with benefit terms. Investments are reported at fair value.

The following timeframes are used for pension reporting:

<u>CalPERS</u>	
Valuation date	June 30, 2013
Measurement date	June 30, 2014
Measurement period	July 1, 2013 to June 30, 2014

Gains and losses related to changes in total pension liability and fiduciary net position are recognized in pension expense systematically over time. The first amortized amounts are recognized in pension expense for the year the gain or loss occurs. The remaining amounts are categorized as deferred outflows and deferred inflows of resources related to pensions and are to be recognized in future pension expense. The amortization period differs depending on the source of the gain or loss.

The difference between projected and actual earnings is amortized straight-line over 5 years. All other amounts are amortized straight-line over the average expected remaining service lives of all members that are provided with benefits (active, inactive and retirees) as of the beginning of the measurement period.

Net Position

The financial statements utilize a net position presentation. Net position is categorized as follows:

Net investment in capital assets – This component of net position consists of capital assets, net of accumulated depreciation and reduced by any outstanding debt outstanding against the acquisition, construction or improvement of those assets.

Restricted– This component of net position consists of external constraints placed on net position imposed by creditors, grantors, contributors, or laws or regulations of other governments or constraints imposed by law through constitutional provisions or enabling legislation.

Unrestricted – This component of net position is the amount of the assets, deferred outflows or resources, liabilities, and deferred inflows of resources that are not included in the determination of net investments in capital assets or the restricted component of net position.

West Valley Water District
Notes to the Basic Financial Statements (Continued)
For the Year Ended June 30, 2015

Note 1 – Reporting Entity and Summary of Significant Accounting Policies (Continued)

Water Sales and Sewer Services

Water sales and sewer services are billed on a monthly cyclical basis and recognize the respective revenues when they are earned.

Capital Contributions

Capital contributions represent cash and capital asset additions contributed to the District by property owners, granting agencies or real estate developers desiring services that require capital expenditures or capacity commitment. Any prepayments received by the District are reported and deferred revenue until construction of the related project has commenced and the District is reasonably certain they will be completed. Upon completion, the applicable amounts are recognized as capital contributions.

Budgetary Policies

The District adopts an annual non-appropriated budget for planning, control, and evaluation purposes. Budgetary control and evaluation are affected by comparisons of actual revenues and expenses with planned revenues and expenses for the period. Encumbrance accounting is not used to account for commitments related to unperformed contracts for construction and services.

Accounting Changes

During fiscal year ended June 30, 2015, the District has implemented the following new GASB pronouncements:

Statement No. 68, *Accounting and Financial Reporting for Pensions; an amendment of GASB Statement No. 27*. This Statement replaces the requirements of Statements No. 27 and No. 50 related to pension plans that are administered through trusts and equivalent arrangements. The requirements of No. 27 and No. 50 remain applicable for pensions that are not administered as trusts or equivalent arrangements. The requirements of this Statement are effective for financial statements for fiscal years beginning after June 15, 2014. See notes 8 and 9 for further information on the implementation of this pronouncement.

Statement No. 69, *Government Combinations and Disposals of Government Operations*. The requirements of this Statement should be applied prospectively and are effective for government combinations and disposals of government operations occurring in financial reporting periods beginning after December 15, 2013 and did not have a significant impact on the District's financial statements for the year ended June 30, 2015.

Statement No. 71, *Pension Transition for Contributions Made Subsequent to the Measurement Date; an amendment of GASB Statement No. 68*. The provisions of this Statement are required to be applied simultaneously with the provisions of Statement 68. The requirements of this Statement are effective for financial statements for fiscal years beginning after June 15, 2014. See notes 8 and 9 for further information on the implementation of this pronouncement.

West Valley Water District
Notes to the Basic Financial Statements (Continued)
For the Year Ended June 30, 2015

Note 2 – Cash and Investments

Cash and investments as of June 30, 2015 consist of the following:

Cash and cash equivalents	\$ 11,559,343
Restricted — cash and cash equivalents	6,722,105
Investments	14,562,258
Total cash and investments	<u>\$ 32,843,706</u>
Cash on hand	\$ 3,700
Deposits with financial institutions	6,237,290
Investments	26,602,716
Total cash and investments	<u>\$ 32,843,706</u>

Local Agency Investment Funds

The District is a voluntary participant in the Local Agency Investment Fund (LAIF) that is regulated by the California Government Code under the oversight of the Treasurer of the State of California. The fair value of the District's investment in this pool is reported in the accompanying financial statements at amounts based upon the District's pro-rata share of the fair value provided by LAIF for the entire LAIF portfolio (in relation to the amortized cost of that portfolio). The balance available for withdrawal is based on the accounting records maintained by LAIF, which are recorded on an amortized cost basis.

The District's investment with LAIF at June 30, 2015, included a portion of the pool funds investing in Structured Notes and Asset-Backed Securities:

Structured Notes: debt securities (other than asset-backed securities) whose cash flow characteristics (coupon rate, redemption amount, or stated maturity) depend upon one or more indices and/or that have embedded forwards or options.

Asset-Backed Securities: generally mortgage-backed securities that entitle their purchasers to receive a share of the cash flows from a pool of assets such as principal and interest repayments from a pool of mortgages (for example, Collateralized Mortgage Obligations) or credit card receivables.

As of June 30, 2015, the District had \$10,755,538 invested in LAIF, which had invested 2.08% of the pool investment funds in structured notes and Medium-term Asset-backed Securities. The LAIF fair value factor of 1.000375979 was used to calculate the fair value of the investments in LAIF.

Investment in CalTRUST

The Investment Trust of California, doing business as CalTRUST, is a California joint powers authority which provides California Public Agencies with investment management services for surplus funds to consolidate investment activities of its Participants and thereby reduces duplication, achieves economies of scale and carries out coherent and consolidated investment strategies through the issuance of shares of beneficial interest in investments purchased by CalTRUST. CalTRUST currently offers three accounts or series as a means for Public Agencies to invest their funds. The District participates in the CalTRUST Short-Term Fund Series.

West Valley Water District
Notes to the Basic Financial Statements (Continued)
For the Year Ended June 30, 2015

Note 2 – Cash and Investments (Continued)

Investments Authorized by the California Government Code and the District's Investment Policy

The table below identifies the investment types that are authorized by the District in accordance with the California Government Code (or the District's investment policy, where more restrictive). The table also identifies certain provisions of the California Government Code (or the District's investment policy, where more restrictive) that address interest rate risk, credit risk, and concentration of credit risk.

This table does not address investments of debt proceeds held by bond trustees that are governed by the provisions of debt agreements of the District, rather than the general provisions of the California Government Code or the District's investment policy.

Authorized Investment Type	Maximum Maturity	Maximum Percentage Of Portfolio	Maximum Investment in One Issuer
U.S. Treasury Obligations	3 years	50%	50%
Government Sponsored Entity Securities	3 years	50%	50%
Negotiable Certificate-of-Deposits	5 years	30%	None
Local Agency Investment Fund (LAIF)	N/A	25%	\$40,000,000
CalTRUST Short Term Fund	2 years	25%	None

Investments Authorized by Debt Agreements

Investment of debt proceeds held by bond trustees are governed by provisions of the debt agreements, rather than the general provisions of the California Government Code or the District's investment policy.

The table below identifies the investment types that are authorized for investments held by bond trustee. The table also identifies certain provisions of these debt agreements that address interest rate risk, credit risk, and concentration of credit risk.

Authorized Investment Type	Maximum Maturity	Maximum Percentage Of Portfolio	Maximum Investment in One Issuer
U.S. Treasury Obligations	None	None	None
Government Sponsored Entity Securities	None	None	None
Banker's Acceptances	180 days	None	None
Commercial Paper	270 days	None	None
Money Market Mutual Funds	N/A	None	None
Investment Contracts	30 years	None	None

Interest Rate Risk

Interest rate risk is the risk that changes in market interest rates will adversely affect the fair value of an investment. Generally, the longer the maturity of an investment, the greater the sensitivity of its fair value to changes in market interest rates. One of the ways that the District manages its exposure to interest rate risk is by purchasing a combination of shorter term and longer term investments by timing cash flows from maturities so that a portion of the portfolio is maturing or coming close to maturity as necessary to provide the cash flow and liquidity needed for operations.

Information about the sensitivity of the fair values of the District's investments to market interest rate fluctuations is provided by the table on the following page that shows the distribution of the District's investments by maturity date.

West Valley Water District
Notes to the Basic Financial Statements (Continued)
For the Year Ended June 30, 2015

Note 2 – Cash and Investments (Continued)

Interest Rate Risk (Continued)

Investment Type	Amount	<u>Remaining Maturity</u>
		(in Months)
		12 months or less
U.S. Treasury Obligations	\$ 3,999,030	\$ 3,999,030
Government Sponsored Entity Securities	6,998,960	6,998,960
Cal Trust Short Term Fund	3,564,268	3,564,268
Local Agency Investment Fund (LAIF)	10,755,538	10,755,538
Cash with fiscal agent Money Market Mutual Funds	1,284,920	1,284,920
Total	<u>\$ 26,602,716</u>	<u>\$ 26,602,716</u>

Credit Risk

Generally, credit risk is the risk that an issuer of an investment will not fulfill its obligation to the holder of the investment. This is measured by the assignment of a rating by a nationally recognized statistical rating organization. Presented below is the minimum rating required by (where applicable) the California Government Code, the District's investment policy, or debt agreements, and the actual rating as of year end for each investment type.

Investment Type	Amount	Minimum Legal Rating	Exempt From Disclosure	Ratings AAA to A-
U.S. Treasury Obligations	\$ 3,999,030	AAA	\$ -	\$ 3,999,030
Government Sponsored Entity Securities	6,998,960	AAA	-	6,998,960
Cal Trust Short Term Fund	3,564,268	N/A	-	3,564,268
Local Agency Investment Fund (LAIF)	10,755,538	N/A	10,755,538	-
Cash with fiscal agent Money Market Mutual Funds	1,284,920	AAA	1,284,920	-
Total	<u>\$ 26,602,716</u>		<u>\$ 12,040,458</u>	<u>\$ 14,562,258</u>

Concentration of Credit Risk

The District's investment policy does not contain various limitations on the amounts that can be invested in any one governmental agency or non-governmental issuer as stipulated by the California Government Code. The District's deposit portfolio with governmental agencies such as the Local Agency Investment Fund (LAIF) was 40% of the District's total depository and investment portfolio as of June 30, 2015.

Custodial Credit Risk

Custodial credit risk for *deposits* is the risk that, in the event of the failure of a depository financial institution, a government will not be able to recover its deposits or will not be able to recover collateral securities that are in the possession of an outside party. The custodial credit risk for *investments* is the risk that, in the event of the failure of the counterparty (e.g., broker-dealer) to a transaction, a government will not be able to recover the value of its investment or collateral securities that are in the possession of another party. With respect to investments, custodial credit risk generally applies only to direct investments in marketable securities. Custodial credit risk does not apply to a local government's indirect investment in securities through the use of mutual funds or government investment pools (such as LAIF).

West Valley Water District
Notes to the Basic Financial Statements (Continued)
For the Year Ended June 30, 2015

Note 3 – Capital Assets

Changes in capital assets for the year ended June 30, 2015, were as follows:

	Balance July 1, 2014	Additions	Deletions/ Transfers	Balance June 30, 2015
Non-depreciable assets:				
Land and land rights	\$ 2,212,967	\$ -	\$ -	\$ 2,212,967
Water rights	404,949	-	-	404,949
Construction-in-process	5,724,286	4,574,869	(3,222,284)	7,076,871
Total non-depreciable assets	<u>8,342,202</u>	<u>4,574,869</u>	<u>(3,222,284)</u>	<u>9,694,787</u>
Depreciable assets:				
Source of supply plant	5,863,657	-	-	5,863,657
Pumping plant	9,844,731	170,544	-	10,015,275
Bio-remediation plant	20,601,722	-	-	20,601,722
Water treatment plant	30,648,481	-	-	30,648,481
Transmission and distribution plant	86,099,177	2,267,319	3,222,284	91,588,780
General plant	10,907,544	302,630	(66,372)	11,143,802
Total depreciable assets	<u>163,965,312</u>	<u>2,740,493</u>	<u>3,155,912</u>	<u>169,861,717</u>
Accumulated depreciation:				
Source of supply plant	(2,718,291)	(277,473)	-	(2,995,764)
Pumping plant	(5,022,168)	(599,370)	-	(5,621,538)
Bio-remediation plant	(686,724)	(686,724)	-	(1,373,448)
Water treatment plant	(17,010,913)	(2,970,640)	-	(19,981,553)
Transmission and distribution plant	(30,480,154)	(2,115,964)	-	(32,596,118)
General plant	(3,652,914)	(618,126)	56,416	(4,214,624)
Total accumulated depreciation	<u>(59,571,164)</u>	<u>(7,268,297)</u>	<u>56,416</u>	<u>(66,783,045)</u>
Total depreciable assets, net	<u>104,394,148</u>	<u>(4,527,804)</u>	<u>3,212,328</u>	<u>103,078,672</u>
Total capital assets, net	<u><u>\$ 112,736,350</u></u>	<u><u>\$ 47,065</u></u>	<u><u>\$ (9,956)</u></u>	<u><u>\$ 112,773,459</u></u>

Major capital assets additions during the year include the upgrades and extensions of the District's transmission and distribution, general plant and pumping plant. A significant portion of these additions were constructed by the District and/or sub-contractors and transferred out of construction-in-process, upon completion of these various projects.

Construction-In-Process

The construction-in-process balances at June 30, 2015 are as follows:

Bioremediation plant	\$ 2,807,941
Line Relocation at Duncan Canyon & I15	905,152
Zone 2 Waterline Reloc Phase 2	1,133,946
Zone 3A-2 Reservoir Recoat	734,709
Sierra Crest Waterline	637,590
Various minor district projects	549,318
Various other developer projects	308,215
Total construction-in-process	<u><u>\$ 7,076,871</u></u>

West Valley Water District
Notes to the Basic Financial Statements (Continued)
For the Year Ended June 30, 2015

Note 4 – Water Participation Rights

In 2012, the District acquired water participation rights from the San Bernardino Valley Municipal Water District for \$9,645,865. The District is amortizing the participation rights until January 31, 2041.

Water participation rights	\$ 9,645,865
Accumulated amortization	<u>(1,286,115)</u>
Water participation rights, net	<u><u>\$ 8,359,750</u></u>

Note 5 – Compensated Absences

	<u>Balance</u> <u>July 1, 2014</u>	<u>Earned</u>	<u>Taken</u>	<u>Balance</u> <u>June 30, 2015</u>	<u>Current</u> <u>Portion</u>	<u>Non-current</u> <u>Portion</u>
Compensated absences	\$ 568,783	\$ 262,408	\$ (259,415)	\$ 571,776	\$ 256,727	\$ 315,049

Note 6 – Long-term Debt

	<u>Balance</u> <u>July 1, 2014</u>	<u>Additions</u>	<u>Deletions</u>	<u>Balance</u> <u>June 30, 2015</u>	<u>Amount</u> <u>Due Within</u> <u>One Year</u>	<u>Amount</u> <u>Due In More Than</u> <u>One Year</u>
Bonds payable:						
Series 2006D-2	\$ 26,015,000	\$ -	\$ (1,045,000)	\$ 24,970,000	\$ 1,090,000	\$ 23,880,000
Assessment District 97-1	140,000	-	(30,000)	110,000	35,000	75,000
Total bonds payable	<u>26,155,000</u>	<u>-</u>	<u>(1,075,000)</u>	<u>25,080,000</u>	<u>1,125,000</u>	<u>23,955,000</u>
Loans payable:						
Contract payable	8,734,867	-	(375,117)	8,359,750	321,529	8,038,221
Total contract payable	<u>8,734,867</u>	<u>-</u>	<u>(375,117)</u>	<u>8,359,750</u>	<u>321,529</u>	<u>8,038,221</u>
Total long-term debt	<u><u>\$ 34,889,867</u></u>	<u><u>\$ -</u></u>	<u><u>\$ (1,450,117)</u></u>	<u><u>\$ 33,439,750</u></u>	<u><u>\$ 1,446,529</u></u>	<u><u>\$ 31,993,221</u></u>

Water Participation Rights Contract Payable

In 2012, the District acquired water participation rights from the San Bernardino Valley Municipal Water District. These rights entitle the District to purchase water from the Baseline Feeder system. The payment for the rights is calculated at 5,000 acre feet at \$90 per acre foot, per year, payable in monthly installments of \$26,794, until January 31, 2041. The calculated annual amount of \$321,529 is a minimum usage fee which does not actually represent the purchase of any water. Purchased water is billed in addition to the minimum fee.

West Valley Water District
Notes to the Basic Financial Statements (Continued)
For the Year Ended June 30, 2015

Note 6 – Long-term Debt (Continued)

Water Participation Rights Contract Payable (Continued)

Annual payments on the water participation rights are as follows:

<u>Fiscal Year</u>	<u>Principal</u>
2016	\$ 321,529
2017	321,529
2018	321,529
2019	321,529
2020	321,529
2021-2025	1,607,645
2026-2030	1,607,645
2031-2035	1,607,645
2036-2040	1,607,645
2041	321,525
Total	<u><u>\$ 8,359,750</u></u>

Limited Obligation Improvement Bonds Assessment District No. 97-1

Assessment District No. 97-1 (Crestmore Heights Mutual Water Company) was established to provide financing for construction and improvements of the water system. On April 16, 1998, Limited Obligation Improvement Bonds Assessment District No. 97-1 were issued through Rural Development, Farmers Home Administration for \$552,067. The payments on this indebtedness are being paid by the property owners within Assessment District No. 97-1. The bonds are being repaid in twenty annual installments with the last payment on September 1, 2017.

Annual debt service requirements on the Limited Obligation Improvement Bonds Assessment District No. 97-1 are as follows:

<u>Fiscal Year</u>	<u>Principal</u>	<u>Interest</u>	<u>Total</u>
2016	\$ 35,000	\$ 4,741	\$ 39,741
2017	35,000	1,922	36,922
2018	40,000	3,972	43,972
Total	<u><u>\$ 110,000</u></u>	<u><u>\$ 10,635</u></u>	<u><u>\$ 120,635</u></u>

West Valley Water District
Notes to the Basic Financial Statements (Continued)
For the Year Ended June 30, 2015

Note 6 – Long-term Debt (Continued)

Series 2006D-2 Bonds

On October 1, 2006, the District issued \$32,365,000 in Water and Wastewater Revenue Bonds (Series 2006D-2 Bonds). The proceeds of the issue are being used to prepay the 2004A CSCDA Water and Wastewater Revenue Bonds and to finance improvements to the System, including upgrading, renovation and /or installation of booster plants, wells, reservoirs, pipelines and metering stations, water treatment facilities, including the granulated activated carbon filter for the Treatment Plant.

A total of \$14,635,000 from the Series 2006D-2 Bonds was used to pay off the outstanding principal of the 2004A CSCDA Water and Wastewater Revenue Bonds. As a result, the 2004A CSCDA Water and Wastewater Revenue Bonds are considered defeased and the liability for those obligations have been removed from the financial statements. The District completed the advance refunding to reduce the District's total debt service payments over the next 22 years by \$539,057 and to obtain an economic gain of approximately \$369,570.

The Series 2006D-2 Bonds are payable solely from the net revenues of the District's water system as defined in the Series 2006D-2 Bond Indenture. The Bonds bear interest at a variable rate with principal maturities from 2007 to 2033.

Fiscal Year	Principal	Interest	Total
2016	\$ 1,090,000	\$ 1,071,228	\$ 2,161,228
2017	1,130,000	1,027,628	2,157,628
2018	1,180,000	982,428	2,162,428
2019	1,225,000	937,588	2,162,588
2020	1,270,000	864,718	2,134,718
2021-2025	7,170,000	3,478,564	10,648,564
2026-2030	8,900,000	1,712,025	10,612,025
2031-2033	3,005,000	206,663	3,211,663
Total	<u>\$ 24,970,000</u>	<u>\$ 10,280,842</u>	<u>\$ 35,250,842</u>

Note 7 – Net Other Post-Employment Benefits Obligation

During the fiscal year ended June 30, 2009, the District implemented GASB Statement No. 45, which changed the accounting and financial reporting used by local government employers for other post-employment benefits (OPEB). Previously, the costs of such benefits were generally recognized as expenses of local government employers on a pay-as-you-go basis. The reporting requirements for these benefit programs as they pertain to the District are set forth below.

Plan Description – Eligibility

The District pays a portion of the cost of health insurance for retirees (including prescription drug benefits) under any group plan offered by the CalPERS Health Program, subject to certain restrictions as determined by the District.

Membership in the OPEB plan consisted of the following members as of June 30, 2015:

Active plan members	63
Retirees and beneficiaries receiving benefits	19
Separated plan members entitled to but not yet receiving benefits	-
Total plan membership	<u><u>82</u></u>

West Valley Water District
Notes to the Basic Financial Statements (Continued)
For the Year Ended June 30, 2015

Note 7 – Net Other Post-Employment Benefits Obligation (Continued)

Plan Description – Benefits

The District offers post employment medical benefits to retired employees who satisfy the eligibility rules. Spouses and surviving spouses are also eligible to receive benefits. Retirees may enroll in any medical plan available through the District's CalPERS Health Program, a cost-sharing multiple-employer medical coverage plan. The contribution requirements of eligible retired employees and the District are established and may be amended by the Board of Directors.

Funding Policy

The District contributes the *Annual Required Contribution (ARC) of the Employer*, an amount actuarially determined in accordance with the parameters of GASB Statement No. 45. The ARC represents a level of funding that, if paid on an ongoing basis, is projected to cover the normal cost each year and amortize any unfunded actuarial liabilities (or funding excess) over a period not to exceed thirty years. The District will pay a fixed contribution towards the cost of the post-employment benefit plan for those employees who meet the required service years for retirement from the District. The District funds the plan on a pay-as-you-go basis and maintains reserves (and records a liability) for the difference between pay-as-you-go and the actuarially determined ARC cost.

Annual OPEB Cost and Net OPEB Obligation

For the year ended June 30, 2015, the District's annual OPEB cost was \$1,049,976. The District's net OPEB obligation amounted to \$5,500,000 for the year ended June 30, 2015. The District contributed \$187,468 for retiree healthcare OPEB premiums, for the year ended June 30, 2015.

Annual OPEB cost:	
Annual required contribution (ARC)	\$ 1,101,403
Interest on beginning net OPEB obligation	185,500
Adjustment to annual required contribution	<u>(236,927)</u>
Total annual OPEB cost	1,049,976
Contributions made	<u>(187,468)</u>
Total change in net OPEB obligation	862,508
Net OPEB obligation:	
Beginning of year	<u>4,637,492</u>
End of year	<u><u>\$ 5,500,000</u></u>

The District's annual OPEB cost, the percentage of the annual OPEB cost contributed to the Plan, and the net OPEB obligation for fiscal year 2015 and the two preceding years were as follows:

<i>Three-Year History of Net OPEB Obligation</i>				
Fiscal Year Ended	Annual OPEB Cost	Contributions Made	Percentage of Annual OPEB Cost of Retiree Benefits	Net OPEB Obligation
2015	\$ 1,049,976	\$ 187,468	17.85%	\$ 5,500,000
2014	806,993	183,750	22.77%	4,637,492
2013	976,620	141,012	14.44%	3,830,499

West Valley Water District
Notes to the Basic Financial Statements (Continued)
For the Year Ended June 30, 2015

Note 7 – Net Other Post-Employment Benefits Obligation (Continued)

The most recent valuation (June 30, 2013) includes an Actuarial Accrued Liability and Unfunded Actuarial Accrued Liability of \$10,121,028. The covered payroll (annual payroll of active employees covered by the plan) for the year ended June 30, 2013, was estimated at \$4,147,630. The ratio of the unfunded actuarial accrued liability to annual covered payroll is 244%.

Actuarial Methods and Assumptions

Actuarial valuations involve estimates of the value of reported amounts and assumptions about the probability of events far into the future. Actuarially determined amounts are subject to continual revision as actual results are compared to past expectations and new estimates are made about the future. Calculations are based on the types of benefits provided under the terms of the substantive plan at the time of each valuation and the pattern of sharing of costs between the employer and plan members to that point. Consistent with the long-term perspective of actuarial calculations, actuarial methods and assumptions used include techniques that are designed to reduce short-term volatility in actuarial accrued liabilities for benefits.

The following is a summary of the actuarial assumptions and methods:

Valuation date	July 1, 2013
Actuarial cost method	Projected unit credit
Amortization method	30 year level dollar
Remaining amortization period	25 years as of the valuation date
Asset valuation method:	15 year smoothed market
Actuarial assumptions:	
Investment rate of return	2.50%
Projected salary increase	3.25%
Inflation - discount rate	4.00%
Healthcare trend rate	8.00%

West Valley Water District
Notes to the Basic Financial Statements (Continued)
For the Year Ended June 30, 2015

Note 8 – Defined Benefit Pension Plans

Summary of Defined Benefit Pension Plans

Type of Account	Balance as of July 1, 2014 (As Restated)	Additions	Deletions	Balance as of June 30, 2015
Deferred Outflows of Resources:				
Employer contributions to pension plan made after the measurement date:				
Miscellaneous Plan -Classic	\$ 441,097	\$ 608,372	\$ (441,097)	\$ 608,372
Changes in employer contributions and differences between proportionate share of pension expense:				
Miscellaneous Plan -Classic	122,297	-	(32,183)	90,114
Total deferred outflows of resources	<u>\$ 563,394</u>	<u>\$ 608,372</u>	<u>\$ (473,280)</u>	<u>\$ 698,486</u>
Net Pension Liability:				
Miscellaneous Plan -Classic	<u>\$ 5,544,028</u>	<u>\$ -</u>	<u>\$ (1,162,684)</u>	<u>\$ 4,381,344</u>
Deferred Inflows of Resources:				
Recognized net differences between projected and actual earnings on pension plan investments:				
Miscellaneous Plan -Classic	\$ -	\$ 1,400,541	\$ (280,108)	\$ 1,120,433
Recognized portion of adjustment due to differences in proportions:				
Miscellaneous Plan -Classic	-	68,955	(18,146)	50,809
Total deferred inflows of resources	<u>\$ -</u>	<u>\$ 1,469,496</u>	<u>\$ (298,254)</u>	<u>\$ 1,171,242</u>

Plans Description

The District contributes to the California Public Employees Retirement System (CalPERS), a cost-sharing multiple-employer defined benefit pension plan. CalPERS provides retirement and disability benefits, annual cost-of-living adjustments, and death benefits to plan members and beneficiaries. CalPERS acts as a common investment and administrative agent for participating public agencies within the State of California. Benefit provisions and all other requirements are established by state statute and the District. Copies of CalPERS annual financial report may be obtained from their Executive Office: 400 P Street, Sacramento, CA 95814.

Benefits Provided

CalPERS provides service retirement and disability benefits, annual cost-of-living adjustments, and death benefits to plan members and beneficiaries. Benefits are based on years of credited service, equal to one year of full time employment and can only be amended by the District's Board of Directors.

West Valley Water District
Notes to the Basic Financial Statements (Continued)
For the Year Ended June 30, 2015

Note 8 – Defined Benefit Pension Plans (Continued)

Benefits Provided (Continued)

The Plan's provisions and benefits in effect as of June 30, 2014, the measurement date, are summarized as follows:

Miscellaneous Plan
CLOSED TO NEW MEMBERS

Hire date	Prior to December 24, 2012
Benefit formula	2.0% @ 55
Benefit vesting schedule	5 years service
Benefit payments	monthly for life
Final Average Compensation Period	12 months
Retirement age	50-67 & up
Monthly benefits, as a % of eligible compensation	1.426% to 2.418%
Required employee contribution rates	6.89%
Required employer contribution rates	15.118%
Pre-Retirement Death Benefit	Optional Settlement 2W
Post-Retirement Death Benefit	\$500 Lump Sum
Non-Industrial Standard Disability	1.8% of final compensation X multiplied by service
COLA	2.00%

PEPRA Miscellaneous Plan

Hire date	On or after January 1, 2013
Benefit formula	2.0% @ 62
Benefit vesting schedule	5 years service
Benefit payments	monthly for life
Final Average Compensation Period	36 months
Retirement age	52-67
Monthly benefits, as a % of eligible compensation	1.0-2.5%
Required employee contribution rates	6.50%
Required employer contribution rates	6.50%
Pre-Retirement Death Benefit	Optional Settlement 2W
Post-Retirement Death Benefit	\$500 Lump Sum
Non-Industrial Standard Disability	1.8% of final compensation X multiplied by service
COLA	2.00%

Employees Covered

As of June 30, 2013, from the actuarial report, the following employees were covered by the benefit terms for the Plan:

	Misc. Plan - Classic
Inactive employees or beneficiaries currently receiving benefits	27
Inactive employees entitled to but not yet receiving benefits	25
Active employees	56
Total	108

West Valley Water District
Notes to the Basic Financial Statements (Continued)
For the Year Ended June 30, 2015

Note 8 – Defined Benefit Pension Plans (Continued)

Contributions

Section 20814(c) of the California Public Employees' Retirement Law (PERL) requires that the employer contribution rates for all public employers be determined on an annual basis by the actuary and shall be effective on the July 1 following notice of a change in the rate. The total plan contributions are determined through the CalPERS' annual actuarial valuation process. For public agency cost-sharing plans covered by either the Miscellaneous or Safety risk pools, the Plan's actuarially determined rate is based on the estimated amount necessary to pay the Plan's allocated share of the risk pool's costs of benefits earned by employees during the year, and any unfunded accrued liability. The employer is required to contribute the difference between the actuarially determined rate and the contribution rate of employees. For period ended June 30, 2014 (the measurement date), the active employee contribution rate is 6.89% of annual pay and the average employer's contribution rate is 15.118% of the annual payroll for the Miscellaneous Plan.

For the year ended June 30, 2014, at the measurement date, the contributions made for the Plan were as follows:

	<u>Misc. Plan - Classic</u>
Contributions - employer	\$ 563,394
Contributions - employee	261,869
Total	<u>\$ 825,263</u>

Pension Liability

As of June 30, 2015, the District reported net pension liabilities for its proportionate shares of the net pension liability of the Plan as follows:

	<u>Misc. Plan - Classic</u>
Proportionate Share of Net Pension Liability	<u>\$ 4,381,344</u>

The District's net pension liability for each Plan is measured as the proportionate share of the net pension liability. The net pension liability of the Plans is measured as of June 30, 2014, and the total pension liability for each Plan used to calculate the net pension liability was determined by an actuarial valuation as of June 30, 2013 rolled forward to June 30, 2014 using standard update procedures. The District's proportion of the net pension liability was based on a projection of the District's long-term share of contributions to the pension plans relative to the projected contributions of all participating employers, actuarially determined.

Proportionate Share of Net Pension Liability and Pension Expense

The following table shows the plan's proportionate share of the risk pool collective net pension liability over the measurement period.

<u>CalPERS Plan Type and Balance Descriptions</u>	<u>Plan Total Pension Liability</u>	<u>Plan Fiduciary Net Position</u>	<u>Change in Plan Net Pension Liability</u>
Miscellaneous Plan - Classic			
Balance as of June 30, 2013 (Valuation Date)	\$ 19,530,840	\$ 13,986,812	\$ 5,544,028
Balance as of June 30, 2014 (Measurement Date)	<u>20,693,113</u>	<u>16,311,769</u>	<u>4,381,344</u>
Change in Plan Net Pension Liability	<u>\$ 1,162,273</u>	<u>\$ 2,324,957</u>	<u>\$ (1,162,684)</u>

West Valley Water District
Notes to the Basic Financial Statements (Continued)
For the Year Ended June 30, 2015

Note 8 – Defined Benefit Pension Plans (Continued)

Proportionate Share of Net Pension Liability and Pension Expense (Continued)

The following is the approach established by the plan actuary to allocate the net pension liability and pension expense to the individual employers within the risk pool.

- (1) In determining a cost-sharing plan's proportionate share, total amounts of liabilities and assets are first calculated for the risk pool as a whole on the valuation date (June 30, 2013). The risk pool's fiduciary net position ("FNP") subtracted from its total pension liability ("TPL") determines the net pension liability ("NPL") at the valuation date.
- (2) Using standard actuarial roll forward methods, the risk pool TPL is then computed at the measurement date (June 30, 2014). Risk pool FNP at the measurement date is then subtracted from this number to compute the NPL for the risk pool at the measurement date. For purposes of FNP in this step and any later reference thereto, the risk pool's FNP at the measurement date denotes the aggregate risk pool's FNP at June 30, 2014 less the sum of all additional side fund (or unfunded liability) contribution made by all employers during the measurement period (2013-14).
- (3) The individual plan's TPL, FNP and NPL are also calculated at the valuation date.
- (4) Two ratios are created by dividing the plan's individual TPL and FNP as of the valuation date from (3) by the amounts in step (1), the risk pool's total TPL and FNP, respectively.
- (5) The Plan's TPL as of the Measurement Date is equal to the risk pool TPL generated in (2) multiplied by the TPL ratio generated in (4). The plan's FNP as of the Measurement date is equal to the FNP generated in (2) multiplied by the FNP ratio generated in (4) plus any additional side fund (or unfunded liability) contributions made by the employee on behalf of the plan during the measurement period.
- (6) The plan's NPL at the Measurement Date is the difference between the TPL and FNP calculated in (5).

The District's proportionate share of the net pension liability for the Plan as of June 30, 2013 and 2014 are as follows:

	Misc. Plan - Classic
Proportion June 30, 2013	0.07041%
Proportion June 30, 2014	0.07041%
Change - Increase (Decrease)	0.00000%

For the year ended June 30, 2015, the District recognized pension expense of \$481,838.

West Valley Water District
Notes to the Basic Financial Statements (Continued)
For the Year Ended June 30, 2015

Note 8 – Defined Benefit Pension Plans (Continued)

Deferred Outflows of Resources and Deferred Inflows of Resources

At June 30, 2015, the District reported deferred outflows of resources and deferred inflows of resources related to pensions from the following sources:

Description	Deferred Outflows of Resources	Deferred Inflows of Resources
Employer contributions to pension plan made after measurement date	\$ 608,372	\$ -
Changes in employer contributions and differences between proportionate share of pension expense	90,114	-
Recognized portion of adjustment due to differences in proportions	-	(50,809)
Differences between projected and actual earnings on pension plan investments	-	(1,120,433)
Total	<u>\$ 698,486</u>	<u>\$ (1,171,242)</u>

The \$608,372 reported as deferred outflows of resources related to contributions subsequent to the measurement date will be recognized as a reduction of net pension liability in the year ended June 30, 2016. Other amounts as deferred outflows of resources and deferred inflows of resources related to pensions will be recognized as pension expense as follows:

Year Ended June 30,	Deferred Outflows of Resources	Deferred Inflows of Resources
2016	\$ 32,184	\$ (298,254)
2017	32,183	(298,254)
2018	25,747	(294,625)
2019	-	(280,109)
2020	-	-
Thereafter	-	-
Total	<u>\$ 90,114</u>	<u>\$ (1,171,242)</u>

Actuarial Assumptions

The total pension liabilities in the June 30, 2013 actuarial valuations were determined using the following actuarial assumptions:

	<u>Misc. Plan - Classic</u>
Valuation Date	June 30, 2013
Measurement Date	June 30, 2014
Actuarial Cost Method	Entry Age Normal
Actuarial Assumptions:	
Discount Rate	7.50%
Inflation	2.75%
Payroll Growth	3.00%
Projected Salary Increase	varies by entry age and service
	(1)
Investment Rate of Return	7.50% (2)
Mortality	Derived using CalPERS'
	Membership Data for all funds
	(3)

(1) Depending on age, service, and type of employment

(2) Net of pension plan investment expenses, including inflation

(3) The mortality table used was developed based on CalPERS' specific data. The table includes 20 years of mortality improvement using Society of actuaries Scale BB.

West Valley Water District
Notes to the Basic Financial Statements (Continued)
For the Year Ended June 30, 2015

Note 8 – Defined Benefit Pension Plans (Continued)

Actuarial Assumptions (Continued)

There were no changes in assumptions, benefit terms, or other inputs that affected the measurement of the net pension liability. There were no changes between the measurement date of the net pension liability and the reporting date. The underlying mortality assumptions and all other actuarial assumptions used in the June 30, 2013 valuations were based on the results of a January 2014 actuarial experience study for the period 1997 to 2011. Further details of the Experience Study can be found on the CalPERS website.

Discount Rate

The discount rate used to measure the total pension liability was 7.50%. To determine whether the municipal bond rate should be used in the calculation of a discount rate for each plan, CalPERS stress tested plans that would most likely result in a discount rate that would be different from the actuarially assumed discount rate. Based on the testing, none of the tested plans run out of assets. Therefore, the current 7.50% discount rate is adequate and the use of the municipal bond rate calculation is not necessary. The long term expected discount rate of 7.50% is applied to all plans in the Public Employees Retirement Fund. The stress test results are presented in a detailed report called “GASB Crossover Testing Report” that can be obtained at CalPERS’ website under the GASB 68 section.

According to Paragraph 30 of Statement 68, the long-term discount rate should be determined without reduction for pension plan administrative expense. The 7.50% investment return assumption used in this accounting valuation is net of administrative expenses. Administrative expenses are assumed to be 15 basis points. An investment return excluding administrative expenses would have been 7.65%. Using this lower discount rate has resulted in a slightly higher total pension liability and net pension liability. This difference was deemed immaterial to the Public Agency Cost-Sharing Multiple-Employer Defined Benefit Pension Plan.

CalPERS is scheduled to review all actuarial assumptions as part of its regular Asset Liability Management review cycle that is scheduled to be completed in February 2018. Any changes to the discount rate will require Board action and proper stakeholder outreach. For these reasons, CalPERS expects to continue using a discount rate net of administrative expenses for GASB 67 and 68 calculations through at least the 2017-18 fiscal year. CalPERS will continue to check the materiality of the difference in calculation until such time as we have changed our methodology.

The long-term expected rate of return on pension plan investments was determined using a building-block method in which best-estimate ranges of expected future real rates of return (expected returns, net of pension plan investment expense and inflation) are developed for each major asset class.

1. In determining the long-term expected rate of return, staff took into account both short-term and long-term market return expectations as well as the expected pension fund cash flows. Such cash flows were developed assuming that both members and employers will make their required contributions on time and as scheduled in all future years. Using historical returns of all the funds’ asset classes, expected compound (geometric) returns were calculated over the short-term (first 10 years) and the long-term (11-60 years) using a building-block approach. Using the expected nominal returns for both short-term and long-term, the present value of benefits was calculated for each fund. The expected rate of return was set by calculating the single equivalent expected return that arrived at the same present value of benefits for cash flows as the one calculated using both short-term and long-term returns. The expected rate of return was then set equivalent to the single equivalent rate calculated above and rounded down to the nearest one quarter of one percent.

West Valley Water District
Notes to the Basic Financial Statements (Continued)
For the Year Ended June 30, 2015

Note 8 – Defined Benefit Pension Plans (Continued)

Discount Rate (Continued)

The table below reflects long-term expected real rate of return by asset class. The rate of return was calculated using the capital market assumptions applied to determine the discount rate and asset allocation. These geometric rates of return are net of administrative expenses.

<u>Asset Class</u>	<u>New Strategic Allocation</u>	<u>Real Return Years 1-10 (a)</u>	<u>Real Return Years 11+ (b)</u>
Global Equity	47.00%	5.25%	5.71%
Global Fixed Income	19.00	0.99	2.43
Inflation Sensitive	6.00	0.45	3.36
Private Equity	12.00	6.83	6.95
Real Estate	11.00	4.50	5.13
Infrastructure and Forestland	3.00	4.50	5.09
Liquidity	2.00	(0.55)	(1.05)
(a) an expected inflation of 2.5% for this period			
(b) an expected inflation of 3.0% for this period			

Sensitivity of the Proportionate Share of the Net Pension Liability to Changes in the Discount Rate

The following presents the District's proportionate share of the net pension liability for each Plan, calculated using the discount rate for each Plan, as well as what the District's proportionate share of the net pension liability would be if it were calculated using a discount rate that is one percentage point lower or one percentage point higher than the current rate:

	<u>Misc. Plan - Classic</u>
1% Decrease	6.50%
Net Pension Liability	\$ 7,126,549
Current Discount Rate	7.50%
Net Pension Liability	\$ 4,381,344
1% Increase	8.50%
Net Pension Liability	\$ 2,103,085

Pension Plan Fiduciary Net Position

Detailed information about each pension plan's fiduciary net position is available in the separately issued CalPERS financial reports.

West Valley Water District
Notes to the Basic Financial Statements (Continued)
For the Year Ended June 30, 2015

Note 9 – Prior Period Adjustments

As a result of the implementation of GASB Statements No. 68 and 71, net position as of July 1, 2014 was restated as follows:

Net position at July 1, 2014, as previously reported	\$ 106,984,522
Net pension liability	(5,544,028)
Employer contributions to pension plan made after the measurement date	441,097
Changes in employer contributions and differences between proportionate share of pension expense	122,297
Total prior period adjustments	(4,980,634)
Net position at July 1, 2014, as restated	<u>\$ 102,003,888</u>

Note 10 – Net Investment in Capital Assets

Net investment in capital assets as of June 30, 2015 was as follows:

Net investment in capital assets:	
Capital assets, net	\$ 112,773,459
Bonds payable - current	(1,125,000)
Bonds payable - noncurrent	(23,955,000)
Total net investment in capital assets	<u>\$ 87,693,459</u>

Note 11 – Risk Management

The District is exposed to various risks of loss related to torts, theft of, damage to and destruction of assets; errors and omissions; injuries to employees; and natural disasters. The District is a member of the Association of California Water Agencies/Joint Powers Insurance Authority (ACWA/JPIA), an intergovernmental risk sharing joint powers authority created to provide self-insurance programs for California water agencies. The purpose of the ACWA/JPIA is to arrange and administer programs of self insured losses and to purchase excess insurance coverage. At June 30, 2015, the District participated in the liability and property programs of the ACWA/JPIA as follows:

- General and auto liability, public officials and employees' errors and omissions: Total risk financing self-insurance limits of \$2,000,000, combined single limit at \$2,000,000 per occurrence. The JPIA purchases additional excess coverage layers: \$60 million per occurrence for general, auto and public officials liability, which increases the limits on the insurance coverage noted above.

West Valley Water District
Notes to the Basic Financial Statements (Continued)
For the Year Ended June 30, 2015

Note 11 – Risk Management (Continued)

In addition to the above, the District also has the following insurance coverage:

- Employee dishonesty coverage up to \$100,000 per loss includes public employee dishonesty, forgery or alteration and theft, disappearance and destruction coverage's.
- Property loss is paid at the replacement cost for property on file, if replaced within two years after the loss, otherwise paid on an actual cash value basis, to a combined total of \$100 million per occurrence, subject to a \$2,500 deductible per occurrence.
- Boiler and machinery coverage for the replacement cost up to \$50 million per occurrence, subject to various deductibles depending on the type of equipment.
- Workers' compensation insurance up to California statutory limits for all work related injuries/illnesses covered by California law. Coverage is through the Special Districts Risk Management Authority.

Settled claims have not exceeded any of the coverage amounts in any of the last three fiscal years and there were no reductions in the District's insurance coverage during the year ending June 30, 2015. Liabilities are recorded when it is probable that a loss has been incurred and the amount of the loss can be reasonably estimated net of the respective insurance coverage. Liabilities include an amount for claims that have been incurred but not reported (IBNR). There were no IBNR claims payable as of June 30, 2015.

Note 12 – Commitments and Contingencies

Construction Contracts

The District has a variety of agreements with private parties relating to the installation, improvement or modification of water facilities and distribution systems within its service area. The financing of such construction contracts is being provided primarily from the District's replacement reserves and advances for construction.

Litigation

In the ordinary course of operations, the District is subject to claims and litigation from outside parties. After consultation with legal counsel, the District believes the ultimate outcome of such matters, if any, will not materially affect its financial condition.

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REQUIRED SUPPLEMENTARY INFORMATION

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West Valley Water District
Required Supplementary Information (Unaudited)
For the Year Ended June 30, 2015

Schedule of Proportionate Share of the Net Pension Liability
District's Plans
(Last Ten Years*)

	<u>FY 2013-14</u>
<u>Miscellaneous Plan</u>	
Proportion of the net pension liability	0.07041%
Proportionate share of the net pension liability	\$ 4,381,344
Covered - employee payroll	\$ 3,776,382
Proportionate share of the net pension liability as percentage of covered-employee payroll	116.02%
Plan's fiduciary net position as percentage of the total pension liability	78.83%
Proportionate share of aggregate employer contributions	\$ 441,097

* Historical information is required only for measurement periods for which GASB No. 68 is applicable.

West Valley Water District
Required Supplementary Information (Unaudited) (Continued)
For the Year Ended June 30, 2015

Schedule of Contributions
District's Plans
(Last Ten Years*)

	<u>FY 2014-15</u>	<u>FY 2013-14</u>
<u>Miscellaneous Plan</u>		
Actuarially determined contribution	\$ 600,451	\$ 563,394
Contributions in relation to the actuarially determined contribution	<u>(600,451)</u>	<u>(563,394)</u>
Contribution deficiency (excess)	<u>\$ -</u>	<u>\$ -</u>
Covered-employee payroll	\$ 3,889,673	\$ 3,776,382
Contributions as a percentage of covered-employee payroll	15.44%	14.92%

Notes to Schedule:

Benefit Changes - The figures above do not included any liability impact that may have resulted from plan changes which occurred after June 30, 2013 as they have minimal cost impact.

Changes of Assumption - There were no changes in assumptions.

Valuation Date:	June 30, 2011
Actuarial cost method	Entry age normal
Amortization method	Level percent of payroll
Average Remaining Period	20 years as of the valuation date
Assets Valuation Method	15 years smoothed market
Inflation	2.75%
Salary increases	3.30% - 14.20% depending on age, service and type of employment
Payroll growth	3.00%
Investment rate of return	7.50% net of administrative expenses

* Historical information is required only for measurement periods for which GASB No. 68 is applicable.

West Valley Water District
Required Supplementary Information (Unaudited) (Continued)
For the Year Ended June 30, 2015

Schedule of Funding Progress on Other Post-Employment Benefit Plan

Actuarial Valuation Date	Accrued Liability (a)	Actuarial Accrued Liability (b)	Unfunded Actuarial Accrued Liability (b-a)	Funded Ratio (a/b)	Covered Payroll (c)	UAAL as a Percentage of Covered Payroll ((b-a)/c)
July 1, 2013	\$ -	\$ 10,121,028	\$ 10,121,028	-	\$ 4,147,630	244.02%
July 1, 2011	-	10,360,723	10,360,723	-	4,136,087	250.50%
July 1, 2008	-	7,369,854	7,369,854	-	3,334,696	221.01%

Funding progress is presented for the year(s) that an actuarial study has been prepared since the effective date of GASB Statement 45. Actuarial review and analysis of the post-employment benefits liability and funding status is performed every three years or annually if there are significant changes in the plan. The next scheduled actuarial review and analysis of the post-employment benefits liability and funding status will be performed in fiscal year 2018 based on the year ending June 30, 2017.

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SUPPLEMENTARY INFORMATION

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West Valley Water District
Combining Balance Sheet
June 30, 2015

		Assessment	
<u>ASSETS</u>	<u>Water District</u>	<u>District 97-1</u>	<u>Total</u>
Current assets:			
Cash and cash equivalents	\$ 11,559,343	\$ -	\$ 11,559,343
Investments	14,562,258	-	14,562,258
Accrued interest receivable	9,578	-	9,578
Accounts receivable – water sales and services, net	1,849,668	-	1,849,668
Accounts receivable – redevelopment pass-through	41,081	-	41,081
Accounts receivable – other	79,635	-	79,635
Property taxes receivable	16,021	-	16,021
Due from other governments	438,490	-	438,490
Materials and supplies inventory	277,193	-	277,193
Prepaid water	71,745	-	71,745
Prepaid items	607,813	-	607,813
Total current assets	29,512,825	-	29,512,825
Noncurrent assets:			
Restricted – cash and cash equivalents	6,645,864	76,241	6,722,105
Restricted – accrued interest receivable	1,469	-	1,469
Restricted – assessments receivable	-	80,302	80,302
Water stock – Fontana Union Water Company	1,307	-	1,307
Tax increment pass-through receivable	575,142	-	575,142
Capital assets, net	112,773,459	-	112,773,459
Water participation rights, net	8,359,750	-	8,359,750
Total noncurrent assets	128,356,991	156,543	128,513,534
Total assets	157,869,816	156,543	158,026,359
<u>DEFERRED OUTFLOWS OF RESOURCES</u>			
Deferred outflows of resources:			
Employer contributions to pension plan made after measurement date	608,372	-	608,372
Changes in employer contributions and differences between proportionate share of pension expense	90,114	-	90,114
Total deferred outflows of resources	698,486	-	698,486
Total assets and deferred outflows of resources	\$ 158,568,302	\$ 156,543	\$ 158,724,845

West Valley Water District
Combining Balance Sheet (Continued)
June 30, 2015

LIABILITIES

Current liabilities:

Accounts payable and accrued expenses	\$ 1,656,219	\$ -	\$ 1,656,219
Accrued salaries and related payables	160,733	-	160,733
Pass-through utility user taxes payable	61,395	-	61,395
Customer deposits	1,434,428	-	1,434,428
Construction advances and deposits	768,841	-	768,841
Accrued interest payable	267,807	1,877	269,684
Long-term liabilities – due within one year:			
Compensated absences	256,727	-	256,727
Contract payable	321,529	-	321,529
Bonds payable	1,090,000	35,000	1,125,000
Total current liabilities	<u>6,017,679</u>	<u>36,877</u>	<u>6,054,556</u>

Noncurrent liabilities:

Deferred revenue – developers	587,587	-	587,587
Deferred revenue – tax increment pass-through	575,142	-	575,142
Long-term liabilities – due in more than one year:			
Compensated absences	315,049	-	315,049
Net other post-employment benefits payable	5,500,000	-	5,500,000
Contract payable	8,038,221	-	8,038,221
Bonds payable	23,880,000	75,000	23,955,000
Net pension liability	4,381,344	-	4,381,344
Total noncurrent liabilities	<u>43,277,343</u>	<u>75,000</u>	<u>43,352,343</u>
Total liabilities	<u>49,295,022</u>	<u>111,877</u>	<u>49,406,899</u>

DEFERRED INFLOWS OF RESOURCES

Deferred inflows of resources:

Differences between projected and actual earnings on pension plan investments	1,120,433	-	1,120,433
Recognized portion of adjustment due to differences in proportions	50,809	-	50,809
Total deferred inflows of resources	<u>1,171,242</u>	<u>-</u>	<u>1,171,242</u>

NET POSITION

Net position:

Net investment in capital assets	87,693,459	-	87,693,459
Restricted – capital projects	5,360,944	-	5,360,944
Restricted – debt service	5,828,586	44,666	5,873,252
Unrestricted	9,219,049	-	9,219,049
Total net position	<u>108,102,038</u>	<u>44,666</u>	<u>108,146,704</u>
Total liabilities, deferred inflows of resources and net position	<u>\$ 158,568,302</u>	<u>\$ 156,543</u>	<u>\$ 158,724,845</u>

West Valley Water District
Combining Schedule of Revenues, Expenses and Changes in Net Position
For the Year Ended June 30, 2015

	Water District	Assessment District 97-1	Total
Operating revenues:			
Water consumption sales	\$ 16,246,445	\$ -	\$ 16,246,445
Water service charges	6,061,174	-	6,061,174
Other operating revenue	2,704,540	-	2,704,540
Total operating revenues	25,012,159	-	25,012,159
Operating expenses:			
Source of supply	960,369	-	960,369
Pumping	4,524,032	-	4,524,032
Water treatment	1,680,613	-	1,680,613
Transmission and distribution	1,907,194	-	1,907,194
Customer accounts	2,104,526	-	2,104,526
Conservation	383,739	-	383,739
Bio-remediation	308,193	-	308,193
General and administrative	5,165,955	-	5,165,955
Total operating expenses	17,034,621	-	17,034,621
Operating income before depreciation	7,977,538	-	7,977,538
Depreciation expense	(7,268,297)	-	(7,268,297)
Amortization of water participation rights	(321,529)	-	(321,529)
Operating income	387,712	-	387,712
Non-operating revenues(expenses):			
Property taxes	1,658,936	-	1,658,936
Interest and investment earnings	59,065	6,306	65,371
Rental revenue	32,207	-	32,207
Gain(loss) on sale of capital asset	24,644	-	24,644
Interest expense	(1,142,181)	(6,656)	(1,148,837)
Debt administration expense	(19,740)	-	(19,740)
Other non-operating revenue, net	208,258	(5,910)	202,348
Total non-operating revenues, net	821,189	(6,260)	814,929
Net income before capital contributions	1,208,901	(6,260)	1,202,641
Capital contributions:			
Capital grant	50,000	-	50,000
Developer contributions	3,977,745	-	3,977,745
Facility charges	912,430	-	912,430
Total capital contributions	4,940,175	-	4,940,175
Change in net position	6,149,076	(6,260)	6,142,816
Net position:			
Beginning of year	106,933,596	50,926	106,984,522
Prior period adjustment	(4,980,634)	-	(4,980,634)
End of year	<u>\$ 108,102,038</u>	<u>\$ 44,666</u>	<u>\$ 108,146,704</u>

See accompanying Notes to the Basic Financial Statements.

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STATISTICAL SECTION

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West Valley Water District
Statistical Section (Unaudited)
Last Ten Years

This part of the District's comprehensive annual financial report presents detailed information as a context for understanding what the information in the financial statements, note disclosures, and required supplementary information says about the District's overall financial health.

Table of Contents

	<u>Page No.</u>
Financial Trends	72
These schedules contain information to help the reader understand how the District's financial performance and well-being have changed over time.	
Revenue Capacity	74
These schedules contain information to help the reader assess the District's most significant own-source revenue, water sales.	
Debt Capacity	80
These schedules present information to help the reader assess the affordability of the District's current levels of outstanding debt and the District's ability to issue additional debt in the future.	
Demographic Information	82
This schedule offers demographic indicators to help the reader understand the environment within which the District's financial activities take place.	
Operating Information	83
This schedule contains service and infrastructure data to help the reader understand how the information in the District's financial report relates to the service the District provides.	

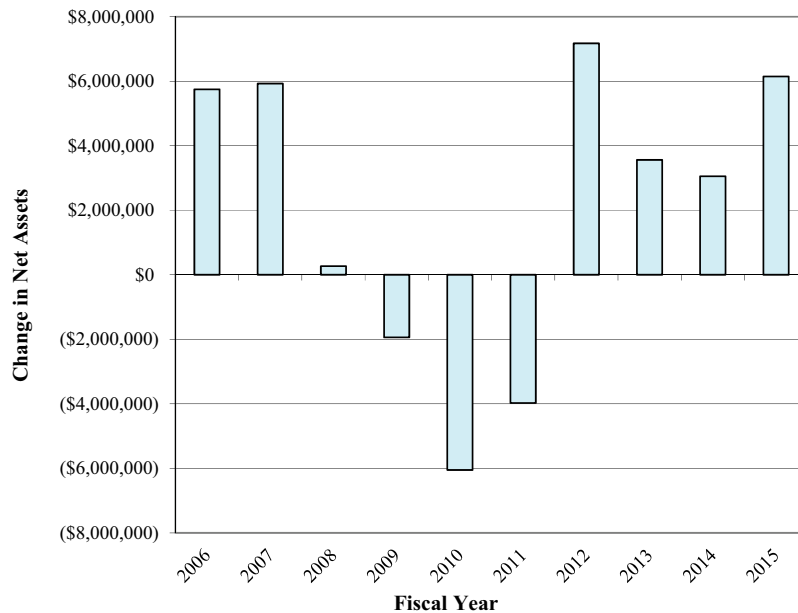
West Valley Water District

Changes in Net Position and Net Position by Component

Last Ten Years

Schedule 1

	Fiscal Year				
	2006	2007	2008	2009	2010
Changes in net position:					
Operating revenues (see Schedule 2)	\$ 9,585,883	\$ 12,649,898	\$ 11,952,084	\$ 12,516,368	\$ 12,847,976
Operating expenses (see Schedule 3)	(9,876,734)	(11,769,102)	(13,143,682)	(14,239,766)	(15,076,628)
Depreciation and amortization	(2,673,162)	(2,884,865)	(3,124,657)	(3,435,901)	(5,931,124)
Operating income(loss)	(2,964,013)	(2,004,069)	(4,316,255)	(5,159,299)	(8,159,776)
Non-operating revenues(expenses):					
Property taxes	341,795	1,056,260	1,218,693	1,368,431	1,160,572
Interest and investment earnings	1,020,033	1,377,234	1,349,096	367,362	92,589
Rental income - cellular antennas	25,683	25,923	24,629	26,116	41,767
Gain/(loss) on sale/disposition of capital assets	(6,920)	1,350	-	18,486	(15,414)
Expense Reimbursement	-	-	-	-	-
Interest expense - long term debt	(765,948)	(1,800,506)	(1,358,255)	(1,323,745)	(1,289,174)
Pension Related debt	-	-	-	(1,264,902)	-
Amortization of deferred charges	(22,848)	(36,356)	(48,474)	(48,474)	(48,474)
Other non-operating revenue/(expense), net	850,206	679,361	1,066,092	841,471	(505,204)
Total non-operating revenues(expenses), net	1,442,001	1,303,266	2,251,781	(15,255)	(563,338)
Net income (loss) before capital contributions	(1,522,012)	(700,803)	(2,064,474)	(5,174,554)	(8,723,114)
Capital contributions	7,270,164	6,628,672	2,331,245	3,233,296	2,672,626
Changes in net position	\$ 5,748,152	\$ 5,927,869	\$ 266,771	\$ (1,941,258)	\$ (6,050,488)
Net position by component:					
Net investment in capital assets	\$ 66,529,993	\$ 73,722,823	\$ 69,334,292	\$ 74,414,772	\$ 74,814,533
Restricted for capital projects	1,005,144	2,842,857	8,756,776	7,741,740	7,177,336
Restricted for debt service	68,148	68,908	69,100	57,555	55,816
Unrestricted	28,333,108	25,229,674	23,970,865	17,975,708	12,145,548
Total net assets	\$ 95,936,393	\$ 101,864,262	\$ 102,131,033	\$ 100,189,775	\$ 94,193,233



Source: West Valley Water District Accounting Department

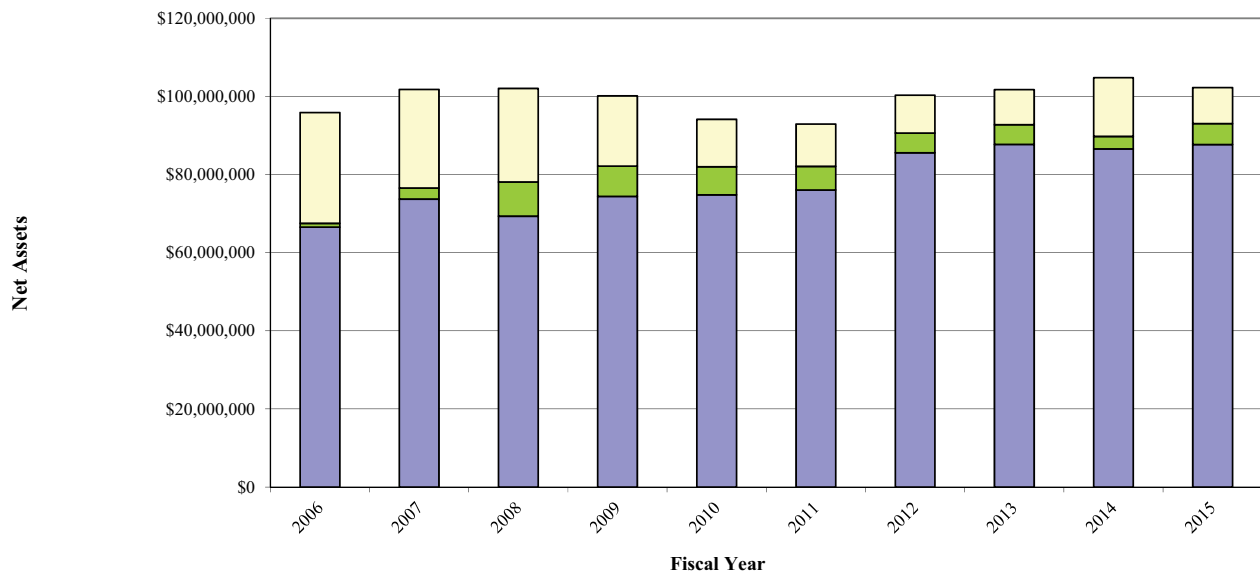
West Valley Water District

Changes in Net Position and Net Position by Component (Continued)

Last Ten Years

Schedule 1

	Fiscal Year				
	2011	As Restated 2012	As Restated 2013	2014	2015
Changes in net position:					
Operating revenues (see Schedule 2)	\$ 14,396,755	\$ 15,601,438	\$ 19,264,708	\$ 22,907,911	\$ 25,012,159
Operating expenses (see Schedule 3)	(15,152,541)	(14,146,510)	(15,781,608)	(16,995,392)	(17,034,621)
Depreciation and amortization	(7,183,269)	(6,751,348)	(6,734,329)	(7,554,520)	(7,589,826)
Operating income(loss)	(7,939,055)	(5,296,420)	(3,251,229)	(1,642,001)	387,712
Non-operating revenues(expenses):					
Property taxes	1,268,513	1,422,629	1,760,434	1,459,571	1,658,936
Interest and investment earnings	87,581	60,255	48,171	64,380	65,371
Rental income - cellular antennas	42,393	27,714	35,663	26,746	32,207
Gain/(loss) on sale/disposition of capital assets	3,137	16,171	-	45,650	24,644
Expense Reimbursement	-	-	2,000,000	-	-
Interest expense - long term debt	(1,339,178)	(1,295,266)	(1,246,914)	(1,196,877)	(1,148,837)
Pension Related debt	-	-	-	-	-
Amortization of deferred charges	(48,474)	(48,474)	(601,613)	(19,740)	(19,740)
Other non-operating revenue/(expense), net	56,826	(146,563)	55,737	34,575	202,348
Total non-operating revenues(expenses), net	70,798	36,466	2,051,478	414,305	814,929
Net income (loss) before capital contributions	(7,868,257)	(5,259,954)	(1,199,751)	(1,227,696)	1,202,641
Capital contributions	3,893,837	12,431,630	4,760,891	4,283,248	4,940,175
Changes in net position	\$ (3,974,420)	\$ 7,171,676	\$ 3,561,140	\$ 3,055,552	\$ 6,142,816
Net position by component:					
Net investment in capital assets	\$ 76,040,629	\$ 85,587,880	\$ 87,705,995	\$ 86,581,350	\$ 87,693,459
Restricted for capital projects	6,061,134	5,058,581	5,061,866	3,190,652	5,360,944
Restricted for debt service	56,104	55,093	2,196,172	2,194,435	5,873,252
Unrestricted	10,824,854	9,666,276	8,964,937	15,018,085	9,219,049
Total net assets	\$ 92,982,721	\$ 100,367,830	\$ 103,928,970	\$ 106,984,522	\$ 108,146,704



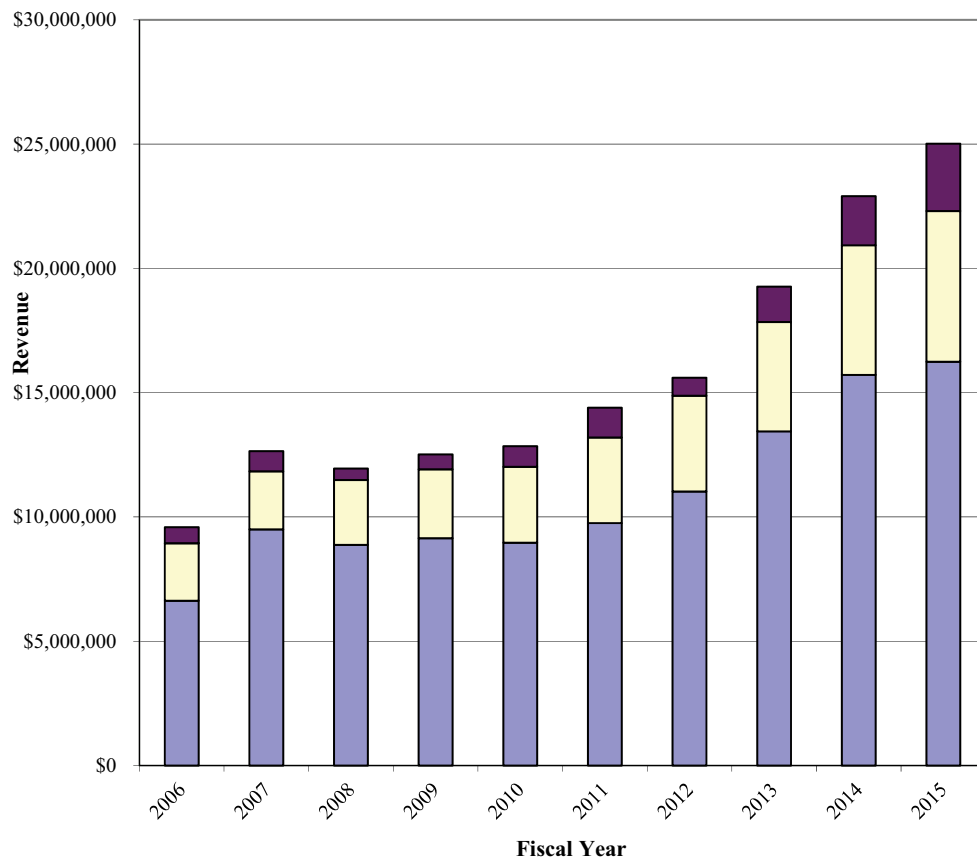
West Valley Water District

Operating Revenue by Source

Last Ten Years

Schedule 2

Fiscal Year	Water Consumption Sales	Water Service Charges	Other Operating Income	Total Operating Revenue
2006	\$ 6,625,716	\$ 2,319,087	\$ 641,080	\$ 9,585,883 (1)
2007	9,499,311	2,336,071	814,516	12,649,898
2008	8,872,941	2,609,836	469,307	11,952,084
2009	9,145,285	2,767,715	603,368	12,516,368
2010	8,961,085	3,053,040	833,851	12,847,976
2011	9,750,303	3,448,236	1,198,216	14,396,755
2012	11,019,032	3,855,757	726,649	15,601,438
2013	13,442,407	4,398,803	1,423,498	19,264,708
2014	15,715,734	5,214,461	1,977,716	22,907,911
2015	16,246,445	6,061,174	2,704,540	25,012,159



Notes: (1) Operating revenues were recategorized in 2006

Source: West Valley Water District Accounting Department

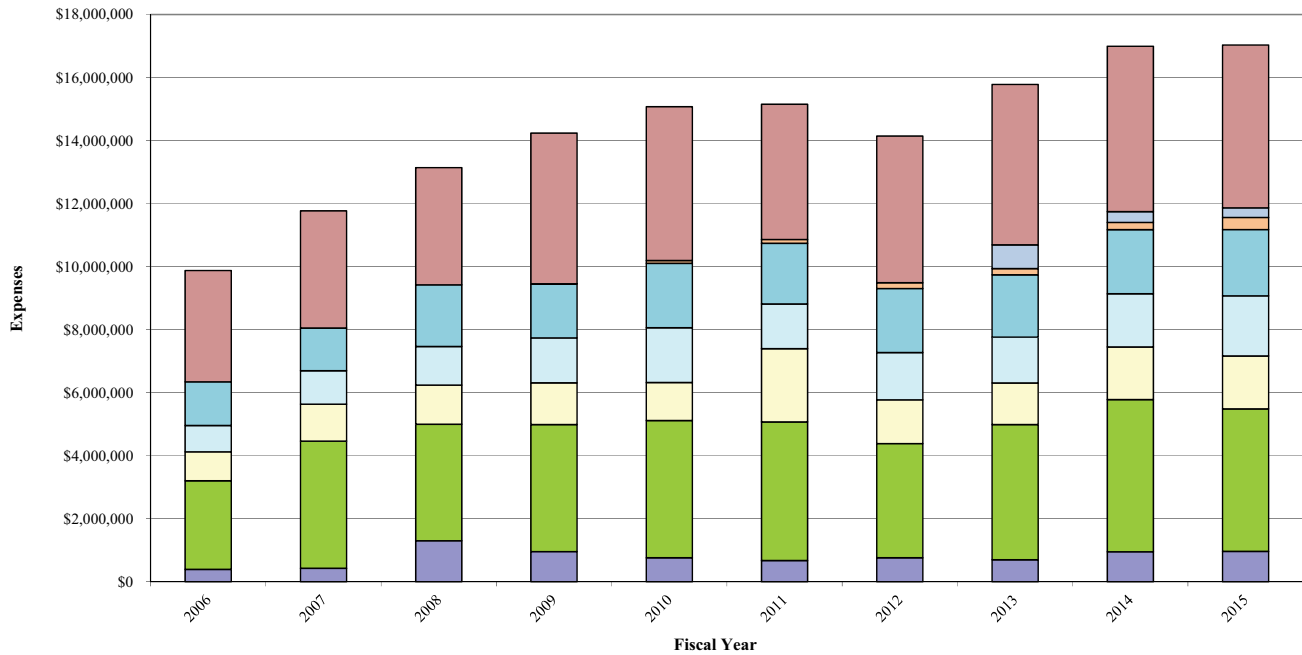
West Valley Water District

Operating Expenses by Activity

Last Ten Years

Schedule 3

Fiscal Year	Source of Supply	Pumping	Water Treatment	Transmission and Distribution	Customer Accounts	Conservation	Bioremediation	General and Administrative	Total Operating Expenses
2006	\$ 392,681	\$ 2,812,655	\$ 919,408	\$ 831,875	\$ 1,389,227	\$ -	\$ -	\$ 3,530,888	\$ 9,876,734
2007	426,103	4,036,380	1,172,713	1,061,602	1,354,056	-	-	3,718,248	11,769,102
2008	1,300,832	3,696,297	1,242,661	1,225,763	1,956,901	-	-	3,721,228	13,143,682
2009	956,940	4,030,155	1,326,083	1,426,379	1,716,249	228	-	4,783,732	14,239,766
2010	760,170	4,356,011	1,204,436	1,740,459	2,043,316	90,123	-	4,882,113	15,076,628
2011	671,055	4,401,510	2,325,866	1,417,810	1,923,981	122,064	-	4,290,255	15,152,541
2012	759,898	3,624,258	1,388,672	1,500,136	2,032,390	183,840	-	4,657,316	14,146,510
2013	698,507	4,288,300	1,323,713	1,451,836	1,977,941	199,973	752,907	5,088,431	15,781,608
2014	951,189	4,831,597	1,668,548	1,687,965	2,035,498	229,295	342,780	5,248,520	16,995,392
2015	960,369	4,524,032	1,680,613	1,907,194	2,104,526	383,739	308,193	5,165,955	17,034,621



Source: West Valley Water District Accounting Department

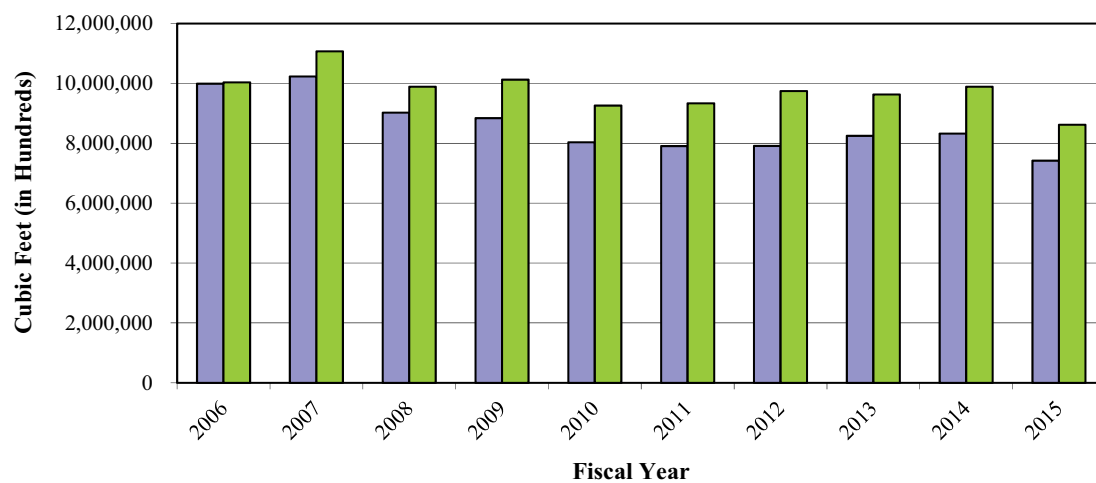
West Valley Water District

Revenue Base

Last Ten Years

Schedule 4

Fiscal Year	Water Sales (HCF)	Water Produced (HCF)
2006	9,990,477	10,034,917
2007	10,232,514	11,070,338
2008	9,023,167	9,888,556
2009	8,838,936	10,128,571
2010	8,036,066	9,261,727
2011	7,909,036	9,337,086
2012	7,912,309	9,742,948
2013	8,250,812	9,629,632
2014	8,323,184	9,891,169
2015	7,419,170	8,621,349



Note: See Schedule 2 "Operating Revenue by Source" for information regarding water revenues.

Source: West Valley Water District Accounting Department

West Valley Water District

Revenue Rates

Last Ten Years

Schedule 5

Water Consumption per Hundred Cubic Feet (HCF)

Service Type	2006	2007	2008	2009	2010	2011	2012	2013	2014	2015
Fire	\$ 46.00	\$ 50.00	\$ 50.00	\$ 55.00	\$ 60.50	\$ 67.00	\$ 74.00	n/a	n/a	n/a
Tier 1								80.00	92.50	106.50
Tier 2								87.50	100.00	115.00
Tier 3								95.00	110.00	126.50
Golf Course	0.50	0.66	0.66	0.70	0.77	0.85	0.94	By contract	By contract	By contract
Hydrant	1.50	1.63	1.63	1.80	1.98	2.18	2.40	2.76	2.76	2.76
Irrigation:										
Demand	0.40	0.50	0.50	0.55	0.61	0.68	0.75	By contract	By contract	By contract
Gravity Flow	0.40	0.50	0.50	0.55	0.61	0.68	0.75	By contract	By contract	By contract
Pressure	0.57	0.72	0.72	0.80	0.88	0.97	1.07	By contract	By contract	By contract
Water	0.80	1.00	1.00	1.10	1.21	1.34	1.48	n/a	n/a	n/a
Tier 1								1.60	1.85	2.13
Tier 2								1.75	2.00	2.30
Tier 3								1.90	2.20	2.53

Connection Fees Per Month

Meter Size	2006	2007	2008	2009	2010	2011	2012	2013	2014	2015
Fire										
5/8" & 3/4"	\$ 5.00	\$ 6.25	\$ 6.25	\$ 6.88	\$ 7.57	\$ 8.33	\$ 9.17	\$ 10.54	\$ 10.54	\$ 10.54
1"	5.00	6.25	6.25	6.88	7.57	8.33	9.17	10.54	10.54	10.54
1 1/2"	7.50	9.38	9.38	10.32	11.36	12.50	13.76	15.81	15.81	15.81
2"	10.00	12.50	12.50	13.76	15.14	16.66	18.34	21.08	21.08	21.08
3"	15.00	18.75	18.75	20.64	22.71	24.99	27.51	31.62	31.62	31.62
4"	20.00	25.00	25.00	27.52	30.28	33.32	36.68	42.16	42.16	42.16
6"	30.00	37.50	37.50	41.28	45.42	49.98	55.02	63.24	63.24	63.24
8"	40.00	50.00	50.00	55.04	60.56	66.64	73.36	84.32	84.32	84.32
Golf Course										
All Sizes	\$ 34.75	\$ 39.38	\$ 39.38	\$ 43.32	\$ 47.66	\$ 52.43	\$ 57.68	By contract	By contract	By contract
Hydrant										
All Sizes	\$ 34.75	\$ 43.45	\$ 43.45	\$ 47.80	\$ 52.58	\$ 57.84	\$ 63.63	73.17	73.17	73.17
Irrigation										
All Sizes:										
Demand	\$ 34.75	\$ 39.38	\$ 39.38	\$ 43.32	\$ 47.66	\$ 52.43	\$ 57.68	By contract	By contract	By contract
Gravity Flow	34.75	39.38	39.38	43.32	47.66	52.43	57.68	By contract	By contract	By contract
Pressure	34.75	39.38	39.38	43.32	47.66	52.43	57.68	By contract	By contract	By contract
Water										
5/8" & 3/4"	\$ 7.96	\$ 9.96	\$ 9.96	\$ 10.96	\$ 12.06	\$ 13.27	\$ 14.60	16.79	19.31	22.21
1"	11.87	14.84	14.84	16.33	17.97	19.77	21.75	25.01	28.76	33.07
1 1/2"	17.51	21.90	21.90	24.09	26.50	29.15	32.07	36.88	42.41	48.77
2"	24.12	30.16	30.16	33.18	36.50	40.15	44.17	50.80	58.42	67.18
3"	35.02	43.79	43.79	48.17	52.99	58.29	64.12	73.74	84.80	97.52
4"	46.17	57.71	57.71	63.50	69.85	76.84	84.53	97.21	111.79	128.56
6"	70.05	87.56	87.56	96.33	105.97	116.57	128.23	147.46	169.58	195.02
8"	93.92	117.40	117.40	129.16	142.08	156.29	171.92	197.71	227.37	261.48

Note 1: Out of District rates for Water Service are one and a half times the In District rates.

Note 2: The rates for Golf Course and Irrigation Services are by written agreement between the user and the District.

Source: West Valley Water District Board of Directors approved rate ordinances and resolutions

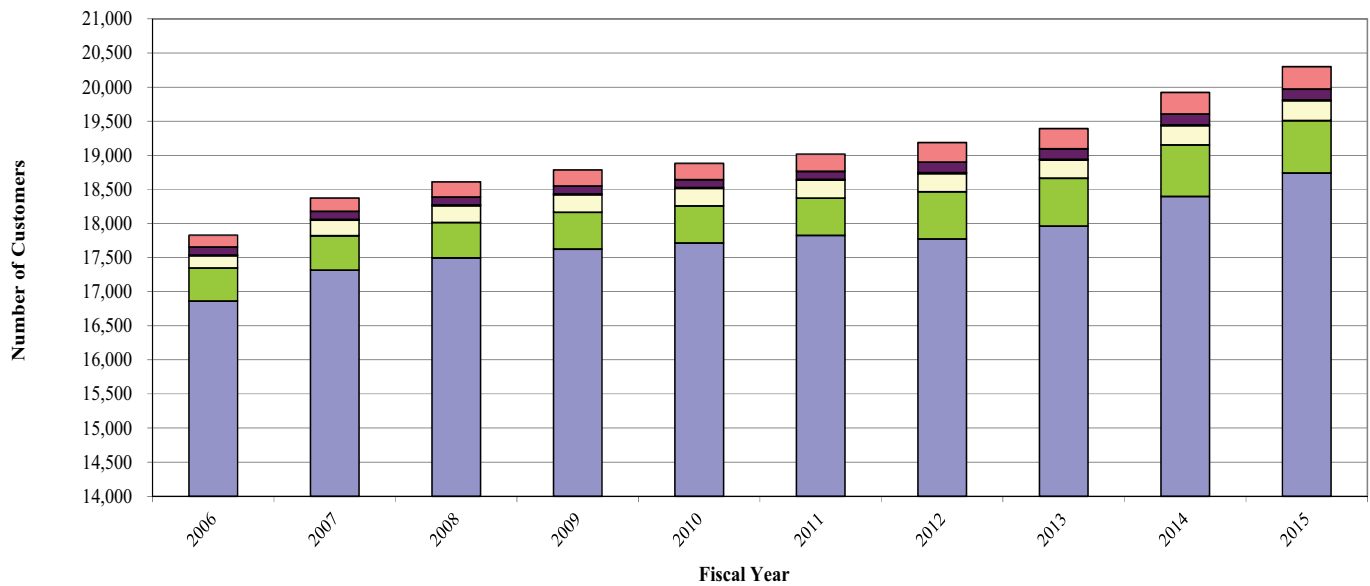
West Valley Water District

Customers by Type

Last Ten Years

Schedule 6

Fiscal Year	Customer Type							Total
	Residential	Commercial	Fire Service	Irrigation	Multi-Family	Park way	Golf Course	
2006	16,862	486	179	10	117	174	1	17,829
2007	17,315	505	230	11	117	197	1	18,376
2008	17,495	519	247	11	117	223	1	18,613
2009	17,624	541	257	11	117	235	1	18,786
2010	17,715	543	257	11	117	238	1	18,882
2011	17,824	549	262	12	117	253	1	19,018
2012	17,773	692	267	13	155	287	0	19,187
2013	17,961	703	266	10	155	296	0	19,391
2014	18,397	754	284	11	159	316	0	19,921
2015	18,740	769	292	11	159	330	0	20,301



Note: As a result of the 2012 rate study, certain accounts were reclassified to other types.

Source: West Valley Water District Accounting Department

West Valley Water District
Principal Customers
Current Year and Nine Years Ago

Customer	2015		2006	
	Water	Percentage	Water	Percentage
	Consumed	of Total	Consumed	of Total
Rialto Unified School District	256,199	3.45%	248,835	2.49%
City of Rialto	165,347	2.23%	173,615	1.74%
Colton Joint Unified School District	160,124	2.16%	132,744	1.33%
Robertson's Ready Mix	151,902	2.05%	179,828	1.80%
Target	119,954	1.62%	45,560	0.46%
City of Fontana	94,919	1.28%	27,732	0.28%
Lennar Homes	91,632	1.24%	-	0.00%
My Montceito III	69,886	0.94%	92,153	0.92%
Aramark Uniform Services	69,557	0.94%	-	0.00%
Milan Capital Management, Inc.	44,563	0.60%	28,726	0.29%
Total	1,224,083	16.50%	929,193	9.30%
Total Water Consumed (HCF)	7,419,170	100.00%	9,990,477	100.00%

Source: West Valley Water District Accounting Department

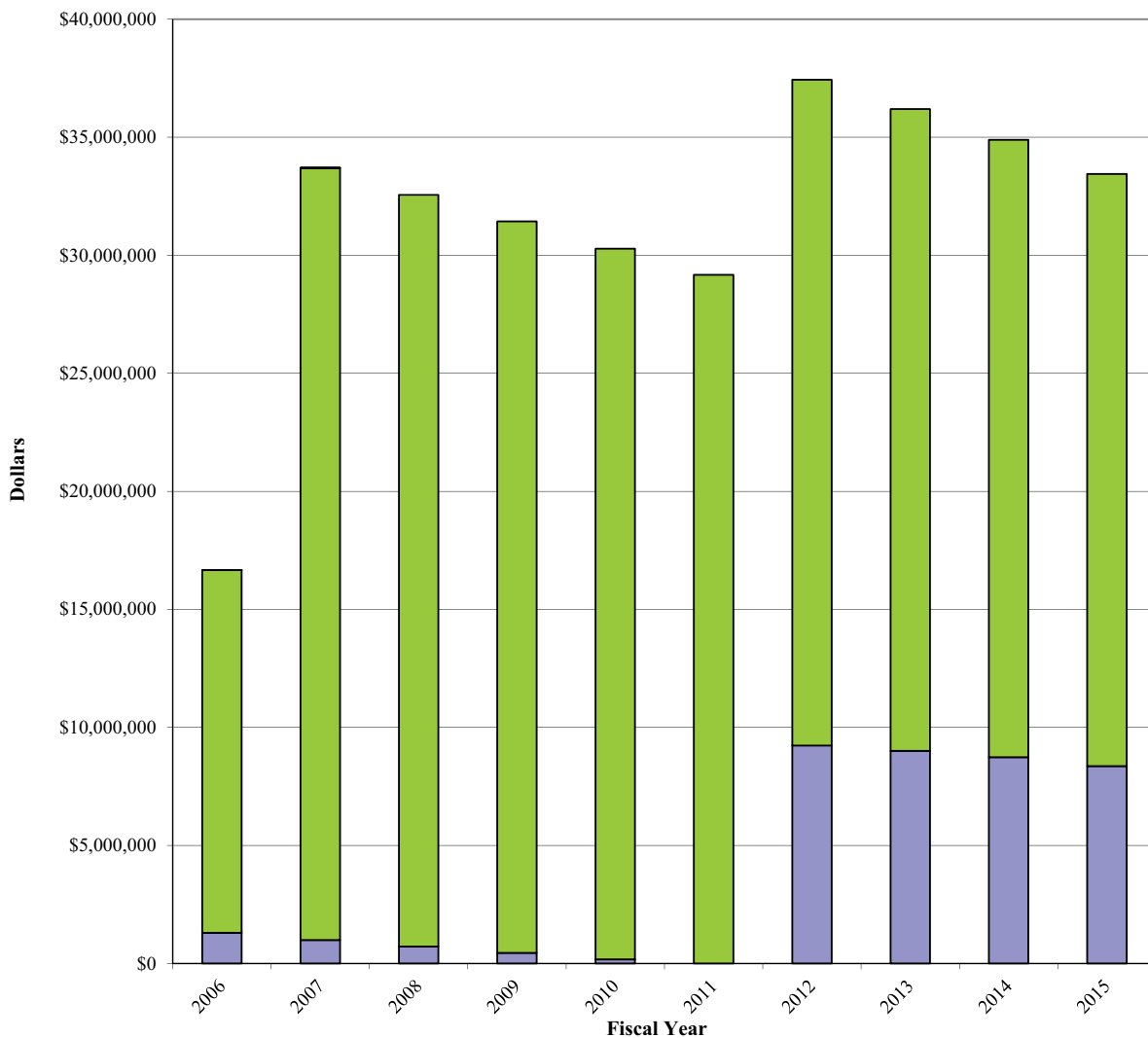
West Valley Water District

Ratios of Outstanding Debt by Type

Last Ten Years

Schedule 8

Fiscal Year	Contracts Payable	Bonds Payable	Notes Payable	Total		
				Debt	Per Capita	As a Share of Personal Income
2006	\$ 1,305,000	\$ 15,355,000	\$ 4,395	\$ 16,664,395	168.58	0.58%
2007	990,000	32,710,000	1,143	33,701,143	341.92	1.14%
2008	720,004	31,835,000	-	32,555,004	328.50	1.08%
2009	450,009	30,985,000	-	31,435,009	314.79	1.06%
2010	180,009	30,095,000	-	30,275,009	301.96	1.01%
2011	-	29,170,000	-	29,170,000	290.94	0.93%
2012	9,234,336	28,195,000	-	37,429,336	370.47	1.16%
2013	9,002,807	27,190,000	-	36,192,807	358.71	1.12%
2014	8,734,867	26,155,000	-	34,889,867	345.39	1.05%
2015	8,359,750	25,080,000	-	33,439,750	325.48	0.99%



Source: West Valley Water District Accounting Department

West Valley Water District

Pledged-Revenue Coverage

Last Ten Years

							Schedule 9
Fiscal Year	Net Revenues	Operating Expenses ⁽¹⁾	Net Available Revenues	Debt Service			Coverage Ratio
				Principal ⁽²⁾	Interest	Total	
2006	\$ 15,788,676	\$ (11,769,102)	\$ 4,019,574	\$ 648,262	\$ 752,131	\$ 1,400,393	2.87
2007	15,610,594	(13,143,682)	2,466,912	1,146,143	1,274,061	2,420,204	1.02
2008	15,138,234	(14,239,766)	898,468	1,120,000	1,348,787	2,468,787	0.36
2009	13,622,286	(14,531,043)	(908,757)	1,160,000	1,314,378	2,474,378	(0.37)
2010	14,142,904	(14,391,194)	(248,290)	1,105,009	1,278,441	2,383,450	(0.10)
2011	15,855,205	(15,843,330)	11,875	1,296,529	1,241,103	2,537,632	0.00
2012	17,128,207	(14,836,728)	2,291,479	1,326,529	1,349,370	2,675,899	0.86
2013	21,164,713	(17,630,135)	3,534,578	1,356,529	1,297,214	2,653,743	1.33
2014	24,538,833	(18,212,009)	6,326,824	1,450,117	1,113,028	2,563,145	2.47
2015	26,995,665	(18,203,198)	8,792,467	1,446,529	1,148,837	2,595,366	3.39

Notes:

(1) Operating expenses exclude depreciation and amortization expense.

(2) Includes only normal principal payments (does not include payments as a result of refinancing of debt)

Source: West Valley Water District Accounting Department

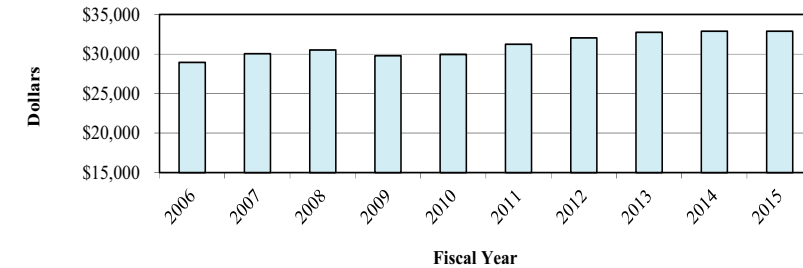
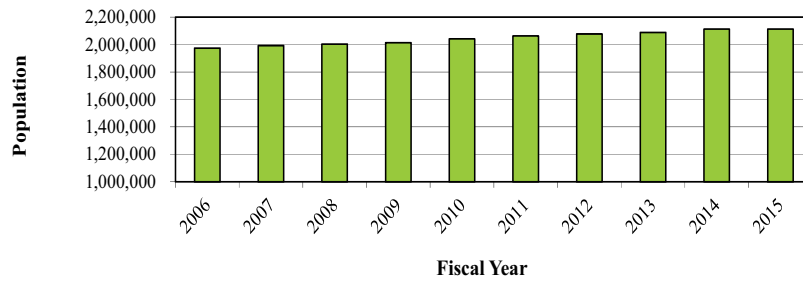
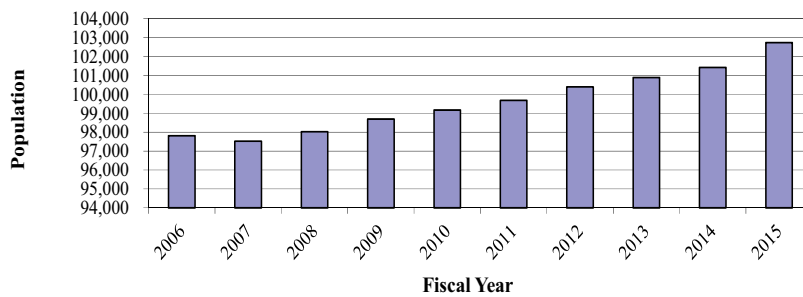
West Valley Water District

Demographics and Economics Statistics

Last Ten Years

Schedule 10

Year	Unemployment Rate	City of Rialto Population ⁽¹⁾	County of San Bernardino ⁽²⁾			
			Unemployment Rate	Population	Personal Income (thousands of dollars)	Personal Income per Capita
2006	6.3%	97,813	4.8%	1,974,140	57,153,907	28,951
2007	7.3%	97,525	5.6%	1,992,161	59,843,375	30,039
2008	10.3%	98,030	7.9%	2,003,735	61,161,307	30,524
2009	16.5%	98,698	13.0%	2,013,960	59,991,663	29,788
2010	18.1%	99,171	14.2%	2,041,626	61,147,087	29,950
2011	16.4%	99,686	12.9%	2,063,143	64,454,103	31,241
2012	14.3%	100,397	11.1%	2,077,453	66,577,329	32,048
2013	13.3%	100,896	10.4%	2,088,371	68,387,465	32,747
2014	11.6%	101,429	9.0%	2,112,619	69,487,877	32,892
2015	9.5%	102,741	8.1%	2,112,619	69,487,877	32,892



Sources:

www.labormarketinfo.edd.ca.gov

<http://www.bea.gov/regional/bearfacts>

<http://www.dof.ca.gov/Research/demographic/reports/estimates/e-1/view.php>

(1) Separate data is not available for the District, therefore the District has used the data for the City of Rialto. A substantial portion of the District lies within the city, and therefore, is a reasonable basis for determining the demographic and economic statistics of the District.

(2) Only County data is updated annually. Therefore, the District has chose to use its data since the District believes that the County data is representative of the conditions and experience of the District. 2015 not available- using 2014 data

West Valley Water District

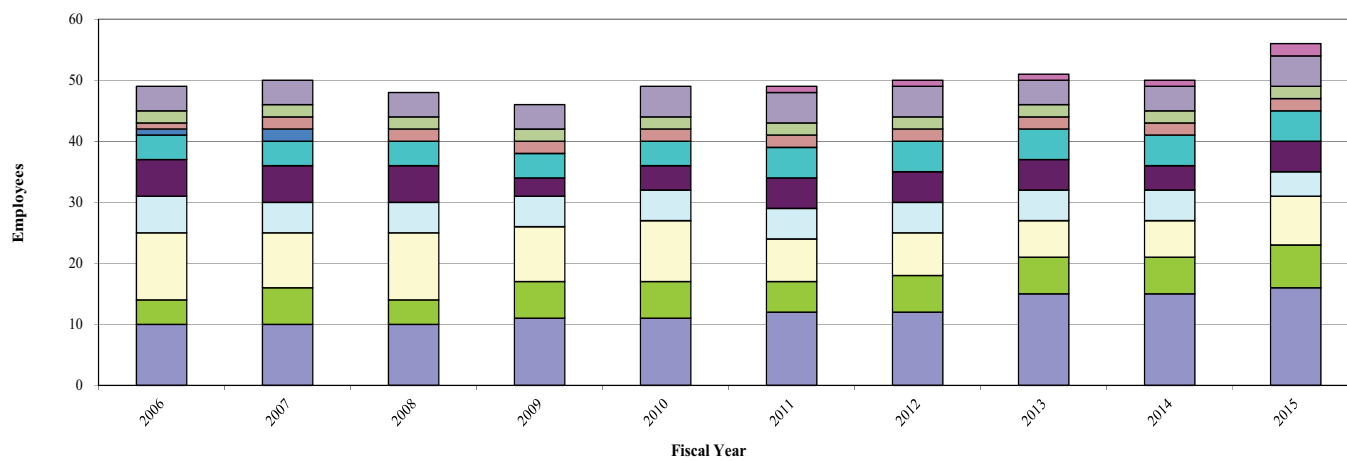
Operating and Capacity Indicators

Last Ten Years

Last Ten Fiscal Years

Schedule 11

Full-time Equivalent District Employees by Department												
Fiscal Year	Production	Maintenance	Meters	Administration	Customer Service	Accounting	Billing	IT	Human Resources	Engineering	Conservation	Total
2006	10	4	11	6	6	4	1	1	2	4	0	49
2007	10	6	9	5	6	4	2	2	2	4	0	50
2008	10	4	11	5	6	4	2	2	2	4	0	50
2009	11	6	9	5	3	4	4	2	2	4	0	50
2010	11	6	10	5	4	4	4	2	2	5	0	53
2011	12	5	7	5	5	5	4	2	2	5	1	53
2012	12	6	7	5	5	5	4	2	2	5	1	54
2013	15	6	6	5	5	5	4	2	2	4	1	55
2014	15	6	6	5	4	5	4	2	2	4	1	54
2015	16	7	8	4	5	5	4	2	2	5	2	60



Source: West Valley Water District Human Resources Department

Schedule 12

Other Operating and Capacity Indicators							
Fiscal Year	District Area (Square Miles)	Miles of Pipeline	Storage Tanks	Storage Capacity (MG)	Groundwater Wells	Well Capacity (MGD)	Fire Hydrants
2006	30	354	24	66.6	20	46.0	2,040
2007	30	355	24	66.6	19	43.0	2,040
2008	31	361	26	73.6	19	41.0	2,040
2009	31	362	26	73.6	20	42.0	2,040
2010	31	365	26	73.6	17	43.0	2,040
2011	31	366	26	73.6	17	38.0	2,040
2012	31	366	26	73.6	17	35.0	2,040
2013	31	368	26	73.6	17	35.0	2,040
2014	31	370	26	73.6	17	35.0	2,040
2015	31	370	26	73.6	17	35.0	2,040

MG - Millions of Gallons

MGD - Millions of Gallons per Day

Sources: West Valley Water District Operations

Note: The Fire Hydrant total is inclusive of Hydrants and Jones heads.

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APPENDIX B

DEFINITIONS AND SUMMARY OF THE INDENTURE

The following is a summary of certain provisions of the Indenture which are not described elsewhere. This summary does not purport to be comprehensive and reference should be made to the Indenture for a full and complete statement of the provisions thereof.

DEFINITIONS; CONTENT OF CERTIFICATES AND OPINIONS

Definitions. Unless the context otherwise requires, the terms defined in the Indenture will, for all purposes of the Indenture and of any indenture supplemental thereto and of any certificate, opinion or other document therein mentioned, have the meanings specified in the Indenture, to be equally applicable to both the singular and plural forms of any of the terms therein defined.

Accountant's Report. The term "Accountant's Report" means a report signed by an Independent Certified Public Accountant.

Authorized Representative. The term "Authorized Representative" means, with respect to the District, its President, Vice-President, District Secretary, General Manager, Chief Financial Officer or any other person designated as an Authorized Representative of the District by a Certificate of the District signed by its President, Vice President, District Secretary, General Manager or Chief Financial Officer and filed with the Trustee.

Bond Counsel. The term "Bond Counsel" means Stradling Yocca Carlson & Rauth, a Professional Corporation, or another firm of nationally recognized attorneys experienced in the issuance of obligations the interest on which is excludable from gross income under Section 103 of the Code.

Bonds. The term "Bonds" means all revenue bonds or notes of the District authorized, executed, issued and delivered by the District, the payments of which are payable from System Net Revenues on a parity with the 2016A Bonds and which are secured by a pledge of and lien on System Revenues as described in the Indenture.

Bond Year. The term "Bond Year" means the period beginning on the date of issuance of the 2016A Bonds and ending on October 1, 2017, and each successive one year or, during the last period prior to maturity, shorter period thereafter until there are no Outstanding 2016A Bonds.

Business Day. The term "Business Day" means: (i) a day which is not a Saturday, Sunday or legal holiday on which banking institutions in the State, or in any other state in which the Office of the Trustee is located, are closed; or (ii) a day on which the New York Stock Exchange is not closed.

Certificate; Direction; Request; Requisition. The terms "Certificate," "Direction," "Request" and "Requisition" of the District mean a written certificate, direction, request or requisition signed in the name of the District by its Authorized Representative. Any such instrument and supporting opinions or representations, if any, may, but need not, be combined in a single instrument with any other instrument, opinion or representation, and the two or more so combined will be read and construed as a single instrument. If and to the extent required by the Indenture, each such instrument will include the statements provided for in the Indenture.

Closing Date. The term "Closing Date" means the date on which the 2016A Bonds are delivered to the original purchaser thereof.

Code. The term "Code" means the Internal Revenue Code of 1986, as amended.

Continuing Disclosure Certificate. The term "Continuing Disclosure Certificate" means the Continuing Disclosure Certificate, dated the Closing Date, by the District, as originally executed or as it may be from time to time amended or supplemented in accordance with its terms.

Contracts. The term “Contracts” means all contracts of the District previously or later authorized and executed by the District, the payments under which are payable from System Net Revenues on a parity with the 2016A Bonds and which are secured by a pledge and lien on System Revenues as described in the Indenture; but excluding contracts entered into for operation and maintenance of the System.

Debt Service. The term “Debt Service” means, for any period of calculation, the sum of: (1) the interest payable during such period on all outstanding Bonds, assuming that all outstanding serial Bonds are retired as scheduled and that all outstanding term Bonds are redeemed or paid from sinking fund payments as scheduled (except to the extent that such interest is capitalized or is reasonably anticipated to be reimbursed to the District by the United States of America pursuant to Section 54AA of the Code (Section 1531 of Title I of Division B of the American Recovery and Reinvestment Act of 2009 (Pub. L. No. 111-5, 23 Stat. 115 (2009), enacted February 17, 2009)), or any future similar program); (2) those portions of the principal amount of all outstanding serial Bonds maturing in such period; (3) those portions of the principal amount of all outstanding term Bonds required to be redeemed or paid in such period; and (4) those portions of the Contracts required to be made during such period, (except to the extent that the interest evidenced and represented thereby is capitalized or is reasonably anticipated to be reimbursed to the District by the United States of America pursuant to Section 54AA of the Code (Section 1531 of Title I of Division B of the American Recovery and Reinvestment Act of 2009 (Pub. L. No. 111-5, 23 Stat. 115 (2009), enacted February 17, 2009)), or any future similar program); but less the earnings to be derived from the investment of moneys on deposit in debt service reserve funds established for Bonds or Contracts; provided that, as to any such Bonds or Contracts bearing or comprising interest at other than a fixed rate, the rate of interest used to calculate Debt Service will, for all purposes, be assumed to bear interest at a fixed rate equal to the higher of: (i) the then current variable interest rate borne by such Bonds or Contracts plus 1%; and (ii) the highest variable rate borne over the preceding 24 months by outstanding variable rate debt issued by the District or, if no such variable rate debt is at the time outstanding, by variable rate debt of which the interest rate is computed by reference to an index comparable to that to be utilized in determining the interest rate for the debt then proposed to be issued; provided further that if any series or issue of such Bonds or Contracts have 25% or more of the aggregate principal amount of such series or issue due in any one year, Debt Service will be determined for the period of determination as if the principal of and interest on such series or issue of such Bonds or Contracts were being paid from the date of incurrence thereof in substantially equal annual amounts over a period of 25 years from the date of calculation; and provided further that, as to any such Bonds or Contracts or portions thereof bearing no interest but which are sold at a discount and which discount accretes with respect to such Bonds or Contracts or portions thereof, such accreted discount will be treated as interest in the calculation of Debt Service; and provided further that if the Bonds or Contracts constitute Paired Obligations, the interest rate on such Bonds or Contracts will be the resulting linked rate or the effective fixed interest rate to be paid by the District with respect to such Paired Obligations, but only if the applicable Paired Obligations satisfies the requirement set forth in the Indenture; and provided further that the amount on deposit in a debt service reserve fund on any date of calculation of Debt Service will be deducted from the amount of principal due at the final maturity of the Bonds and Contracts for which such debt service reserve fund was established and to the extent that the amount in such debt service reserve fund is in excess of such amount of principal, such excess will be applied to the full amount of principal due, in each preceding year, in descending order, until such amount is exhausted.

Depository; DTC. The term “Depository” or “DTC” means The Depository Trust Company, New York, New York, a limited purpose trust company organized under the laws of the State of New York, in its capacity as securities depository for the 2016A Bonds.

District. The term “District” means West Valley Water District, a public agency of the State of California, established under Division 12 of the Water Code of the State of California.

Event of Default. The term “Event of Default” means any of the events specified as such in the Indenture.

Federal Securities. The term “Federal Securities” means any direct, noncallable general obligations of the United States of America (including obligations issued or held in book entry form on the books of the Department of the Treasury of the United States of America), or noncallable obligations the timely payment of principal of and interest on which are fully and unconditionally guaranteed by the United States of America.

Fiscal Year. The term “Fiscal Year” means the twelve month period beginning on July 1 of each year and ending on the next succeeding June 30, both dates inclusive, or any other twelve month period later selected and designated as the official fiscal year period of the District.

Generally Accepted Accounting Principles. The term “Generally Accepted Accounting Principles” means the uniform accounting and reporting procedures set forth in publications of the American Institute of Certified Public Accountants or its successor, or by any other generally accepted authority on such procedures, and includes, as applicable, the standards set forth by the Governmental Accounting Standards Board or its successor.

Indenture. The term “Indenture” means the Indenture of Trust, dated as of December 1, 2016, by and between the District and the Trustee, as originally executed or as it may from time to time be supplemented, modified or amended by any Supplemental Indenture.

Independent Certified Public Accountant. The term “Independent Certified Public Accountant” means any firm of certified public accountants appointed by the District, each of whom is independent of the District pursuant to the Statement on Auditing Standards No. 1 of the American Institute of Certified Public Accountants.

Independent Financial Consultant. The term “Independent Financial Consultant” means a financial consultant or firm of such consultants appointed by the District, which may, for purposes of the certification described in the definition of “Paired Obligations” be an interest rate swap adviser, and who, or each of whom: (1) is in fact independent and not under domination of the District; (2) does not have any substantial interest, direct or indirect, with the District; and (3) is not connected with the District as an officer or employee thereof, but who may be regularly retained to make reports thereto.

Information Services. The term “Information Services” means the Municipal Securities Rulemaking Board; or, in accordance with then-current guidelines of the Securities and Exchange Commission, such other services providing information with respect to called bonds as the District may specify in a certificate to the Trustee.

Initial Rating Requirement. The term “Initial Rating Requirement” means the rating requirement described as such in the Indenture.

Interest Account. The term “Interest Account” means the account by that name in the Payment Fund established pursuant to the Indenture.

Interest Payment Date. The term “Interest Payment Date” means April 1, 2017 and each October 1 and April 1 thereafter.

Investment Agreement. The term “Investment Agreement” means an investment agreement by a provider, supported by appropriate opinions of counsel, provided that, without limiting the foregoing, any such Investment Agreement must: (i) be from a provider rated by S&P or Moody’s at “A-” or “A3”, respectively, or above; (ii) require the District to terminate such agreement and immediately reinvest the proceeds thereof in other Permitted Investments if the rating assigned to the provider by S&P or Moody’s falls to “BBB+” or “Baa1”, respectively, or below; and (iii) expressly permit the withdrawal, without penalty, of any amounts necessary at any time to fund any deficiencies on account of debt service requirements with respect to the 2016A Bonds, together with such amendments as may be approved by the District and the Trustee from time to time.

Law. The term “Law” means the laws of the State of California pursuant to which the District was formed and operates and Section 5451 of the Government Code of the State of California, and in each case all laws amendatory thereof or supplemental thereto.

Letter of Representations. The term “Letter of Representations” means the letter of the District delivered to and accepted by the Depository on or prior to delivery of the 2016A Bonds as book entry bonds setting forth the basis on which the Depository serves as depository for such book entry bonds, as originally executed or as it may be supplemented or revised or replaced by a letter from the District delivered to and accepted by the Depository.

Minimum Rating Requirement. The term “Minimum Rating Requirement” means the rating requirement described as such in the Indenture.

Moody’s. The term “Moody’s” means Moody’s Investors Service, Inc. or any successor thereto.

Net Proceeds. The term “Net Proceeds” means, when used with respect to any casualty insurance or condemnation award, the proceeds from such insurance or condemnation award remaining after payment of all expenses (including attorneys’ fees) incurred in the collection of such proceeds.

Nominee. The term “Nominee” means the nominee of the Depository, which may be the Depository, as determined from time to time pursuant to the Indenture.

Office. The term “Office” means with respect to the Trustee, the corporate trust office of the Trustee at 633 West Fifth Street, 24th Floor, Los Angeles, California, Re: West Valley Water District Series 2016A, or such other or additional offices as may be specified in writing by the Trustee to the District, except that with respect to presentation of 2016A Bonds for payment or for registration of transfer and exchange, such term means the office or agency of the Trustee at which, at any particular time, its corporate trust agency business is conducted.

Operation and Maintenance Costs. The term “Operation and Maintenance Costs” means the reasonable and necessary costs paid or incurred by the District for maintaining and operating the System, determined in accordance with Generally Accepted Accounting Principles, including all reasonable expenses of management and repair and all other expenses necessary to maintain and preserve the System in good repair and working order, and including all administrative costs of the District that are charged directly or apportioned to the operation of the System, such as salaries and wages of employees, overhead, taxes (if any) and insurance premiums (including payments required to be paid into any self-insurance funds), and including all other reasonable and necessary costs of the District or charges required to be paid by it to comply with the terms of the Indenture, any Supplemental Indenture or any Contracts or Bonds, such as compensation, reimbursement and indemnification of the Trustee and fees and expenses of Independent Certified Public Accountants; but excluding in all cases: (i) payment of Contracts and Bonds and obligations payable from System Revenues on a subordinate basis to Contracts and Bonds; (ii) costs of capital additions, replacements, betterments, extensions or improvements which under Generally Accepted Accounting Principles are chargeable to a capital account; and (iii) depreciation, replacement and obsolescence charges or reserves therefor and amortization of intangibles.

Opinion of Counsel. The term “Opinion of Counsel” means a written opinion of counsel (including but not limited to counsel to the District) selected by the District. If and to the extent required by the provisions of the Indenture, each Opinion of Counsel will include the statements provided for in the Indenture.

Outstanding. The term “Outstanding,” when used as of any particular time with reference to 2016A Bonds, means (subject to the provisions of the Indenture) all 2016A Bonds theretofore or thereupon being authenticated and delivered by the Trustee under the Indenture except: (i) 2016A Bonds theretofore canceled by the Trustee or surrendered to the Trustee for cancellation; (ii) 2016A Bonds with respect to which all liability of the District has been discharged in accordance with the Indenture, including 2016A Bonds (or portions thereof) described in the Indenture; and (iii) 2016A Bonds for the transfer or exchange of or in lieu of or in substitution for which other 2016A Bonds have been authenticated and delivered by the Trustee pursuant to the Indenture.

Owner; 2016A Bond Owner. The term “Owner” or “2016A Bond Owner,” whenever used in the Indenture with respect to a 2016A Bond, means the person in whose name the ownership of such 2016A Bond is registered on the Registration Books.

Paired Obligation Provider. The term “Paired Obligation Provider” means a party to a Paired Obligation other than the District.

Paired Obligations. The term “Paired Obligations” means any Bond or Contract (or portion thereof) designated as Paired Obligations in the resolution, indenture or other document authorizing the issuance or execution and delivery thereof, which are simultaneously issued or executed and delivered: (i) the principal of which

is of equal amount maturing and to be redeemed or prepaid (or cancelled after acquisition thereof) on the same dates and in the same amounts; and (ii) the interest rates which, taken together, are reasonably expected to result in a fixed interest rate obligation of the District for the term of such Bond or Contract, as certified by an Independent Financial Consultant in writing, and which comply with the provisions of the Indenture.

Participants. The term “Participants” means those broker-dealers, banks and other financial institutions from time to time for which the Depository holds book entry certificates as securities depository.

Payment Fund. The term “Payment Fund” means the fund by that name established pursuant to the Indenture.

Permitted Investments. The term “Permitted Investments” means any of the following which at the time of investment are legal investments under the laws of the State for the moneys proposed to be invested therein. The Trustee is entitled to rely upon the written investment direction of the District as a representation that such investment constitutes a legal investment under the laws of the State.

(a) for all purposes, including but not limited to defeasance investments in refunding escrow accounts: (1) cash (insured at all times by the Federal Deposit Insurance Corporation or otherwise collateralized with obligations described in paragraph (2) below); and (2) direct obligations of the United States of America (including obligations issued or held in book entry form on the books of the Department of the Treasury, including REFCORP Interest STRIPS) or obligations the principal of and interest on which are unconditionally guaranteed by the United States of America; and

(b) for all purposes other than defeasance investments in refunding escrow accounts: (1) obligations of any of the following federal agencies which obligations represent full faith and credit of the United States of America, including the Export - Import Bank; Farmers Home Administration; General Services Administration; U.S. Maritime Administration; Government National Mortgage Association (GNMA); U.S. Department of Housing & Urban Development (PHA's); and Federal Housing Administration; (2) bonds, notes or other evidences of indebtedness rated at least “AA-” or “Aa3” by the applicable Rating Agency issued by Fannie Mae or the Federal Home Loan Mortgage Corporation with remaining maturities not exceeding three years; (3) U.S. dollar denominated deposit accounts, certificates of deposit, federal funds and banker's acceptances with domestic commercial banks (including the Trustee) which are either insured by the Federal Deposit Insurance Corporation or have a rating on their short term certificates of deposit on the date of purchase of “A-1” or “A-1+” by S&P and “P-1” by Moody's and maturing no more than 360 days after the date of purchase (ratings on holding companies are not considered as the rating of the bank); (4) commercial paper which is rated at the time of purchase in the single highest classification, “A 1+” by S&P and “P-1” by Moody's and which matures not more than 270 days after the date of purchase; (5) investments in a money market fund rated “AAm”, “AAm-G”, “AAAm” or “AAAm-G” or better by S&P, including such funds for which the Trustee or an affiliate acts as investment advisor or provides other services; (6) pre-refunded municipal obligations defined as follows: any bonds or other obligations of any state of the United States of America or of any agency, instrumentality or local governmental unit of any such state which are not callable at the option of the obligor prior to maturity or as to which irrevocable instructions have been given by the obligor to call on the date specified in the notice and which are rated, based on the escrow, in the highest rating category of S&P and Moody's; (7) any Investment Agreement; and (8) the Local Agency Investment Fund.

Principal Account. The term “Principal Account” means the account by that name in the Payment Fund established pursuant to the Indenture.

Prior Issuer. The term “Prior Issuer” means the California Statewide Communities Development Authority.

Rating. The term “Rating” means any currently effective rating on the 2016A Bonds issued by a Rating Agency.

Rating Agencies. The term “Rating Agencies” means S&P.

Rebate Fund. The term “Rebate Fund” means the fund by that name established pursuant to the Indenture.

Record Date. The term “Record Date” means, with respect to any Interest Payment Date, the 15th day of the calendar month preceding such Interest Payment Date, whether or not such day is a Business Day.

Redemption Date. The term “Redemption Date” means the date fixed for an optional redemption prior to maturity of the 2016A Bonds.

Redemption Fund. The term “Redemption Fund” means the fund by that name established pursuant to the Indenture.

Redemption Price. The term “Redemption Price” means, with respect to any 2016A Bond (or portion thereof), the principal amount of such 2016A Bond (or portion) plus the interest accrued to the applicable Redemption Date and the applicable premium, if any, payable upon redemption thereof pursuant to the provisions of such 2016A Bond and the Indenture.

Registration Books. The term “Registration Books” means the records maintained by the Trustee for the registration of ownership and registration of transfer of the 2016A Bonds pursuant to the Indenture.

Repayment Obligations. The term “Repayment Obligations” means the reimbursement obligation or any other payment obligation of the District under a written agreement between the District and a credit provider to reimburse the credit provider for amounts paid pursuant to a credit facility for the payment of the principal amount or purchase price of and/or interest on any Contracts or Bonds.

Responsible Officer of the Trustee. The term “Responsible Officer of the Trustee” means any officer within the corporate trust services division (or any successor group or department of the Trustee) including any vice president, assistant vice president, assistant secretary or any other officer or assistant officer of the Trustee customarily performing functions similar to those performed by the persons who at the time are such officers, respectively, with responsibility for the administration of the Indenture.

S&P. The term “S&P” means S&P Global Ratings, a Standard & Poor’s Financial Services LLC business, or any successor thereto.

Securities Depositories. The term “Securities Depositories” means The Depository Trust Company; and, in accordance with then current guidelines of the Securities and Exchange Commission, such other addresses and/or such other securities depositories as the District may designate in a Written Request of the District delivered to the Trustee.

State. The term “State” means the State of California.

Supplemental Indenture. The term “Supplemental Indenture” means any indenture later duly authorized and entered into between the District and the Trustee, supplementing, modifying or amending the Indenture; but only if and to the extent that such Supplemental Indenture is specifically authorized under the Indenture.

System. The term “System” means the whole and each and every part of the water system of the District, including the portion thereof existing on the date of the Indenture, and including all additions, betterments, extensions and improvements to such water system or any part thereof later acquired or constructed.

System Net Revenues. The term “System Net Revenues” means, for any period, the System Revenues for such period less the Operation and Maintenance Costs for such period. When held by the Trustee in any funds or accounts established under the Indenture, System Net Revenues will include all interest or gain derived from the investment of amounts in any of such funds or accounts.

System Revenue Fund. The term “System Revenue Fund” means the Water Fund of the District, or such other enterprise fund of the District in which System Revenues are deposited.

System Revenues. The term “System Revenues” means all gross income and revenue received or receivable by the District from the ownership or operation of the System, determined in accordance with Generally Accepted Accounting Principles, including all fees (including connection fees), rates, charges and all amounts paid under any contracts received by or owed to the District in connection with the operation of the System, all proceeds of insurance relating to the System and investment income allocable to the System, all 1% *ad valorem* property tax proceeds received by the District and all other income and revenue howsoever derived by the District from the ownership or operation of the System or arising from the System, subject to and after satisfaction of any obligations payable on a senior basis to Bonds and Contracts.

Tax Certificate. The term “Tax Certificate” means the Tax Certificate dated the Closing Date, concerning certain matters pertaining to the use and investment of proceeds of the 2016A Bonds issued by the District on the date of issuance of the 2016A Bonds, including any and all exhibits attached thereto.

Trustee. The term “Trustee” means U.S. Bank National Association, a national banking association duly organized and existing under the laws of the United States of America, or its successor as Trustee under the Indenture as provided therein.

2006D-2 Installment Purchase Agreement. The term “2006D-2 Installment Purchase Agreement” means the Installment Purchase Agreement, dated as of October 1, 2006, by and between the District and the Prior Issuer, as originally executed and as it may from time to time be amended or supplemented in accordance therewith.

2016A Bonds. The term “2016A Bonds” means the West Valley Water District Water Revenue Refunding Bonds, Series 2016A issued by the District and at any time Outstanding pursuant to the Indenture.

Valuation Date. “Valuation Date” means the fifth Business Day preceding the date of redemption.

Value. The term “Value,” which will be determined as of the end of each month, means that the value of any investments will be calculated as follows: (a) for the purpose of determining the amount of any fund, all Permitted Investments credited to such fund will be valued at fair market value. The Trustee will determine the fair market value based on accepted industry standards and from accepted industry providers. Accepted industry providers include, but are not limited to, pricing services provided by Financial Times Interactive Data Corporation, Bank of America Merrill Lynch and Morgan Stanley Smith Barney. (b) As to certificates of deposit and bankers’ acceptances: the face amount thereof, plus accrued interest. (c) As to any investment not specified above: market value, or, if the market value is not ascertainable by the District or the Trustee, at cost.

Water Service. The term “Water Service” means the water distribution service made available or provided by the System.

Written Consent of the District; Written Order of the District; Written Request of the District; Written Requisition of the District. The terms “Written Consent of the District,” “Written Order of the District,” “Written Request of the District” and “Written Requisition of the District” mean, respectively, a written consent, order, request or requisition signed by or on behalf of the District by the President or General Manager or its Chief Financial Officer or by the Secretary or by any two persons (whether or not members of the Board of Directors of the District) who are specifically authorized by resolution of the District to sign or execute such a document on its behalf.

Content of Certificates and Opinions. Every certificate or opinion provided for in the Indenture except the certificate of destruction provided for therein, with respect to compliance with any provision thereof will include: (1) a statement that the person making or giving such certificate or opinion has read such provision and the definitions in the Indenture relating thereto; (2) a brief statement as to the nature and scope of the examination or investigation upon which the certificate or opinion is based; (3) a statement that, in the opinion of such person he or she has made or caused to be made such examination or investigation as is necessary to enable him or her to express an informed opinion with respect to the subject matter referred to in the instrument to which his or her signature is affixed; (4) a statement of the assumptions upon which such certificate or opinion is based, and that such assumptions are reasonable; and (5) a statement as to whether, in the opinion of such person, such provision has been complied with.

Any such certificate or opinion made or given by an officer of the District may be based, insofar as it relates to legal or accounting matters, upon a certificate or opinion of or representation by counsel or an Independent Certified Public Accountant or Independent Financial Consultant, unless such officer knows, or in the exercise of reasonable care should have known, that the certificate, opinion or representation with respect to the matters upon which such certificate or statement may be based, as aforesaid, is erroneous. Any such certificate or opinion made or given by counsel or an Independent Certified Public Accountant or Independent Financial Consultant may be based, insofar as it relates to factual matters (with respect to which information is in the possession of the District) upon a certificate or opinion of or representation by an officer of the District, unless such counsel or Independent Certified Public Accountant or Independent Financial Consultant knows, or in the exercise of reasonable care should have known, that the certificate or opinion or representation with respect to the matters upon which such person's certificate or opinion or representation may be based, as aforesaid, is erroneous. The same officer of the District, or the same counsel or Independent Certified Public Accountant or Independent Financial Consultant, as the case may be, need not certify to all of the matters required to be certified under any provision of the Indenture, but different officers, counsel or Independent Certified Public Accountants or Independent Financial Consultants may certify to different matters, respectively.

THE 2016A BONDS

Registration Books. The Trustee will keep or cause to be kept, at the Office of the Trustee, sufficient records for the registration and transfer of ownership of the 2016A Bonds, which will upon reasonable notice and at reasonable times be open to inspection during regular business hours by the District and the Owners; and, upon presentation for such purpose, the Trustee will, under such reasonable regulations as it may prescribe, register or transfer or cause to be registered or transferred, on such records, the ownership of the 2016A Bonds as provided in the Indenture. The person in whose name any 2016A Bond is registered will be deemed the Owner thereof for all purposes of the Indenture, and payment of or on account of the interest on and principal and Redemption Price of by such 2016A Bonds will be made only to or upon the order in writing of such registered Owner, which payments will be valid and effectual to satisfy and discharge liability upon such 2016A Bond to the extent of the sum or sums so paid.

2016A Bonds Mutilated, Lost, Destroyed or Stolen. If any 2016A Bond becomes mutilated, the District, at the expense of the Owner of said 2016A Bond, will execute, and the Trustee will thereupon authenticate and deliver, a new 2016A Bond of like tenor, series and authorized denomination in exchange and substitution for the 2016A Bonds so mutilated, but only upon surrender to the Trustee of the 2016A Bond so mutilated. Every mutilated 2016A Bond so surrendered to the Trustee will be canceled by it and upon the Written Request of the District delivered to, or upon the order of, the District. If any 2016A Bond is lost, destroyed or stolen, evidence of such loss, destruction or theft may be submitted to the Trustee and, if such evidence be satisfactory to the Trustee and indemnity satisfactory to the Trustee is given, the District, at the expense of the Owner, will execute, and the Trustee will thereupon authenticate and deliver, a new 2016A Bond of like tenor, series and authorized denomination in lieu of and in substitution for the 2016A Bond so lost, destroyed or stolen (or if any such 2016A Bond has matured or is about to mature, instead of issuing a substitute 2016A Bond, the Trustee may pay the same without surrender thereof). The District may require payment by the Owner of a sum not exceeding the actual cost of preparing each new 2016A Bond issued under the Indenture and of the expenses which may be incurred by the District and the Trustee in the premises. Any 2016A Bond issued under the provisions of the Indenture in lieu of any 2016A Bond alleged to be lost, destroyed or stolen will constitute an original additional contractual obligation on the part of the District whether or not the 2016A Bond so alleged to be lost, destroyed, or stolen be at any time enforceable by anyone, and will be entitled to the benefits of the Indenture with all other 2016A Bonds secured by the Indenture. Notwithstanding any other provision of the Indenture, in lieu of delivering a new 2016A Bond for a 2016A Bond which has been mutilated, lost, destroyed or stolen and which has matured or has been selected for redemption, the Trustee may make payment of such 2016A Bond upon receipt of indemnity satisfactory to the Trustee.

Book Entry System.

(a) Election of Book Entry System. Prior to the issuance of the 2016A Bonds, the District may provide that such 2016A Bonds will be initially issued as book entry 2016A Bonds. If the District elects to deliver any 2016A Bonds in book entry form, then the District will cause the delivery of a separate single fully registered bond (which may be typewritten) for each maturity date of such 2016A Bonds in an authorized denomination

corresponding to that total principal amount of the 2016A Bonds designated to mature on such date. Upon initial issuance, the ownership of each such 2016A Bond will be registered in the 2016A Bond Registration Books in the name of the Nominee, as nominee of the Depository, and ownership of the 2016A Bonds, or any portion thereof may not thereafter be transferred except as provided in clause (e) below.

With respect to book entry 2016A Bonds, the District and the Trustee have no responsibility or obligation to any Participant or to any person on behalf of which such a Participant holds an interest in such book entry 2016A Bonds. Without limiting the immediately preceding sentence, the District and the Trustee have no responsibility or obligation with respect to: (i) the accuracy of the records of the Depository, the Nominee, or any Participant with respect to any ownership interest in book entry 2016A Bonds; (ii) the delivery to any Participant or any other person, other than an Owner as shown in the 2016A Bond Registration Books, of any notice with respect to book entry 2016A Bonds, including any notice of redemption; (iii) the selection by the Depository and its Participants of the beneficial interests in book entry 2016A Bonds to be redeemed in the event that the District redeems the 2016A Bonds in part; or (iv) the payment by the Depository or any Participant or any other person, of any amount of principal of, premium, if any, or interest on book entry 2016A Bonds. The District and the Trustee may treat and consider the person in whose name each book entry 2016A Bond is registered in the 2016A Bond Registration Books as the absolute Owner of such book entry 2016A Bond for the purpose of payment of principal of, premium and interest on such 2016A Bond, for the purpose of giving notices of redemption and other matters with respect to such 2016A Bond, for the purpose of registering transfers with respect to such 2016A Bond, and for all other purposes whatsoever. The Trustee will pay all principal of, premium, if any, and interest on the 2016A Bonds only to or upon the order of the respective Owner, as shown in the 2016A Bond Registration Books, or his respective attorney duly authorized in writing, and all such payments will be valid and effective to fully satisfy and discharge the District's obligations with respect to payment of principal of, premium, if any, and interest on the 2016A Bonds to the extent of the sum or sums so paid. No person other than an Owner, as shown in the 2016A Bond Registration Books, will receive a 2016A Bond evidencing the obligation to make payments of principal of, premium, if any, and interest on the 2016A Bonds. Upon delivery by the Depository to the District and the Trustee, of written notice to the effect that the Depository has determined to substitute a new nominee in place of the Nominee, and subject to the provisions in the Indenture with respect to Record Dates, the word Nominee in the Indenture will refer to such nominee of the Depository.

(b) Delivery of Letter of Representations. In order to qualify the book entry 2016A Bonds for the Depository's book entry system, the District and the Trustee (if required by the Depository) will execute and deliver to the Depository a Letter of Representations. The execution and delivery of a Letter of Representations does not in any way impose upon the District or the Trustee any obligation whatsoever with respect to persons having interests in such book entry 2016A Bonds other than the Owners, as shown on the 2016A Bond Registration Books. By executing a Letter of Representations, the Trustee agrees to take all action necessary at all times so that the Trustee will be in compliance with all representations of the Trustee in such Letter of Representations. In addition to the execution and delivery of a Letter of Representations, the District and the Trustee will take such other actions, not inconsistent with the Indenture, as are reasonably necessary to qualify book entry 2016A Bonds for the Depository's book entry program.

(c) Selection of Depository. In the event that: (i) the Depository determines not to continue to act as securities depository for book entry 2016A Bonds; or (ii) the District determines that continuation of the book entry system is not in the best interest of the beneficial owners of the 2016A Bonds or the District, then the District will discontinue the book entry system with the Depository. If the District determines to replace the Depository with another qualified securities depository, the District will prepare or direct the preparation of a new single, separate, fully registered 2016A Bond for each of the maturity dates of such book entry 2016A Bonds, registered in the name of such successor or substitute qualified securities depository or its Nominee as provided in clause (e) below. If the District fails to identify another qualified securities depository to replace the Depository, then the 2016A Bonds will no longer be restricted to being registered in such 2016A Bond Registration Books in the name of the Nominee, but will be registered in whatever name or names the Owners transferring or exchanging such 2016A Bonds designate, in accordance with the provisions of the Indenture.

(d) Payments To Depository. Notwithstanding any other provision of the Indenture to the contrary, so long as all Outstanding 2016A Bonds are held in book entry form and registered in the name of the Nominee, all payments of principal of, redemption premium, if any, and interest on such 2016A Bond and all notices with respect

to such 2016A Bond will be made and given, respectively to the Nominee, as provided in the Letter of Representations or as otherwise instructed by the Depository and agreed to by the Trustee notwithstanding any inconsistent provisions in the Indenture.

(e) Transfer of 2016A Bonds to Substitute Depository.

(i) The 2016A Bonds will be initially issued as provided in the Indenture. Registered ownership of such 2016A Bonds, or any portions thereof, may not thereafter be transferred except: (A) to any successor of DTC or its nominee, or of any substitute depository designated pursuant to clause (B) below (“Substitute Depository”); provided that any successor of DTC or Substitute Depository must be qualified under any applicable laws to provide the service proposed to be provided by it; (B) to any Substitute Depository, upon: (1) the resignation of DTC or its successor (or any Substitute Depository or its successor) from its functions as depository; or (2) a determination by the District that DTC (or its successor) is no longer able to carry out its functions as depository; provided that any such Substitute Depository must be qualified under any applicable laws to provide the services proposed to be provided by it; or (C) to any person as provided below, upon: (1) the resignation of DTC or its successor (or any Substitute Depository or its successor) from its functions as depository; or (2) a determination by the District that DTC or its successor (or Substitute Depository or its successor) is no longer able to carry out its functions as depository.

(ii) In the case of any transfer pursuant to clause (i)(A) or (i)(B) above, upon receipt of all Outstanding 2016A Bonds by the Trustee, together with a Written Request of the District to the Trustee designating the Substitute Depository, a single new 2016A Bond, which the District will prepare or cause to be prepared, will be issued for each maturity of 2016A Bonds then Outstanding, registered in the name of such successor or such Substitute Depository or their Nominees, as the case may be, all as specified in such Written Request of the District. In the case of any transfer pursuant to clause (i)(C) above, upon receipt of all Outstanding 2016A Bonds by the Trustee, together with a Written Request of the District to the Trustee, new 2016A Bonds, which the District will prepare or cause to be prepared, will be issued in such denominations and registered in the names of such persons as are requested in such Written Request of the District, subject to the limitations of the Indenture, provided that the Trustee will not be required to deliver such new 2016A Bonds within a period of less than 60 days from the date of receipt of such Written Request from the District.

(iii) In the case of a partial redemption or an advance refunding of any 2016A Bonds evidencing a portion of the principal maturing in a particular year, DTC or its successor (or any Substitute Depository or its successor) will make an appropriate notation on such 2016A Bonds indicating the date and amounts of such reduction in principal, in form acceptable to the Trustee, all in accordance with the Letter of Representations. The Trustee is not liable for such Depository’s failure to make such notations or errors in making such notations and the records of the Trustee as to the Outstanding principal amount of such 2016A Bonds will be controlling.

(iv) The District and the Trustee are entitled to treat the person in whose name any 2016A Bond is registered as the Owner thereof for all purposes of the Indenture and any applicable laws, notwithstanding any notice to the contrary received by the Trustee or the District; and the District and the Trustee have no responsibility for transmitting payments to, communicating with, notifying, or otherwise dealing with any beneficial owners of the 2016A Bonds. Neither the District nor the Trustee have any responsibility or obligation, legal or otherwise, to any such beneficial owners or to any other party, including DTC or its successor (or Substitute Depository or its successor), except to the Owner of any 2016A Bonds, and the Trustee may rely conclusively on its records as to the identity of the Owners of the 2016A Bonds.

ISSUANCE OF 2016A BONDS; APPLICATION OF PROCEEDS

Validity of 2016A Bonds. The validity of the authorization and issuance of the 2016A Bonds is not dependent on and will not be affected in any way by any proceedings taken by the District or the Trustee with respect to any other agreement. The recital contained in the 2016A Bonds that the same are issued pursuant to the Constitution and laws of the State will be conclusive evidence of the validity and of compliance with the provisions of law in their issuance.

REDEMPTION OF 2016A BONDS

Selection of 2016A Bonds for Redemption. Whenever provision is made in the Indenture for the redemption of less than all of the 2016A Bonds, the Trustee will select the 2016A Bonds for redemption as a whole or in part on any date as directed by the District and by lot within each maturity in integral multiples of \$5,000 in accordance with the Indenture. The Trustee will promptly notify the District in writing of the numbers of the 2016A Bonds or portions thereof so selected for redemption.

Partial Redemption of 2016A Bonds. Upon surrender of any 2016A Bond redeemed in part only, the District will execute and the Trustee will authenticate and deliver to the Owner thereof, at the expense of the District, a new 2016A Bond or 2016A Bonds of authorized denominations equal in aggregate principal amount to the unredeemed portion of the 2016A Bonds surrendered and of the same series, interest rate and maturity.

Effect of Redemption. Notice of redemption having been duly given as aforesaid, and moneys for payment of the Redemption Price of, together with interest accrued to the date fixed for redemption on, the 2016A Bonds (or portions thereof) so called for redemption being held by the Trustee, on the Redemption Date designated in such notice, the 2016A Bonds (or portions thereof) so called for redemption will become due and payable, interest on the 2016A Bonds so called for redemption will cease to accrue, said 2016A Bonds (or portions thereof) will cease to be entitled to any benefit or security under the Indenture, and the Owners of said 2016A Bonds will have no rights in respect thereof except to receive payment of the Redemption Price thereof. The Trustee will, upon surrender for payment of any of the 2016A Bonds to be redeemed on their Redemption Dates, pay such 2016A Bonds at the Redemption Price. All 2016A Bonds redeemed pursuant to the provisions of the Indenture will be canceled and destroyed upon surrender thereof to the Trustee.

SYSTEM REVENUES, FUNDS AND ACCOUNTS; PAYMENT OF PRINCIPAL AND INTEREST

Pledge and Assignment; System Revenue Fund.

(a) All of the System Revenues, all amounts held in the System Revenue Fund described in clause (b) below and any other amounts (including proceeds of the sale of the 2016A Bonds) held in any fund or account established pursuant to the Indenture (except the Rebate Fund) have been irrevocably pledged to secure the payment of the principal of and interest, and the premium, if any, on the 2016A Bonds in accordance with their terms and the provisions of the Indenture, and the System Revenues may not be used for any other purpose while the 2016A Bonds remain Outstanding; provided that out of the System Revenues there may be apportioned such sums for such purposes as are expressly permitted in the Indenture. Such pledge, together with the pledge created by all other Contracts and Bonds, constitutes a first lien on and security interest on System Revenues and, subject to application of System Revenues and all amounts on deposit therein as permitted in the Indenture, the System Revenue Fund and other funds and accounts created under the Indenture for the payment of the principal of and interest, and the premium, if any, on the 2016A Bonds and all Contracts and Debt Service on Bonds in accordance with the terms of the Indenture, and will attach, be perfected and be valid and binding from and after the Closing Date, without any physical delivery thereof or further act and will be valid and binding against all parties having claims of any kind in tort, contract or otherwise against the District, irrespective of whether such parties have notice of the Indenture.

(b) In order to carry out and effectuate the pledge and lien contained in the Indenture, the District has agreed and covenanted that all System Revenues will be received by the District in trust under the Indenture and will be deposited when and as received in the System Revenue Fund, which fund the District has agreed and covenanted to maintain and to hold separate and apart from other funds so long as the 2016A Bonds and any Contracts or Debt Service on Bonds remain unpaid. Moneys in the System Revenue Fund will be used and applied by the District as provided in the Indenture. All moneys in the System Revenue Fund will be held in trust and applied, used and withdrawn for the purposes set forth in the Indenture.

The District will, from the moneys in the System Revenue Fund, pay all Operation and Maintenance Costs (including amounts reasonably required to be set aside in contingency reserves for Operation and Maintenance Costs, the payment of which is not then immediately required) as such Operation and Maintenance Costs become due and payable. All remaining moneys in the System Revenue Fund will be set aside by the District at the following times for the transfer to the following respective special funds in the following order of priority:

(i) Interest and Principal Payments. Not later than the Business Day prior to each Interest Payment Date, the District will, from the moneys in the System Revenue Fund, transfer to the Trustee for deposit in the Payment Fund or the Redemption Fund the payments of interest and principal on the 2016A Bonds due and payable on such Interest Payment Date. The District will also, from the moneys in the System Revenue Fund, transfer to the applicable trustee for deposit in the respective payment fund, without preference or priority, and in the event of any insufficiency of such moneys ratably without any discrimination or preference, any other Debt Service in accordance with the provisions of any Bond or Contract.

(ii) Reserve Funds. On or before each Interest Payment Date, the District will, from the remaining moneys in the System Revenue Fund, thereafter, without preference or priority and in the event of any insufficiency of such moneys ratably without any discrimination or preference, transfer to the applicable trustee for such reserve funds and/or accounts, if any, as may have been established in connection with Bonds or Contracts, that sum, if any, necessary to restore such funds or accounts to an amount equal to the reserve requirement with respect thereto.

(iii) Surplus. Moneys on deposit in the System Revenue Fund on any date when the District reasonably expects such moneys will not be needed for the payment of Operation and Maintenance Costs or any of the purposes described in clauses (b)(i) or (b)(ii) above may be expended by the District at any time for any purpose permitted by law.

(iv) Investments. All moneys held by the District in the System Revenue Fund will be invested in Permitted Investments and the investment earnings thereon will remain on deposit in such fund, except as otherwise provided in the Indenture.

Allocation of System Revenues. There has been established with the Trustee the Payment Fund, which the Trustee has covenanted to maintain and hold in trust separate and apart from other funds held by it so long as any principal of and interest on the 2016A Bonds remain unpaid. Except as directed in the Indenture, all payments of interest and principal on the 2016A Bonds received by the Trustee pursuant to the Indenture will be promptly deposited by the Trustee upon receipt thereof into the Payment Fund; except that all moneys received by the Trustee and required by the Indenture to be deposited in the Redemption Fund will be promptly deposited therein. All payments of interest and principal on the 2016A Bonds deposited with the Trustee will be held, disbursed, allocated and applied by the Trustee only as provided in the Indenture. The Trustee will also establish and hold an Interest Account and a Principal Account within the Payment Fund.

The Trustee will transfer from the Payment Fund and deposit into the following respective accounts, the following amounts in the following order of priority and at the following times, the requirements of each such account (including the making up of any deficiencies in any such account resulting from lack of System Revenues sufficient to make any earlier required deposit) at the time of deposit to be satisfied before any transfer is made to any account subsequent in priority:

(a) Not later than the Business Day preceding each Interest Payment Date, the Trustee will deposit in the Interest Account that sum, if any, required to cause the aggregate amount on deposit in the Interest Account to be at least equal to the amount of interest becoming due and payable on such date on all 2016A Bonds then Outstanding. No deposit need be made into the Interest Account so long as there is in such fund moneys sufficient to pay the interest becoming due and payable on such date on all 2016A Bonds then Outstanding.

(b) Not later than the Business Day preceding each date on which the principal of the 2016A Bonds becomes due and payable under the Indenture, the Trustee will deposit in the Principal Account that sum, if any, required to cause the aggregate amount on deposit in the Principal Account to equal the principal amount of the 2016A Bonds coming due and payable on such date. No deposit need be made into the Principal Account so long as there is in such fund moneys sufficient to pay the principal becoming due and payable on such date on all 2016A Bonds then Outstanding.

Application of Interest Account. All amounts in the Interest Account will be used and withdrawn by the Trustee solely for the purpose of paying interest on the 2016A Bonds as it becomes due and payable (including accrued interest on any 2016A Bonds purchased or accelerated prior to maturity pursuant to the Indenture).

Application of Principal Account. All amounts in the Principal Account will be used and withdrawn by the Trustee solely to pay the principal amount of the 2016A Bonds at maturity, purchase or acceleration; provided, however, that at any time prior to selection for redemption of any such 2016A Bonds, upon written direction of the District, the Trustee will apply such amounts to the purchase of 2016A Bonds at public or private sale, as and when and at such prices (including brokerage and other charges, but excluding accrued interest, which is payable from the Interest Account) as directed pursuant to a Written Request of the District, except that the purchase price (exclusive of accrued interest) may not exceed the Redemption Price then applicable to the 2016A Bonds.

Application of Redemption Fund. There has been established with the Trustee a special fund designated as the "Redemption Fund." All amounts in the Redemption Fund will be used and withdrawn by the Trustee solely for the purpose of paying the Redemption Price of the 2016A Bonds to be redeemed on any Redemption Date pursuant to the Indenture; provided, however, that at any time prior to selection for redemption of any such 2016A Bonds, upon written direction of the District, the Trustee will apply such amounts to the purchase of 2016A Bonds at public or private sale, as and when and at such prices (including brokerage and other charges, but excluding accrued interest, which is payable from the Interest Account) as directed pursuant to a Written Request of the District, except that the purchase price (exclusive of accrued interest) may not exceed the Redemption Price then applicable to the 2016A Bonds.

Investments. All moneys in any of the funds or accounts established with the Trustee pursuant to the Indenture will be invested by the Trustee solely in Permitted Investments. Such investments will be directed by the District pursuant to a Written Request of the District filed with the Trustee at least two Business Days in advance of the making of such investments (which directions will be promptly confirmed to the Trustee in writing). In the absence of any such directions from the District, the Trustee will invest any such moneys in Permitted Investments described in clause (b)(5) of the definition thereof; provided, however, that any such investment will be made by the Trustee only if, prior to the date on which such investment is to be made, the Trustee has received a written direction from the District specifying a specific money market fund and, if no such written direction from the District is so received, the Trustee will hold such moneys uninvested. Obligations purchased as an investment of moneys in any fund will be deemed to be part of such fund or account.

All interest or gain derived from the investment of amounts in any of the funds or accounts established under the Indenture will be deposited in the Interest Account unless otherwise provided in the Indenture. For purposes of acquiring any investments under the Indenture, the Trustee may commingle funds (other than the Rebate Fund) held by it under the Indenture upon the Written Request of the District. The Trustee may act as principal or agent in the acquisition or disposition of any investment and may impose its customary charges therefor. The Trustee will incur no liability for losses arising from any investments made pursuant to the Indenture.

The Trustee will furnish the District with periodic cash transaction statements which include detail for all investment transactions effected by the Trustee or brokers selected by the District. Upon the District's election, such statements will be delivered via the Trustee's online service and upon electing such service, paper statements will be provided only upon request. The District has waived the right to receive brokerage confirmations of security transactions effected by the Trustee as they occur, to the extent permitted by law. The District further understands that trade confirmations for securities transactions effected by the Trustee will be available upon request and at no additional cost and other trade confirmations may be obtained from the applicable broker.

The Trustee or any of its affiliates may act as sponsor, advisor or manager in connection with any investments made by the Trustee under the Indenture. The District will invest, or cause to be invested, all moneys in any fund or accounts established with the Trustee as provided in the Tax Certificate. For investment purposes, the Trustee may commingle the funds and accounts established under the Indenture, but will account for each separately. In making any valuations of investments under the Indenture, the Trustee may utilize and rely on computerized securities pricing services that may be available to the Trustee, including those available through the Trustee accounting system.

Rebate Fund.

(a) Establishment. The Trustee will establish a fund for the 2016A Bonds designated the "Rebate Fund" when required in accordance with the Indenture. Absent an opinion of Bond Counsel that the exclusion from

gross income for federal income tax purposes of interest on the 2016A Bonds will not be adversely affected, the District will cause to be deposited in the Rebate Fund such amounts as are required to be deposited therein pursuant to the Indenture and the Tax Certificate. All money at any time deposited in the Rebate Fund will be held by the Trustee in trust for payment to the United States Treasury. All amounts on deposit in the Rebate Fund for the 2016A Bonds will be governed by the Indenture and the Tax Certificate, unless and to the extent that the District delivers to the Trustee an opinion of Bond Counsel that the exclusion from gross income for federal income tax purposes of interest on the 2016A Bonds will not be adversely affected if such requirements are not satisfied. Notwithstanding anything to the contrary contained in the Indenture or in the Tax Certificate, the Trustee: (i) will be deemed conclusively to have complied with the provisions thereof if it follows all Requests of the District; (ii) has no liability or responsibility to enforce compliance by the District with the terms of the Tax Certificate; (iii) may rely conclusively on the District's calculations and determinations and certifications relating to rebate matters; and (iv) has no responsibility to independently make any calculations or determinations or to review the District's calculations or determinations thereunder.

(i) Annual Computation. Within 55 days of the end of each Bond Year (as such term is defined in the Tax Certificate), the District will calculate or cause to be calculated the amount of rebatable arbitrage, in accordance with Section 148(f)(2) of the Code and Section 1.148-3 of the Treasury Regulations (taking into account any applicable exceptions with respect to the computation of the rebatable arbitrage, described, if applicable, in the Tax Certificate (e.g., the temporary investments exceptions of Section 148(f)(4)(B) and the construction expenditures exception of Section 148(f)(4)(C) of the Code), and taking into account whether the election pursuant to Section 148(f)(4)(C)(vii) of the Code (the "1½% Penalty") has been made), for such purpose treating the last day of the applicable Bond Year as a computation date, within the meaning of Section 1.148-1(b) of the Treasury Regulations (the "Rebatable Arbitrage"). The District will obtain expert advice as to the amount of the Rebatable Arbitrage to comply with the foregoing provision.

(ii) Annual Transfer. Within 55 days of the end of each Bond Year, upon the Written Request of the District, an amount will be deposited to the Rebate Fund by the Trustee from any System Net Revenues legally available for such purpose (as specified by the District in the aforesaid Written Request), if and to the extent required so that the balance in the Rebate Fund equals the amount of Rebatable Arbitrage so calculated in accordance with clause (i) above. In the event that immediately following the transfer required by the previous sentence, the amount then on deposit to the credit of the Rebate Fund exceeds the amount required to be on deposit therein, upon Written Request of the District, the Trustee will withdraw the excess from the Rebate Fund and then credit the excess to the Payment Fund.

(iii) Payment to the Treasury. The Trustee will pay, as directed by Written Request of the District, to the United States Treasury, out of amounts in the Rebate Fund: (A) Not later than 60 days after the end of: (X) the fifth Bond Year; and (Y) each applicable fifth Bond Year thereafter, an amount equal to at least 90% of the Rebatable Arbitrage calculated as of the end of such Bond Year; and (B) Not later than 60 days after the payment of all the 2016A Bonds, an amount equal to 100% of the Rebatable Arbitrage calculated as of the end of such applicable Bond Year, and any income attributable to the Rebatable Arbitrage, computed in accordance with Section 148(f) of the Code and Section 1.148-3 of the Treasury Regulations.

In the event that, prior to the time of any payment required to be made from the Rebate Fund, the amount in the Rebate Fund is not sufficient to make such payment when such payment is due, the District will calculate or cause to be calculated the amount of such deficiency and deposit an amount received from any legally available source equal to such deficiency prior to the time such payment is due. Each payment required to be made pursuant to the foregoing provision will be made to the Internal Revenue Service Center, Ogden, Utah 84201 on or before the date on which such payment is due, and will be accompanied by Internal Revenue Service Form 8038-T (prepared by the District), or will be made in such other manner as provided under the Code.

(b) Disposition of Unexpended Funds. Any funds remaining in the Rebate Fund after redemption and payment of the 2016A Bonds and the payments described in clause (a) above being made may be withdrawn by the District and utilized in any manner by the District.

(c) Survival of Defeasance. Notwithstanding anything in the Indenture to the contrary, the obligation to comply with the Rebate Fund requirements of the Indenture will survive the defeasance or payment in full of the 2016A Bonds.

Application of Funds and Accounts When No 2016A Bonds are Outstanding. On the date on which all 2016A Bonds are retired under the Indenture or provision made therefor pursuant to the Indenture and after payment of all amounts due the Trustee thereunder, all moneys then on deposit in any of the funds or accounts (other than the Rebate Fund) established with the Trustee pursuant to the Indenture will be withdrawn by the Trustee and paid to the District for use by the District at any time for any purpose permitted by law.

PARTICULAR COVENANTS

Punctual Payment. The District will punctually pay or cause to be paid the principal and interest to become due in respect of all of the 2016A Bonds, in strict conformity with the terms of the 2016A Bonds and of the Indenture, according to the true intent and meaning thereof, but only out of System Net Revenues and other assets pledged for such payment as provided in the Indenture.

Extension of Payment of 2016A Bonds. The District may not directly or indirectly extend or assent to the extension of the maturity of any of the 2016A Bonds or the time of payment of any claims for interest by the purchase of such 2016A Bonds or by any other arrangement, and in case the maturity of any of the 2016A Bonds or the time of payment of any such claims for interest is extended, such 2016A Bonds or claims for interest will not be entitled, in case of any default under the Indenture, to the benefits of the Indenture, except subject to the prior payment in full for the principal of all of the 2016A Bonds then Outstanding and of all claims for interest thereon which have not been so extended. Nothing in the Indenture will be deemed to limit the right of the District to issue Bonds for the purpose of refunding any Outstanding 2016A Bonds, and such issuance will not be deemed to constitute an extension of maturity of 2016A Bonds.

Against Encumbrances. The District will not make any pledge of or place any lien on System Revenues or the moneys in the System Revenue Fund except as provided in the Indenture. The District may at any time, or from time to time, execute Contracts or issue Bonds as permitted in the Indenture. The District may also at any time, or from time to time, incur evidences of indebtedness or incur other obligations for any lawful purpose which are payable from and secured by a pledge of lien on System Revenues on any moneys in the System Revenue Fund as may from time to time be deposited therein, provided that such pledge and lien is subordinate in all respects to the pledge of and lien thereon provided in the Indenture.

Power to Issue 2016A Bonds and Make Pledge and Assignment. The District is duly authorized pursuant to law to issue the 2016A Bonds and to enter into the Indenture and to pledge and assign the System Revenues and other assets purported to be pledged and assigned under the Indenture in the manner and to the extent provided in the Indenture. The 2016A Bonds and the provisions of the Indenture are and will be the legal, valid and binding special obligations of the District in accordance with their terms, and the District and the Trustee will at all times, subject to the provisions of the Indenture and to the extent permitted by law, defend, preserve and protect said pledge and assignment of System Revenues and other assets and all the rights of the 2016A Bond Owners under the Indenture against all claims and demands of all persons whomsoever.

Accounting Records and Financial Statements.

(a) The Trustee will at all times keep, or cause to be kept, proper books of record and account, prepared in accordance with corporate trust industry standards, in which complete and accurate entries are made of all transactions made by it relating to the proceeds of 2016A Bonds and all funds and accounts established by it pursuant to the Indenture. Such books of record and account will be available for inspection by the District upon reasonable prior notice during business hours and under reasonable circumstances.

(b) The District will keep appropriate accounting records in which complete and correct entries are made of all transactions relating to the System, which records will be available for inspection by the Trustee (which has no duty to inspect such records) at reasonable hours and under reasonable conditions.

(c) The District will prepare and file with the Trustee annually within 270 days of each Fiscal Year (commencing with the Fiscal Year ending June 30, 2016) financial statements of the District for the preceding Fiscal Year prepared in accordance with Generally Accepted Accounting Principles, together with an Accountant's Report thereon. The Trustee has no duty to review such financial statements.

Tax Covenants. Notwithstanding any other provision of the Indenture, absent an opinion of Bond Counsel that the exclusion from gross income of the portion of interest on the 2016A Bonds will not be adversely affected for federal income tax purposes, the District has covenanted to comply with all applicable requirements of the Code necessary to preserve such exclusion from gross income with respect to the 2016A Bonds and has specifically covenanted, without limiting the generality of the foregoing, as follows:

(a) Private Activity. The District will take no action or refrain from taking any action or make any use of the proceeds of the 2016A Bonds or of any other moneys or property which would cause the 2016A Bonds to be "private activity bonds" within the meaning of Section 141 of the Code;

(b) Arbitrage. The District will make no use of the proceeds of the 2016A Bonds or of any other amounts or property, regardless of the source, or take any action or refrain from taking any action which will cause the 2016A Bonds to be "arbitrage bonds" within the meaning of Section 148 of the Code;

(c) Federal Guarantee. The District will make no use of the proceeds of the 2016A Bonds or take or omit to take any action that would cause the 2016A Bonds to be "federally guaranteed" within the meaning of Section 149(b) of the Code;

(d) Information Reporting. The District will take or cause to be taken all necessary action to comply with the informational reporting requirement of Section 149(e) of the Code necessary to preserve the exclusion of interest on the 2016A Bonds pursuant to Section 103(a) of the Code;

(e) Hedge Bonds. The District will make no use of the proceeds of the 2016A Bonds or any other amounts or property, regardless of the source, or take any action or refrain from taking any action that would cause the 2016A Bonds to be considered "hedge bonds" within the meaning of Section 149(g) of the Code unless the District takes all necessary action to assure compliance with the requirements of Section 149(g) of the Code to maintain the exclusion from gross income of interest on the 2016A Bonds for federal income tax purposes; and

(f) Miscellaneous. The District will take no action or refrain from taking any action inconsistent with its expectations stated in the Tax Certificate executed by the District in connection with the issuance of the 2016A Bonds and will comply with the covenants and requirements stated therein and incorporated by reference in the Indenture.

The foregoing tax covenants are not applicable to, and nothing contained in the Indenture will be deemed to prevent the District from causing the Trustee to issue revenue bonds or to execute and deliver contracts payable on a parity with the 2016A Bonds, the interest with respect to which has been determined by Bond Counsel to be subject to federal income taxation.

Waiver of Laws. The District may not at any time insist upon or plead in any manner whatsoever, or claim or take the benefit or advantage of, any stay or extension law now or at any time later in force that may affect the covenants and agreements contained in the Indenture or in the 2016A Bonds, and all benefit or advantage of any such law or laws has been expressly waived by the District to the extent permitted by law.

Further Assurances. The District will make, execute and deliver any and all such further indentures, instruments and assurances as may be reasonably necessary or proper to carry out the intention or to facilitate the performance of the Indenture and for the better assuring and confirming unto the Owners of the 2016A Bonds of the rights and benefits provided in the Indenture.

Budgets. On or prior to the fifteenth day of each Fiscal Year, the District will certify to the Trustee that the amounts budgeted for payment of the principal of and interest on the 2016A Bonds are fully adequate for the

payment of all such payments for such Fiscal Year. If the amounts so budgeted are not adequate for the payment of the principal of and interest on the 2016A Bonds due under the Indenture, the District will take such action as may be necessary to cause such annual budget to be amended, corrected or augmented so as to include therein the amounts required to be raised by the District in the then ensuing Fiscal Year for the payment of the principal of and interest on the 2016A Bonds due under the Indenture and will notify the Trustee of the proceedings then taken or proposed to be taken by the District.

Observance of Laws and Regulations. To the extent necessary to assure its performance under the Indenture, the District will well and truly keep, observe and perform all valid and lawful obligations or regulations now or later imposed on the District by contract, or prescribed by any law of the United States of America, or of the State, or by any officer, board or commission having jurisdiction or control, as a condition of the continued enjoyment of any and every right, privilege or franchise now owned or later acquired by the District, respectively, including its right to exist and carry on its business, to the end that such contracts, rights and franchises will be maintained and preserved, and will not become abandoned, forfeited or in any manner impaired.

Compliance with Contracts. The District will neither take nor omit to take any action under any contract if the effect of such act or failure to act would in any manner impair or adversely affect the ability of the District to pay principal of or interest on the 2016A Bonds; and the District will comply with, keep, observe and perform all agreements, conditions, covenants and terms, express or implied, required to be performed by it contained in all other contracts affecting or involving the System, to the extent that the District is a party thereto.

Prosecution and Defense of Suits. The District will promptly, upon request of the Trustee or any 2016A Bond Owner, from time to time take such action as may be necessary or proper to remedy or cure any defect in or cloud upon the title to the System or any part thereof, whether now existing or later developing, will prosecute all such suits, actions and other proceedings as may be appropriate for such purpose and will indemnify and save the Trustee (including all of its employees, officers and directors), the Trustee and every 2016A Bond Owner harmless from all loss, cost, damage and expense, including attorneys' fees, which they or any of them may incur by reason of any such defect, cloud, suit, action or proceeding.

The District will defend against every suit, action or proceeding at any time brought against the Trustee (including all of its employees, officers and directors) or any 2016A Bond Owner upon any claim arising out of the receipt, application or disbursement of any of the payments of principal of or interest on the 2016A Bonds or involving the rights of the Trustee or any 2016A Bond Owner under the Indenture; provided that the Trustee or any 2016A Bond Owner at such party's election may appear in and defend any such suit, action or proceeding. The District will indemnify and hold harmless the Trustee and the 2016A Bond Owners against any and all liability claimed or asserted by any person, arising out of such receipt, application or disbursement, and will indemnify and hold harmless the 2016A Bond Owners against any attorneys' fees or other expenses which any of them may incur in connection with any litigation (including pre-litigation activities) to which any of them may become a party by reason of ownership of 2016A Bonds. The District will promptly reimburse any 2016A Bond Owner in the full amount of any attorneys' fees or other expenses which such Owner may incur in litigation or otherwise in order to enforce such party's rights under the Indenture or the 2016A Bonds, provided that such litigation is concluded favorably to such party's contentions therein.

Continuing Disclosure. The District has covenanted and agreed that it will comply with and carry out all of its obligations under the Continuing Disclosure Certificate to be executed and delivered by the District in connection with the issuance of the 2016A Bonds. Notwithstanding any other provision of the Indenture, failure of the District to comply with the Continuing Disclosure Certificate will not be considered an Event of Default; however, any Owner or Beneficial Owner may take such actions as may be necessary and appropriate, including seeking mandate or specific performance by court order, to cause the District to comply with the foregoing obligations. For purposes of the foregoing, "Beneficial Owner" means any person which has or shares the power, directly or indirectly, to make investment decisions concerning ownership of any 2016A Bonds (including persons holding 2016A Bonds through nominees, depositories or other intermediaries).

Against Sale or Other Disposition of Property. The District will not enter into any agreement or lease which impairs the operation of the System or any part thereof necessary to secure adequate System Revenues for the payment of the principal of and interest on the 2016A Bonds, or which would otherwise impair the operation of the

System. Any real or personal property which has become nonoperative or which is not needed for the efficient and proper operation of the System, or any material or equipment which has become worn out, may be sold if such sale will not impair the ability of the District to pay the principal of and interest on the 2016A Bonds and if the proceeds of such sale are deposited in the System Revenue Fund.

Nothing in the Indenture restricts the ability of the District to sell any portion of the System if such portion is immediately repurchased by the District and if such arrangement cannot by its terms result in the purchaser of such portion of the System exercising any remedy which would deprive the District of or otherwise interfere with its right to own and operate such portion of the System.

Against Competitive Facilities. To the extent that it can so legally obligate itself, the District has covenanted that it will not acquire, construct, maintain or operate and will not, to the extent permitted by law and within the scope of its powers, permit any other public or private agency, corporation, district or political subdivision or any person whomsoever to acquire, construct, maintain or operate within the District any water system competitive with the System.

Maintenance and Operation of the System. The District will maintain and preserve the System in good repair and working order at all times and will operate the System in an efficient and economical manner and will pay all Operation and Maintenance Costs as they become due and payable.

Payment of Claims. The District will pay and discharge any and all lawful claims for labor, materials or supplies which, if unpaid, might become a lien on the System Revenues or the funds or accounts created under the Indenture or on any funds in the hands of the District pledged to pay the principal of or interest on the 2016A Bonds or to the Owners prior or superior to the lien under the Indenture.

Insurance. The District will procure and maintain such other insurance in addition to that described in the Official Statement under the caption "SECURITY FOR THE 2016A BONDS—Insurance; Reconstruction, Repair and Replacement" as it deems advisable or necessary to protect its interests and the interests of the 2016A Bond Owners, which insurance affords protection in such amounts and against such risks as are usually covered in connection with municipal water systems similar to the System.

Any insurance required to be maintained by the Indenture and, if the District determines to procure and maintain other insurance pursuant to the foregoing paragraph, such insurance, may be maintained under a self-insurance program so long as such self-insurance is maintained in the amounts and manner usually maintained in connection with water systems similar to the System and is, in the opinion of an accredited actuary, actuarially sound.

Payment of Taxes and Compliance with Governmental Regulations. The District will pay and discharge all taxes, assessments and other governmental charges which may be lawfully imposed upon the System, or any part thereof or upon the System Revenues when the same become due. The District will duly observe and conform with all valid regulations and requirements of any governmental authority relative to the operation of the System, or any part thereof, but the District is not required to comply with any regulations or requirements so long as the validity or application thereof is contested in good faith.

Collection of Rates and Charges. The District will have in effect at all times by laws, rules and regulations requiring each customer to pay the rates and charges applicable to the Water Service and providing for the billing thereof and for a due date and a delinquency date for each bill.

Enforcement of Contracts. The District will not voluntarily consent to or permit any rescission of, nor will it consent to any amendment to or otherwise take any action under or in connection with any contracts previously or later entered into if such rescission or amendment would in any manner impair or adversely affect the ability of the District to pay principal of and interest on the 2016A Bonds.

EVENTS OF DEFAULT AND REMEDIES OF 2016A BOND OWNERS

Events of Default. The following events are Events of Default under the Indenture:

- (a) Default by the District in the due and punctual payment of the principal of any 2016A Bonds, the principal of any Bonds or the principal with respect to any Contract, when and as the same become due and payable, whether at maturity as therein expressed, by proceedings for redemption, by acceleration, or otherwise.
- (b) Default by the District in the due and punctual payment of any installment of interest on any 2016A Bonds, any installment of interest on any Bond or any installment of interest with respect to any Contract, when and as the same become due and payable.
- (c) Default by the District in the observance of any of the other covenants, agreements or conditions on its part in the Indenture or in the 2016A Bonds, or required by any Bond or indenture relating thereto or by any Contract, if such default has continued for a period of 60 days after written notice thereof, specifying such default and requiring the same to be remedied, has been given to the District by the Trustee or by the Owners of not less than a majority in aggregate principal amount of 2016A Bonds Outstanding, a majority in principal amount of such Bond outstanding, or a majority in principal amount outstanding with respect to such Contract, as applicable; provided, however, that if in the reasonable opinion of the District the default stated in the notice can be corrected, but not within such 60 day period and corrective action is instituted by the District within such 60 day period and diligently pursued in good faith until the default is corrected such default will not be an Event of Default under the Indenture.
- (d) The District files a petition or answer seeking arrangement or reorganization under the federal bankruptcy laws or any other applicable law of the United States of America or any state therein, or if a court of competent jurisdiction approves a petition filed with or without the consent of the District seeking arrangement or reorganization under the federal bankruptcy laws or any other applicable law of the United States of America or any state therein, or if under the provisions of any other law for the relief or aid of debtors any court of competent jurisdiction assumes custody or control of the District or of the whole or any substantial part of its property.
- (e) Payment of the principal of any Bond or with respect to any Contract is accelerated in accordance with its terms.

Remedies Upon Event of Default. If any Event of Default specified in clauses (d) or (e) above occurs and is continuing, the Trustee will, and for any other Event of Default, the Trustee may, and, at the written direction of the Owners of not less than a majority in aggregate principal amount of the 2016A Bonds at the time Outstanding, will, in each case, upon notice in writing to the District, declare the principal of all of the 2016A Bonds then Outstanding, and the interest accrued thereon, to be due and payable immediately, and upon any such declaration the same will become and be immediately due and payable, anything in the Indenture or in the 2016A Bonds contained to the contrary notwithstanding. Nothing contained in the Indenture permits or requires the Trustee to accelerate payments due under the Indenture if the District is not in default of its obligation thereunder.

Any such declaration is subject to the condition that if, at any time after such declaration and before any judgment or decree for the payment of the moneys due has been obtained or entered, the District deposits with the Trustee a sum sufficient to pay all the principal of and installments of interest on the 2016A Bonds payment of which is overdue, with interest on such overdue principal at the rate borne by the respective 2016A Bonds to the extent permitted by law, and the reasonable fees, disbursements and expenses of the Trustee, or deposits with the applicable trustee with respect to any Contract a sum sufficient to pay all the principal and installments of interest with respect to such Contract payment of which is overdue, with interest on such overdue principal at the rate borne by such Contract to the extent permitted by law, and the reasonable charges and expenses of the applicable trustee with respect to such Contract, or deposits with the applicable trustee with respect to any Bond a sum sufficient to pay all the principal of and installment of interest on such Bond payment of which is overdue, with interest on such overdue principal at the rate borne by such Bonds to the extent permitted by law, and the reasonable charges and expenses of the applicable trustee with respect to such Bonds, and any and all other Events of Default known to the Trustee or the applicable trustee with respect to such Contract or Bonds (other than in the payment of principal of and interest on the 2016A Bonds, payment of principal and interest with respect to such Contract or payment of

principal and interest on such Bond, as applicable, due and payable solely by reason of such declaration) have been made good or cured to the satisfaction of the Trustee or provision deemed by the Trustee to be adequate has been made therefor, then, and in every such case the Trustee will on behalf of the Owners of all of the 2016A Bonds, rescind and annul such declaration and its consequences and waive such Event of Default; but no such rescission and annulment will extend to or affect any subsequent Event of Default, or impair or exhaust any right or power consequent thereon.

Application of System Revenues and Other Funds After Default. If an Event of Default occurs and is continuing, all System Revenues held or thereafter received by the Trustee and any other funds then held or thereafter received by the Trustee under any of the provisions of the Indenture (other than amounts held in the Rebate Fund) will be applied in the following order:

(a) To the payment of any expenses necessary in the opinion of the Trustee to protect the interests of the Owners of the 2016A Bonds, Contract or Bonds and payment of reasonable fees and expenses of the Trustee (including reasonable fees and disbursements of its counsel) incurred in and about the performance of its powers and duties under the Indenture;

(b) To the payment of Operation and Maintenance Costs; and

(c) To the payment of the principal of and interest then due on the 2016A Bonds (upon presentation of the 2016A Bonds to be paid, and stamping or otherwise noting thereon of the payment if only partially paid, or surrender thereof if fully paid), in accordance with the provisions of the Indenture, the payment of the principal and interest then due with respect to such Contract in accordance with the provisions thereof and the payment of the principal of and interest then due on such Bonds in accordance with the provisions thereof and of any indenture related thereto, in the following order of priority:

First: To the payment to the persons entitled thereto of all installments of interest then due on the 2016A Bonds, with respect to such Contract or on such Bonds, as applicable, in the order of the maturity of such installments, and, if the amount available is not sufficient to pay in full any installment or installments maturing on the same date, then to the payment thereof ratably, according to the amounts due thereon, to the persons entitled thereto, without any discrimination or preference; and

Second: To the payment to the persons entitled thereto of the unpaid principal of any 2016A Bonds, principal with respect to such Contract or principal of any Bonds, as applicable, which have become due, whether at maturity or by acceleration or redemption, with interest on the overdue principal at the rate of 8% per annum, and, if the amount available is not sufficient to pay in full all the 2016A Bonds, all amounts due under such Contract or all the Bonds, as applicable, together with such interest, then to the payment thereof ratably, according to the amounts of principal due on such date to the persons entitled thereto, without any discrimination or preference; and

Third: If there exists any remainder after the foregoing payments, such remainder will be paid to the District.

Trustee to Represent 2016A Bond Owners. The Trustee has been irrevocably appointed (and the successive respective Owners of the 2016A Bonds, by taking and holding the same, will be conclusively deemed to have so appointed the Trustee) as trustee and true and lawful attorney in fact of the Owners of the 2016A Bonds for the purpose of exercising and prosecuting on their behalf such rights and remedies as may be available to such Owners under the provisions of the 2016A Bonds or the Indenture and applicable provisions of law. Upon the occurrence and continuance of an Event of Default or other occasion giving rise to a right in the Trustee to represent the 2016A Bond Owners, the Trustee in its discretion may, and upon the written request of the Owners of a majority in aggregate principal amount of the 2016A Bonds then Outstanding, and upon being indemnified to its satisfaction therefor, will proceed to protect or enforce its rights or the rights of such Owners by such appropriate action, suit, mandamus or other proceedings as it deems most effectual to protect and enforce any such right, at law or in equity, either for the specific performance of any covenant or agreement contained in the Indenture, or in aid of the execution of any power therein granted, or for the enforcement of any other appropriate legal or equitable right or remedy vested in the Trustee or in such Owners under the 2016A Bonds or the Indenture or any law; and upon instituting such proceeding, the Trustee will be entitled, as a matter of right, to the appointment of a receiver of the

System Revenues and other assets pledged under the Indenture, pending such proceedings. All rights of action under the Indenture or the 2016A Bonds or otherwise may be prosecuted and enforced by the Trustee without the possession of any of the 2016A Bonds or the production thereof in any proceeding relating thereto, and any such suit, action or proceeding instituted by the Trustee will be brought in the name of the Trustee for the benefit and protection of all the Owners of such 2016A Bonds, subject to the provisions of the Indenture.

2016A Bond Owners' Direction of Proceedings. Anything in the Indenture to the contrary notwithstanding, the Owners of a majority in aggregate principal amount of the 2016A Bonds then Outstanding have the right, by an instrument or concurrent instruments in writing executed and delivered to the Trustee, and upon indemnification of the Trustee to its reasonable satisfaction to direct the method of conduct in all remedial proceedings taken by the Trustee under the Indenture, provided that such direction will not be otherwise than in accordance with law and the provisions of the Indenture, and that the Trustee has the right to decline to follow any such direction which in the opinion of the Trustee would be unjustly prejudicial to 2016A Bond Owners not parties to such direction.

Suit by Owners. No Owner of any 2016A Bonds has the right to institute any suit, action or proceeding at law or in equity, for the protection or enforcement of any right or remedy under the Indenture with respect to such 2016A Bonds, unless: (a) such Owners have given to the Trustee written notice of the occurrence of an Event of Default; (b) the Owners of not less than 50% in aggregate principal amount of the 2016A Bonds then Outstanding have made written request upon the Trustee to exercise the powers granted in the Indenture or to institute such suit, action or proceeding in its own name; (c) such Owner or Owners have tendered to the Trustee reasonable indemnity against the costs, expenses and liabilities to be incurred in compliance with such request; (d) the Trustee has failed to comply with such request for a period of 60 days after such written request has been received by, and said tender of indemnity has been made to, the Trustee; and (e) no direction inconsistent with such written request has been given to the Trustee during such 60 day period by the Owners of a majority in aggregate principal amount of the 2016A Bonds then Outstanding.

Such notification, request, tender of indemnity and refusal or omission have been declared, in every case, to be conditions precedent to the exercise by any Owner of 2016A Bonds of any remedy under the Indenture or under law; it being understood and intended that no one or more Owners of 2016A Bonds have any right in any manner whatever by their action to affect, disturb or prejudice the security of the Indenture or the rights of any other Owners of 2016A Bonds, or to enforce any right under the 2016A Bonds, the Indenture, or applicable law with respect to the 2016A Bonds, except in the manner provided in the Indenture, and that all proceedings at law or in equity to enforce any such right will be instituted, had and maintained in the manner provided in the Indenture and for the benefit and protection of all Owners of the Outstanding 2016A Bonds, subject to the provisions of the Indenture.

Absolute Obligation of the District. Nothing in the Indenture or in the 2016A Bonds affects or impairs the obligation of the District, which is absolute and unconditional, to pay the principal of and interest on the 2016A Bonds to the respective Owners of the 2016A Bonds at their respective dates of maturity, or upon call for redemption, as provided in the Indenture, but only out of the System Revenues and other assets therein pledged therefor, or affects or impairs the right of such Owners, which is also absolute and unconditional, to enforce such payment by virtue of the contract embodied in the 2016A Bonds.

Remedies Not Exclusive. No remedy conferred upon or reserved to the Trustee or to the Owners of the 2016A Bonds in the Indenture is intended to be exclusive of any other remedy or remedies, and each and every such remedy, to the extent permitted by law, will be cumulative and in addition to any other remedy given thereunder or now or later existing at law or in equity or otherwise.

No Waiver of Default. No delay or omission of the Trustee or of any Owner of the 2016A Bonds to exercise any right or power arising upon the occurrence of any Event of Default will impair any such right or power or be construed to be a waiver of any such Event of Default or an acquiescence therein.

THE TRUSTEE

Duties, Immunities and Liabilities of Trustee.

(a) The Trustee will, prior to an Event of Default, and after the curing or waiving of all Events of Default which may have occurred, perform such duties and only such duties as are expressly and specifically set forth in the Indenture and no implied covenants or duties will be read into the Indenture against the Trustee. The Trustee will, during the existence of any Event of Default (which has not been cured or waived), exercise such of the rights and powers vested in it by the Indenture, and use the same degree of care and skill in their exercise, as a prudent person would exercise or use under the circumstances in the conduct of such person's own affairs.

(b) The District may remove the Trustee at any time, unless an Event of Default has occurred and then is continuing, and will remove the Trustee if at any time requested to do so by an instrument or concurrent instruments in writing signed by the Owners of not less than a majority in aggregate principal amount of the 2016A Bonds then Outstanding (or their attorneys duly authorized in writing) or if at any time the Trustee ceases to be eligible in accordance with clause (e) below, or becomes incapable of acting, or is adjudged a bankrupt or insolvent, or a receiver of the Trustee or its property is appointed, or any public officer takes control or charge of the Trustee or of its property or affairs for the purpose of rehabilitation, conservation or liquidation, in each case by giving written notice of such removal to the Trustee and thereupon will promptly appoint a successor Trustee by an instrument in writing.

(c) The Trustee may at any time resign by giving written notice of such resignation to the District and by giving the 2016A Bond Owners notice of such resignation by mail at the addresses shown on the Registration Books. Upon receiving such notice of resignation, the District will promptly appoint a successor Trustee by an instrument in writing.

(d) Any removal or resignation of the Trustee and appointment of a successor Trustee will become effective upon acceptance of appointment by the successor Trustee. If no successor Trustee has been appointed and has accepted appointment within 45 days of giving notice of removal or notice of resignation as aforesaid, the resigning Trustee or any 2016A Bond Owner (on behalf of himself and all other 2016A Bond Owners) may petition any court of competent jurisdiction for the appointment of a successor Trustee, and such court may thereupon, after such notice (if any) as it may deem proper, appoint such successor Trustee. Any successor Trustee appointed under the Indenture will signify its acceptance of such appointment by executing and delivering to the District and to its predecessor Trustee a written acceptance thereof, and thereupon such successor Trustee, without any further act, deed or conveyance, will become vested with all of the moneys, estates, properties, rights, powers, trusts, duties and obligations of such predecessor Trustee, with like effect as if originally named Trustee in the Indenture; but, nevertheless at the Written Request of the District or the request of the successor Trustee, such predecessor Trustee will execute and deliver any and all instruments of conveyance or further assurance and do such other things as may reasonably be required for more fully and certainly vesting in and confirming to such successor Trustee all of the right, title and interest of such predecessor Trustee in and to any property held by it under the Indenture and will pay over, transfer, assign and deliver to the successor Trustee any money or other property subject to the trusts and conditions set forth in the Indenture. Upon request of the successor Trustee, the District will execute and deliver any and all instruments as may be reasonably required for more fully and certainly vesting in and confirming to such successor Trustee all such moneys, estates, properties, rights, powers, trusts, duties and obligations. Upon acceptance of appointment by a successor Trustee as provided in the Indenture, the District will mail or cause the successor trustee to mail a notice of the succession of such Trustee to the trusts under the Indenture to each rating agency which is then rating the 2016A Bonds and to the 2016A Bond Owners at the addresses shown on the Registration Books. If the District fails to mail such notice within 15 days after acceptance of appointment by the successor Trustee, the successor Trustee will cause such notice to be mailed at the expense of the District.

(e) Any Trustee appointed under the provisions of the Indenture in succession to the Trustee will be a trust company, banking association or bank having the powers of a trust company, having a combined capital and surplus of at least \$75,000,000, and subject to supervision or examination for federal or state authority. If such bank, banking association or trust company publishes a report of condition at least annually, pursuant to law or to the requirements of any supervising or examining authority above referred to, then for the purpose of the Indenture the combined capital and surplus of such trust company, banking association or bank will be deemed to be its

combined capital and surplus as set forth in its most recent report of condition so published. In case at any time the Trustee ceases to be eligible in accordance with the foregoing provisions, the Trustee will resign immediately in the manner and with the effect specified in the Indenture.

Merger or Consolidation. Any trust company, banking association or bank into which the Trustee may be merged or converted or with which it may be consolidated or any trust company, banking association or bank resulting from any merger, conversion or consolidation to which it is a party or any trust company, banking association or bank to which the Trustee may sell or transfer all or substantially all of its corporate trust business, provided that such trust company, banking association or bank is eligible under clause (e) above, will be the successor to such Trustee, without the execution or filing of any paper or any further act, anything in the Indenture to the contrary notwithstanding.

Liability of Trustee.

(a) The recitals of facts in the Indenture and in the 2016A Bonds will be taken as statements of the District, and the Trustee does not assume responsibility for the correctness of the same, or make any representations as to the validity or sufficiency of the Indenture or the 2016A Bonds, nor does the Trustee incur any responsibility in respect thereof, other than as expressly stated in the Indenture in connection with the respective duties or obligations therein or in the 2016A Bonds assigned to or imposed upon it. The Trustee will, however, be responsible for its representations contained in its certificate of authentication on the 2016A Bonds. The Trustee will not be liable in connection with the performance of its duties under the Indenture, except for its own negligence or willful misconduct. The Trustee may become the Owner of 2016A Bonds with the same rights it would have if it were not Trustee, and, to the extent permitted by law, may act as depository for and permit any of its officers or directors to act as a member of, or in any other capacity with respect to, any committee formed to protect the rights of 2016A Bond Owners, whether or not such committee represents the Owners of a majority in principal amount of the 2016A Bonds then Outstanding.

(b) The Trustee will not be liable for any error of judgment made in good faith by a responsible officer, unless it is proved that the Trustee was negligent in ascertaining the pertinent facts.

(c) The Trustee will not be liable with respect to any action taken or omitted to be taken by it in good faith in accordance with the direction of the Owners of not less than a majority (or such other percentage provided for in the Indenture) in aggregate principal amount of the 2016A Bonds at the time Outstanding relating to the time, method and place of conducting any proceeding for any remedy available to the Trustee, or exercising any trust or power conferred upon the Trustee under the Indenture.

(d) The Trustee will not be liable for any action taken by it in good faith and believed by it to be authorized or within the discretion or rights or powers conferred upon it by the Indenture.

(e) The Trustee will not be deemed to have knowledge of any default or Event of Default under the Indenture or any other event which, with the passage of time, the giving of notice, or both, would constitute an Event of Default thereunder unless and until a Responsible Officer of the Trustee has actual knowledge of such event or the Trustee has been notified in writing, in accordance with the Indenture, of such event by the District or the Owners of not less than 50% of the 2016A Bonds then Outstanding. Except as otherwise expressly provided in the Indenture, the Trustee will not be bound to ascertain or inquire as to the performance or observance by the District of any of the terms, conditions, covenants or agreements in the Indenture of any of the documents executed in connection with the 2016A Bonds, or as to the existence of an Event of Default thereunder or an event which would, with the giving of notice, the passage of time, or both, constitute an Event of Default thereunder. The Trustee will not be responsible for the validity, effectiveness or priority of any collateral given to or held by it.

(f) No provision of the Indenture requires the Trustee to expend or risk its own funds or otherwise incur any financial liability in the performance of its duties under the Indenture, or in the exercise of any of its rights or powers.

(g) The Trustee is under no obligation to exercise any of the rights or powers vested in it by the Indenture at the request, order or direction of any of the Owners pursuant to the Indenture, unless such Owners have offered to the Trustee reasonable security or indemnity against the costs, expenses and liabilities which might be incurred by it in compliance with such request or direction. No permissive power, right or remedy conferred upon the Trustee under the Indenture will be construed to impose a duty to exercise such power, right or remedy.

(h) Whether or not expressly so provided in the Indenture, every provision of the Indenture relating to the conduct or affecting the liability of or affording protection to the Trustee will be subject to the provisions of the Indenture.

(i) The Trustee has no responsibility or liability with respect to any information, statement, or recital in any official statement, offering memorandum or any other disclosure material prepared or distributed with respect to the 2016A Bonds.

(j) The immunities extended to the Trustee also extend to its directors, officers, employees and agents.

(k) The Trustee may execute any of the trusts or powers of the Indenture and perform any of its duties through attorneys, agents and receivers and will not be answerable for the conduct of the same if appointed by it with reasonable care.

(l) The Trustee will not be considered in breach of or in default in its obligations under the Indenture or progress in respect thereto in the event of delay in the performance of such obligations due to unforeseeable causes beyond its control and without its fault or negligence, including, but not limited to, acts of God or of the public enemy or terrorists, acts of a government, acts of the other party, fires, floods, epidemics, quarantine restrictions, strikes, freight embargoes, earthquakes, explosion, mob violence, riot, inability to procure or general sabotage or rationing of labor, equipment, facilities, sources of energy, material or supplies in the open market, litigation or arbitration involving a party or others relating to zoning or other governmental action or inaction pertaining to the System, malicious mischief, condemnation, and unusually severe weather or delays of suppliers or subcontractors due to such causes or any similar event and/or occurrences beyond the control of the Trustee.

(m) The Trustee has agreed to accept and act upon instructions or directions pursuant to the Indenture sent by unsecured electronic mail, facsimile transmission or other similar unsecured electronic methods, provided, however, that, the Trustee must have received an incumbency certificate listing persons designated to give such instructions or directions and containing specimen signatures of such designated persons, which such incumbency certificate will be amended and replaced whenever a person is to be added or deleted from the listing. If the District elects to give the Trustee e-mail or facsimile instructions (or instructions by a similar electronic method) and the Trustee in its discretion elects to act upon such instructions, the Trustee's understanding of such instructions will be deemed controlling. The Trustee will not be liable for any losses, costs or expenses arising directly or indirectly from the Trustee's reliance upon and compliance with such instructions notwithstanding the fact that such instructions conflict or are inconsistent with a subsequent written instruction. The District has agreed to assume all risks arising out of the use of such electronic methods to submit instructions and directions to the Trustee, including without limitation the risk of the Trustee acting on unauthorized instructions, and the risk of interception and misuse by third parties.

(n) The Trustee will not be concerned with or accountable to anyone for the subsequent use or application of any moneys which are released or withdrawn in accordance with the provisions of the Indenture.

(o) The Trustee is under no obligation to exercise any of the rights or powers vested in it by the Indenture at the request, order or direction of any of the Owners pursuant to the provisions thereof unless such Owners have offered to the Trustee reasonable security or indemnity against the costs, expenses and liabilities which may be incurred therein or thereby.

(p) The permissive right of the Trustee to do things enumerated in the Indenture will not be construed as a duty and it will not be answerable for other than its negligence or willful misconduct.

Right to Rely on Documents. The Trustee will be protected in acting upon any notice, resolution, requisition, request, consent, order, certificate, report, opinion, notes, direction, facsimile transmission, electronic mail or other paper or document believed by it to be genuine and to have been signed or presented by the proper party or parties. The Trustee may consult with counsel, who may be counsel of or to the District, with regard to legal questions, and the opinion of such counsel will be full and complete authorization and protection in respect of any action taken or suffered by it under the Indenture in good faith and in accordance therewith.

The Trustee may treat the Owners of the 2016A Bonds appearing in the Trustee's Registration Books as the absolute owners of the 2016A Bonds for all purposes and the Trustee will not be affected by any notice to the contrary.

Whenever in the administration of the trusts imposed upon it by the Indenture the Trustee deems it necessary or desirable that a matter be proved or established prior to taking or suffering any action under the Indenture, such matter (unless other evidence in respect thereof is specifically prescribed in the Indenture) may be deemed to be conclusively proved and established by a Certificate, Request or Requisition of the District, and such Certificate, Request or Requisition will be full warrant to the Trustee for any action taken or suffered in good faith under the provisions of the Indenture in reliance upon such Certificate, Request or Requisition, but in its discretion the Trustee may, in lieu thereof, accept other evidence of such matter or may require such additional evidence as it may deem reasonable.

Preservation and Inspection of Documents. All documents received by the Trustee under the provisions of the Indenture will be retained in their respective possession and will be subject at all reasonable times to the inspection of the District and any 2016A Bond Owner, and their agents and representatives duly authorized in writing, at reasonable hours and under reasonable conditions.

Compensation and Indemnification. The District will pay to the Trustee from time to time all reasonable compensation for all services rendered under the Indenture, and also all reasonable expenses, charges, legal and consulting fees and other disbursements and those of their attorneys, agents and employees, incurred in and about the performance of their powers and duties under the Indenture.

The District will indemnify, defend and hold harmless the Trustee, its officers, employees, directors and agents from and against any loss, costs, claims, liability or expense (including fees and expenses of its attorneys and advisors) incurred without negligence or bad faith on its part, arising out of or in connection with the execution of the Indenture, acceptance or administration of the trust of the Indenture, including costs and expenses of defending itself against any claim or liability in connection with the exercise or performance of any of its powers under the Indenture. The rights of the Trustee and the obligations of the District under the foregoing provisions will survive removal or resignation of the Trustee under the Indenture or the discharge of the 2016A Bonds and the Indenture.

MODIFICATION OR AMENDMENT OF THE INDENTURE

Amendments Permitted.

(a) The Indenture and the rights and obligations of the District and of the Owners of the 2016A Bonds and of the Trustee may be modified or amended from time to time and at any time by an indenture or indentures supplemental thereto, which the District and the Trustee may enter into when the written consent of the Owners of a majority in aggregate principal amount of all 2016A Bonds then Outstanding, exclusive of 2016A Bonds disqualified as provided in the Indenture, have been filed with the Trustee. No such modification or amendment will: (1) extend the fixed maturity of any 2016A Bonds, or reduce the amount of principal thereof or premium (if any) thereon, or extend the time of payment, or change the rate of interest or the method of computing the rate of interest thereon, or extend the time of payment of interest thereon, without the consent of the Owner of each 2016A Bond so affected; or (2) reduce the aforesaid percentage of 2016A Bonds the consent of the Owners of which is required to affect any such modification or amendment, or permit the creation of any lien on the System Revenues and other assets pledged under the Indenture prior to or on a parity with the lien created by the Indenture except as permitted therein, or deprive the Owners of the 2016A Bonds of the lien created by the Indenture on such System Revenues and other assets except as permitted therein, without the consent of the Owners of all of the 2016A Bonds then Outstanding. It is not necessary for the consent of the 2016A Bond Owners to approve the particular form of

any Supplemental Indenture, but it will be sufficient if such consent approves the substance thereof. Promptly after the execution by the District and the Trustee of any Supplemental Indenture pursuant to the foregoing provisions, the Trustee will mail a notice, setting forth in general terms the substance of such Supplemental Indenture, to each Rating Agency and the Owners of the 2016A Bonds at the respective addresses shown on the Registration Books. Any failure to give such notice, or any defect therein, will not, however, in any way impair or affect the validity of any such Supplemental Indenture.

(b) The Indenture and the rights and obligations of the District, the Trustee and the Owners of the 2016A Bonds may also be modified or amended from time to time and at any time by a Supplemental Indenture, which the District and the Trustee may enter into without the consent of any 2016A Bond Owners, if the Trustee receives an opinion of Bond Counsel to the effect that the provisions of such Supplemental Indenture will not materially adversely affect the interests of the Owners of the Outstanding 2016A Bonds, including, without limitation, for any one or more of the following purposes: (1) to add to the covenants and agreements of the District contained in the Indenture other covenants and agreements thereafter to be observed, to pledge or assign additional security for the 2016A Bonds (or any portion thereof), or to surrender any right or power reserved to or conferred upon the District in the Indenture; (2) to make such provisions for the purpose of curing any ambiguity, inconsistency or omission, or of curing or correcting any defective provision, contained in the Indenture, or in regard to matters or questions arising under the Indenture, as the District may deem necessary or desirable; (3) to modify, amend or supplement the Indenture in such manner as to permit the qualification thereof under the Trust Indenture Act of 1939, as amended, or any similar federal statute in effect, and to add such other terms conditions and provisions as may be permitted by said act or similar federal statute; and (4) to modify, amend or supplement the Indenture in such manner as to cause interest on the 2016A Bonds to remain excludable from gross income under the Code.

(c) The Trustee may in its discretion, but is not obligated to, enter into any such Supplemental Indenture authorized by the Indenture which materially adversely affects the Trustee's own rights, duties or immunities under the Indenture or otherwise.

(d) Prior to the Trustee entering into any Supplemental Indenture, there will be delivered to the Trustee an opinion of Bond Counsel stating, in substance, that such Supplemental Indenture has been adopted in compliance with the requirements of the Indenture and that the adoption of such Supplemental Indenture will not, in and of itself, adversely affect the exclusion of interest on the 2016A Bonds from federal income taxation and from state income taxation.

Effect of Supplemental Indenture. Upon the execution of any Supplemental Indenture pursuant to the Indenture, the Indenture will be deemed to be modified and amended in accordance therewith, and the respective rights, duties and obligations under the Indenture of the District, the Trustee and all Owners of 2016A Bonds Outstanding will thereafter be determined, exercised and enforced thereunder subject in all respects to such modification and amendment, and all the terms and conditions of any such Supplemental Indenture will be deemed to be part of the terms and conditions of the Indenture for any and all purposes.

Endorsement of 2016A Bonds; Preparation of New 2016A Bonds. 2016A Bonds delivered after the execution of any Supplemental Indenture pursuant to the Indenture may, and if the Trustee so determines will, bear a notation by endorsement or otherwise in form approved by the District and the Trustee as to any modification or amendment provided for in such Supplemental Indenture, and, in that case, upon demand on the Owner of any 2016A Bonds Outstanding at the time of such execution and presentation of his or her 2016A Bonds for the purpose at the Office of the Trustee or at such additional offices as the Trustee may select and designate for that purpose, a suitable notation will be made on such 2016A Bonds. If the Supplemental Indenture so provides, new 2016A Bonds so modified as to conform, in the opinion of the District and the Trustee, to any modification or amendment contained in such Supplemental Indenture, will be prepared and executed by the District and authenticated by the Trustee, and upon demand on the Owners of any 2016A Bonds then Outstanding will be exchanged at the Office of the Trustee, without cost to any 2016A Bond Owner, for 2016A Bonds then Outstanding, upon surrender for cancellation of such 2016A Bonds, in equal aggregate principal amount of the same maturity.

Amendment of Particular 2016A Bonds. The provisions of the Indenture do not prevent any 2016A Bond Owner from accepting any amendment as to the particular 2016A Bonds held by such Owner.

DEFEASANCE

Discharge of Indenture. The 2016A Bonds may be paid by the District in any of the following ways, provided that the District also pays or causes to be paid any other sums payable under the Indenture by the District: (a) by paying or causing to be paid the principal of and interest and redemption premiums (if any) on the 2016A Bonds, as and when the same become due and payable; (b) by depositing with the Trustee, in trust, at or before maturity, money or securities in the necessary amount (as provided in the Indenture) to pay or redeem all 2016A Bonds then Outstanding; or (c) by delivering to the Trustee, for cancellation by it, all of the 2016A Bonds then Outstanding.

If the District also pays or causes to be paid all other sums payable under the Indenture by the District, then and in that case, at the election of the District (as evidenced by a Certificate of the District, filed with the Trustee, signifying the intention of the District to discharge all such indebtedness and the Indenture), and notwithstanding that any 2016A Bonds have not been surrendered for payment, the Indenture and the pledge of System Revenues and other assets made under the Indenture and all covenants, agreements and other obligations of the District under the Indenture will cease, terminate, become void and be completely discharged and satisfied. In such event, upon the Written Request of the District, the Trustee will execute and deliver to the District all such instruments as may be necessary or desirable to evidence such discharge and satisfaction, and the Trustee will pay over, transfer, assign or deliver all moneys or securities or other property held by it pursuant to the Indenture which are not required for the payment or redemption of 2016A Bonds not theretofore surrendered for such payment or redemption to the District.

Discharge of Liability on 2016A Bonds. Upon the deposit with the Trustee, in trust, at or before maturity, of money or securities in the necessary amount (as provided in the Indenture) to pay or redeem any Outstanding 2016A Bonds (whether upon or prior to the maturity or the Redemption Date of such 2016A Bonds), provided that, if such Outstanding 2016A Bonds are to be redeemed prior to maturity, notice of such redemption has been given as provided in the Indenture or provisions satisfactory to the Trustee has been made for the giving of such notice, then all liability of the District in respect of such 2016A Bonds will cease, terminate and be completely discharged, and the Owners thereof will thereafter be entitled only to payment out of such money or securities deposited with the Trustee as aforesaid for their payment, subject however, to the provisions of the Indenture.

The District may at any time surrender to the Trustee for cancellation by it any 2016A Bonds previously issued and delivered, which the District may have acquired in any manner whatsoever, and such 2016A Bonds, upon such surrender and cancellation, will be deemed to be paid and retired.

Deposit of Money or Securities with Trustee. Whenever in the Indenture it is provided or permitted that there be deposited with or held in trust by the Trustee money or securities in the necessary amount to pay or redeem any 2016A Bonds, the money or securities so to be deposited or held may include money or securities held by the Trustee in the funds and accounts established pursuant to the Indenture and will be:

(a) lawful money of the United States of America in an amount equal to the principal amount of such 2016A Bonds and all unpaid interest thereon to maturity, except that, in the case of 2016A Bonds which are to be redeemed prior to maturity and in respect of which notice of such redemption has been given as provided in the Indenture or provisions satisfactory to the Trustee have been made for the giving of such notice, the amount to be deposited or held will be the principal amount of such 2016A Bonds and all unpaid interest and premium, if any, thereon to the Redemption Date; or

(b) Federal Securities the principal of and interest on which when due will, in the written opinion of an Independent Certified Public Accountant or Independent Financial Consultant filed with the District and the Trustee, provide money sufficient to pay the principal of and all unpaid interest to maturity, or to the Redemption Date (with premium, if any), as the case may be, on the 2016A Bonds to be paid or redeemed, as such principal, interest and premium, if any, become due, provided that in the case of 2016A Bonds which are to be redeemed prior to the maturity thereof, notice of such redemption has been given as provided in the Indenture or provision satisfactory to the Trustee has been made for the giving of such notice;

provided, in each case, that: (i) the Trustee has been irrevocably instructed (by the terms of the Indenture or by Written Request of the District) to apply such money to the payment of such principal, interest and premium, if any, with respect to such 2016A Bonds; and (ii) the District has delivered to the Trustee an opinion of Bond Counsel addressed to the District and the Trustee to the effect that such 2016A Bonds have been discharged in accordance with the Indenture (which opinion may rely upon and assume the accuracy of the Independent Certified Public Accountant's or Independent Financial Consultant's opinion referred to above).

Payment of 2016A Bonds After Discharge of Indenture. Notwithstanding any provisions of the Indenture, any moneys held by the Trustee in trust for the payment of the principal of, or interest on, any 2016A Bonds and remaining unclaimed for two years after the principal of all of the 2016A Bonds has become due and payable (whether at maturity or upon call for redemption or by acceleration as provided in the Indenture), if such moneys were so held at such date, or two years after the date of deposit of such moneys if deposited after said date when all of the 2016A Bonds became due and payable, will be repaid to the District free from the trusts created by the Indenture upon receipt of an indemnification agreement acceptable to the District and the Trustee indemnifying the Trustee with respect to claims of Owners of 2016A Bonds which have not yet been paid, and all liability of the Trustee with respect to such moneys will thereupon cease; provided, however, that before the repayment of such moneys to the District as aforesaid, the Trustee will at the written direction of the District (at the cost of the District) first mail to the Owners of 2016A Bonds which have not yet been paid, at the addresses shown on the Registration Books, a notice, in such form as may be deemed appropriate by the Trustee with respect to the 2016A Bonds so payable and not presented and with respect to the provisions relating to the repayment to the District of the moneys held for the payment thereof.

MISCELLANEOUS

Liability of District Limited to System Revenues. Notwithstanding anything in the Indenture or the 2016A Bonds, but subject to the priority of payment with respect to Operation and Maintenance Costs, the District is not required to advance any moneys derived from any source other than the System Revenues, the System Revenue Fund and other moneys pledged under the Indenture for any of the purposes mentioned in the Indenture, whether for the payment of the principal of or interest on the 2016A Bonds or for any other purpose of the Indenture. Nevertheless, the District may, but is not required to, advance for any of the purposes of the Indenture any funds of the District which may be made available to it for such purposes.

The obligation of the District to pay interest and principal on the 2016A Bonds is a special obligation of the District payable solely from the System Net Revenues, and does not constitute a debt of the District or of the State of California or of any political subdivision thereof (other than the District) in contravention of any constitutional or statutory debt limitation or restriction.

Successor Is Deemed Included in All References to Predecessor. Whenever in the Indenture either the District or the Trustee is named or referred to, such reference will be deemed to include the successors or assigns thereof, and all the covenants and agreements in the Indenture contained by or on behalf of the District or the Trustee will bind and inure to the benefit of the respective successors and assigns thereof whether so expressed or not.

Limitation of Rights to Parties and 2016A Bond Owners. Nothing in the Indenture or in the 2016A Bonds expressed or implied is intended or will be construed to give to any person other than the District, the Trustee and the Owners of the 2016A Bonds, any legal or equitable right, remedy or claim under or in respect of the Indenture or any covenant, condition or provision therein contained; and all such covenants, conditions and provisions are and will be held to be for the sole and exclusive benefit of the District, the Trustee and the Owners of the 2016A Bonds.

Waiver of Notice; Requirement of Mailed Notice. Whenever in the Indenture the giving of notice by mail or otherwise is required, the giving of such notice may be waived in writing by the person entitled to receive such notice and in any such case the giving or receipt of such notice will not be a condition precedent to the validity of any action taken in reliance upon such waiver. Whenever in the Indenture any notice is required to be given by mail, such requirement will be satisfied by the deposit of such notice in the United States mail, postage prepaid, by first class mail.

Destruction of 2016A Bonds. Whenever in the Indenture provision is made for the cancellation by the Trustee and the delivery to the District of any 2016A Bonds, the Trustee will destroy such 2016A Bonds as may be allowed by law, and deliver a certificate of such destruction to the District.

Severability of Invalid Provisions. If any one or more of the provisions contained in the Indenture or in the 2016A Bonds are for any reason held to be invalid, illegal or unenforceable in any respect, then such provision or provisions will be deemed severable from the remaining provisions contained in the Indenture and such invalidity, illegality or unenforceability will not affect any other provision of the Indenture, and the Indenture will be construed as if such invalid or illegal or unenforceable provision had never been contained therein. The District has declared that it would have entered into the Indenture and each and every other Section, paragraph, sentence, clause or phrase thereof and authorized the issuance of the 2016A Bonds pursuant thereto irrespective of the fact that any one or more Sections, paragraphs, sentences, clauses or phrases of the Indenture may be held illegal, invalid or unenforceable.

Evidence of Rights of 2016A Bond Owners. Any request, consent or other instrument required or permitted by the Indenture to be signed and executed by 2016A Bond Owners may be in any number of concurrent instruments of substantially similar tenor and will be signed or executed by such 2016A Bond Owners in person or by an agent or agents duly appointed in writing. Proof of the execution of any such request, consent or other instrument or of a writing appointing any such agent, or of the holding by any person of 2016A Bonds transferable by delivery, will be sufficient for any purpose of the Indenture and will be conclusive in favor of the Trustee and the District if made in the manner provided therein. The fact and date of the execution by any person of any such request, consent or other instrument or writing may be proved by the certificate of any notary public or other officer of any jurisdiction, authorized by the laws thereof to take acknowledgments of deeds, certifying that the person signing such request, consent or other instrument acknowledged to him the execution thereof, or by an affidavit of a witness of such execution duly sworn to before such notary public or other officer. The Ownership of 2016A Bonds will be proved by the Registration Books. Any request, consent, or other instrument or writing of the Owner of any 2016A Bond will bind every future Owner of the same 2016A Bond and the Owner of every 2016A Bond issued in exchange therefor or in lieu thereof, in respect of anything done or suffered to be done by the Trustee or the District in accordance therewith or reliance thereon.

Disqualified 2016A Bonds. In determining whether the Owners of the requisite aggregate principal amount of 2016A Bonds have concurred in any demand, request, direction, consent or waiver under the Indenture, 2016A Bonds which are known by the Trustee to be owned or held by or for the account of the District, or by any other obligor on the 2016A Bonds, or by any person directly or indirectly controlling or controlled by, or under direct or indirect common control with, the District or any other obligor on the 2016A Bonds, will be disregarded and deemed not to be Outstanding for the purpose of any such determination. 2016A Bonds so owned which have been pledged in good faith may be regarded as Outstanding for the purposes of the Indenture if the pledgee establishes to the satisfaction of the Trustee the pledgee's right to vote such 2016A Bonds and that the pledgee is not a person directly or indirectly controlling or controlled by, or under direct or indirect common control with, the District or any other obligor on the 2016A Bonds. In case of a dispute as to such right, any decision by the Trustee taken upon the advice of counsel will be full protection to the Trustee. Upon request, the District will certify to the Trustee those 2016A Bonds that are disqualified pursuant to the Indenture and the Trustee may conclusively rely on such certificate.

Money Held for Particular 2016A Bonds. The money held by the Trustee for the payment of the interest, principal or premium due on any date with respect to particular 2016A Bonds (or portions of 2016A Bonds in the case of registered 2016A Bonds redeemed in part only) will, on and after such date and pending such payment, be set aside on its books and held in trust by it for the Owners of the 2016A Bonds entitled thereto, subject, however, to the provisions of the Indenture but without any liability for interest thereon.

Funds and Accounts. Any fund or account required by the Indenture to be established and maintained by the Trustee may be established and maintained in the accounting records of the Trustee, either as a fund or an account, and may, for the purposes of such records, any audits thereof and any reports or statements with respect thereto, be treated either as a fund or as an account; but all such records with respect to all such funds and accounts will at all times be maintained in accordance with corporate trust industry standards to the extent practicable, and

with due regard for the requirements of the Indenture and for the protection of the security of the 2016A Bonds and the rights of every Owner thereof.

Waiver of Personal Liability. No member, officer, agent, employee, consultant or attorney of the District will be individually or personally liable for the payment of the principal of or premium or interest on the 2016A Bonds or be subject to any personal liability or accountability by reason of the issuance thereof; but nothing contained in the Indenture relieves any such member, officer, agent, employee, consultant or attorney from the performance of any official duty provided by law or by the Indenture.

CUSIP Numbers. Neither the Trustee nor the District are liable for any defect or inaccuracy in the CUSIP number that appears on any 2016A Bond or in any redemption notice. The Trustee may, in its discretion, include in any redemption notice a statement to the effect that the CUSIP numbers on the 2016A Bonds have been assigned by an independent service and are included in such notice solely for the convenience of the 2016A Bondholders and that neither the District nor the Trustee are liable for any inaccuracies in such numbers.

Choice of Law. THE INDENTURE WILL BE GOVERNED BY THE LAWS OF THE STATE OF CALIFORNIA.

Paired Obligation Provider Guidelines. For purposes of the Indenture, Paired Obligations must comply with the following conditions: (a) A Paired Obligation Provider will initially have a long-term rating of A- or better by S&P and A3 or better by Moody's. (b) So long as the long-term rating of the Paired Obligation Provider is not reduced below Baa2 by S&P or BBB by Moody's, the interest rate of such Paired Obligation will be deemed to be equal to the irrevocable fixed interest rate attributable thereto for purposes of the Indenture.

In the event that a Paired Obligation Provider does not maintain the Minimum Rating Requirement and the District does not replace such Paired Obligation Provider with another Paired Obligation Provider which maintains the Initial Rating Requirement within ten Business Days of notice that the Paired Obligation Provider has not maintained the Minimum Rating Requirement, interest with respect to such Paired Obligations will be computed for purposes of the Indenture without regard to payments to be received from the Paired Obligation Provider.

APPENDIX C

FORM OF OPINION OF BOND COUNSEL

Upon issuance of the 2016A Bonds, Stradling Yocca Carlson & Rauth, a Professional Corporation, Bond Counsel, proposes to render its final approving opinion in substantially the following form:

December __, 2016

West Valley Water District
855 W. Base Line Road
Rialto, California 92376

Re: West Valley Water District Water Revenue Refunding Bonds, Series 2016A

Members of the Board of Directors:

We have examined a certified copy of the record of the proceedings of the West Valley Water District (the "District") relative to the issuance of the \$_____ West Valley Water District Water Revenue Refunding Bonds, Series 2016A (the "2016A Bonds"), dated the date hereof, and such other information and documents as we consider necessary to render this opinion. In rendering this opinion, we have relied upon certain representations of fact and certifications made by the District, the initial purchaser of the 2016A Bonds and others. We have not undertaken to verify through independent investigation the accuracy of the representations and certifications relied upon by us.

The 2016A Bonds are being issued pursuant to an Indenture of Trust, dated as of December 1, 2016 (the "Indenture"), by and between the District and U.S. Bank National Association, as trustee (the "Trustee"). The 2016A Bonds mature on the dates and in the amounts referenced in the Indenture. The 2016A Bonds are dated their date of delivery and bear interest at the rates per annum referenced in the Indenture. The 2016A Bonds are registered in the form set forth in the Indenture.

Based on our examination as Bond Counsel of existing law, certified copies of such legal proceedings and such other proofs as we deem necessary to render this opinion, we are of the opinion, as of the date hereof and under existing law, that:

1. The proceedings of the District show lawful authority for the issuance and sale of the 2016A Bonds under the laws of the State of California now in force, and the Indenture has been duly authorized, executed and delivered by the District, and, assuming due authorization, execution and delivery by the Trustee, as appropriate, the 2016A Bonds and the Indenture are valid and binding obligations of the District enforceable against the District in accordance with their terms.

2. The obligation of the District to make the payments of principal of and interest on the 2016A Bonds from System Net Revenues (as such term is defined in the Indenture) is an enforceable obligation of the District and does not constitute an indebtedness of the District in contravention of any constitutional or statutory debt limit or restriction.

3. Under existing statutes, regulations, rulings and judicial decisions, and assuming the accuracy of certain representations and compliance with certain covenants and requirements described herein, interest (and original issue discount) on the 2016A Bonds is excluded from gross income for federal income tax purposes and is not an item of tax preference for purposes of calculating the federal alternative minimum tax imposed on individuals and corporations. It should be noted that, with respect to corporations, such interest (and original issue discount) may be included as an adjustment in the calculation of alternative minimum taxable income, which may affect the alternative minimum tax liability of such corporations.

4. Interest (and original issue discount) on the 2016A Bonds is exempt from State of California personal income tax.

5. The difference between the issue price of a 2016A Bond (the first price at which a substantial amount of the 2016A Bonds of a maturity is to be sold to the public) and the stated redemption price at maturity with respect to such 2016A Bond constitutes original issue discount. Original issue discount accrues under a constant yield method, and original issue discount will accrue to a 2016A Bond owner before receipt of cash attributable to such excludable income. The amount of original issue discount deemed received by a 2016A Bond owner will increase the 2016A Bond owner's basis in the applicable 2016A Bond. The amount of original issue discount that accrues to the 2016A Bond owner is excluded from the gross income of such owner for federal income tax purposes, is not an item of tax preference for purposes of calculating the federal alternative minimum tax imposed on individuals or corporations and is exempt from State personal income tax.

6. The amount by which a 2016A Bond Owner's original basis for determining loss on sale or exchange in the applicable 2016A Bond (generally, the purchase price) exceeds the amount payable on maturity (or on an earlier call date) constitutes amortizable bond premium, which must be amortized under Section 171 of the Internal Revenue Code of 1986, as amended (the "Code"); such amortizable bond premium reduces the 2016A Bond Owner's basis in the applicable 2016A Bond (and the amount of tax-exempt interest received), and is not deductible for federal income tax purposes. The basis reduction as a result of the amortization of 2016A Bond premium may result in a 2016A Bond Owner realizing a taxable gain when a 2016A Bond is sold by the Owner for an amount equal to or less (under certain circumstances) than the original cost of the 2016A Bond to the Owner. Purchasers of the 2016A Bonds should consult their own tax advisors as to the treatment, computation and collateral consequences of amortizable bond premium.

The opinions expressed herein as to the exclusion from gross income of interest (and original issue discount) on the 2016A Bonds are based upon certain representations of fact and certifications made by the District and are subject to the condition that the District comply with all requirements of the Code that must be satisfied subsequent to the issuance of the 2016A Bonds to assure that such interest (and original issue discount) on the 2016A Bonds will not become includable in gross income for federal income tax purposes. Failure to comply with such requirements of the Code might cause interest (and original issue discount) on the 2016A Bonds to be included in gross income for federal income tax purposes retroactive to the date of issuance of the 2016A Bonds. The District has covenanted to comply with all such requirements.

The opinions expressed herein may be affected by actions taken (or not taken) or events occurring (or not occurring) after the date hereof. We have not undertaken to determine, or to inform any person, whether any such actions or events are taken or do occur. Our engagement ends as of the date of issuance of the 2016A Bonds. The Indenture and the Tax Certificate relating to the 2016A Bonds permit certain actions to be taken or to be omitted if a favorable opinion of Bond Counsel is provided with respect thereto. No opinion is expressed herein as to the effect on the exclusion from gross income of interest (and original issue discount) on the 2016A Bonds for federal income tax purposes with respect to any 2016A Bond if any such action is taken or omitted based upon the opinion or advice of counsel other than ourselves. Other than expressly stated herein, we express no other opinion regarding tax consequences with respect to the 2016A Bonds.

The opinions expressed herein are based upon our analysis and interpretation of existing laws, regulations, rulings and judicial decisions and cover certain matters not directly addressed by such authorities. We call attention to the fact that the rights and obligations under the Indenture and the 2016A Bonds are subject to bankruptcy, insolvency, reorganization, moratorium, fraudulent conveyance and other similar laws affecting creditors' rights, to the application of equitable principles if equitable remedies are sought, to the exercise of judicial discretion in appropriate cases and to limitations on legal remedies against public agencies in the State of California.

Our opinion is limited to matters governed by the laws of the State of California and federal law. We assume no responsibility with respect to the applicability or the effect of the laws of any other jurisdiction.

We express no opinion herein as to the accuracy, completeness or sufficiency of the Official Statement relating to the 2016A Bonds or other offering material relating to the 2016A Bonds and expressly disclaim any duty to advise the owners of the 2016A Bonds with respect to matters contained in the Official Statement.

Respectfully submitted,

APPENDIX D

INFORMATION CONCERNING DTC

The information in this section concerning DTC and DTC's book entry only system has been obtained from sources that the District believes to be reliable, but the District takes no responsibility for the completeness or accuracy thereof. The following description of the procedures and record keeping with respect to beneficial ownership interests in the 2016A Bonds, payment of principal, premium, if any, accreted value, if any, and interest on the 2016A Bonds to DTC Participants or Beneficial Owners, confirmation and transfers of beneficial ownership interests in the 2016A Bonds and other related transactions by and between DTC, the DTC Participants and the Beneficial Owners is based solely on information provided by DTC.

The Depository Trust Company ("DTC"), New York, NY, will act as securities depository for the 2016A Bonds. The 2016A Bonds will be issued as fully-registered securities registered in the name of Cede & Co. (DTC's partnership nominee) or such other name as may be requested by an authorized representative of DTC. One fully-registered 2016A Bond will be issued for each annual maturity of the 2016A Bonds, each in the aggregate principal amount of such annual maturity, and will be deposited with DTC.

DTC, the world's largest securities depository, is a limited-purpose trust company organized under the New York Banking Law, a "banking organization" within the meaning of the New York Banking Law, a member of the Federal Reserve System, a "clearing corporation" within the meaning of the New York Uniform Commercial Code, and a "clearing agency" registered pursuant to the provisions of Section 17A of the Securities Exchange Act of 1934. DTC holds and provides asset servicing for over 3.5 million issues of U.S. and non-U.S. equity issues, corporate and municipal debt issues, and money market instruments (from over 100 countries) that DTC's participants ("Direct Participants") deposit with DTC. DTC also facilitates the post-trade settlement among Direct Participants of sales and other securities transactions in deposited securities, through electronic computerized book entry transfers and pledges between Direct Participants' accounts. This eliminates the need for physical movement of securities certificates. Direct Participants include both U.S. and non-U.S. securities brokers and dealers, banks, trust companies, clearing corporations, and certain other organizations. DTC is a wholly-owned subsidiary of The Depository Trust & Clearing Corporation ("DTCC"). DTCC is the holding company for DTC, National Securities Clearing Corporation and Fixed Income Clearing Corporation, all of which are registered clearing agencies. DTCC is owned by the users of its regulated subsidiaries. Access to the DTC system is also available to others such as both U.S. and non-U.S. securities brokers and dealers, banks, trust companies, and clearing corporations that clear through or maintain a custodial relationship with a Direct Participant, either directly or indirectly ("Indirect Participants"). DTC is rated AA+ by Standard & Poor's. The DTC Rules applicable to its Participants are on file with the Securities and Exchange Commission. More information about DTC can be found at www.dtcc.com.

Purchases of 2016A Bonds under the DTC system must be made by or through Direct Participants, which will receive a credit for the 2016A Bonds on DTC's records. The ownership interest of each actual purchaser of each 2016A Bonds ("Beneficial Owner") is in turn to be recorded on the Direct and Indirect Participants' records. Beneficial Owners will not receive written confirmation from DTC of their purchase. Beneficial Owners are, however, expected to receive written confirmations providing details of the transaction, as well as periodic statements of their holdings, from the Direct or Indirect Participant through which the Beneficial Owner entered into the transaction. Transfers of ownership interests in the 2016A Bonds are to be accomplished by entries made on the books of Direct and Indirect Participants acting on behalf of Beneficial Owners. Beneficial Owners will not receive bonds representing their ownership interests in 2016A Bonds, except in the event that use of the book entry system for the 2016A Bonds is discontinued.

To facilitate subsequent transfers, all 2016A Bonds deposited by Direct Participants with DTC are registered in the name of DTC's partnership nominee, Cede & Co., or such other name as may be requested by an authorized representative of DTC. The deposit of 2016A Bonds with DTC and their registration in the name of Cede & Co. or such other DTC nominee do not effect any change in beneficial ownership. DTC has no knowledge of the actual Beneficial Owners of the 2016A Bonds; DTC's records reflect only the identity of the Direct Participants to whose accounts such 2016A Bonds are credited, which may or may not be the Beneficial Owners.

The Direct and Indirect Participants will remain responsible for keeping account of their holdings on behalf of their customers.

Conveyance of notices and other communications by DTC to Direct Participants, by Direct Participants to Indirect Participants, and by Direct Participants and Indirect Participants to Beneficial Owners will be governed by arrangements among them, subject to any statutory or regulatory requirements as may be in effect from time to time. Beneficial Owners of 2016A Bonds may wish to take certain steps to augment the transmission to them of notices of significant events with respect to the 2016A Bonds, such as redemptions, tenders, defaults, and proposed amendments to the 2016A Bonds documents. For example, Beneficial Owners of 2016A Bonds may wish to ascertain that the nominee holding the 2016A Bonds for their benefit has agreed to obtain and transmit notices to Beneficial Owners. In the alternative, Beneficial Owners may wish to provide their names and addresses to the registrar and request that copies of notices be provided directly to them.

Redemption notices shall be sent to DTC. If less than all of the 2016A Bonds within a maturity are being redeemed, DTC's practice is to determine by lot the amount of the interest of each Direct Participant in such maturity to be redeemed.

Neither DTC nor Cede & Co. (nor any other DTC nominee) will consent or vote with respect to 2016A Bonds unless authorized by a Direct Participant in accordance with DTC's MMI Procedures. Under its usual procedures, DTC mails an Omnibus Proxy to the District as soon as possible after the record date. The Omnibus Proxy assigns Cede & Co.'s consenting or voting rights to those Direct Participants to whose accounts 2016A Bonds are credited on the record date (identified in a listing attached to the Omnibus Proxy).

Redemption proceeds, distributions, and dividend payments on the 2016A Bonds will be made to Cede & Co., or such other nominee as may be requested by an authorized representative of DTC. DTC's practice is to credit Direct Participants' accounts upon DTC's receipt of funds and corresponding detail information from the District or the Trustee, on payable date in accordance with their respective holdings shown on DTC's records. Payments by Participants to Beneficial Owners will be governed by standing instructions and customary practices, as is the case with securities held for the accounts of customers in bearer form or registered in "street name," and will be the responsibility of such Participant and not of DTC, the Trustee or the District, subject to any statutory or regulatory requirements as may be in effect from time to time. Payment of redemption proceeds, distributions, and dividend payments to Cede & Co. (or such other nominee as may be requested by an authorized representative of DTC) is the responsibility of the District or the Trustee, disbursement of such payments to Direct Participants will be the responsibility of DTC, and disbursement of such payments to the Beneficial Owners will be the responsibility of Direct and Indirect Participants.

A 2016A Bond Owner shall give notice to elect to have its 2016A Bonds purchased or tendered, through its Participant, to the Trustee, and shall effect delivery of such 2016A Bond by causing the Direct Participant to transfer the Participant's interest in the 2016A Bonds, on DTC's records, to the Trustee. The requirement for physical delivery of 2016A Bond in connection with an optional tender or a mandatory purchase will be deemed satisfied when the ownership rights in the 2016A Bond are transferred by Direct Participants on DTC's records and followed by a book entry credit of tendered 2016A Bond to the Trustee's DTC account.

DTC may discontinue providing its services as depository with respect to the 2016A Bonds at any time by giving reasonable notice to the District or the Trustee. Under such circumstances, in the event that a successor depository is not obtained, physical certificates are required to be printed and delivered.

the District may decide to discontinue use of the system of book entry only transfers through DTC (or a successor securities depository). In that event, 2016A Bonds will be printed and delivered to DTC.

THE TRUSTEE, AS LONG AS A BOOK ENTRY ONLY SYSTEM IS USED FOR THE 2016A BONDS, WILL SEND ANY NOTICE OF REDEMPTION OR OTHER NOTICES TO OWNERS ONLY TO DTC. ANY FAILURE OF DTC TO ADVISE ANY DTC PARTICIPANT, OR OF ANY DTC PARTICIPANT TO NOTIFY ANY BENEFICIAL OWNER, OF ANY NOTICE AND ITS CONTENT OR EFFECT WILL NOT AFFECT THE VALIDITY OF SUFFICIENCY OF THE PROCEEDINGS RELATING TO THE REDEMPTION OF THE 2016A BONDS CALLED FOR REDEMPTION OR OF ANY OTHER ACTION PREMISED ON SUCH NOTICE.

APPENDIX E

FORM OF CONTINUING DISCLOSURE CERTIFICATE

Upon issuance of the 2016A Bonds, the District proposes to enter into a Continuing Disclosure Certificate in substantially the following form:

This Continuing Disclosure Certificate (the “Disclosure Certificate”) is executed and delivered by the West Valley Water District (the “District”) in connection with the issuance of the \$_____ West Valley Water District Water Revenue Refunding Bonds, Series 2016A (the “Bonds”). The Bonds are being issued pursuant to an Indenture of Trust, dated as of December 1, 2016 (the “Indenture”), by and between U.S. Bank National Association, as trustee (the “Trustee”) and the District. The District covenants and agrees as follows:

1. Purpose of this Disclosure Certificate. This Disclosure Certificate is being executed and delivered by the District for the benefit of the Holders and Beneficial Owners of the Bonds and in order to assist the Participating Underwriter in complying with the Rule.

2. Definitions. In addition to the definitions set forth in the Indenture, which apply to any capitalized term used in this Disclosure Certificate unless otherwise defined in this Section, the following capitalized terms shall have the following meanings:

Annual Report. The term “Annual Report” means any Annual Report provided by the District pursuant to, and as described in, Sections 3 and 4 of this Disclosure Certificate.

Beneficial Owner. The term “Beneficial Owner” means any person which: (a) has the power, directly or indirectly, to vote or consent with respect to, or to dispose of ownership of, any Bonds (including persons holding Bonds through nominees, depositories or other intermediaries); or (b) is treated as the owner of any Bonds for federal income tax purposes.

Dissemination Agent. The term “Dissemination Agent” means, initially, Digital Assurance Certification, or any successor Dissemination Agent designated in writing by the District and which has filed with the District a written acceptance of such designation.

EMMA. The term “EMMA” means the Municipal Securities Rulemaking Board’s Electronic Municipal Market Access System for municipal securities disclosures, maintained on the Internet at <http://emma.msrb.org/>.

Fiscal Year. The term “Fiscal Year” means the one-year period ending on the last day of June of each year.

Holder. The term “Holder” means a registered owner of the Bonds.

Listed Events. The term “Listed Events” means any of the events listed in Sections 5(a) and (b) of this Disclosure Certificate.

Official Statement. The term “Official Statement” means the Official Statement dated December __, 2016 relating to the Bonds.

Participating Underwriter. The term “Participating Underwriter” means Stifel, Nicolaus & Company, Incorporated, the original underwriter of the Bonds required to comply with the Rule in connection with offering of the Bonds.

Rule. The term “Rule” means Rule 15c2-12 adopted by the Securities and Exchange Commission under the Securities Exchange Act of 1934, as the same may be amended from time to time.

3. Provision of Annual Reports.

(a) The District shall, or upon delivery of the Annual Report to the Dissemination Agent (if other than the District), shall cause the Dissemination Agent to provide not later than April 1 following the end of its Fiscal Year (commencing with Fiscal Year 2015-16) to EMMA an Annual Report relating to the immediately preceding Fiscal Year which is consistent with the requirements of Section 4 of this Disclosure Certificate, which Annual Report may be submitted as a single document or as separate documents comprising a package, and may cross-reference other information as provided in Section 4 of this Disclosure Certificate; provided that the first Annual Report due April 1, 2017 may consist of a filing with EMMA that incorporates the Official Statement by reference together with audited financial statements for Fiscal Year 2015-16.

(b) Not later than fifteen (15) Business Days prior to each April 1, the District shall provide the Annual Report to the Dissemination Agent (if other than the District). If the District is unable to provide to EMMA an Annual Report by the date required in subsection (a), the District shall, or shall cause the Dissemination Agent to, send a notice to EMMA in a timely manner in the form prescribed by the Municipal Securities Rulemaking Board.

(c) The Dissemination Agent shall: (i) determine each year prior to April 1 the then-applicable rules and electronic format prescribed by the Municipal Securities Rulemaking Board for the filing of annual continuing disclosure reports; and (ii) if the Dissemination Agent is other than the District, certify to the District that the Annual Report has been filed with the Municipal Securities Rulemaking Board pursuant to this Disclosure Certificate, and stating, to the extent that it can confirm such filing of the Annual Report, the date that it was filed.

4. Content of Annual Reports. The Annual Report shall contain or incorporate by reference the following:

(a) The audited financial statements of the District for the prior Fiscal Year, prepared in accordance with generally accepted accounting principles as promulgated to apply to governmental entities from time to time by the Governmental Accounting Standards Board. If the District's audited financial statements are not available by the time the Annual Report is required to be filed pursuant to Section 3(a), the Annual Report shall contain unaudited financial statements in a format similar to the financial statements contained in the final Official Statement, and the audited financial statements shall be filed in the same manner as the Annual Report when they come available;

(b) Principal amount of the Bonds outstanding;

(c) Number of connections to the System in the prior Fiscal Year, in substantially the form set forth in the Official Statement under the caption "THE WATER SYSTEM OF THE DISTRICT—The System—Historic System Connections," although the District may provide connections by classifications of users;

(d) Historic water production in acre feet, in substantially the form set forth in the Official Statement under the caption "THE WATER SYSTEM OF THE DISTRICT—The System—Historic Water Production;"

(e) Historic water sales in acre feet, in substantially the form set forth in the Official Statement under the caption "THE WATER SYSTEM OF THE DISTRICT—The System—Historic Water Sales in Acre-Feet;"

(f) System Revenues by class of user, in substantially the form set forth in the Official Statement under the caption "THE WATER SYSTEM OF THE DISTRICT—The System—Historic Water Sales Revenues;"

(g) Ten largest System customers, in substantially the form set forth in the Official Statement under the caption "THE WATER SYSTEM OF THE DISTRICT—Largest System Customers;" and

(h) Summary of historical operating results (with debt service and coverage ratio shown), in substantially the form set forth in the Official Statement under the caption “THE WATER SYSTEM OF THE DISTRICT—Historic System Operating Results and Debt Service Coverage.”

Any or all of the items listed above may be included by specific reference to other documents, including official statements of debt issues of the District or related public entities, which have been submitted to EMMA; provided, that if any document included by reference is a final official statement, it must be available from the Municipal Securities Rulemaking Board; and provided further, that the District shall clearly identify each such document so included by reference.

5. Reporting of Significant Events.

(a) Pursuant to the provisions of this Section 5, the District shall give, or cause to be given, notice of the occurrence of any of the following events with respect to the Bonds in a timely manner not more than ten (10) Business Days after the occurrence of the event:

1. principal and interest payment delinquencies;
2. unscheduled draws on debt service reserves reflecting financial difficulties;
3. unscheduled draws on credit enhancements reflecting financial difficulties;
4. substitution of credit or liquidity providers, or their failure to perform;
5. adverse tax opinions, the issuance by the Internal Revenue Service of proposed or final determinations of taxability or Notices of Proposed Issue (IRS Form 5701 TEB);
6. tender offers;
7. defeasances;
8. ratings changes; and
9. bankruptcy, insolvency, receivership or similar proceedings.

Note: For the purposes of the event identified in subparagraph (9), the event is considered to occur when any of the following occur: the appointment of a receiver, fiscal agent or similar officer for an obligated person in a proceeding under the U.S. Bankruptcy Code or in any other proceeding under state or federal law in which a court or governmental authority has assumed jurisdiction over substantially all of the assets or business of the obligated person, or if such jurisdiction has been assumed by leaving the existing governmental body and officials or officers in possession but subject to the supervision and orders of a court or governmental authority, or the entry of an order confirming a plan of reorganization, arrangement or liquidation by a court or governmental authority having supervision or jurisdiction over substantially all of the assets or business of the obligated person.

(b) Pursuant to the provisions of this Section 5, the District shall give, or cause to be given, notice of the occurrence of any of the following events with respect to the Bonds, if material:

1. unless described in Section 5(a)(5), other notices or determinations by the Internal Revenue Service with respect to the tax status of the Bonds or other events affecting the tax status of the Bonds;
2. modifications to the rights of Bond holders;
3. bond calls;

4. release, substitution or sale of property securing repayment of the Bonds;
5. non-payment related defaults;
6. the consummation of a merger, consolidation, or acquisition involving the District or the sale of all or substantially all of the assets of the District, other than in the ordinary course of business, the entry into a definitive agreement to undertake such an action or the termination of a definitive agreement relating to any such actions, other than pursuant to its terms; and
7. appointment of a successor or additional trustee or the change of the name of a trustee.

(c) If the District determines that knowledge of the occurrence of a Listed Event under Section 5(b) would be material under applicable federal securities laws, and if the Dissemination Agent is other than the District, the District shall promptly notify the Dissemination Agent in writing. Such notice shall instruct the Dissemination Agent to file a notice of such occurrence on EMMA in an electronic format as prescribed by the Municipal Securities Rulemaking Board in a timely manner not more than ten (10) Business Days after the event. Notwithstanding the foregoing, notice of Listed Events described in Sections 5(a)(7) and 5(b)(3) need not be given under this subsection any earlier than the notice (if any) of the underlying event is given to Owners of affected Bonds pursuant to the Indenture.

(d) If the District determines that a Listed Event under Section 5(b) would not be material under applicable federal securities laws and if the Dissemination Agent is other than the District, the District shall so notify the Dissemination Agent in writing and instruct the Dissemination Agent not to report the occurrence.

(e) The District hereby agrees that the undertaking set forth in this Disclosure Certificate is the responsibility of the District and, if the Dissemination Agent is other than the District, the Dissemination Agent shall not be responsible for determining whether the District's instructions to the Dissemination Agent under this Section 5 comply with the requirements of the Rule.

6. Customarily Prepared and Public Information. Upon request, the District shall provide to any person financial information and operating data regarding the District which is customarily prepared by the District and is publicly available.

7. Termination of Obligation. The District's obligations under this Disclosure Certificate shall terminate upon the legal defeasance, prior redemption or payment in full of all of the Bonds. If such termination occurs prior to the final maturity of the Bonds, the District shall give notice of such termination in the same manner as for a Listed Event under Section 5(c).

8. Amendment; Waiver. Notwithstanding any other provision of this Disclosure Certificate, the District may amend this Disclosure Certificate, and any provision of this Disclosure Certificate may be waived, provided that, in the opinion of nationally recognized bond counsel, such amendment or waiver is permitted by the Rule; and provided further that the Dissemination Agent shall have first consented to any amendment that modifies or increases its duties or obligations hereunder.

9. Additional Information. Nothing in this Disclosure Certificate shall be deemed to prevent the District from disseminating any other information, using the means of dissemination set forth in this Disclosure Certificate or any other means of communication, or including any other information in any notice of occurrence of a Listed Event, in addition to that which is required by this Disclosure Certificate. If the District chooses to include any information in any notice of occurrence of a Listed Event in addition to that which is specifically required by this Disclosure Certificate, the District shall not thereby have any obligation under this Disclosure Certificate to update such information or include it in any future notice of occurrence of a Listed Event.

10. Default. In the event of a failure of the District to comply with any provision of this Disclosure Certificate, any Holders or Beneficial Owners of at least 50% aggregate principal amount of the Bonds may take

such actions as may be necessary and appropriate, including seeking mandate or specific performance by court order, to cause the District to comply with its obligations under this Disclosure Certificate. A default under this Disclosure Certificate shall not be deemed an Event of Default under the Indenture, and the sole remedy under this Disclosure Certificate in the event of any failure of the District or the Dissemination Agent to comply with this Disclosure Certificate shall be an action to compel performance.

No Holder or Beneficial Owner of the Bonds may institute such action, suit or proceeding to compel performance unless they shall have first delivered to the District satisfactory written evidence of their status as such, and a written notice of and request to cure such failure, and the District shall have refused to comply therewith within a reasonable time.

11. Dissemination Agent. The District may, from time to time, appoint or engage a Dissemination Agent to assist it in carrying out its obligations under this Disclosure Certificate, and may discharge any such Dissemination Agent, with or without appointing a successor Dissemination Agent. The Dissemination Agent shall not be responsible in any manner for the form or content of any notice or report prepared by the District pursuant to this Disclosure Certificate. The Dissemination Agent may resign by providing thirty days' written notice to the District and the Trustee. The Dissemination Agent shall not be responsible for the content of any report or notice prepared by the District and shall have no duty to review any information provided to it by the District. The Dissemination Agent shall have no duty to prepare any information report, nor shall the Dissemination Agent be responsible for filing any report not provided to it by the District in a timely manner and in a form suitable for filing.

12. Duties, Immunities and Liabilities of Dissemination Agent. The Dissemination Agent shall have only such duties as are specifically set forth in this Disclosure Certificate, and the District agrees, to the extent permitted by law, to indemnify and save the Dissemination Agent, its officers, directors, employees and agents, harmless against any loss, expense and liabilities which it may incur arising out of or in the exercise or performance of its powers and duties hereunder, including the costs and expenses (including attorney's fees) of defending against any claim of liability, but excluding liabilities due to the Dissemination Agent's negligence or willful misconduct. The Dissemination Agent shall be paid compensation by the District for its services provided hereunder in accordance with its schedule of fees as amended from time to time and all expenses, legal fees and advances made or incurred by the Dissemination Agent in the performance of its duties hereunder. In performing its duties hereunder, the Dissemination Agent shall not be deemed to be acting in any fiduciary capacity for the District, the Owners, or any other party. The obligations of the District under this Section shall survive resignation or removal of the Dissemination Agent and payment of the Bonds.

13. Beneficiaries. This Disclosure Certificate shall inure solely to the benefit of the District, the Participating Underwriter and Holders and Beneficial Owners from time to time of the Bonds, and shall create no rights in any other person or entity.

14. Notices. Any notices or communications to or among any of the parties to this Disclosure Certificate may be given to the Dissemination Agent (if other than the District) at such address provided by the Dissemination Agent to the District, and to the District as follows: West Valley Water District, 855 West Base Line Road, Rialto, California 92377, Attention: Finance Director.

Dated: December __, 2016

WEST VALLEY WATER DISTRICT

By: _____
Its: General Manager

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